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Encl:Asabove.

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"Indian Metals & Ferro Alloys Limited's Q1 FY'23 Earnings
Conference Call"

July 27, 2022

MANAGEMENT: MR. PREM KHANDELWAL – CHIEF FINANCIAL
OFFICER & COMPANY SECRETARY, INDIAN METALS
& FERRO ALLOYS LIMITED

MR. BIJAYANANDA MOHAPATRA – CHIEF OPERATING
OFFICER, INDIAN METALS & FERRO ALLOYS
LIMITED

MR. DEEPAK MOHANTY – HEAD, FERRO ALLOYS
BUSINESS UNIT, INDIAN METALS & FERRO ALLOYS
LIMITED

MR. BINOY AGARWALLA – HEAD, POWER BUSINESS
UNIT, INDIAN METALS & FERRO ALLOYS LIMITED

Page 1 of 19

Indian Metals & Ferro Alloys Limited

July 27, 2022

MR. SANDEEP B NARADE – HEAD, MINES BUSINESS

July 27, 2022

Moderator: Good morning, ladies, and gentlemen. Welcome to the Q1 FY'23 Analyst Conference Call of Indian Metals & Ferro Alloys Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Sneha Joshi from Perfect Relations Private Limited. Thank you. And over to you, ma'am.

Sneha Joshi: Good morning, everyone and thank you for joining us on Indian Metals & Ferro Alloys Limited Q1 FY'23 Earnings Conference Call. Today, we have with us senior management, represented by Mr. Prem Khandelwal -- CFO & Company Secretary; Mr. Bijayananda Mohapatra -- COO; Mr. Deepak Mohanty -- Head of Ferro Alloys Business Unit; Mr. Binoy Agarwalla -- Head of Power Business Unit; Mr. Sandeep B Narade -- Head of Mines Business Unit.

Before we begin, I would like everyone present to note that some of the statements made in today's discussion will be forward-looking in nature. We will begin the concall with opening remarks from the management, after which we will have the forum open for interactive Q&A session. I would now request Mr. Prem Khandelwal for the opening remarks. Over to you, sir.

Prem Khandelwal: Thank you, Sneha. Good morning to everybody. The financial results are already in the public domain. So, I'll just give a brief snapshot of the financials and then we can start question-answer session.

Sales for Q1 FY'23 has gone up by 38% to Rs.732 crores compared to Rs.530 crores in the corresponding previous quarter. Similarly, net profit has gone up by 36% to Rs.134 crores compared to Rs.99 crores and EBITDA has gone up by 27% to Rs.225 crores compared to Rs.177 crores.

Production of ferro chrome for the quarter is 63,760 tons compared to 58,640 tons. Power is almost at the same level of 260 million units and chrome ore almost at the same level of 1,58,000 tons compared to 1,58,142 tons in the previous quarter.

Sales of ferro chrome is around 60,335 tons compared to 59,506 tons. Average realization is 1,21,000 compared to 89,000 in the previous quarter and ferro chrome cost has gone up to 80,000 compared to 61,000 in the previous quarter, mainly on account of power, variable cost has gone up to 594 compared to 376 and coke cost has gone up to 41,000 compared to 22,000. With this I now request for question-answer session.

Moderator: Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Shubham Agarwal from Equitas. Please go ahead.

Page 3 of 19

Indian Metals & Ferro Alloys Limited

July 27, 2022

Shubham Agarwal: Sir, my first question was regarding coking coal. So, in last quarter, you mentioned that total average cost of mine was around \$480 and we had enough inventory which will suffice till September, October. So, recently in the last one month, we have observed that the prices have fallen down significantly. So, I was wondering if for Q2, we will have to take inventory write down if any and what would be the

amount that we would have to hit on our P&L?

Prem Khandelwal: Thank you, Shubham. See, inventory write-down is not going to be there because we are following the average method of accounting. So, whatever cost we are buying coke, all are getting average down. So, there is no question of writing down inventory here.

Shubham Agarwal: What is our buying rate right now?

Deepak Mohanty: Last, we bought at 525. Going rate is in this range even though the coking coal prices have come down and particularly for us we buy from Columbia, which is a limited source, there is no ultra-low first coke.

Shubham Agarwal: Secondly, on the realization bit. So, again, we have observed that last one month our realization has been falling significantly. So, how do you guide for the next one or two quarters in terms of realization?

Prem Khandelwal: Again, Shubham, if you track, we have a lag of one quarter every time. So, although the spot has come down below \$1 now, but for us in Q2, we may not have a significant impact, because we have a lag of one quarter, so, we had finalized at a higher rate in this quarter. But Q3 remains to be seen. By that time, depending on the market scenario, we'll have to work out the realization.

Shubham Agarwal: So, for Q2 compared to realization of 1,21,000, what should we consider?

Deepak Mohanty: It will come down certainly, but maybe around 115.

Shubham Agarwal: And sir, secondly, in general, I wanted to understand the demand trend because everywhere we are seeing globally there is a strong headwind as far as demand is concerned. So, are we

witnessing anything and what is your sense on the same topic?

Deepak Mohanty: Actually, we are not expecting a significant reduction. Mostly, our things are on long-term basis, whether it is monthly or quarterly basis more or less fixed tonnage. So, not much of a thing we are looking at this point of time.

Shubham Agarwal: Lastly, again on the cost side. So, our coal variable cost you said this quarter was 500 something compared to 376. So, have we seen any further increase in our buying cost of coal per ton?

Page 4 of 19

Indian Metals & Ferro Alloys Limited

July 27, 2022

Binoy Agarwalla: Shubham, in December this coal crisis started, but we thought at that point in time that it would get normalized within six months, but my apprehension is it will continue for another six months this 500 plus rate because coal rate is not coming down because we have seen in different spot e-auction the coal price is remaining stable.

Shubham Agarwal: So, more, or less we can say that in terms of cost of production, we have kind of reached the peak, which is around 80,000 to 83,000 per ton?

Prem Khandelwal: Yes.

Shubham Agarwal: On the refund of Utkal 'C' coal block, so I understand last quarter, you mentioned that agreement is pending and post that 90-days is the time when we'll get back the money. But in the last three months, nothing seems to have moved. So, where is the actual bottleneck currently?

Prem Khandelwal: No. As you understand, some request has come from the buyer for change of certain terms and conditions. That is being considered by ministry. So, once that is settled, then I think the process will start. Maybe in a month or two months' time the allotment agreement should be signed, and thereafter that clock start ticking 90 days' time thereafter.

Moderator: The next question is from the line of Sanjeev Kumar Damani from SKD Consulting. Please go ahead.

Sanjeev K Damani: Actually, one thing I wanted to know was that how much ferro alloy whole business we have got to continue with the same capacity when I get some number of years how much we can use these deposit for how many years?

Prem Khandelwal: Sorry, Sanjeev. I am not able to understand your query. You are talking about chrome ore reserve or what? We use chrome ore.

Sanjeev K Damani: Chrome ore reserve how many years will last with our project deposit?

Prem Khandelwal: I think it will last till we

have our mines. Our mines is valid up to 2049 and 2055. So, it should last till then.

Sanjeev K Damani: Do you know cost of our production is at par with the world cost of production of these items or we are slightly higher or lower than the world?

Prem Khandelwal: You mean ferro chrome cost?

Sanjeev K Damani: Final product cost that we sell.

Page 5 of 19

Indian Metals & Ferro Alloys Limited

July 27, 2022

Prem Khandelwal: Yes, as far as ferro chrome is concerned, we are one of the top five least cost producer in the world.

Sanjeev K Damani: Are we taking some levers to bring down the cost of production to the international level?

Prem Khandelwal: We are already almost at par with the international level and in some cases even lower than that and wherever possible, we try to reduce it further.

Sanjeev K Damani: I understood this that we are not in the first five lowest cost producer of the world. This is what did I listen or I wrongly listen to it?

Prem Khandelwal: No, no, I said, we are one of the top five least cost producer in the world.

Sanjeev K Damani: So, we are very competitive as one supplier?

Prem Khandelwal: Yes.

Sanjeev K Damani: Can you give some figure as to how much is our market share of exporting to the world amongst the exporting countries?

Deepak Mohanty: Ferro chrome worldwide is produced around 15 million. And we produce only 250,000. So, it's not a very big quantity, but our total production is more than 90%. We do mostly exports more than 2 lakh. That's why it's not a very significant, but it is significant in consideration to at least where we are more viable than South Africa and the others.

Sanjeev K Damani: Sir, up to this 15 million tons that we said may be the overall production of the world, right?

Deepak Mohanty: 15 million of ferro chrome and stainless steel is around 58 million in the last calendar year.

Sanjeev K Damani: So, this is the total production you are saying and not the export of the world?

Deepak Mohanty: You see, the majority out of the stainless-steel production more than 30 million is from China where they do not have chrome ore and South Africa having the highest chrome ore, they don't produce stainless steel. So, it's majority.

Sanjeev K Damani: Okay, so they are the major exporter. Sir, now I got my summary that our main competition is

with South Africa only?

Deepak Mohanty: It's not like that. They're not comparable, their quality of material, which is voluminous, but is different. We produce 60%, they produce 50%, chromium-based ferro chrome, on which we are different.

Sanjeev K Damani: So, our quality is better than that, can we say this way?

Page 6 of 19

Indian Metals & Ferro Alloys Limited

July 27, 2022

Prem Khandelwal: Yes, to some extent.

Sanjeev K Damani: I heard a few figures from the conversation on the last question that our coking coal prices are really very high. What about our Indian coal prices these days?

Deepak Mohanty: You are talking about in the sense thermal coal or the coking coal?

Sanjeev K Damani: Coking coal is directly used for producing ferro chrome, but for producing power we will not be using our Indian coal, sir, am I right?

Deepak Mohanty: Coking coal is not used directly in ferro chrome. It's used in the form of coke only and India do not have low-cost coking coal. That's why this is the only item we depend on imports.

Sanjeev K Damani: For producing power we use local coal, am I right?

Prem Khandelwal: Yes, yes, yes, absolutely.

Sanjeev K Damani: Finally, one figure as to how much claim we have made on government for calculation of our earlier coal mine, means rupee terms can I get some figure?

Prem Khandelwal: Yes, it's around 370 crores.

Sanjeev K Damani: It is very long pending claim, so, we will be claiming some interest also on it?

Prem Khandelwal: No, interest on the land portion, government has to pay interest at the rate of 12%, that is in the statute itself.

Sanjeev K Damani: Will it to lead part of that coal mine or it is inde

pendent of it? I mean, once it is auctioned and somebody pays and uses it, then only we get money. Is it condition like that or only court order can get us this money?

Prem Khandelwal: No, no, the fresh allottee has to pay to government and government in turn will pay to us.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor: Sir, if you could explain to us this line item of finance costs wherein there is loss on foreign currency transaction appeared twice. Once it is Rs.15.81 crores and again item #F also it is Rs.10.57 crores. So, if you could explain the nature over there?

Prem Khandelwal: There are two components, Saket, here. One is the pure finance cost and other is the exchange fluctuation. So, exchange fluctuation is your normal amount because we are availing working capital in foreign currency. So, we need to restate the working capital outstanding at the end of

Page 7 of 19

Indian Metals & Ferro Alloys Limited

July 27, 2022

the quarter in dollar terms. So, that's why we are showing that the actual finance cost is the interest cost and the fluctuation part is almost notional.

Saket Kapoor: So, if I take the absolute number, the actual cost is then only Rs.5 crores?

Prem Khandelwal: Yes.

Saket Kapoor: And other foreign currency transactions of Rs.26 crores or Rs.27 crores is only the restatement of this?

Prem Khandelwal: Yes, yes.

Saket Kapoor: So, depending upon how the currency moves, sir, it is all dollar-denominated or euro?

Prem Khandelwal: Dollar-denominated because our entire working capital is in foreign currency and other receivables also are in foreign currency. Whatever is income and expenditure in foreign currency, all have to be translated to that quarter-end dollar rate. That's why fluctuation, MTM, these things are coming here which are not actual which are notional. But we have to follow accounting standard, we have to do this.

Saket Kapoor: Otherwise, the profit would have been definitely higher reverse on that amount?

Prem Khandelwal: Yes.

Saket Kapoor: There is no impact on revenue as such on this amount? This is the closing balance of working capital due that is getting translated?

Prem Khandelwal: Correct.

Saket Kapoor: Sir, as per the previous participant from Equitas and also from your commentary for Q2 the realizations and the costs are going to be in line with what Q1 has been? If you could explain to us what percentage of our sales for Q1 were spot-driven and if you could give some understanding how the spot realizations have been and for Q2 what they are flaring up currently?

Deepak Mohanty: No, actually we don't have really spot tonnage, mostly we give it on annual contract basis or long-term contract with this. So, very, very minimal. It's mostly the same customer with an annual thing and which price negotiation are in different places like that it happens. So, last quarter and this quarter, the prices as already mentioned, prices will come down to some extent

because you know the benchmark has come down by 33% and even the other Chinese benchmark prices have come down. So, in line with that it will be, but costs are more or less in the same line as in the Q1.

Page 8 of 19

Indian Metals & Ferro Alloys Limited

July 27, 2022

Saket Kapoor: So, taking your understanding or your statement into account. If the same price is sustained, then Q3 we are seeing a decline in our revenue and profitability since the cost of production is going to remain static?

Prem Khandelwal: No, Saket, that is very difficult to predict anything at the moment, you see, we cannot predict anything, because the market is so volatile and so many factors are impacting, so many things are happening in the world today, so very difficult to estimate or give any prediction for Q3. Because we have tied up some tonnage, for Q2, we can give some prediction but Q3 is very difficult.

Saket Kapoor: Sir, currently this spot is trading

at 1,02,000 range?

Deepak Mohanty: No, I believe presently it is more than Rs.1 lakh in the domestic market, in fact, very little transactions are happening. So, it's not a reflective thing, but more or less in the range of Rs.1 lakh at this junction in domestic market.

Saket Kapoor: Deepak sir, how are the volumes likely to shape up for Q2, it's similar to what Q1 or will we be having -?

Deepak Mohanty: We have flagged around 60,000 normally what we do in that line mostly.

Saket Kapoor: It will be in the same 60,000?

Prem Khandelwal: We are already at 60,000, Saket, so that is going to remain more or less same.

Saket Kapoor: Sir, coming to expansion part of the story. I think we have outlined Rs.1,000 crores expansion, running down for five years and also the land allocation I think to have happened from the state has been articulated yesterday in the AGM also and in the annual report. So, what should we anticipate for FY'24, '25 now?

Prem Khandelwal: No, as we have told earlier also, the new furnace is going to come into commercial production maybe by end of FY'25 or early '26. So, most of the investments will come maybe around FY'24 and '25.

Saket Kapoor: And the type of CAPEX we have to do for improving the ore output, the underground, I think so we are totally into the underground mining partners for our -?

Prem Khandelwal: Not at the moment and totally underground will take some time, maybe around five to six years we are still... Sandeep, can you give details about this?

Sandeep B. Narade: Right now we are operating on a down mine and one open cast. So, we'll be producing both the mines for the next about six years, we'll be having open cast also. And after that this Sukinda mine will convert into one underground mine. So, we are working on that and already we have

Page 9 of 19

Indian Metals & Ferro Alloys Limited

July 27, 2022

given the study to one party and they will submit us the report and we'll start opening that underground mine maybe in the next year.

Saket Kapoor: Next year itself?

Sandeep B. Narade: Yes, yes. So, it will start only, not produce, it will start.

Saket Kapoor: What is the likely CAPEX we spent on going through this underground mine route and the likely CAPEX that that we need to incur over a period of time to get the optimum output?

Prem Khandelwal: So, we are planning for our next six to seven years about a Rs.1,000 crores.

Saket Kapoor: Rs.1,000 crores will be spent on underground mine?

Deepak Mohanty: Yes, over a period of seven years.

Saket Kapoor: What would be the cost advantage, how is the payback going to be or is it our compulsion to go for underground mining once our reserve gets closed with open cast?

Prem Khandelwal: If it is underground how would we get further ore.

Saket Kapoor: There will be no advantage of payback in this? Will it reduced our cost of production or is it statutory and we have to do it to extract the ore?

Prem Khandelwal: We have to it, there is no other way out otherwise we have to stop the production of ferrochrome.

Saket Kapoor: It will not affect the cost of production?

Prem Khandelwal: It will certainly affect the cost of production. Sandeep, I think the cost of production will go up if we go underground?

Sandeep B. Narade: Yes, yes. If we see in open cast actually it is comparatively low-cost production from open cast, whereas underground is the high-cost production.

Saket Kapoor: So, it gets commensurate more so if we not sustain higher prices then there will be more pressure on martins going forward because we have to go underground. If there will not that much traction in selling then this will compress our margin. This is a good understanding?

Prem Khandelwal: Yes.

Saket Kapoor: How is the benchmark? I think 30 cents or something sir has mentioned. So, how is the correlation for the benchmarking and how does it plays out in our numbers on the selling prices?

Deepak Mo

hanty: Actually, the European benchmark, this is discussed between the major South African ferro chrome producers; Glencore and the major stainless steel mainly in Europe and their circular number and the market operate based on the increase and decrease to the previous one. Based on that, there is certain possibility it is not just the exact increase happens every time either sometimes if the increase actual price you get over the last price, may be more than the increase or decrease depending upon the situation. Thereafter, it's the negotiation. Benchmark price is mainly set to show the base number over which a discount is applied. That's how it gets operated.

Saket Kapoor: And the discount is relevant on the demand/supply situation in the market or what factors will determine the discount percentage?

Deepak Mohanty: If it is a negotiated one, it is demand/supply. In certain cases people work for a year with a certain percentage. So, there are various ways it is dealt based on the benchmark. But it mostly takes care of the increase or decrease from the last price you have.

Saket Kapoor: Sir, as I am a layman, discount is in benchmark, what does this translate to the prices currently, if this discount is going to prevail for a considerable period of time, what would be the fixed contract price going forward?

Deepak Mohanty: Normally it's very different for different countries and different players and you can say it can vary between 20% to 30% depending upon your spending, your quality of material and there is further aspect. It's not that almost it is 30%, sometimes it goes to 35% depending upon market scenario, but roughly I told it is in the range of 20% to 30%.

Moderator: The next question is from the line of Joe Shah from Seven Seas. Please go ahead.

Joe Shah: Now, you mentioned that the realization during Q2 is expected to come down to Rs.1,15,000.

Yesterday, M.D. mentioned that there will not be impact on the profit because the cost has also gone down. So, earlier in Q1 you mentioned cost was at Rs.81,000. So, in Q2 can we expect cost at Rs.75,000 something like that?

Prem Khandelwal: Difficult to predict at the moment, Mr. Shah. We will come to know after end of the quarter only. What kind of mix we are going to use; of coke and what mix of coal we are going to use depends on that.

Joe Shah: The M.D. mentioned that profitability will remain more or less similar. That's why I am wondering in Q1 or Q2 there is a change in profitability.

Prem Khandelwal: May not be much impact on the profitability, but very difficult to give any estimate at the moment. But what we expect that there may not be much impact on the profit or at all there will be a little impact on the profit.

Joe Shah: Regarding Utkal, we are discussing a lease agreement between the government of India and this new allottee, Jindal with 8284 that formula. You also approached Delhi high court for this determination of the compensation and I understand that Delhi high court date is now first week of 2023. Will it impact our compensation because it is a high court matter, it gets delayed and delayed, so will it impact our suppose the agreement is signed between MoC as well as Jindal, then it will follow this 8284 or again we will have to wait for Delhi high court order?

Prem Khandelwal: Delhi high court order becoming infructuous if the agreement is signed. What we are paying is for early determination of compensation and payment. Once the agreement is signed, then within 90 days government has to pay to us. Then that case becoming infructuous once agreement is signed.

Joe Shah: This Kalinganagar land, you already paid the full amount of Rs.30 crores. So, when we expect the land allotment to us?

Prem Khandelwal: Land allotment is already done. Now, deed has to be signed and that process is going on in maybe two to three months' time that will be over.

Joe Shah: We will get possession of the la

nd?

Bijayananda Mohapatra: They have gone for this demarcation of the land and it has to be signed by the government authority as well as the IDCO who is the land provider. So, if that has been done, then they will go for this lease agreement between (Inaudible) 33:45 and IDCO. So, once that is done, then we can start the construction of boundary wall and our ECL shall start.

Joe Shah: About six months' time from now?

Bijayananda Mohapatra: No-no, the ECL will take around one year.

Moderator: We'll move on to the next question that is from the line of Anurag Patil from Roha Asset Managers. Please go ahead.

Anurag Patil: What will be our average cost for thermal coal in Q1 and what is the possible cost in the Q2, any rough estimate?

Binoy Agarwalla: In Q1 actually coal cost was Rs.62. It was just because of we got hold by road only and we participated in spot e-auction and spot e-auction cost was very high because we didn't get our monthly settle quantity from MCL and we didn't get rake also from MCL because rakes are getting diverted to IPP. And in Q2 also will be in the same range around 470 or 475.

Page 12 of 19

Indian Metals & Ferro Alloys Limited

July 27, 2022

Anurag Patil: So, far how much coking coal is required per ton production of ferro chrome in volume terms?

Prem Khandelwal: We don't need cooking coal. We need coke around 0.5 tons of coke for 1 ton of ferro chrome.

Anurag Patil: Sir, this Rs.1,000 crores CAPEX you are going over the next few years, how much will be the capacity addition?

Prem Khandelwal: This will increase our mining capacity. Sandeep, can you give the figures what we are planning?

Sandeep B. Narade::With this CAPEX, right now we are producing about 3 lakh tons from Sukinda mine and it will add another 3 lakh tons initially, then we can further plan for another 3 lakh tons, it can go up from 0.3 million to 0.9 million.

Anurag Patil: Any CAPEX we are planning for ferro chrome capacity?

Prem Khandelwal: We have already given that number. One furnace we are going to add which will come into production by end of FY'25 or FY'26 early. CAPEX for that is around Rs.550 crores.

Moderator: The next question is from the line of Vijay Sarda from VL Finance. Please go ahead.

Vijay Sarda: Just two questions. One, how is the demand/supply scenario currently in the ferro chrome market? And as you said earlier, we are among the lowest producer in the ferro chrome. So, if our costs are 80,000 being a own mine, the people who are 90% and they don't have mine as you rightly said in China most of the chrome ore is getting imported, so how is the selling price so low in the ferro chrome market? I don't understand that. Since we have an advantage and we are not the neighbors-related, currently this quarter was good but going forward as you said the current price is one lakh. So, how these prices have been decided and who dictate the prices because since 80% of industry don't own the mine, the cost of production for themselves will be around one lakh or so. So, how they will be able to cope with or the other players in the industry making losses?

Deepak Mohanty: Let me go in a little different way to explain. You know the stainless-steel production for the Q1 of this calendar year has gone down by 3.8%, 14.5 million and similarly in China it has gone down by 8%. That's mainly because of the pandemic situation and zero COVID restrictions and all for that it has gone down okay. So, that is one factor. And in this quarter also, it will be lower and although initially there was a prediction of 4% growth for the stainless steel, now it is in doubt because of this pandemic not only in China, in all parts of the world, it is again resurgence has happened somewhere, although the extent is not very big, that is happening, one. And the other thing which has led to all this scenario is Russia-Ukraine war. European countries depend mostly for the coal from Russia which has been affected and now they are going t

through the summer, but post-September when it will be winter, unless that war gets withheld or something, some ways to get the coal, so situation will be very different. So,

Page 13 of 19

Indian Metals & Ferro Alloys Limited

July 27, 2022

with all those things, there is a reduction in stainless steel requirement and in China because of all these issues, COVID and other things, A-listed problem lot of defaults by the people and the contractors for which China has come up with \$200 billion stimulus package, but it will take some time and all. When the demand is low, buyers are less because many people like us on long-term basis supply where they cannot do anything. So, spot prices are going down very drastically because there are very limited buyers. So, everyone wants to grab that. That is the reason why it has come down. But actually, this is not a sustainable price with the high logistic cost and you know the barrel price is still around \$1 it is hovering, although it went to 125, that's the price. And the logistics things have not yet come up because of all this downtrend and all, there is little bit of ease in the container size but still container and all freight prices are higher and coal crisis in all the countries, so that is affecting the power prices going up, with all these things, prices cannot go down. But because of the limited requirements, prices are going down which is going to stabilize in this quarter probably. So, according to me the prices will remain around \$1 dollar all over is expected at least for this quarter and next quarter.

Vijay Sarda: What price will be maintained?

Prem Khandelwal: Around \$1.

Deepak Mohanty: It is Sustainable for a cost-competitive producer like mostly for us and others will bring down

a lot of capacity, that is going down not producing. So, demand/supply –

Vijay Sarda: The capacity will also shut na, because if this is a situation because we are still very much comfortable using the domestic coal whereas all the European plants who are operating on gas and coal, they are facing major problem in terms of the cost of power also. So, effectively if I just understand chrome ore prices have not decreased to the extent that is required and it has totally been imported from Africa. Secondly, your coke prices have increased and third, your power cost have increased. So, we have benefit on two of this. Chrome ore is our own, so we have an advantage there, and secondly, we have our own basically at least 70%, 80% linkage coal do we get. Maybe one quarter you may not get the quantity required, but still we will be getting 75% to 80% of our quantity of the coal at the nominal prices as the Indian prices of coal have not increased. So, cost of our power may not have increased substantially. I am just putting this in context to the global players -

Prem Khandelwal: Mr. Sarda, that's why Deepak is saying that the price may not go too much beyond \$1 because the cost pressure is there.

Deepak Mohanty: I want to add one more aspect. The Chinese RMB has depreciated by 6.7% and South African Rand around 9.3%. So, once these two major currencies which have the need for ferro chrome and the South African base, the prices have to go down and even our Indian rupee, all currencies have depreciated, from depreciated thing you are able to meet. So, that is one other

Page 14 of 19

Indian Metals & Ferro Alloys Limited

July 27, 2022

aspect which all those things with \$1 around it will be much proper scenario which is sustainable.

Moderator: The next question is from the line of Yash, an individual investor. Please go ahead.

Yash: Accounting-related question. One, I had on power cost but that you have explained very beautifully. Second is I can see a lot of inventory buildup. So, can you please send a picture of how much inventory like what was our FG inventory in Q1 and how do we plan to liquidate it in Q2 given that most of our sales are in long-term contract?

Prem Khandelwal: Buil

t up you mean of ferro chrome or –

Yash: I'm assuming it is ferro chrome, sir. There is a change in this line and delta between production and sales both are on ferro chrome only.

Deepak Mohanty: Actually, the inventory is going little higher compared to the previous quarter. That's because we have 2,500 tons shipment which was supposed to be done on the end of June. That vessel got delayed. So, it was done in this quarter, that is why. Otherwise, it is at the 1Q level considering our level of export.

Prem Khandelwal: I hope that is clear, Yash.

Yash: Yes. So, closing inventory you are saying we have next to zero or less than 1,000- or 2,000- tons tons I can assume?

Deepak Mohanty: We have to maintain certain plant stock for doing shipment and some based on shipment which we do to Korea, so that on the voyage. So, taking all those into consideration, in fact, we are running hand to mouth from our production for meeting the shipment.

Yash: Can you please paint a picture on our coke inventory and coke cost per ton for Q1 and expected coke cost for Q2?

Deepak Mohanty: We have around coke inventory till end of November and the average blended cost was maybe little more than \$500 in the last quarter and in this quarter also, it will be in that range.

Yash: One last question on the market side. Since we have seen a phenomenal jump in NSR in Q1 over last Q4, but now that the markets are back to 1,300 level and we negotiate our contracts every quarterly pricing for that, in one of the last calls you had told that to me only. So, how are we looking at the renegotiation part, have we renegotiated the contracts already and if so what is the fall in NSR we are anticipating in Q2?

Page 15 of 19

Indian Metals & Ferro Alloys Limited

July 27, 2022

Prem Khandelwal: That we have already answered. We don't expect too much fall in the net realization price this quarter, maybe a little bit lower, but not much, because of this lag in negotiation, so one quarter overlap is always there.

Yash: You have told the thermal coal. We are expecting at the same prices of 4.7 per GCV compared to 4.6 per GCV. So, we can expect power cost per unit to be Rs.6.10 kind of what we had here also in this quarter?

Prem Khandelwal: It is more or less likely to remain same.

Moderator: The next question is from the line of Ashish Koti, an individual investor. Please go ahead.

Ashish Koti: The question is basically what kind of ratios we have in terms of raw material inventory, work-in process and finished products? Second question is how much of our total sales is long-term and how much is export and within that long term it is three months, six months or one year?

Deepak Mohanty: Actually, almost 90% is our export and most of them are on annual or long-term contract. Very

limited tonnages on spot, this is for domestic, although this domestic are also on month-to-month basis but as we don't have annual contract or long-term contract, we say that is spot. Similarly, for exports, there is really very little quantity, it maybe 5% at times and sometimes it is still low. So, mostly it is annual or long-term.

Ashish Koti: In that case, do we have a price increase close or no?

Deepak Mohanty: Many of them are on negotiation. It's not just formalized yet.

Ashish Koti: So, at times the price revision might take place, at times may not?

Deepak Mohanty: No-no, with certain parties wherever we negotiate on monthly basis or quarterly basis, that goes on, but it depends on not only on the spot, many other aspects. So, based on that we decide and in some few cases also we have also some formula basically and formula is also based on certain benchmark kind of thing.

Prem Khandelwal: Can you repeat your first question?

Ashish Koti: How much of raw material inventory we maintain, how much normally we have in work-in process and how much we have in finished products?

Prem Khandelwal: The work-in progress is very little, next to zero. Mostly in raw material and finished product also

is very low, maybe around one month's production we keep for our Posco tunnels and raw material is around two months' time. So, total raw material and finished product you can take around three months' time.

Page 16 of 19

Indian Metals & Ferro Alloys Limited

July 27, 2022

Ashish Koti: Basically to understand how the price volatility can impact and the raw material as well as the work-in process and finished product. That was the reason for understanding.

Prem Khandelwal: As far as raw material is concerned, the major raw material which is chrome ore is under our control and power also almost 60%, 70%, we are using washery reject, which is also under our control. So, 30% of e-auction coal, the price may go up a little bit. And as far as coke is concerned, again we are depending on the foreign market. So, I can say 50%, 60% raw material cost is under our control and balance we are open to market vagaries.

Moderator: The next question is from the line of Anand Patel from Arman Investments. Please go ahead.

Anand Patel: Sir, my question is now we are a cash rich company. So, have we any formed any dividend payout policy?

Prem Khandelwal: Our dividend pair policy is already there, Anand. You can go through our website; the policy is there.

Moderator: The next question is from the line of Shubham Agarwal from Equitas. Please go ahead.

Shubham Agarwal: Sir just one minor question regarding the coke inventory. So, you said it is still November but in tonnage, can you give me how much is the tons that we have right now?

Deepak Mohanty: It will be around 30,000 to 40,000. Not having the exact figure. But out of that also, something is in shipment which will arrive. We have stock at plant, we have stock at port which would flow in and in transit also.

Shubham Agarwal: When you say till November, it is including transit, am I right?

Deepak Mohanty: Yes, absolutely, whatever we have already procured and on voyage already with the arrival in due course and can be consumed within November.

Moderator: The next question is from the line of Sanjeev Kumar Damani from SKD Consulting. Please go ahead.

Sanjeev K Damani: Do we export on free on-board basis or CIF basis?

Deepak Mohanty: We do CIF basis, we do on DAP basis, both.

Sanjeev K Damani: If we can shift our trade to pre-owned board, then shipping costs, etc., is not on our headache you know, can we not do that?

Deepak Mohanty: But we are working on basically long-term contract and in fact we can arrange a better freight than others.

Page 17 of 19

Indian Metals & Ferro Alloys Limited

July 27, 2022

Sanjeev K Damani: I appreciate sir but this has happened in past that suddenly the shipping prices have gone up. We had one very bad experience last year I think or in the beginning of this year that lot of prices of shipping and container price, etc., have gone up. So, that would affect our profitability sir in future if suppose anything untoward happens that way?

Deepak Mohanty: Fortunately, we have many freight forwarders and all and we work with them for at least 15 years, 20 years and predictable. Naturally, the freight rate needs to be in line with the market scenario. The Baltic index is still going high. So, accordingly. And we do work out that way but we never face problem even during the time when containers were not available to many people, we are getting in time shipment. that is the reason why the customers depose faith in us.

Sanjeev K Damani: How is the production of this ferro chrome from India, in the sense are we the only producer or there are many in the country, can I know some of your competitors name if at all they are?

Prem Khandelwal: There are limited producers at the moment. We are producing and apart from us ferro chrome is being produced by Jindal for their own consumption and Tata they have limited capacity but they do a lot of tolling, means conversion in places, because they have limited capacity and they have taken a lot of mines during the last

year. There are also some small few players with very small quantity, two, three, but major is Tata, Jindal and Balasore Alloys, they have also stopped now, Tata, Jindal and ourselves mostly, the major total move for the production is ourselves.

Sanjeev K Damani: Regarding electricity, are we consuming lot of electricity? If at all, yes, then have we thought of going into solar plants to save cost, etc.,

Bijayananda Mohapatra: Our own capacity of power is 4.55 MW solar. Solar also, we have to go for this statutorily REC. But solar is a only day time, approximately 10 hours it will give power. So, we are also looking for hydel and wind power, some captive.

Sanjeev K Damani: Can we say we have power-intensive unit? We have to consume a lot of power. Can I also know what is the per ton consumption of power for producing final product?

Deepak Mohanty: Approximately, 4,000 units per ton for production.

Sanjeev K Damani: So, then are we termed as very power-intensive?

Bijayananda Mohapatra: Yes, this is a power-intensive manufacturing.

Sanjeev K Damani: Because if the coal prices further go up, we are affected. So, if we can reduce this price to wind and hydel, are there some concrete plans for it or we are only exploring?

Page 18 of 19

Indian Metals & Ferro Alloys Limited

July 27, 2022

Bijayananda Mohapatra: We have actually 200 MW of thermal power capacity and that will cater to all power even in our upcoming. During the schedule maintenance, that time we buy power from a grid with a discussion. So, there is no intent to go for any addition of thermal power.

Moderator: Ladies and gentlemen, the other questions can be taken up individually by the management.

We thank the management for this call. With that, we conclude this conference call. On behalf of Indian Metals & Ferro Alloys that concludes this call. We thank you for joining us and you may now disconnect your lines.

Page 19 of 19

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Time:

Main Speaker(s):

Sr. No. Name Phone Company

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Mr.Deepak Mohanty-Head - Ferro Alloys Business Unit
Mr.Binoy Ag

arwalla- Head - Power Business Unit
Mr.Sandeep B Narade-Head – Mines Business Unit
Mr.Ashok Kumar Nayak-Sr.GM (Finance)
Mr.Bijaya Kumar Jena-DGM (Accounts)
Participants ListTotal 62 Participants including the Speakers.Q1 FY23 Analyst Conference Call - Indian Metals & Ferro Alloys Limited.

July 27, 2022 11:00 Hrs India Time

Chorus Call India Confidential 7/27/2022 Page 1

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55 Shubham Agarwal 918805806525 Equitas Small Finance Bank
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Chorus Call India Confidential 7/27/2022 Page 2

Call: Nov 2022

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www.imfa .in INDIAN METALS&: FERRO ALLOYS LIMITED

The Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza

Plot No.C/1, G. Block

Bandra-Kurla Complex

Bandra (E)

Mumbai-400051

Stock Symbol & Series : IMFA, EQ

Sub : Earnings Call Transcripts

Dear Sir/ Madam, 1" November, 2022

The Deputy General Manager

(Corporate Services)

BSE Limited

Floor 25, P.J. Towers

Dalal Street , Fort

Mumbai-400001

Stock Code: 533047

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio call recording of the Company's Analyst Call held on 28th October, 2022, on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended 30" September, 2022 is attached herewith.

We hereby confirm that no unpublished price sensitive information was shared/ discussed in the meeting / call.

The transcript of recording can also be accessed on the Company 's website, from the attached link:

You are requested to take the same on record.

Thanking you

Yours faithfully

For INDIAN METALS & FERRO ALLOYS LTD

(PREM KHANDELWAL)

CFO & COMPANY SECRETARY

Membership No: F3526

Encl : As above. <https://www.imfa.in/investor-information/TranscriptQ2FY23.html>

"Indian Metals & Ferro Alloys Limited

Q2 FY23 Earnings Conference Call"

October 28, 2022

MANAGEMENT:MR. PREM KHANDELWAL – CHIEF FINANCIAL

OFFICER & COMPANY SECRETARY – INDIAN METALS

& FERRO ALLOYS LIMITED

MR. BIJAYANANDA MOHAPATRA – CHIEF OPERATING

OFFICER – INDIAN METALS & FERRO ALLOYS

LIMITED

MR. DEEPAK MOHANTY – HEAD - FERRO ALLOYS

BUSINESS UNIT – INDIAN METALS & FERRO ALLOYS

LIMITED

MR. BINOY AGARWALLA – HEAD – POWER BUSINESS

UNIT – INDIAN METALS & FERRO ALLOYS LIMITED

MR. SANDEEP B NARADE – HEAD – MINES BUSINESS

UNIT – INDIAN METALS & FERRO ALLOYS LIMITED

Moderator:Ladies and gentlemen, good day, and welcome to the Indian Metals & Ferro Alloys Limited

Q2 FY 2023 Conference Call. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need the assistance during the conference, please signal an operator by
Page 1 of 17

Indian Metals & Ferro Alloys Limited

October 28, 2022

pressing star and then zero on your touchtone phone. Please note that, this conference is being recorded.

I now hand the conference over to Ms. Mamta Samat. Thank you and over to you, ma'am.

Mamta Samat: Thank you, Mike. Good morning, everyone, and thank you for joining us on IMFA's Q2 FY 2023 Analyst Conference Call. Today we have with us the senior management represented by; Mr. Prem Khandelwal, CFO and Company Secretary; Mr. Bijayananda Mohapatra, COO; Mr. Deepak Mohanty, Head of Ferro Alloys Business Unit; Mr. Binoy Agarwalla, Head of Power Business Units and Mr. Sandeep Narade, Head, Mines Business Unit.

Before we begin, I would like to say that some of the statements that will be made in today's discussion may be forward-looking in nature. We will begin the call with the opening remarks from the management after which we will have the forum open for the interactive Q&A session.

I would now request Mr. Prem Khandelwal for the opening remarks. Over to you, sir.

Prem Khandelwal: Thank you, Mamta. Good morning, ladies and gentlemen, and thank you for joining our Q2 FY 2023 earnings call. I hope you had a very cheerful Diwali and festival you're your friends and family. So happy to Diwali to all of you once again.

Coming back to Q2 results, after almost nine quarters of up-streaming ferrochrome price finally they are corrected quite sharply, which is getting reflected in Q2 results. Those who

are

tracking the metal industry must be knowing that we are at that leg of cycle where the cost is at the peak, but the prices have corrected quite sharply. Now the costs are coming instead down and ferrochrome prices have increased a little bit, it started moving up. [inaudible 0:02:08].

With this now I would like to open the Q&A session. Thank you.

Moderator: Thank you, sir. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to handset while asking a question. Ladies and gentlemen, we'll wait for a moment while the question queue assembles.

We have the first question from the line of Shubham Agarwal with Aequitas. Please go ahead.

Shubham Agarwal: Yeah. Thank you for the opportunity and happy Diwali to the entire team. So the first question was related to the cost of production. So as you mentioned in the opening remarks that the cost has peaked and the prices of ferrochrome has started increasing, which we are observing in the market currently. But in the Q2 our cost per ton reached almost Rs. 90,000 per ton. So I wanted your guidance with respect to the next two quarter, how do you see this trending in light of the current coal prices and the coke and coal prices?

Page 2 of 17

Indian Metals & Ferro Alloys Limited

October 28, 2022

Prem Khandelwal: The two major costs, which is the coal and coke, which are not in our control, coke has gone up to almost \$700 and it has come down now to around \$450, \$500. And similarly coal at the peak, we had bought [inaudible 0:03:53] book at the peak of around 10,000 to 12,000 and it has come down to 7,000. So both these – this should figure in Q3 result because the consumption of these low-cost coal and coke is going to be in Q3. So we should see some dip in Q3 costs.

Shubham Agarwal: Okay. So this is now the peak of cost cycle in Q2?

Prem Khandelwal: Likely, it looks like this was the peak of cost and it should come down going forward. Deepak, would you like to add anything on the coke front?

Deepak Mohanty: Yes. Coke, actually in the coke front, Chinese coke has come down but Colombian coke, which is the ultra-low cost that is not coming down, primarily because the coking coal is going to Europe for power generation as you all know because of Russia/Ukraine war, the gas supply from Russia is stopped and for that reason Europe has the energy crises going on and particularly in the winter when heating is the first priority for that reason, it's going there. So coke -- although some Chinese coke has come down, even that is also volatile. Although it was in the range, it come down to around \$370 coal price, but it has gone up again to say [394,00 0:05:20]. So it's quite volatile, depending on Chinese production. It goes up and down, s o quite volatile. But has come down from \$700 level to \$450 level.

Shubham Agarwal: [Inaudible 0:05:35]

Deepak Mohanty: So coal regarding, actually spot deduction price has touched around 11,800. Now it is coming down to 7,500. So we are expecting another dip in Q3 also.

Shubham Agarwal: And all the high-cost coal and coking coal that we had is almost over, right?

Deepak Mohanty: Yes.

Shubham Agarwal: And in terms of realization sir, so almost 103,000 was our realization in Q2. Now going forward, we had observed in the last quarter that ferrochrome fell almost INR 93,000, INR 94,000. So for this quarter and the coming quarter and now it has again spiked up significantly, increased more than INR 10,000 per tonne. So for the Q3, do you expect a further average realization drop or it will trend upwards from Q2 level?

Prem Khandelwal: Deepak?

Deepak Mohanty: It will be going down from last quarter slightly because mostly the spot prices also, it has improved domestically to around INR 105,000 and in China also, it has gone up

from \$0.84 to

\$0.85 to \$0.92, \$0.93. So overall looking at such things, I think it will go down a little bit further for the Q2.

Page 3 of 17

Indian Metals & Ferro Alloys Limited

October 28, 2022

Prem Khandelwal: Just to add because it might come down a little bit from Q2 by the average price Q3. But again, the cost will also come down. Maybe we'll be seeing a little better result in Q3 compared to Q2, this is to predict anything.

Shubham Agarwal: So I think everyone was expecting Q2 and Q3 to be below a par which is all right. I think from Q4 onwards, things will start improving?

Prem Khandelwal: It will fixed at the same thing, Q4 onwards again things should improve.

Shubham Agarwal: Yes, yes. And sir, secondly on the compensation part. I think on 17 August, we signed our agreement. So is it fair to assume that in November or December, we will receive the money?

Prem Khandelwal: You are talking about UCL?

Shubham Agarwal: Yes.

Prem Khandelwal: No, UCL vesting order has been issued on the 10th of October to JSPL. So we should be getting back that statutory portion of around INR 20 crore now and thereby indicating by the end of this month, we will be getting that money. And then the valuation process will start, we should take another three to four months' time. So the balance amount we are expecting at the end of this year. By March, we should be getting back that money.

Shubham Agarwal: So this is further delayed then?

Prem Khandelwal: They were committed to pay as soon as the vesting order is signed, but the balance thing will take time, because of the valuation process, they will start now. So it will take time, yeah, three to four months, I think will take time.

Shubham Agarwal: And sir lastly the general trend in the market, I think South Africa also there was a slight spike in the power tariffs. So how do you see the general market for ferrochrome over the next like one year also, if you can guide us anything?

Prem Khandelwal: Deepak?

Deepak Mohanty: Actually, at this juncture, South Africa had two problems. So one was that power, which is continuing. But that was the Transnet workers strike, which has been resolved now. But it still takes some time to get normalized operation and on, that is one part. But looking at, if you talk about stainless steel where we are bespoke, stainless steel for 2022 calendar is expected to be -- world production would be around 57.8 million which is around 2% less than the last year. And for 2023, it is projected to grow by 3% to something like 59.56 million tons. So there is a positive for the next year. We said already, as you know, in the first half Chinese production has went down by about 1 million tons.

Page 4 of 17

Indian Metals & Ferro Alloys Limited

October 28, 2022

Shubham Agarwal: And sir in South Korea also we observed that their production had gone down significantly in the last two, three months. So does that impact us?

Deepak Mohanty: Yes. That impacts us because we have the long-term contract with Posco. But as you know, because of the typhoon, there particularly the stainless steel site mill which is closer to the river got affected and they have already out of three furnaces already, one they've started at a lowest level of operation, further to their planning in the next month. But even then also their rolling mill is affected quite a bit substantially for which their operation is affected at the moment for this quarter. Next quarter onwards also to stabilize it will take some time, another maybe three months, first quarter may come to the full level.

Shubham Agarwal: But -- is that also impacting our uptake in terms of volume?

Prem Khandelwal: Absolutely. This quarter uptake is impacted because they have declared force majeure, because their furnaces are not running. They have also lot of stock, but next quarter-wise, it will start to normalizing.

Deepak Mohanty: We are supplying to other customers, I mean Posco may not be taking the tonnage, but we are in a p

osition to sell it to some other customers, so that we are doing. So overall, that will not be impacted. But yes to Posco this quarter, there would not be any surprise to Posco.

Shubham Agarwal: But we will be able to maintain close to 60,000?

Prem Khandelwal: Yea, yeah. Absolutely.

Moderator: We have the next question from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Mr. Saket, can you hear us.

Saket Kapoor: Sir firstly, what is the total tonnage on a long-term basis annually, if you could give the tonnage number?

Prem Khandelwal: Deepak, you have that number?

Deepak Mohanty: Tonnage for projected around 240,000 to 250,000 tonnes production.

Prem Khandelwal: Long-term tonnage, he is asking?

Deepak Mohanty: Long term we have around, if you say Korea Posco, it will be 80,000 to 90,000 per annum. And other places, whereas in Japan and China also we have also another 80,000 to 90,000 tonnes on long-term basis.

Saket Kapoor: So total we have around 160 to 180?

Deepak Mohanty: 170 to 180.

Page 5 of 17

Indian Metals & Ferro Alloys Limited

October 28, 2022

Saket Kapoor: As to the previous answer, you were mentioning that the uptake from Posco has been lower, so what's the agreement basis on? The basis of this, but if they can, on their availability or on the plant uses, can they lower their terms? There are variables in the terms wherein they can lower their consumption?

Deepak Mohanty: Yes, of course force majeure condition is there and this is the force majeure.

Saket Kapoor: And sir there is a lot of talk about Russian coal availability in the country that has gone up significantly, for our clean and plants have we tried with the Russian coal grade or these are not suited for our consumption?

Prem Khandelwal: No, we are dependent on coke and coal only. You're talking about Russian coke or coal.

Saket Kapoor: Coal.

Prem Khandelwal: Coal, we are not -- we are totally dependent on [inaudible 0:14:25] from MCL.

Saket Kapoor: I was only taking the price arbitrage and the quality, since the prices on this 4G auction have gone up significantly. Have you looked at alternative resources for the same or it is -- the setup is like that, that this coal will only work there?

Prem Khandelwal: Binoy, do we answer that?

Binoy Agarwalla: Had the known power plants are our best in CFBC and design. So basically the design with the coal of -- this have been approximately great cut-in of Indian coal that is approximately of 3,000. So the Russian coal or South African coal they are not suitable for running with this coal and their rate also very high compared to the Indian coal. I can say that South African coal costing around 18,000 per tonne.

Saket Kapoor: No, I was particularly speaking about the Russian coal. They were telling they were....

Binoy Agarwalla: Russian coal also because of high DC is not suitable for our board.

Saket Kapoor: When we look at your other expenses line item, that has also -- was at INR 144 crores. So if you could explain what led to this increase? What are the key components one-off item anything sir, is there in this?

Prem Khandelwal: Mainly it has gone up because of two things; one is, that freight cost has gone up very high. So that is the one factor and other factor is the CSR expenses. The two factors [inaudible 0:16:14].

So it has gone up on two counts. One is the freight cost rates has gone up this quarter.

Operator: This is the operator here. Mr. Khandelwal, your voice is still breaking up. I'll try to connect you back again, sir. Just give me moment, we'll reconnect you back. Ladies and gentlemen, please stay connect as we connect Mr. Khandelwal back again to the conference. Ladies and gentlemen, we have Mr. Khandelwal connected now.

Page 6 of 17

Indian Metals & Ferro Alloys Limited

October 28, 2022

Prem Khandelwal: Two counts, I said it has gone up. One is, the freight cost has gone up very high because of that. And another -- some CSR expenses were there in this quarter. So for these tw

o counts, it

has gone up by almost INR 20 crores.

Saket Kapoor: Okay. So freight will remain the same in the same vicinity going forward also for the same tonnage or freight costs have also declined?

Prem Khandelwal: In fact the freight cost has gone down very drastically now. It's almost 25% -- I mean come down to 25% level. It's down by 75%.

Deepak Mohanty: Particularly container freight, which was in the range of \$1,000 per container to give a feel about it, has come down to \$200 to \$250 per container. So that is one measure. But in dread fall also, it has come down but not very much maybe 50% around about 60%, it is at the moment.

Prem Khandelwal: 50%, 60% is also a bit steady for us.

Saket Kapoor: Sir going ahead for quarter three, what should be the ballpark number? What should be the bottom line impact just on the reduction of freight cost, sir? Can you give a ballpark number, sir?

Prem Khandelwal: Saket, that would be very difficult for us because so much wallet seen every peak, it won't be proper for us to give you any number. I can just tell you that since the costs are now going down and silicon prices have inched up from the low, so the Q3 should be better than Q2.

That's what I can tell you. But number is very difficult.

Saket Kapoor: No. I'm not at all heading that guess, sir. But just to understand the September freight cost, month of September and October cost, if you could give that difference that would also?

Prem Khandelwal: So much especially would be difficult Saket.

Saket Kapoor: No issues. I was just trying to gauge the impact sir. If it is pressuring the upward side that means when that relief is there on the downwards side also there will be a significant contribution to the bottom line. This understanding is correct, sir?

Prem Khandelwal: So that's why Deepak gave you the numbers that, it's almost you can count from the top. So we should be getting a lot of saving on account of freight and on account of coke and coal cost.

Saket Kapoor: And sir CSR, can you quantify what was the figure for this quarter?

Prem Khandelwal: No, I need to check that one. The number I need to check, Saket. I will give you separately for that, yes.

Page 7 of 17

Indian Metals & Ferro Alloys Limited

October 28, 2022

Saket Kapoor: When we look at the finance cost component also, I think so this foreign exchange part is, is ACV part sir -- what is the reason for the INR 14 crores, INR 15 crores loss on foreign exchange?

Prem Khandelwal: Our entire working capital is in foreign currency. So the fluctuation -- this is the INR 14 crores, whatever you are seeing is because of the exchange.

Saket Kapoor: That is all dollar denomination?

Prem Khandelwal: All dollar denominated. Our entire working capital, because our exports, 90% is getting exported. So we are getting dollar earnings.

Saket Kapoor: So it gets netted off whatever we are getting gaining from the revenue?

Prem Khandelwal: Because revenue, gain from revenue is not getting differently into revenue itself. So that is not shown separately as for the accounting standard. But the interest portions whatever exchange is there we are showing it separately. So the gain in revenue is getting blocked into the revenue. So that's why you are not able to see that again.

Saket Kapoor: Sir, on the Capex front would you like to elaborate more? So where are we in terms of I think some land was allocated, we made some payment also. So where are we in midst of that? And how are you progressing in that foray, sir?

Prem Khandelwal: Bijayananda, would you like to brief about that?

Bijayananda Mohapatra: Actually, we had a land of 124.23 acres land in Kalinganagar, so we have exhibited that listing on 14 October. So after that there will be slightly RR supplement by IDCO and if you area doing it separately for shifting around 77 people, who is there in the process. And we have given the DPR to M N Dastur which is expected by December end then we'll start overall attribu

tes. And side by side, you are going for this IPSI. For IPSI we are giving to EIC.

Saket Kapoor: Right, sir. So by March, what is our goal in terms of this expense, what are we trying to achieve by March 23? And if the coming six months is from...

Bijayananda Mohapatra: These six months, we are going to construct the boundary wall after the possession and also we'll start from stringing a power line and also ordering of our equipment once the PRL freeze.

Saket Kapoor: But major Capex will happen from another ordering of the material -- the plants and equipment that will take sir how much time and what would be the land?

Bijayananda Mohapatra: We are expected to commission in the month of April '25. So the major Capex will be going by '23, '24 and to some extent, '25, calendar year.

Saket Kapoor: And last point sir, on the cost of material consumed, sir. If on a quarter-on-quarter basis sir, if you could give the impact of the increased coke and coal prices, if you could quantify for us

Page 8 of 17

Indian Metals & Ferro Alloys Limited

October 28, 2022

how that has affected because on a Q-on-Q basis it has gone up by INR 20 crores. So what was our cost for Q1 and vis-à-vis what was the cost for Q2?

Deepak Mohanty: Coke cost has gone up from almost INR 19,000 crores to INR 22,000 crores -- INR 20,000 crores to INR 22,000 crores, [inaudible 0:23:25] increase from Q1 to Q2 and power cost has gone up from INR 23,000 crores to INR 25,000 crores. So these two are the major factors, which has led to increase in the price.

Saket Kapoor: And how are they likely to shape sir?

Deepak Mohanty: I've already told you that these coke prices -- both the prices have come down quite significantly. So Q3 we should be seeing a bit in both these costs.

Saket Kapoor: Okay. So, it will be lower than Q1 prices sir, just to get an understanding no other figures?

Deepak Mohanty: Again Saket, you are asking a specific question and it would be difficult for us to give any number. We'll come know after the end the quarter only.

Saket Kapoor: Only I was looking at the trend?

Deepak Mohanty: There will be a combination of – it all depends on what kind of coal and coke we're consuming. So not possible to give these numbers now. I can give you the sales only that we are buying now at a cheaper price so this should be lower.

Saket Kapoor: So since we are two-third of the quarter, so that was the reason I just -- yes I'll come in the queue. I am done with my questions and all the best to the team sir and we hope that Utkal block compensation comes in our way and we are benefited from that, sir.

Moderator: Thank you. Participant who wish to ask the question may press star and one on their touchtone telephone. We have the next question from the line of Yash Chandak, who is an Individual Investor. Please go ahead.

Yash Chandak: Yes. First of all, wish you a very Happy Diwali sir and congratulation on good use of number even in a troubling set of time. Sir I had a few questions majorly on the business aspect. I can see that our power cost per tonne of ferrochrome has gone up. But power cost per unit of power production has gone down. So how have we managed that? Given that coal prices have gone up from Q2 -- in Q2 over Q1, how is our per unit cost of power generation has gone down by almost half a INR 0.50?

Prem Khandelwal: No, I'm not able to get you -- you're comparing from what Q1 to Q2.

Yash Chandak: Q1 to Q2, sir cost of power generation rupees per kilowatt unit, it has gone down sir which I believe, given that our production has gone up for power 274 million units and...

Page 9 of 17

Indian Metals & Ferro Alloys Limited

October 28, 2022

Prem Khandelwal: Yash, I think I don't know from where you're getting the number, but I'm seeing the number if the power cost has gone up from INR 3.60 paisa to INR 4.11 paisa from Q1 to Q2.

Bijayananda Mohapatra: No, no, I'll make it correction. He is asking about Q1 to Q2 that is INR 6.57.

So initially this

quarter one, we have got the price of the coal is around 10,000, 11,000, now it has [inaudible 0:26:23] in this quarter to INR 7,500 auction coal production, that's why that is at INR 0.25 paisa, INR 0.30 paisa coming down.

Prem Khandelwal: INR 5.94 to INR 5.69 it has come down, yes.

Yash Chandak: Sir, on the Balasore alloys part are we planning on valuation of that asset or what are your thoughts on that?

Prem Khandelwal: No. If it comes in NCLT definitely, we are open to that. We will be very keen in participating in that. But as of now there is no deal about that.

Yash Chandak: And sir on the Posco part, I missed the number, 80 kg to 90 kg per annum is our annual contract.

Prem Khandelwal: Yes.

Yash Chandak: Sir but -- like you said in Q3, we won't be dispatching anything to Posco. So roughly 20 kg, 25 kg are we losing in Q3 for Posco contract?

Prem Khandelwal: No, for Posco contract we would be losing but we are supplying to other customer, so overall we are not going to lose on tonnage, sales tonnage.

Yash Chandak: So we are planning that in spot-only in domestic or in export and in spot or with some other long-term contract customer? How are we planning to sell that?

Prem Khandelwal: Deepak, what are you planning for this?

Deepak Mohanty: We have some long-term contracts with other countries like China, Taiwan and Japan. So where -- we are increasing the quantity there. So particularly in China and Taiwan also we are increasing the quantity and making up that tonnage. So we are not basically on sales front there is a need.

Yash Chandak: But we are not exploring domestic also?

Deepak Mohanty: Yes, domestic also we are supplying some quantity. So based on that, as per our -- wherever there is requirement and with proper price we are open to all and we are doing that.

Yash Chandak: No, Deepak sir, I'll just -- at the risk of repeating myself are we planning to sell the extra quantity from Posco's contract in domestic market?

Page 10 of 17

Indian Metals & Ferro Alloys Limited

October 28, 2022

Deepak Mohanty: Yes, in domestic market there is, not so much of demand. So much of quantity we cannot sale here in domestic market, it has go to export market. So we are exploring the other long-term customers, as well as spot customers in China. And already we have tied up some tonnage and the rate book also be tied up. So overall tonnage, sales tonnage, we are not worried about that even if Posco is not taking in this quarter.

Yash Chandak: And sir on the future outlook for Q3 or for the ferrochrome market in general. Now we have seen our EBITDA margins have come down significantly. Do you think ferrochrome NSR is

going to go down again or -- I'm sorry sir, if you have answered this question already because I joined a bit late? So do you feel the ferrochrome prices can go down again? Is there some space for them to correct or now they have bottomed out and they will go up in the coming time?

Prem Khandelwal: See it all depends on the cost, the cost is not coming down. I don't think the ferrochrome price can come down because in Q2, whatever we have seen, if we are not -- we are coming to this kind of margin then almost 70%, 80% of the world capacity will get closed, okay they cannot make easy. So that has led to again some spike in the prices, ferrochrome prices. So going forward also Q3 and Q4, we are seeing further increase, if the cost is not coming down.

Yash Chandak: So you are saying sir, we are better than 80% of the production, at least 80% of the...

Prem Khandelwal: Yes. Obviously, yes.

Moderator: We have the next question from the line of Joe Shah from 7seas. Please go ahead.

Joe Shah: Happy new year to all of you. Deepak, I have one question about the Q3 export realization guidance, now you have seen total domestic market export prices going up to INR 1,05,000 in last Q2 realization was 1,02,000, so those improvement in price and so as we discussed, the trade is in the coke and the coal, on the coke side

is going down. So Q3, do we expect better performance, Deepak?

Deepak Mohanty: Better performance on which front? On the production cost front are you talking about or about the price front?

Prem Khandelwal: He is talking about price front?

Deepak Mohanty: Yes, price will be according to the market at the point-in-sale And which is going up, as you have mentioned now it is 105.

Joe Shah: So our realization for Q3 should be better than Q2, right? Export realization?

Deepak Mohanty: No, no, no. So overall realization because our major is export and the international price in tonnes of sales per pound is lower than -- it will be lower than the last quarter. So that's why it can't be higher than that.

Page 11 of 17

Indian Metals & Ferro Alloys Limited

October 28, 2022

Joe Shah: And what about EBITDA because our coke is going down, coke ended [inaudible 0:31:53] so EBITDA for Q3 should be better?

Prem Khandelwal: No. Joe, we have already answered this question to previous analyst that in the Q3, we expect a better yield than Q2, because the costs are coming down. And ferrochrome prices have eased up a little bit, although overall average Q3 prices will be lower than in Q2, but the cost will also come down. Q3 should be better than Q2. That's what I have already told in the previous query, I have already answered that.

Joe Shah: So Deepak, what is the analysis of Chinese demand? I guess, Chinese demand of ferrochrome?

Deepak Mohanty: Chinese demand is going up at a moment, but there are zero COVID policy resurgence happens, even in pocket it will affect. So that is the only main hurdle, otherwise real estate is coming back. So things are moving up. So unless like, again COVID resurgence without that I don't see any other issues which can affect.

Joe Shah: UG2 price for China got up some \$245, so that will put pressure on Chinese ferrochrome. So we can expect some better prices for ferrochrome price in China?

Deepak Mohanty: Absolutely, but that has happened because of the Transnet strike, which is already over. So maybe it will remain at this level, may not go further up. But naturally cost being high for everybody, prices need to remain or go up slightly from what level, where it is at the moment.

Joe Shah: So, I frame about the UCL my question is, is there any total transparency about compensation calculation or there are some if and buts?

Prem Khandelwal: There is no transparency at all about that. We don't know how they're going to do it. So they have appointed some valuer, who is going to do the valuation. We'll come to know their valuation only after getting numbers once they give their report. But there's no transparency. I don't know what method they are following. We'll come to know their valuation only after getting the report.

Joe Shah: So this valuer would be appointed by whom by the government, NCA?

Prem Khandelwal: NA has already appointed the valuer who is doing the valuation work.

Joe Shah: Because I got some report from market that new LOT has stated INR 176 crores to the MCA, obviously they're not accepting the payment. Our expectation is much higher than the INR 173 crore.

Prem Khandelwal: Yes.

Joe Shah: I worry whether it gave no transfer in case, again we get and come and go on and on. It cannot be settled fast?

Page 12 of 17

Indian Metals & Ferro Alloys Limited

October 28, 2022

Prem Khandelwal: INR 176 crores was a tentative valuation given by angling the website. So that is what they

might have paid and they have already return their tax, which is subject to final valuation by the valuer. So anything over and above whatever value is arriving at the number that will be further paid by their allottee. New allottee.

Joe Shah: Interest payment on leased land, which would be our major component of our compensation. There is clarity about -- I think, Delhi High Court order something like they clears about that, that interest is payable on the leased land?

Prem Khandelwal: Yes, yes, interest will be payable on the leased land also.

Joe Shah: So there is no ambiguity in this?

Prem Khandelwal: No ambiguity in that, because INR 176 crores, whatever you are talking about in fact, contains interest on leased land also.

Joe Shah: So our expectation is about INR 375 crores to INR 400 crores, compensation?

Prem Khandelwal: Whatever we have invested, we should be getting back that money. We are expecting that entire back.

Joe Shah: So that will be clear by March '23.

Prem Khandelwal: Should be, as I told that it will take three to four months time. So we should be expecting that money by end of this year.

Joe Shah: And also this Kalinga land there's also -- the board which would be able to start by December '22, Kalinga land?

Prem Khandelwal: Kalinga lease land already -- lease we have already signed. Now the possession work is going on. So by end of December, we should be getting the possession and thereafter, we start boundary construction.

Joe Shah: But by December, we would be getting the land possession, right?

Prem Khandelwal: Yes, yes.

Moderator: We have the next question from the line of Dhaval Shah from Anvil Wealth Management. Sir, Dhaval, your voice is pretty low. Could you come closer to the mic or go off the speaker phone?

Dhaval Shah: Just wanted to get a blended coal cost for the quarter and the previous quarter? Blended coal cost.

Prem Khandelwal: Blended coal cost. Binoy, you have that number?

Page 13 of 17

Indian Metals & Ferro Alloys Limited

October 28, 2022

Binoy Agarwalla: In this quarter Q2, washery reject came at INR 2,447 and spot has come at INR 7,800 and linkage INR 2,900. It is a weighted average rolling rate.

Prem Khandelwal: So, what is the blended cost? What is the blended cost he is asking for?

Binoy Agarwalla: Blended cost will be around INR 5,200.

Dhaval Shah: And what was that for last quarter?

Binoy Agarwalla: In Q1?

Dhaval Shah: Yes, Q1.

Binoy Agarwalla: Q1 was much -- a little bit higher than Q2, because spot auction price was high. It was around INR 5,500 crores, INR 5,600 blended cost.

Dhaval Shah: And what would be the spot as it currently -- not for Q3 or -- but current what the prices are for the same?

Binoy Agarwalla: Sorry, I couldn't get you actually. Spot e-auction coal price?

Dhaval Shah: All of them, the washery reject, I think it should be...

Moderator: Sorry to interrupt. Dhaval, your voice is breaking up again. If you could go off the speaker phone, it would be better for the call. You need to come much more closer to the mic or to the handset.

Dhaval Shah: Yes, I'm asking sir, the current prices -- the price is currently for washeries and e-auction and the spot prices?

Deepak Mohanty: It will be remain more or less at par with the Q2, spot auction price will a little bit come down. But otherwise, it will be at par with Q2.

Dhaval Shah: So blended, we should get INR 5,000 -- it is around INR 5,000?

Deepak Mohanty: Yes, yes, yes.

Moderator: We have the next question from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Sir with respect to this compensation amount, the nominated authority must have zeroed in with some numbers at the time of their submission of report. So have they come up with any numbers or the entire thing is still not close?

Prem Khandelwal: No, no. As I said, Saket, they have mentioned a number of INR 176 crore on the website. There is the tentative valuation they have taken. And in that INR 176 crores, there are a lot of

Page 14 of 17

Indian Metals & Ferro Alloys Limited

October 28, 2022

things which we need to take a bit within, once we get the final report. INR 176 crores

whatever they have indicated, they have also mentioned that this is tentative valuation and the final number would be arrived after getting the valuation report from the manoeuvre. So we are able to get that number.

Saket Kapoor: Sir, as the previous participant, the coal costs were was -- the blended coal cost was lower by INR 300 crores, INR 400 crores Q-on-

Q. So out of the total raw material cost component, there is an increase of INR 20 crores from June to September. So which component explain this increase. if the coal costs were lower, sir?

Prem Khandelwal: I've already explained that one. It was on two accounts, it was lower. One is that the coke cost that has gone up from INR 20,000 to INR 22,000, and coal cost has gone up from INR 23,000 to INR 25,000.

Saket Kapoor: Sir coal costs, I'm just missing the number. So we mentioned the blended cost at INR 5,200 vis-à-vis 5,600 from June to September? As compared to the previous participant, Dhaval sir, you mentioned that for June it was 56, for September it was 52, the blended cost for coal?

Deepak Mohanty: I'm answering this one. We have the power plants, 50 megawatts, 30 and 120. We are using 70/30, obviously we get 70 and 30 in 30 megawatt and 120 megawatts. But in 50 megawatt, we are using only MCL coal. That is the reason why the coal cost is going up. When we are running 50-megawatt at that time we are using only MCL coal, that MCL coal nothing but spot reduction and linkage and spot reduction price is high, so coal cost is becoming high.

Saket Kapoor: And on the linkage term, sir, when is the renewal does, I think the five-year contract or something?

Deepak Mohanty: Now, we have linkage quantity of 3,93,000 and it is -- we've done the agreement in November 2021 and it will be valid for five years.

Saket Kapoor: Offtake in 3,93,000 annual?

Deepak Mohanty: Yes.

Saket Kapoor: We will be looking forward for more of linkage as and when the situation arises or as and then the offer comes?

Deepak Mohanty: Yes, yes. We will be looking for more linkage.

Saket Kapoor: And any roadmap the government has given for the non-power producer or other than the electricity consumption player that they will be coming up with more linkage scores. I think there would be capacity for -- from Coal India is also being ramped up. So any projection they have given going ahead for that or would you throw some light on that?

Page 15 of 17

Indian Metals & Ferro Alloys Limited

October 28, 2022

Deepak Mohanty: They have not mentioned anything regarding captive power plant coal usage linkage to -- through linkage e-auction. But actually now we are getting only 75% of our allocation from MCL. Now they have reduced our allocation quantity from 100% to 75%. And by road they are giving, but by rail they are not giving because of ICP, they are diverting their rates to IP. That is the reason -- even if we have more coal through linkage e-auction, but we are not getting.

Moderator: Mr. Yash Chandak, can you hear us?

Yash Chandak: So sorry for that. Sir, just a few more questions on the coal part, which we are talking like right now we're explaining. Are we going back to get 100% or is this changed temporarily from 100% to 75% per linkage?

Deepak Mohanty: This 75% began from January 2022, now it is also continuing up to 75% of our allocation quantity but when they will change that also unpredictable.

Yash Chandak: Sir second question I had on the business development part, are we evaluating ferromagnet -- other ferro-alloy, silica, manganese or anything or we are going to expand only in chrome sir?

Prem Khandelwal: It all depends on getting the mines, Yash. If we get some more mines, manganese mines then definitely we can look for converting out ferro plants into ferromanganese. We are looking for some mines, but nothing available in the market at the moment.

Yash Chandak: But we are open for outside India also in that case, but not only in...

Prem Khandelwal: Yes, yes. But it has to be integrated play, if you get mine then only we'll think about putting a furnaces.

Yash Chandak: Sir coming back to the coal part, you are saying that the 70 watts in quantity we have done. So are we getting any rebate for -- because MCL is not able to give us 100% of the coal?

Management: No, no, no rebate. No rebate. No rebate from MCL side.

Prem Khandelwal: If we're getting coa

I, if we're getting coal, that is good enough, that is good enough.

Yash Chandak: And like-to-like on Posco also sir, since they are invoked the force majeure. Is there any rebate or anything in the coming quarter in the start off-take again, any reduction in discount or anything?

Management: No, no, no. Looking at based on the benchmark.

Yash Chandak: So no rebate on that front?

Prem Khandelwal: No, no, no.

Page 16 of 17

Indian Metals & Ferro Alloys Limited

October 28, 2022

Yash Chandak: Just one last query, sir, I'm sorry, I again missed the coal number. There are some connectivity issues, I'm facing the coal cost which Deepak sir and you telling in different points of coal. If you could repeat that, that will be very helpful.

Prem Khandelwal: Binoy, can you repeat that coal cost again?

Binoy Agarwalla: Which one?

Prem Khandelwal: Coal cost part term blended and...

Yash Chandak: Blended you gave 5,200 per ton for Q2 and 5600 for Q1 but you have a break-up also sir, so that part I was asking for?

Binoy Agarwalla: Now we are getting washery at weighted average rolling rate and that is coming around 2,400, 2,500. And linkage, it is coming around 2,900 because we are mainly – we are receiving linkage coal by road. That is the reason why we are getting at a higher rate and spot e-auction that is coming around 8,000.

Yash Chandak: Understood. All this for Q2?

Prem Khandelwal: Yes for Q2. Yeah.

Binoy Agarwalla: Yeah, for Q2.

Moderator: Thank you. That was the last question, sir. On behalf of Indian Metals & Ferro Alloys Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Prem Khandelwal: Thank you. Thank you very much.

Deepak Mohanty: Thank you.

Page 17 of 17

Call: Feb 2023

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The Listing Department

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Excl'lange Plaza

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Stock Symbol & Series : IMFA, EQ

Sub : Earnings Call Transcripts

Dear Sir J Madam, 3~ February, 2023

The Deputy General Manager

(Corporate Services)

BSE Limited

Floor 25, P.J. Towers

Dalal Street , Fort

Mumbai-400001

Stock Code : 533047

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio call recording of the Company's Analyst Call held on 1" February, 2023 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter 'and nine months ended 31" December , 2022 is attached herewith.

We hereby confirm that no unpublished price sensitive information was shared/ discussed in the meeting/ call.

The transcript of recording can also be accessed on the Company's website, from the attached link:

You are requested to take the same on record.

Thanking you

You rs fa ithf. 11 y

For INDIA M ;A.LS & FERRO ALLOYS LTD

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Page1of17

"IndianMetals&FerroAlloysLimited

Q3FY'23EarningsConferenceCall"

February01,2023

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Page 2 of 17
MODERATOR: MS. MAMTA SAMAT – PERFECT RELATIONS PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY'23 Earnings Conference Call of Indian Metals and Ferro Alloys Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask a question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Mamta Samat from Perfect Relations Private Limited. Thank you, and over to you, Ms. Samat.

Mamta Samat: Thank you, Michelle. Good afternoon, everyone, and thank you for joining us on IMFA's Q3 FY'23 Earnings Conference Call. Today we have with us the senior management represented by Mr. Prem Khandelwal, CFO and Company Secretary; Mr. Bijayananda Mohapatra, COO; Mr. Deepak Mohanty, Head of Ferro Alloys Business Unit; Mr. Binoy Agarwalla, Head of Power Business Unit; and Mr. Sandeep Narade, Head, Mines Business Unit. Before we begin, I would like to say that some of the statements that will be made in today's discussion may be forward-looking in nature. We will begin the call with the opening remarks from the management, after which we will have the forum open for the interactive Q&A session.

I would now request Mr. Prem Khandelwal for the opening remarks. Over to you, sir.

Prem Khandelwal: Thank you, Mamta. Good afternoon, ladies and gentlemen. Welcome to the third quarter earnings call of the company. Results are already in the public domain, you might have seen that. This quarter results got impacted because of short fall in the ferrochrome realization price, which has come down from INR 116,000 to INR 93,000, and sharp increase in cost also. Cost of production has gone up from INR 65,700 to INR 79,900 in the third quarter compared to the corresponding quarter in the previous year. Production figure for the third quarter was 58,000 tons compared to 61,000 tons in the corresponding quarter of previous year. Power output was almost same at 272 million units compared to 275 million units. However, chrome ore production was more in the current quarter at 134,600 tons compared to 107,900 tons in the previous quarter. Ferrochrome sales quantity was 65,773 tons in the current quarter compared to 55,400 tons in the previous quarter. And average realization price, as I have already told you, it has come down to INR 93,000 per ton compared to INR 1,16,000 per ton in the previous quarter. Cost of production has gone up very high to INR 79,902 compared to INR 67,904. With this, we can now start the Q&A session. Thank you.

Moderator: The first question is from the line of Bhavesh Chauhan from IDBI Capital. Indian Metals & Ferro Alloys Limited

February 01, 2023

Page 3 of 17
Bhavesh Chauhan: Sir, I would like to know about your expansion plans. I think we are enhancing our capacity by 100,000 metric tons?

Prem Khandelwal: Yes. We are going ahead with the Kalinganagar project, wherein we are putting up two furnaces, which can produce up to 100,000 tons of ferro-chrome annually.

Bhavesh Chauhan: Will this be backed by captive chrome ore in the near-term or it will take time?

Prem Khandelwal: No, it is obviously backed by our own chrome ore. We are planning all our furnace expansion based on the further ore available from our mines. So, by the time the furnace is operational, we will have further ore available to meet the requirement of this furnace.

Bhavesh Chauhan: And sir, secondly, on your EBITDA per ton spreads, so I mean, what do you think should be the normalized spread on certain things to normalize? Because today you're facing lower sales price and higher raw-material prices. So, what should be normal EBITDA per ton, maybe INR 15,000, INR 20,000, something like that?

Prem Khandelwal: Our normal EBITDA should be INR 15,000 to INR 20,000 per ton. But as you know, we are in cyclical industry,

so it keeps on fluctuating every quarter. Third quarter was badly impacted because of sharp fall in the ferrochrome prices, but now in the fourth quarter, again, the prices have shot up after China is reopening. And right now, it is around INR 1,10,000. So, fourth quarter again should be much better compared to third quarter. So that is the characteristic of our industry, it keeps on fluctuating every quarter. But on an average, if you take long-term projects, it may be around INR 15,000 to INR 20,000 per ton.

Bhavesh Chauhan: And lastly, what is our chrome ore mining cost per ton and what is the market price of it?

Prem Khandelwal: Chrome ore cost, all blended together and landed at Choudwar, it is around INR 8,500 per ton as compared to market price of around INR 15,000, INR 16,000.

Bhavesh Chauhan: Thanks a lot, sir.

Moderator: The next question is from the line of Aashav Patel from Molecule Ventures.

Aashav Patel: Sir, my question is regarding average coking coal cost. So I wanted to know what was the average coking coal cost for Q1 and Q2?

Prem Khandelwal: Deepak, would you answer that?

Deepak Mohanty: Okay, let me answer. So, for the coking coal, as you know, the prices have gone up drastically

to about \$500 and all, but have started coming down, and overall average may be it will be \$450

Prem Khandelwal: He is asking about comparative cost Deepak, about Q1 and Q2, I think.

Indian Metals & Ferro Alloys Limited

February 01, 2023

Page 4 of 17 Aashav Patel: This current quarter, which is Q3.

Prem Khandelwal: Q3 versus Q2.

Deepak Mohanty: Actually, it has gone up. Based on the average price, consumption price was around INR 22,000 in Q2, which has gone up to INR 23,000. Marginally it has increased, because the low-cost inventory is over and higher-cost inventory has gone up. So, marginally it has gone up in this quarter, but it is going to come down also in the coming quarter.

Aashav Patel: So sir, is it fair to assume that by Q3, we have exhausted all the high-cost inventory on our books for coke?

Deepak Mohanty: Still something will remain, because normally we keep material for two to three months because we import coke from Colombia, China and other places. So we don't work on month-to-month basis, and it's always over a quarter or more than a quarter because considering the less procurement from Colombia.

Aashav Patel: Sure. So, sir, what would be our average rate of coke on books currently? Even a ballpark figure works.

Deepak Mohanty: Coke must be in the range of 45,000 to 47,000, I think.

Aashav Patel: And sir, coming to coal equation, so roughly your annual requirement, I was going through the past con-calls and roughly your annual coal requirement is around 1 million tons. And broadly speaking, 70% of it is coming from washery rejects and 30% of it is G12 coal. So, I just wanted to understand over last couple of quarters, how have the coal prices increased?

Prem Khandelwal: Binoy?

Binoy Agarwalla: Sir, I just wanted to clarify this one. In Q2 FY'23, the average coal cost was INR 3,500. In Q3 FY'23, the average coal cost is INR 2,850, it is slightly dropping. And expecting in Q4, that will be around INR 2,700, we are just anticipating.

Aashav Patel: And in terms of how does it translate to the power cost, because as per the previous con-call, Q1 power plant was said to be around INR 3.6 per unit. Q2 was INR 4.38. And for Q3, how much would that convert into?

Prem Khandelwal: You are asking for Q4 projection?

Aashav Patel: No, no, sorry, Q3. I'm asking for the quarter figure.

Bhavesh Chauhan: But quarter Q3, the coal cost was INR 3.44.

Aashav Patel: Okay. Got it, sir. And sir, we understand that last two quarters, very bad because of falling realization and higher input cost prices. But given the current spread on current prices across

Indian Metals & Ferro Alloys Limited

February 01, 2023

Page 5 of 17 realization, cooking coal and our cost structure, how does it spend right now? So given the current realizations, can we assume we are already at the average long-term margin rate of around 20%—INR 15,000 INR 20,000 EBITDA per ton?

Prem Khandelwal: Aashav, as far as cost is concerned, I think we have seen the peak of the cost and cost is now coming down, whereas the realization has gone up in this quarter. So, this quarter, we are expecting margin again back to 20% level. And going forward, it should improve further.

Aashav Patel: Sure. Okay. I'll come back in the queue.

Prem Khandelwal: Thank you. All the best.

Moderator: We have the next question from the line of Dharmavenkatesan an Individual Investor.

Dharmavenkatesan: Good evening, sir. Sir, my question is regarding the one-time settlement we have applied for the electricity dispute

that we have mentioned in the presentation, so how much cash outflow

that we might be looking at, like I just want to ballpark a figure. I know it's exactly, because it's a negotiation.

Prem Khandelwal: Bijayananda, would you answer that?

Bijayananda Mohapatra: Regarding this one-time settlement of ED, we have got this one deposit in lien and escrow account around INR 100 crores, and interest on that is INR 100 crores. And we have a principal of around INR 26 crores and interest on this settlement was around INR 44 crores. So total will be around INR 270 crores, out of which, around INR 200 crores is already in the no-lien and escrow account.

Dharmavenkatesan: Okay, sir.

Prem Khandelwal: Further outflow from the company would be around INR 71 crore.

Dharmavenkatesan: Okay, sir. And sir, for the expansion plans like, I was reading your CLBs, so you had mentioned that if the current price levels improve or maintain at these levels, we will not be needing any long-term debt. So, in case if it's not being able to maintain that level, like how much amount of the debt, the company is likely to take or whether we will delay our expansions a bit. So, I wanted to have more clarity.

Prem Khandelwal: No, no, we cannot delay the expansion plan, expansion normally goes as scheduled. And we

are not foreseeing any such danger in the near-term. So we are quite hopeful that whatever cash is going to be generated can be used for the expansion project. As of now, we have not planned any delay for the expansion project.

Indian Metals & Ferro Alloys Limited

February 01, 2023

Page 6 of 17 Dharmavenkatesan: Okay, sir. Sorry to dwell upon it, again. Like in case we need to raise that, what is the debt-to-equity level or what kind of debt level that we might be comfortable with, given the market situation

Prem Khandelwal: In case we have to raise, we will not go beyond 0.5:1.

Dharmavenkatesan: Debt-to-equity ratio, correct?

Prem Khandelwal: Yes, yes.

Dharmavenkatesan: Okay, sir. Thank you, sir. If anything, I'll come back again.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: I have joined a bit late, sir. If you were to summarize the quarter, sir, this was a quarter wherein we had the double whammy of lower realization and higher inventory of raw materials. This is how it should be summarized. And going ahead, for the next quarter, we are seeing the reversal of the same, that means higher realization and lower raw material, and hence the spread is improving.

Prem Khandelwal: Yes. You have quite clearly summarized the cyclical industry nature of our industry. So, you are spot on.

Saket Kapoor: Okay, sir. So, sir, taking this into account, I think so earlier, last quarter you said about POSCO issue. There were some delivery issues and support, where are we, sir, in terms of POSCO part and what were the deliverable numbers. What is in Q3 and what is the plan for Q4?

Prem Khandelwal: Deepak?

Deepak Mohanty: Yes. Actually Q3, they were under force majeure. So, in fact the production only started towards end of November, that too a very little extent. So we had only 1,600 tons billable, so which they took, of course, whether utilized or not, they have taken in that quarter. And in fact, their production has started, the major problem then was mainly that only, so which has also started slowly. So in this quarter, they will be taking something like 15,000, 16,000 maximum in this quarter, that too in month of February and March. So, we have started supplies for that. So it will come back to normal cycle from the first quarter of next financial year.

Saket Kapoor: And sir, in normal conditions, what is their off-take on a quarterly basis?

Deepak Mohanty: We roughly supply them 21,000 tons per quarter, i.e. 7,000 tons per month.

Saket Kapoor: Okay, okay. This quarter, we are expecting it to reach to 15,000 to 16,000 tons. Yes, this quarter, i.e. from January to March, it will be 15,000 to 16,000.

Indian Metals & Ferro Alloys Limited

February 01, 2023

Page 7 of 17 Deepak Mohanty: February and March only, they will take, yes.

Saket Kapoor: Correct. February and March. In January, there has been no shipment to them?

Deepak Mohanty: We have made shipments just now for supply in the month of February.

Saket Kapoor: Okay. And this number was 1,600 for the December quarter?

Deepak Mohanty: Because we had last month inventory there, which they've obliged to take and kept that obligation and taking the material, paid us, whether they consumed or not.

Saket Kapoor: Okay. Correct, sir.

Moderator: We have the next question from the line of Joe Shah from 7seas.

Joe Shah: Good afternoon, everyone. Bijayananda, this OTS matter is not very clear to me. As per the

information given, we'd be paying INR 45 crores per the one-time settlement. And I understand that they have an interest liability of INR 100 crores, and amount of about INR 200 crores we will park in escrow account. So overall, how much will be our saving of contingent liability in terms of our principal amount as well as interest amount?

Bijayananda Mohapatra: This one is already deposited in the escrow and no-lien account, and interest on that, we have incurred around that is coming around INR 200 crores, okay. Actual—it is a principal amount of INR 26 crores and interest from the this period, November '99 to '22, that is coming around INR 45 crores.

Joe Shah: So, our liability is INR 200 crore plus interest liabilities?

Bijayananda Mohapatra: No, no, no. Interest liability is not INR 200 crores, Joe. Whatever is in no-lien account, we have deposited from October 2014. So that is around INR 100 crore. So that amount will go to them. And on that INR 100 crores, we have an interest of around INR 100 crores, that amount will also go to them. As per the terms of settlement, we have to pay whatever is lying in the no-lien account along with interest. And INR 26 crore what we have not paid to them earlier, prior to this period, over that there is an interest liability of INR 45 crores. That INR 45 crores plus INR 26 crores, INR 71 crores, we have to pay further on top of whatever amount is lying in no-lien account. That is the settlement.

Joe Shah: Without settlement, what was our liability?

PremKhandelwal: Without settlement?

JoeShah: What was our liability shown as contingent liability on this issue?

PremKhandelwal: No contingent liability.

Indian Metals & Ferro Alloys Limited

February 01, 2023

Page 8 of 17 JoeShah: So what was the total liability, now INR 100 crore, plus INR 100 crore interest earned on No lien account. Of course, we are paying for INR 26 crores, plus INR 45 crore toward interest amount, this settlement, how much we are going to save on this settlement?

PremKhandelwal: No. Where is the question of saving here?

JoeShah: The settlement means, we are doing 50% settlement, liability...

PremKhandelwal: No, no, no, it is not like that. We were liable for INR 0.06 only, only which we were paying to them, but they were claiming INR 0.20, which we have not acknowledged. So that 14 paise differential we were depositing into no-lien account, which was earning interest also. As a part of settlement, that entire amount goes to them. And for the INR 26 crore or whatever, we have not paid to them earlier, on that interest is coming INR 45 crore. So that amount, we are paying on top of no-lien account. So there is no saving as such in this. I mean, we have not acknowledged anything on the books.

JoeShah: So what is the total outgo on this OTS, how much we probably would be paying for escrow account as well as the cash account?

PremKhandelwal: INR 271 crore.

JoeShah: Totally we'd be paying INR 271 crores?

PremKhandelwal: Yes.

JoeShah: And afterwards, there will be no liability, it will be zero, right?

PremKhandelwal: No, there will not be any liability. This is a part of settlement. As per the settlement, once we pay this money, everything will be closed.

JoeShah: Very good. Congratulations. Good.

PremKhandelwal: Right. Thank you.

Moderator: We have the next follow-up question from the line of Aashav Patel from Molecule Ventures.

Aashav Patel: Thank you for the opportunity, sir. I just wanted to confirm that, given that we have acquired for our chrome ore requirement, any rise in chrome ore would not affect our perception.

Moderator: I'm sorry to interrupt, Mr. Patel. I would request you to please use your hand set to ask a question. We are not able to hear you clearly, sir.

Aashav Patel: Sure. I wanted to clarify, given our backward integration into or any rising chrome ore will not affect our cost structure. Is that correct understanding?

Indian Metals & Ferro Alloys Limited

February 01, 2023

Page 9 of 17 PremKhandelwal: You mean any rise in the market price of chrome ore?

Aashav Patel: Yes

PremKhandelwal: Yes, that is not going to impact us.

Aashav Patel: Got it. So, only impact to us in terms of variable cost would be largely coke and coal to power cost.

PremKhandelwal: Yes, besides the inflation cost in chrome ore raising.

Aashav Patel: Sorry in chrome ore?

PremKhandelwal: Inflation cost.

Aashav Patel: Okay, got it. And sir, I understand that regarding the settlement, the timeline is not clear, it might take one or two or couple of quarters, but just wanted to understand how much are we expecting from them?

PremKhandelwal: No, the valuation process is going on, Mr. Patel. So the amount quantification

has still not

happened. But we are quite hopeful of getting back around INR 350 crores.

Aashav Patel: That was on my side. Thank you.

Moderator: We have the next question from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: Yes, sir. In continuation, sir, so where was the tonnage which was dedicated for POSCO was sold and how have the realizations that affected, sir?

PremKhandelwal: Deepak, would you answer that?

Deepak Mohanty: Yes. So, in fact, we had to go for the spot sales. And when you talk about spot sales, it is only China. And obviously the time when POSCO was not there, the prices were at the bottom and at the worst scenario because prices even in China started to move up in the middle of December. After the announcement of the government taking out the COVID and other things, basically lockdowns and other things lifted, certain big stimulus measures also taken by the government.

So with that, they started moving past in the second half in view of also lower stock levels at China. So, what we have sold that was extra at spot rates, which were also low compared to normal scenario.

Saket Kapoor: Okay, sir. And just...

PremKhandelwal: Almost 20,000, 25,000, we sold during on spot basis during that quarter. I last quarter.

IndianMetals&FerroAlloysLimited

February01,2023

Page10of17SaketKapoor: AlthoughmarkedforexporttoPOSCO,butttheyweresoldatlessexportprice.

PremKhandelwal: No,ifyou'retelling,POSCO21,000,naturallyaroundthat20,000tonswehavesoldinthe spot.Wehavenotreducedanysalesbecauseofthatthing,bothadtobesoldinthespotmarket whichwhichwasatlowerlevelatthatpointintime.

SaketKapoor: Yessir,mypointwasthatyes,therealizationswerelower,IthinkthecontractforPOSCOdid nothappen.HadPOSCOhonouredtherealizationswouldhavebeendifferent,becauseofthe contractedthepriceforthequarterwashigherthanwhatthespotpriceswas.

DeepakMohanty: Wecannotsaythat,becausenormallywedecequarterlypricingjustbeforethequarter,after thebenchmarkisdeclared.Sotheseareconsideredintheprevailingsituation,andofcourse, ontheoverallYTDbasis,theoverallthreetofourquartersitaveragesout.Sowecannotsay whetheratthispointintimewhenwearesupposedtofinalizethepricethatpointintime wouldhavegotahigherpricethanthespotourlowest,notreallyfairtojudgethatatthis juncture.

SaketKapoor: Correctsir.Andsir,whatarethebenchmarkscurrentlyfortheJantoMarchquarter?Andthe differencebetweentheDecemberandtheMarch?

DeepakMohanty: InfactthebenchmarkfortheQ3i.eourQ3,whichisQ4ofcalendaryear,itwasUSC149,it hascomedownby\$0.31fromthepreviousquarterinthethirdquarter,whichisOctober to December.AndsamehasbeenrolledoverfortheJanuarytoMarchquarter.Soifyousayat thatpointitwouldhavecomedownby\$0.31,sothat'swhyI wastelling,youshouldnotbe, becausespotpriceisbasedonthespotinChina.Butwhilethelong-termisalwaysdiscussed basedonthatbenchmarkprice,aswellastheprevailingsituation,evenconsideringtheChina becausetheyarethebiggestplayer.

SaketKapoor: Andsir,whatarethecurrentspotprices?

DeepakMohanty: Itisalready\$1.05,\$1.06atthemoment.

SaketKapoor: Okay,sir.Sowhateverthatgainswewillhavewillonlybeonaccountoflowerrawmaterial prices,becauseotherthanthatthepricinghasremainedthesameforeventoJantoMarch quarters?

PremKhandelwal: No.Now,thepricesarearoundINR1.10lakhscomparedtoINR93,000averageinthelast quarter.Thereisasharpimprovementinthepricealso.

SaketKapoor: Okay.AndthiswearewitnessingfordemandfromFebruaryonward,notforJanuary.

PremKhandelwal: Januaryonwards.

SaketKapoor: FromthemonthofJanuaryor...

IndianMetals&FerroAlloysLimited

February01,2023

Page11of17PremKhandelwal: FromthemonthofJanuaryitselfhasstartedimproving.

DeepakMohanty: Sir,Januaryitstartedimproving,andnowitisatthislevel.

PremKhandelwal: NowitisatINR1.10lakh.

DeepakMohanty: Weareexpectingagaintogoupwardinthenextquarter.

SaketKapoor: Right,sir.Sir,okay,sir.Andintheotherexpenselineitem,sir,whatshould—whatarethe keyconstituent?Ithinktheshippingchargesareusedtobeoneofthelargecomponent.So howaretheshippingchargescurrently—Ithinkthefreightchargeshavecomedown significantly.Sowewillbereapinganymorebenefitsinthecomingquartersoutofthat,sir?

PremKhandelwal: Deepak?

DeepakMohanty: Yes.Actuallylastquarteryouhadseenthatithasalsocomeddowncomparedtotheprev

ious

quarter,becausePOSCOshipmentwasnotthere,becausethat'sthebreakbulkandbreak bulkfreightisalwaystwo,threetimesmorethancontainerfreight.Sothatiswhyithavecome down.Butnow,again,wearstartingwithPOSCO,itwillgoup.Butgenerallytheprices havestabilizedandcomedowntoalevelofitpreviouslyoneyearbeforewhateveritwasthere, oneand1.5yearsbeforeinsimilarlevel.Sowearnotexpectinganyincreaseinthe freight componentbasically.Sothereprobablywe'llgainlittlebit,ourrealizationwillbasicallygo up,becauseofthatlargefreightalso.

SaketKapoor: Correctsir.Andsir,—okay,I'lljoinagaininthequeue,sir.Thatwouldbebetter.

Moderator: ThenextquestionisfromthelineofShubhamAgarwalwithAequitasInvestments.

ShubhamAgarwal: Yes.Thankyoufortheopportunity.Sir,Ihavejusttwoquestion.Sofirstly,onthevolume sideitwaslessduetomaintenance,sohavewecompletedallthemaintenancepart?Andcan weexpectnormalizationinproductionthisquarter?

PremKhandelwal: Deepak?

DeepakMohanty: Yes.Letmetellyou.Soconsideringthedepressedmarketscenariowehavetakenupallthose thingsandbusinessahead.Soaccordingly,wehavetakeninthelastquartermajorthing,and thisquarteralsoweardoingcertainthings,particularly,whentheywerepricepressure. So withthat,actually,ourplanisto,thisquartervolumewillbemoreorlesssimilartotheQ3.So whichislittlelowerthanourbudgetedquantity.

ShubhamAgarwal: Okay.SoinR65,000aloneweareexpectingforQ4.

Deepak Mohanty: No. INR 65,000 is our sales. Our production for this quarter was INR 58,000. So we are expecting INR 59,000 production in this quarter.

Indian Metals & Ferro Alloys Limited

February 01, 2023

Page 12 of 17 Shubham Agarwal: Okay. So that's then less for Q4.

Deepak Mohanty: Yes.

Shubham Agarwal: Okay. And secondly, on the cost side. So given what we have already told regarding the coke and coal prices, what is our expected reduction per ton for Q4 in cost?

Prem Khandelwal: As far as coal and coke is concerned, I think there should be some reduction, but it's difficult to give any number right now, because it depends on the consumption. We'll come to know...

Shubham Agarwal: Yes, but again average per ton, how much can we expect it to be down?

Deepak Mohanty: Actually, if you wanted to know about power plant coal or on furnace coal.

Prem Khandelwal: Like, both he is asking. How much reduction we are expecting, Binoy.

Binoy Agarwalla: In Q3, the average coal cost was INR 2,850, and we are expecting INR 2,700 in Q4.

Shubham Agarwal: Okay. But is it possible to give per ton of cost reduction expected for next for compared to Q3?

Prem Khandelwal: No, that would be difficult.

Deepak Mohanty: No, it will be in the similar line mostly, because average coke prices still not have come down so far, so because the shipments—because for Colombian coke, that price has not come down drastically. Of course, it has come down from the previous level. But not to the extent it will make a difference for this quarter. So like I told in this particular quarter, last Q3 also our coke cost in the production has gone up. So we have got the little lower cost, because we have also certain coal at very high cost. So we are consuming that along with the lower cost, but the average cost, that still not come down to a level will make some difference at this point in time.

Prem Khandelwal: So Shubham, as far as coal is concerned, there will be some reduction. But coke, very difficult to predict at the moment.

Shubham Agarwal: Right.

Prem Khandelwal: Maybe it will be at the same level or little lower. But giving number would be very difficult.

But in coal, definitely, yes, there will be a saving of around INR 100, INR 200 per ton.

Shubham Agarwal: Got it. Sir, and lastly in the press release, it was mentioned that South Africa, there has been a sharp increase in electricity prices. So can you give a bit of brief broadly, what is the current scenario and how it is expected to impact us?

Prem Khandelwal: Deepak?

Indian Metals & Ferro Alloys Limited

February 01, 2023

Page 13 of 17 Deepak Mohanty: Yes. Actually, South Africa, it has been already declared from the month of April power tariffs will be increased by 18.65%. Further, winter tariff will be applicable during June to August, which is additional. The power situation is critical now reaching stage 6 and 7. Considering all these factors, we are expecting further increase in Ferrochrome price in the first quarter of FY 24. Of course, everything depends on demand & supply situation. However, things can change depending on the COVID situation in China.

In view of

power crisis in Europe arising out of ongoing Russia-Ukraine conflict, price of

Colombian coke is not coming down commensurately with Ferrochrome prices.

Shubham Agarwal: Okay. Sir, and on the coke price as you mentioned that the prices from Colombia is not going down, so is it possible for us to find coke from alternative sources? Because, given my understanding is, over the last six months, there has been a correction in coke prices across the globe. Obviously, there was an increase recently, but given that our cost is not coming down from Colombia. I wanted to know whether we can procure from alternative source?

Deepak Mohanty: No, actually considering our chrome ore, the chemical composition of chrome ore we require 0.006, 0.007 phosphorus level or 0.010 max phosphorus level in the coke. Because the phosphorus output in the Ferro Alloys comes 85% to 90% from the ore, so balance 10 to 15% we manage to have from the coke. Availability of such coke is limited in China and quality of domestically produced low phosphorus coke with Australian coal is not consistent as per our past experience. That is why we have limited scope. Pre-COVID time Colombian coke price was lower than similar Chinese and domestic coke.

Shubham Agarwal: Got it. Sir, fair enough. Thank you for answering all my questions. And best of luck.

Prem Khandelwal: Thank you, Shubham.

Moderator: The next follow-up question is from the line of Joe Shah from 7 Seas.

Joe Shah: Deepak, regarding South African electricity scenario, I understand that 18.65% hike will be from 1 April, 2023. Apart from this high electricity charge, did availability of power brought to an issue because of stage 5 and stage 6 power situation? So there are two issues, one is availability issue, and also power cost is also an issue. So that's two-way miss, right?

Deepak Mohanty: Yes. Absolutely.

Joe Shah: Yes. Okay, good. Now, Prem, one more issue—one more that electricity matter, electricity duty matter with you. Now government of India is giving—for other products it is giving

MEI Sand RODTEP to refund the duty paid on electricity, petrol, diesel etc. So are we getting the refund of electricity duty on export of ferrochrome?

Prem Khandelwal: No, we are not getting refund of it. We are not eligible for that, right.

Indian Metals & Ferro Alloys Limited

February 01, 2023

Page 14 of 17 Joe Shah: Okay. And Deepak, one more question for you.

Deepak Mohanty: Yes.

Joe Shah: Yes. For February '23 tender price—Chinese tender price...

Deepak Mohanty: Yes. It has gone up by RMB 450.

Moderator: As the participants have left the queue. Shall we move on to the next participant? Give me a moment. We move on to the next participant, and the question is from the line of Aashav Patel.

Aashav Patel: Sir, given that we are dependent on Columbia for our coke requirement. Sir, can we set up a coke oven to reduce the dependency from Columbia and produce our coke requirement in-house.

Prem Khandelwal: Deepak?

Deepak Mohanty: Yes. So actually, you see the coke we use, which is 10 mm to 30 mm and 10 mm to 25 mm. So this is always a by-product. So if you're making a coke oven and it needs to be viable, yours almost 75% to 80% need to be of our size which in this case needs to be sold. Based on the quantity required by us, setting up a coke oven plant is not justified. So we have evaluated several times, but dropped the plan for having a coke oven plant as it was not economically viable in our case.

Aashav Patel: Sure, sir. Got it. And, sir, currently as you've mentioned in the past as well that long-term we don't have any debt, but what would be our debt in short-term right now?

Prem Khandelwal: We don't have any long-term basis, we have repaid interest money last year. So we don't have any long-term debt, as on debt on the books.

Aashav Patel: And short-term?

Prem Khandelwal: Short-term working capital debt is there, that is around INR 360 crore.

Aashav Patel: INR 360 crores. So, sir, as and when we get funds from Utkal Coal, do we plan to repay the short-term debt as well or conserve for future expansion projects?

Prem Khandelwal: Short-term debt is working capital loan, so that is going to be there.

Aashav Patel: Sure. Got it, sir. That is for any specific purpose...

Prem Khandelwal: Procuring raw materials, so that is, I mean that is co-terminous with the life of the company.

Aashav Patel: Got it, sir. Sure. Thank you, sir. All the best.

Indian Metals & Ferro Alloys Limited

February 01, 2023

Page 15 of 17 Moderator: We have the next question from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: Yes, sir. When we look at the finance cost line item, there are two components to it. First is the interest on borrowing. And then is the foreign exchange gain and loss.

So for the nine months,

we have a gain of INR 35.69 crore on foreign exchange and interest cost is INR 23 crore. So we had a net-net gain on the finance cost part. There is no line item has contributed rather than being a deduction.

Prem Khandelwal: Just a moment, let me see, you're talking about nine months period.

Saket Kapoor: Yes. For nine months period line item D, finance cost. When we look at the interest on borrowing, it is INR 23.06 crores. And where as the second line, it is a gain on foreign exchange to the tune of INR 35.69 crore. So that means on a finance account as a totally finance cost, we have a credit of INR 12 crore to INR 13 crore. So there is no outgo in account of the finance cost line item.

Prem Khandelwal: No. I am not seeing a credit there, the INR 36 crore is also outgo.

Saket Kapoor: Okay, sir. Okay, so just what explain so, yes, it is in a bracket, I'm sorry, sir, my wrong. And sir, how does this line item get affected? And the reason—is it only the short-term borrowing that we have in dollar-denominated that has resulted in this loss...

Prem Khandelwal: Yes. It is purely the working capital which we are taking in dollar terms, because we have dollar earning also, so it gets knocked off. The gain on our sales is getting reflected in the turnover, that is not getting separately disclosed here. That's what you are seeing outflow here, but not seeing the inflow. Inflow is clubbed into sales.

Saket Kapoor: Correct, sir. Sir, you have the nine month EBITDA number for us?

Prem Khandelwal: Yes, nine months EBITDA number is there. Nine months our EBITDA just a moment, it's INR 371 crore.

Saket Kapoor: Nine months EBITDA is INR 371 crore. And sir, then nine months production and sales number?

Prem Khandelwal: Nine months production is 1,83,000 tons, and the sales is 1,90,000 tons.

Saket Kapoor: Okay. And sir, we will be in the vicinity of INR 2600 crore to INR 2650 crore for the year as a sale.

Prem Khandelwal: Yes.

Saket Kapoor: And sir, as we have told that the margins will be—we will be moving up the margins gain from 8% to 10% to 20%. Historically sir, leaving out these exaggeration, what should be the

margin profile for us going ahead?

Indian Metals & Ferro Alloys Limited

February 01, 2023

Page 16 of 17 Prem Khandelwal: As I said, the EBITDA margins will be INR 15,000, INR 20,000 per ton on the long-term basis.

Saket Kapoor: Okay. And sir, that's an absolute number, but sir, that EBITDA margin which you spoke on

8% to 20%, on a consistent basis, this 20% is the number we should factor in over a consistent basis or this is also depending much more on the vagaries of market.

Prem Khandelwal: No, we can expect around 20%.

Saket Kapoor: 20% is a consistent number.

Prem Khandelwal: Yes. 20% we can expect on an average.

Saket Kapoor: Right, sir. And sir going ahead sir, next year also do we see any increase in production volume

Prem Khandelwal: No, next year also volume will be around the same level of 2,50,000 tons. Because the capacity expansion will come into picture in FY '26 only, not before that.

Saket Kapoor: Okay. But I think there's some work we are doing sir to just improve the tonnage. I think the chrome ore tonnage because of some work that has gone into the underground mining. So when will that start coming into play?

Prem Khandelwal: That is coming in FY '26.

Saket Kapoor: Okay. And the greenfield will take much longer time.

Prem Khandelwal: No. FY '26, our new furnaces are coming into production, and that year also we're expecting more tonnage from our mines also. So both we have planned in a manner that whenever we get extra ore, the furnace will also become operational by that time.

Saket Kapoor: Okay. Right. Okay sir, thank you for all the elaborate answers sir. All the best, sir. Thank you.

Moderator: The next follow-up question is from the line of Joe Shah from Seven Seas.

Joe Shah: Well, Deepak, yesterday, this tender price for February '23 Chinese tender price RMB 450

RMB, yesterday, we were expecting about RMB 900 to RMB 1,000 price hike. So, do you think for this Q1 '23-'24, long-term tender price would be quite high because of power scenario demand in China. So it may go up to plus—above \$1.80, any idea or we cannot say now?

Deepak Mohanty: Very difficult to predict any price. Nobody can predict.

Joe Shah: Because Chinese holidays—the holidays are also very much successful there were some \$300 million, so it seems that China is getting back to normal life. So it will follow that the

ferrochrome demand will also increase and plus when we compare it with South African

Indian Metals & Ferro Alloys Limited

February 01, 2023

Page 17 of 17 problems, South African UG2 price of \$270, price has to go up the ferrochrome price, long-term ferrochrome

price contract price has to go up. Okay, let us wait and see.

Now, Deepak, one more thing about today's budget, there is a very huge capital expense outlay of about INR 10,00,000 crore, will it impact stainless steel demand and ferrochrome demand in India. What is your take on this capital outlay?

Deepak Mohanty: If you see, the stainless steel consumption is expected to go up, and maybe things were pushed back because of the COVID and other things. Now things are moving positively and there is positive sentiment for the demand to pick-up, and it has already started picking-up for which ferrochrome prices in the domestic market also has crossed INR 1 lakh per ton. So it will keep moving up. We don't see any negative sentiment in this, particularly, in India.

Joe Shah: Particularly in capex spending is so high, in fact, spending and capex spending budget, the demand should increase very much in the coming year, stainless steel demand. What is your idea?

Deepak Mohanty: It should go up. Why it should come down, because with infrastructure development in the anvil, the requirement of stainless steel will also increase.

Joe Shah: Right. Okay, thank you.

Moderator: Ladies and gentlemen, that was the last question for today. With that we conclude today's conference call. On behalf of Indian Metal and Ferro Alloys Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2023

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The Listing Department
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Stock Symbol & Series : IMFA, EQ
Sub : Earnings Call Transcripts
Dear Sir / Madam, 5th June, 2023
The Deputy General Manager
(Corporate Services)
BSE Limited
Floor 25, P.J. Towers
Dalal Street , Fort
Mumbai-400001
Stock Code : 533047
Pursuant to Regulation 46(2)(a) of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, the transcript of the audio
call recording of the Company's Investor / Analyst Call held on 31st May,
2023 on the Audited Standalone and Consolidated Financial Results of the
Company for the quarter and year ended 31st March, 2023 is attached
herewith.
You are requested to take the same on record.
Thanking you
ALS & FERRO ALLOYS LTD
(PREM KH ELWAL)
CFO & COMPANY SECRETARY
Membership No: F3526 ,,,
Page 1 of 16

"Indian Metals & Ferro Alloys Limited
Q4 FY '23 Earnings Conference Call "
May 31, 2023

MANAGEMENT : MR. PREM KHANDELWAL – CHIEF FINANCIAL
OFFICER AND COMPANY SECRETARY – INDIAN
METALS & FERRO ALLOYS LIMITED
MR. BIJAYANANDA MOHAPATRA – CHIEF OPERATING
OFFICER – INDIAN METALS & FERRO ALLOYS
LIMITED
MR. DEEPAK MOHANTY –HEAD OF FERRO ALLOYS
BUSINESS UNIT– INDIAN METALS & FERRO ALLOYS
LIMITED
MR. BINOY AGARWALLA –HEAD OF POWER BUSINESS
UNIT–INDIAN METALS & FERRO ALLOYS LIMITED
MR. SANDEEP B. NARADE –HEAD, MINES BUSINESS

M

ODERATOR : MR. ARYAN RANA – VERITAS REPUTATION

Indian Metals & Ferro Alloys Limited

May 31, 2023

Page 2 of 16

Call Operator : Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Indian Metals and Ferro Alloys Limited, arranged by Veritas Reputation. At this moment, all participant lines are in the listen -only mode. We will conduct a question-and -answer session later. If you have a question, please press star and one on your touchtone keypad. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aryan Rana from Veritas Reputation. Thank you and over to you, sir.

Aryan Rana: Thanks, Melissa. Good evening to all of you and thanks for joining this earnings conference call of Indian Metals and Ferro Alloys Limited to present and discuss the financial results for the quarter and full year ended 31st, March 2023. With a market valuation of over INR 1,500 crores, the company operates in the metal and mining industry business space. With 190 MVAs installed in its capacity and 204.5 megawatt captive power generating capacity, it includes 4.55 MW solar power, and enormous chrome ore mining tracks, IM FA is India's foremost fully integrated manufacturer of quality ferrochrome.

The company's business portfolio includes the manufacturing chain, the mining of chrome ore, the production of electricity and smelting of ferroalloys.

We have sent you the results. I hope you have received the same. The results are also available on the Company website and the stock exchanges.

Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors.

To discuss the results and address the queries of investors, we have with us the management represented by Mr. Prem Khandelwal, CFO and Company Secretary. Mr. Bijayananda Mohapatra, Chief Operating Officer. Mr. Deepak Mohanty, Head Ferroalloys Business Unit.

Mr. Binoy Agarwalla, Head Power Business Unit and Mr. Sandeep B. Narade, Head Mines Business Unit.

We will start the call with a brief overview of the Q4 and year-ended financial year 2023 and then we will open the floor over to Q&A session. Each participant can ask two questions and then can come back in the queue.

With that said, I will now hand over the call to Mr. Prem Khandelwal. Over to you, sir.

Prem Khandelwal: Thank you, Aryan and good afternoon, ladies and gentlemen, for taking time out in joining this earning conference for the company. For the fourth quarter, the fourth quarter has been remarkable for the company because we are back on the track with a net profit of INR 63 crores, as compared to INR 10 crores in the previous quarter. And for the entire year, we had the highest ever turnover in the company with INR 2,640 crores and highest ever total income of INR 2,702 crores. Although, the PAT numbers are not as comparable, not as good as the last year, which was an exceptional year, but even then it is a creditable year in the sense that this is one of the best years in the history of the company, barring the exceptional year last year.

Indian Metals & Ferro Alloys Limited

May 31, 2023

Page 3 of 16

As far as production sales numbers are concerned, for the fourth quarter, we have produced 61,200 tons of ferrochrome and we had mined chrome ore of 193,000 tons and we have sold around 57,362 tons of ferrochrome. The price realisation was INR 117,000 per ton roughly for the fourth quarter and for the entire year it was INR 116,000 tons as compared to INR 1,09,000 tons in the previous year.

With that we can start the question -and-answer session now. Thank you.

Melissa : Thank you. Ladies and gentlemen, we will now begin the question-and -answer -session. We have the first question from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: Namaskar, Prem saab, n

amaskar to the team. Thank you, sir, for the opportunity and a good set of numbers. As per our last conversation, it was conveyed to the investing community that we have hit the peak in terms of the raw material prices and henceforth the benefit of lower raw material and better realizations will accrue to the numbers. And that is what we have seen for this quarter. Sir, I am just taking some gist of what our MD told today at CNBC. So just a couple of points from where he left there. Firstly, sir, if you could give us some understanding on the capex part. Sir spoke about capex in two phases. First, the INR1 lakh, the one which will be done by 2025 and then for another INR1 lakh. So if you could elaborate what is our capex plan for the coming four to five years, sir?

Prem Khandelwal: No, Saket, I think there is some confusion there because MD spoke about 1 lakh ton of ferrochrome capacity which is coming up online in second quarter of calendar FY '25. Okay. He didn't speak about any other 1 lakh ton. So I think there is some confusion there. As of now, what we are planning is 1 lakh ton of ferrochrome capacity with an investment of INR550 crores in Kalinganagar.

Saket Kapoor: Correct. And last year, sir, we capitalized around INR 200 crores in the capital work in progress. So what should we attribute that INR200 crores to?

Prem Khandelwal: No, that is too specific a question. We need to check that one, Saket. You can send us a mail. We will answer that separately.

Saket Kapoor: Okay, sir. Sir, can you give us some color on the major raw materials, especially the coal and the coke prices and how have they fared, the met coke? I think especially from Columbia is the one which we are using because of some specification. So how are the price trends and the MD also guided for EBITDA margins improving from 22% to 25% for H1. So it is expected to elaborate.

Prem Khandelwal: As far as Q4 is concerned, coal cost, the variable power cost has come down from INR 4.77 paise to INR4.26. And although, the coal cost has not come down in Q4 because we are using the old inventory, high cost inventory, but the coke cost has come down. Deepak, would you like to expand on the coke front?

Indian Metals & Ferro Alloys Limited
May 31, 2023

Page 4 of 16

Deepak Mohanty: Yes, actually, we have procured in the \$ 450 level earlier, but that has come down by another \$70, \$80 at the moment. But that coal will be received in the Q2 when it will be utilized. So it is coming down with the earlier, it was above \$ 500, which has come down slowly. And ultimately, we have in the Q2, we are seeing a slightly much lower price for the coke, particularly for that region. So in fact, below \$ 400 we have now booked, which will be received in the month of July.

Prem Khandelwal: In fact, Saket, we had bought at the peak of \$ 700 in last year. And from there, it has come down to around \$380 now. So as we intimated earlier also, the costs are coming down gradually.

Saket Kapoor: So the benefit of lower coal cost will be accrued from second quarter?

Prem Khandelwal: In first quarter and second quarter also.

Saket Kapoor: Sir, if we look at the lower volume part, there also, the MD mentioned that for the sales for the quarter have been 57,000 and there was some inventory at the vendor managed inventory yard.

Can you elaborate what would be the amount of the stock that will percolate to Q1, sir?

Prem Khandelwal: So 7,000 tons of ferrochrome were shipped on 30th of March. So billing will be done in this quarter, current quarter.

Saket Kapoor: So 7,000 tons of ferrochrome is quarterly booked?

Prem Khandelwal: Yes.

Saket Kapoor: And sir, if you could also throw some light on the inventory part, sir, that is again, the inventory is higher because of this only, sir? We have the inventory at 137 tons.

Prem Khandelwal: So that 7,000 tons is again appearing in the inventory.

Saket Kapoor: And lastly about the Posco part, sir, earlier because of some natural calamity last time, there was some force majeure for Posco. So are there deliverables now? It went out and they have been disposed to that 7,000 tons per month?

Prem Khandelwal: Deepak?

Deepak Mohanty: Yes, sir. In fact, it was stopped in the month of September, force majeure that discussed. And from month of January, they have started taking. And at the moment for this quarter also, it's in the 21,000 level. And going on also, it will be in that range as per our contract.

Saket Kapoor: And sir, could you throw some more light on the realization for ferrochrome currently? And one more request, sir, as we see in many companies' websites, there is a provision for the latest update on the international prices of the commodity that the company sells. Ours is a single product commodity. And for all investors, it is not feasible to track these prices. So if a link could be created for us so that on a monthly basis or on a 15-day basis that it is updated, we

can get an idea of how the current ferrochrome prices are trending. It is available with Indian Metals & Ferro Alloys Limited
May 31, 2023

Page 5 of 16

SteelMint, but everyone cannot source the same on a real -time basis. So it's a request that could be done for the...

Prem Khandelwal: I think that will create more confusion in the investor community because there are different kinds of prices for different kinds of grades. What we are producing, what price we are quoting, we don't know. So that might create more confusion.

Saket Kapoor: Okay, so then what are the current realizations and how have been the contracts done?

Prem Khandelwal: Deepak, would you have that number? Current realizations are around, I think...

Deepak Mohanty: It is similarly around 1,20,000 around it will be for this quarter, which is slightly higher than the last quarter, \$0.02-\$0.03 higher than the last quarter for that reason. Last quarter in Q4 it was 116 or 117 around and this quarter it will be around 119, 120. Minus -- we are doing 1,20 lakhs.

Prem Khandelwal: 1,20 will be the realization for Q1.

Deepak Mohanty: Prime material.

Saket Kapoor: Yes. So come again?

Prem Khandelwal: Yes, 1,20,000 is going ...

Deepak Mohanty: Prime material. Ferrochrome, prime ferrochrome.

Saket Kapoor: Correct. And sir, you did speak about this renewable tie-up also going ahead. I think we have currently 5 megawatts from the solar. So going ahead, sir, are you looking for this open access source forum that has been availed by the government going ahead or what kind of capex are -- do we envisage going ahead to have renewable tie-up?

Prem Khandelwal: Bijaya nanda, I would request you to answer that one.

Bijayananda Mohapatra: Yes, for our Kalinganagar, that upcoming project, we have to get power through renewable energy. That will be a hybrid system, that means solar -plus wind. So we are going for a 50 megawatt capacity and that will be captive generation, not open access. It will be captive. We will have a share on that one. So we will get benefits of being a captive user.

Saket Kapoor: Okay. And what will be the investment there, sir?

Bijayananda Mohapatra: Investment is a captive share. It will be in lower rents. It will be around in the tune of INR100 crores.

Saket Kapoor: And sir, for the coal prices, what have been our coal costs, I think INR2,700 was guided to us in Q4. So what is the current coal cost and what was for Q4?

Bijayananda Mohapatra: You mean, thermal coal?

Indian Metals & Ferro Alloys Limited

May 31, 2023

Page 6 of 16

Saket Kapoor: Both, sir. What we chose from the rejection coal was this. The average coal cost, sir.

Bijayananda Mohapatra: Okay. Binoy, would you like to?

Binoy Agarwalla: Yes, yes. I am answering. Actually, in Q3, the weighted average cost, MC L-plus washery reject s

was to around INR 2,800. But in Q4, weighted average of washery reject and MC L has come down to INR 2,600. That is the difference of INR 200 around.

Saket Kapoor: And what will be that for Q1, sir?

Binoy Agarwalla: Q1 will be remaining same as now in Q4.

Saket Kapoor: Okay. And sir, Coal India did announce some increase in coal prices. That effect?

Binoy Agarwalla: Coal India has increased. They have given the notification from G2 to G10. But we are using G12, G13 coal. So there will be no effect on G12 and G13.

Saket Kapoor: And lastly, on the OTS part, Prem saab, it was the settlement has happened at INR 52 crore s. Earlier we're envisaging is at INR71 crore s. So that understanding is correct, post this...?

Prem Khandelwal: No. INR71 crore s is the amount we have to pay. That we have paid. So that was the amount to be paid, not the settlement amount.

Saket Kapoor: But we have booked INR 52 crore s, I think so.

Prem Khandelwal: We have already provided for INR26 crore s in the books already. So the balance amount has been provided now.

Saket Kapoor: Okay. And now the issue is there, put to rest, sir. Now the issue is put to rest. Now we do not have any other contingency.

Prem Khandelwal: No. That is the final settlement we have entered into with them.

Saket Kapoor: Okay, sir. Other than this, sir, any other contingency line items we have on that is pending to be resolved in the near future?

Prem Khandelwal: Yes, there are other items also. So we are trying to resolve them.
Saket Kapoor: Okay. Sir, I'll join the queue, sir. And thank you and all the best to the team, sir.
Prem Khandelwal: Thank you.
Saket Kapoor: And the AGM also, I think the notice is not yet, the dates have not been provided.
Prem Khandelwal: No, that will be provided within time, in due course.
Saket Kapoor: Okay. Thank you, sir. I'll join the queue.
Indian Metals & Ferro Alloys Limited
May 31, 2023

Page 7 of 16

Call Operator : Thank you. We have the next question from the line of Manish Sehgal, an investor. Please go ahead.
Manish Sehgal: Sir, just wanted to understand with Utkal cash flow coming in and the kind of cash flow we'll get in H1 and H2, we'll have decent amount of cash and books by the end of the year with market cap at around INR 1,500 crores and perhaps INR 260 crores already in the books and maybe some more coming through. Would you think a buyback makes sense for enhancing shareholder value at the current prices that the shares are trading at?
Prem Khandelwal: See, Manish, we have lined up a lot of expenses also. So buyback at this point of time is not sensible in our opinion. So although, we are paying good dividends, so buyback dividends will be rewarding shareholders, but buyback I don't think is feasible at the moment given the expansion plans we have lined up.
Manish Sehgal: So, but expansion would be how much in terms of value? Because we've announced INR500 crores.
Prem Khandelwal: Around INR2,000 crores we have been investing in over a period of seven years. So we need to have that kind of cash flow also in our kitty. And we are planning it through internal accruals.
Manish Sehgal: So INR2,000 crores of total capex over next seven years is what you're saying?
Prem Khandelwal: Yes.
Manish Sehgal: Okay. Fine. Thank you so much. Do you think that will increase dividends perhaps if not buyback?
Prem Khandelwal: Yes, wherever possible, we are trying to give the maximum dividends.
Manish Sehgal: Okay. One final question in terms of cost of production, what you are seeing now versus Q4?
Prem Khandelwal: That will be difficult to answer at the moment because it depends on what kind of material we are using when. So I won't be able to give the exact number for that, but it should be lower than Q4.
Manish Sehgal: So sell price higher and cost of production lower. So which means fair, decent expansion.
Prem Khandelwal: Yes, Q1 is better than Q4 we are expecting.
Manish Sehgal: That means much better then, in fact.
Prem Khandelwal: That is very difficult to pinpoint at the moment too early because it all depends on where the spot prices of ferrochrome and what kind of cost we are going to have. But yes, overall, we are expecting it is better quarter than Q4.
Manish Sehgal: Okay. Thank you, sir.
Indian Metals & Ferro Alloys Limited
May 31, 2023

Page 8 of 16

Prem Khandelwal: Right. Thank you.
Call Operator : Thank you. The next question is from the line of Vaibhav Badjatya from Honesty and Integrity Investment. Please go ahead.
Vaibhav Badjatya: Hi, sir. Thanks for providing the opportunity. So just a few questions from a longer-term perspective. So if you can help us understand, you know, how ferrochrome consumption in stainless steel series 200, series 300 and series 400 differs, that would just help us understand how the demand can fluctuate going forward. If you can just highlight this part, that would be helpful.
Prem Khandelwal: Deepak, would you answer that one?
Deepak Mohanty: So let me, nobody can tell, but let me tell you the 2022 calendar year, stainless steel output was at 55.255 million tons, which is, which was lower by 3 million tons from the previous year, that is 2021. But all predictions are there that in the current year, 2023, it will be reaching a new height of 60 million tons. So once the stainless steel is picking up, naturally ferrochrome has to go up, ferrochrome demand.
And as such, you know, the stainless steel, ferrochrome is used mostly in stainless steel and the

per capita consumption, particularly in India, is still in the range of 2 kgs to 2.5 kgs, while the international standard for any developed countries, it is around 15 kgs and China has reached almost around 10 kgs. So even if, and with the government interventions and all those things, with those kind of projects, government of India has already taken up movement towards that. So naturally, if it gets double also, ferrochrome will be in demand. So that's why I don't see.

Vaibhav Badjatya: Yes, I understand that, sir. But what I was trying to understand is how the ferrochrome consumption differs between different grades of steel, which is series 200, series 300 and series 400. If you can provide certain consumption kind of thing, that would be great.

Deepak Mohanty: So basically ferrochrome consumption varies between 12% to 30% and lowest 10% to 12% in the series 200 series and 400 series above 25 kgs, 25%. So that's the highest category and this is the lowest category. And depending upon what grade of ferrochrome you are using, because internationally India produces around 60%, but South Africa produces around 40% to 50%. And certainly like Kazakhstan, they produce more than 60%. So it depends, that percentage what I've told, I told in the context of mostly 60% level.

Vaibhav Badjatya: Okay, got it. And as I understand, some of the ferrochrome manufacturing capacity in India is flexible to shift to even manganese ore. So if you can just highlight what is the total ferrochrome capacity and out of that, how much is actually shiftable to manganese depending upon the economies between manganese ore and ferrochrome, if you can help us understand that.

Deepak Mohanty: Let me tell you, any furnace which is producing ferrochrome can produce silicon manganese or ferro manganese with minor changes, not much thing, anything can get over. So as such, at
Indian Metals & Ferro Alloys Limited
May 31, 2023

Page 9 of 16

the moment, ferrochrome capacity which has been utilized is in the range of 1.7 million tons. So and we are producing around 1.3 million tons in India. So if depending upon the market scenario, those who are not integrated may shift to some quantity may shift to basically manganese alloys. That has happened

in past also. They have gone to manganese and come back to chrome depending upon the market scenario.

Vaibhav Badjatya: Got it, understand. And lastly, sir, from a longer term perspective, is there any way you are seeing that this trend of electric vehicles that is slowly creeping in everywhere across the world is going to have an impact on the supply of, you know, on a global supply of UG to mine, which is which actually determines the price for our mining portion of our business. So do you think that there is a link in this trend, what EV can impact either positively or negatively to us over long term?

Prem Khandelwal: Do you have any idea about that? I don't think there is.

Deepak Mohanty: Actually, I don't. I don't see there is a link between EV versus UG2 chrome usage because that's not relevant. Relevant what?

Vaibhav Badjatya: No, sir. I was coming from the perspective that, UG2 is mined only mainly because of the platinum group metals and in EV is the ratio of platinum group metals usage is very low. So I was coming from that point of view that over long term, do you see any impact on that?

Deepak Mohanty: Actually, I don't think so. In South Africa, even if platinum group area that is UG2 from other side also, they are getting tailings from which they are making UG2 kind of thing. So I don't think it will impact.

Vaibhav Badjatya: Okay. Got it. And then lastly, is there any other alternate to ferrochrome usage in stainless steel? Is there any other alternate material or something that can be used or there is no alternate?

Deepak Mohanty: I don't think there is any alternate because stainless property comes from chrome, basically, which ferrochrome has. To some extent, scrap is used, stainless steel scrap. So because in the scrap also, stainless steel scrap, you get the chrome as well as nickel. So to some extent, but it is not the major. Major virgin ferrochrome is required.

Vaibhav Badjatya: Got it, sir. That's it from my side. Thank you. Thanks for answering all the questions.

Call Operator: Thank you. We have the next question from the line of Sagar Gandhi from Future Generali Life Insurance. Please go ahead.

Sagar Gandhi: Yes, sir, my first question is on the thermal coal cost. So we have seen the prices of thermal coal globally going down. So, sir, your guidance of INR 2,600 per ton for Q1, is it is it not slightly conservative in estimate considering your Q4 cost at similar levels?

Prem Khandelwal: Binoy?

Indian Metals & Ferro Alloys Limited
May 31, 2023

Binoy Agarwalla: Actually, I have I told you Q4, weighted average of washery reject and MC L is around INR2,600. But in Q4, MC L, what is the weighted average is INR 2,800. And we have linkage option that price is quite low, because if we are getting coal from linkage, that weighted average is around INR 2,700. If we are not getting sufficient coal from linkage, that is the reason why we are going for spot auction . Spot a uction coal price is high. So weighted average of MCL cost is going high.

Sagar Gandhi: Sir, what is the normal proportion between spot and linkage? I mean, contribution from both?

Binoy Agarwalla: We have linkage as per our required quantity per annum, we have linkage. But in case we are not getting linkage, a linkage coal from MCL, then we are going for spot auctio n. In Q4, we had bought only 5, 000 of spot auction , but in Q3, we had gone for around 30, 000 of spot auction. It depends how it comes from MCL.

Sagar Gandhi: But normally, whatever is your consumption, 50-50 comes from both avenues. I s that the broad understanding?

Binoy Agarwalla: No, no, it is not 50 -50. Suppose we are getting as per our required quantity from linkage auction , then we need not to buy from spot auction because spot option price is quite high. It is ranging from INR 5,000 to INR 6,000.

Sagar Gandhi: Okay. And sir, what was your volume

number for Q4? Yes , ferrochrome.

Deepak Mohanty : Q4, I have already given the number.

Deepak Mohant y: We are on 64000.

Prem Khandelwal : Q4 is 61,200.

Sagar Gandhi: Okay. And Q3 number was?

Prem Khandelwal : 58,122.

Sagar Gandhi: 58,122. Okay. Yes . Thank you. Thank you so much.

Call Operator : Thank you. We have the next question from the line of Joe Shah from Seven Seas. Please Go ahead.

Joe Shah: Prem, I have some questions for you. Two questions. Number one, as you said, there is sales for 57,362 tons in Q4 and 7000 tons were shipped the 30th of March, so which is yet to be invoiced. So now, when there is a form of inventory in transit for transit shipment, how come there is a reduction in working progress and the finished goods inventory by INR28.50 crores? Actually, this would have gone up, but now we have inventory has gone down by INR28.50 crores? So this is the one question.

Indian Metals & Ferro Alloys Limited

May 31, 2023

And second question is, what is the status of this Utkal Coal valuation report? Some expert committee was to prepare this and file this valuation report, so what is happening with the report? It is two questions.

Prem Khandelwal: So this report is not yet come. We are still waiting for that report. The valuer has not yet given the report and the ministry is putting pressure on them to release it as soon as possible. The valued were supposed to, they were supposed to call us in the end of May for discussion, but that has not happened. So maybe in the month of June, we should be getting an invitation from the ministry for discussion.

And as far as changes in inventory is concerned, it is, we are showing a decrease in inventory. We ar e showing around INR29 crores compared to INR50 crores because in the Q3 also, we had a lot of inventory, which we have liquidated in this quarter. So maybe because of that, you are seeing this number.

Joe Shah: Okay. Now Prem, about this Utkal C valuation report discussion in June, you are saying June, July, after that discussion, they will make the payment or there will be some discussion?

Prem Khandelwal: That part, I am not aware of, what process they are going to follow. After the discussion with us, o nce we agree to the valuation, then we should be getting back that money. But the process at the government level is going to become, but maybe in 15-20 days' time , they will take in releasing the money.

Joe Shah: That is reasonable, 15 -20 days, 30 days is reasonable. We have waited for so many months.

Prem Khandelwal: Yes. I am not aware of that part. So that is the government process. They will take their own time.

Joe Shah: Right. Now Deepak, two questions for you. You are an expert on this ferrochrome pricing and everything. Now we understand that in China, ferrochrome prices are improving because of shortages. Some scarcity is there and demand is also improving. And Chinese ferrochrome portion is going down and UG2 price is also strong. So overall, Chinese ferrochrome price is improving. So what do you think

about the ferrochrome price in the next two quarters?

Deepak Mohanty: Actually, ferrochrome prices, if you look at Chinese ferrochrome price, if you look April to May, it was a rollover. And May to June, it has gone up by 200 RMB. Correct? So 200 RMB means it is around 2.3%. But the exchange rate, the Chinese currency RMB has depreciated by around 3%. If you look at the initial opening of May, early May, next April and now, it has gone from 6.9 to 7.10 already. So, effective price has really not gone up. It is, if you convert it for CIS, because international transactions are ultimately down on dollar terms, so in that really not much gone up.

And as such, because of the Europe is not in good position, they are also dependent on export and even their construction activities that has not yet caught up so far. So, but looking at the things, it should

improve and as you are telling, UG2 prices have gone up. So there is cost pressure on all ferrochrome producers in China, so have to go up. But it is the timing,
Indian Metals & Ferro Alloys Limited
May 31, 2023

Page 12 of 16

depending upon how the demand pans out. Unless there is a demand supply stand in, it can't go up. That's the way I look at it.

Joe Shah: Okay. Now, Deepak, one more question about our Therubali smelters. Now because of distance, now Therubali is a distance from chromite mines in Sukinda. I think Therubali is losing importance and we are more focused on Choudwar area. Is there a possibility of shifting Therubali production from ferrochrome to ferromanganese? Is there a possibility that, we can utilize our infrastructure in Therubali?

Deepak Mohanty: No. Yes. We have evaluated many a times, but as you know, manganese ore is not available in India. It's all import based. And you have to be close to the port because all manganese setups in India, either it is near Vizag port or near Kolkata port. So logistical cost and otherwise, it will not be really suitable. And as such, we have to utilize our own chrome. Because we are utilizing chromers, always at maximum, thereafter only you are using at Therubali. So effectiveness working out.

Joe Shah: Okay. Now, Prem, regarding this renewable energy plant at this Kalinganagar, our person from power was saying that about 50 megawatts will be installing at INR100 crores. So that is a very good amount. 50 megawatts if you are able to set up at INR100 crores investment, that is a very good, compared to thermal, it's very much cheaper. So how long it will take?

Deepak Mohanty: Joe bhai, you have understood it wrongly. We are not setting up a renewable power plant in Kalinga Nagar. We are entering into a captive consumption with the party, we are setting up. And we are just going to continue to have 25% -26% equity in that. So, that should amount to around INR100 crores. It is being set up by the third party. We are just participating there.

Joe Shah: So we'll be outsourcing our renewable power from that third party?

Deepak Mohanty: Yes.

Joe Shah: Okay. Now, Prem, last question regarding this Q1 FY '24. As you said that, realisation will improve to about 1,20,000. And also cost of coal is also going down. So can we generalize that Q1 will be much better than Q4?

Deepak Mohanty: That I've already told that Q1 should be better than Q4.

Joe Shah: Okay. Thank you. No more questions. Thank you.

Deepak Mohanty: Thank you.

Call Operator : Thank you. We have the next question from the line of Dhviti from Molecule Ventures. Please go ahead.

Dhviti: Hello. Yes. Congratulations on your robust performance. So my first question is, what would be our cost of production for Q4?

Prem Khandelwal: Q4 cost of production would be around INR78,000, INR79,000.

Indian Metals & Ferro Alloys Limited

May 31, 2023

Page 13 of 16

Dhviti: Okay. And what do you expect that number going forward in Q1, FY '24?

Prem Khandelwal: As I said, it will be very difficult to give any pinpoint number for that. What we can give a guidance that, it will be lower than Q4. Exact number would be very difficult to calculate now.

Dhviti: Okay. Sir, one question regarding South Africa. So after the rampant rise in power prices, are ferrochrome smelters still viable in South Africa? So what would be roughly their break-even cost because during the correction of ferrochrome prices? The news was something about shutting down of plants. So if you could just throw some light on that?

Prem Khandelwal: Deepak, would you answer that?

Deepak Mohanty: Yes. Let me tell you. Actually, South African ferrochrome production, even with the power

cost higher than other countries, they are much viable than China because you know out of total 15 million tons, China produces around 7 million tons, which is at a mu

ch higher cost

because they buy the chrome ore from South Africa and then convert in China. So that's why, that advantage is always there with the South African producers.

As far as chrome ore cost is concerned, which is a major part and the reduction also in South Africa is quite low. So they are always cost competitive. There is no issue. Main issue is the power availability. But you must have heard that, power situation in South Africa is extremely bad. And now, their winter from 1st of June to end of August, their winter is coming, where the tariff is higher as well as it is going to be in the stage of power crisis, which means, in a turn of 32 hours, 15 hours blackout.

But so we have to see how things are coming out. They have a power crisis. It's not the rate what affects them. Availability can change the ferrochrome prices definitely in a different way. Exponentially it can increase if the power crisis in South Africa happens.

Dhvit: Okay . And sir, on Utkal Coal, if you could give a revised timeline for, when do you expect the amount?

Prem Khandelwal: That will be very difficult to give any timeline, madam, because you see last six months, we are expecting this money to come, but the government is taking its own sweet time. So very difficult. They were supposed to call us in end of May, for discussion. That has not happened. So maybe in June that discussion will happen and then next quarter, we can be expecting the money. But again, you see those are again expectations. So government is taking their own time.

Dhvit: Okay. So one last question is, what is our per unit power cost for this quarter?

Prem Khandelwal: It's INR4.26 variable power cost.

Dhvit: Okay. Thank you.

Prem Khandelwal: Thank you.

Indian Metals & Ferro Alloys Limited

May 31, 2023

Page 14 of 16

Call Operator : Thank you. We have the next question from the line of Krisha Kansara, an investor. Please go ahead.

Krisha Kansara: Hello. Sir, I had two questions. One of them has been answered. So just one last question. What would be your volume guidance for the next quarter?

Prem Khandelwal: Deepak.

Deepak Mohanty: It will be volume guidance is around 64,000 production.

Krisha Kansara: Okay. Thank you. Rest of my questions have been answered.

Prem Khandelwal: Okay. Thank you, madam.

Call Operator : Thank you. We have the next question from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: Yes. Sir, in continuation to the answer, 64,000 is our production schedule for Q1?

Prem Khandelwal: Yes.

Saket Kapoor: And sales will be in the vicinity of?

Deepak Mohanty : Sales, 64,000. Whatever we produce, mostly we will send it out.

Saket Kapoor: And then there will be 7,000 also that is there in the inventory. So 71,000 should be in this...?

Deepak Mohanty : No. Not like that probably. It will be basically, it will go against the quantity. The quantity which we have shipped in the month of, at the end of April, March, basically that went for April. Then April, we made the shipment that was delivered. So it will not be an additional quantity that way. It will be in that range only, 64,000. 640 so total.

Only thing our inventory was not there at our, that major supplier. For that reason, it was in the last quarter it was lower.

Saket Kapoor: Sir, come again. Inventory was?

Deepak Mohanty : We supply that customer on this basis. So for that reason, we have to move because to that area, it takes 20 days to 25 days for arriving the material. For supplying the next month, we have to do in the previous month, which you used to do but it has stopped at certain point in time, so we didn't have inventory over there. For which mass shipment what we had. So that is basically for at least supplies not an additional.

Saket Kapoor: Prem sir, for the other income part, we have seen for year -on-year, it has moved up from INR16 crore

s to INR24 crores. So what are the key constituents of the same?

Prem Khandelwal: Other income, lot of things are there. Scraps sale, then interest income, then mutual fund income. So, lot of components are there. Not related to operations.

Indian Metals & Ferro Alloys Limited

May 31, 2023

Page 15 of 16

Saket Kapoor: Not, they are not related to operations. And even sir for the depreciation part also, I will mail you as you have told because we have capitalized more than INR200 crores but the depreciation has gone down from INR110 crores to INR107 crores on a year-on-year basis. So that part is also.

Prem Khandelwal: These are very specific questions.

Saket Kapoor: Yes sir, I will definitely write a separate mail for the same. Sir, if you could give us some... Correct sir, you are right sir. I will do that. Sir, if you could give me some, only the last third point on some color on the breakup of the raw material cost for Q4 and the trend for Q1, sir. And sir, one more part about the sales realization, when you mentioned about 1,20,000. It includes the blending of both spot and contracted because spot is keep on changing. We are still one month left for the quarter to end. So what is that 120 number sir?

Prem Khandelwal: It is a blend of spot and long term. And as far as cost is concerned, for Q4, I am telling you, the chrome ore cost is INR8,600, Metcoke is INR47,800 and power is INR4.26. And Q1 numbers should be lower because exact numbers, we cannot give right now.

Saket Kapoor: Right sir. And coal prices also sir?

Prem Khandelwal: Coal power, variable power cost, I have told you, INR4.26.

Saket Kapoor: That is covered here. All right.

Prem Khandelwal: Yes.

Saket Kapoor: Sir, when you were mentioning about that 1,20,000 is the blended, so the spot prices will change for the month of June also. So how are we arriving at this number sir, 120?

Prem Khandelwal: No, we are calculating as of now. If it goes on, it will go down further.

Saket Kapoor: Okay, and out of the total sales mixture, what percentage is spot and how much is contracted, the volume out of the 64,000?

Prem Khandelwal: What is the percentage Deepak?

Deepak Mohanty: Maybe it will be something like 30% to 40%. 40% is your contract in long term and balance is spot kind of thing. Although, there is annual contract and other things. Including all those things, not directly spot. Long term, I am telling long term means more than one year. So that will be around 30% to 40%. Balance is some of them are 30% to 40% also in the range of one year contract basis. And balance 20%, 30% is on spot, real spot.

Saket Kapoor: Sir, I am confused, once again, if you could just simplify me?

Deepak Mohanty: So basically you can say on 75% around is your long term basis and 25% on spot basis.

Saket Kapoor: 25% is the spot basis. Okay, sir, thank you for the elaborate answer and we hope for the continuity of these calls. These are very informative and give them an opportunity to interact

Indian Metals & Ferro Alloys Limited

May 31, 2023

Page 16 of 16

with the management. And we hope to hear on a continuous basis. Thank you and all the best to the team. Namaskar, sir.

Call Operator : Thank you. Ladies and gentlemen, we will take one last question from the line of Vaibhav Badjatya from Honesty and Integrity Investment. Please go ahead.

Vaibhav Badjatya: Thanks for the follow up. So in terms of Utkal compensation, so I think most of the amount that we have invested there would be sitting in capital work in progress, right?

Prem Khandelwal: In IMFA balance sheet you mean?

Vaibhav Badjatya: So the amount that we have invested in Utkal?

Prem Khandelwal: That would be in the form of investment and loans, not capital work in progress. Capital work in progress will appear in the balance sheet of Utkal coal, which is also not there now anymore after the vesting order. Now it is in Utkal coal balance sheet is now receivable from the

Government of India.

Vaibhav Badjatya: Okay. So what is the total amount, which is there in terms of investment and loans?

Prem Khandelwal: Around INR370 crores.

Vaibhav Badjatya: INR370 crores. And the expected amount that, you currently see that we are going to realize?

Prem Khandelwal: We should be getting that entire money.

Vaibhav Badjatya: Okay. So there will be no write off as such?

Prem Khandelwal: No, I don't think that should be there.

Vaibhav Badjatya: Okay. That's it from me. Thank you.

Prem Khandelwal: Thank you.

Call Operator : Thank you. Ladies and gentlemen, that was the last question. I would like to hand the conference over to Mr. Abhishek Sawant for closing comments. Please go ahead.

Abhishek Sawant: Dear all, we thank you for taking the time for the earning call today. IMFA is going through a significant phase of growth and we are hopeful of a fantastic year ahead. On behalf of the Board of Directors and Management of IMFA as well as Veritas Reputation PR, we thank you all for your participation in this call.

Call Operator : Thank you members of the management. Ladies and gentlemen, on behalf of Indian Metals and Ferro Alloys Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2023

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Mumbai-400051
Stock Symbol & Series: IMFA, EQ
Sub : Earnings Call Transcripts
Dear Sir/ Madam, 2nd August, 2023
The Deputy General Manager
(Corporate Services)
BSE Limited
Floor 25, P.J. Towers
Dalal Street , Fort
Mumbai-400001
Stock Code : 533047
Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio call recording of the Company's Investor / Analyst Call held on 27th July, 2023 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended 30th June, 2023 is attached herewith .
You are requested to take the same on record.
'A DELWAL)
CFO & C MPANY SECRETARY
Membership No: F3526
Encl : As above.

Page 1 of 17

"Indian Metals & Ferro Alloys Limited Q1 FY24
Earnings Conference Call"

July 27, 2023

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ANAGEMENT : MR. PREM KHANDELWAL – CHIEF FINANCIAL
OFFICER AND COMPANY SECRETARY
MR. BIJAYANANDA MOHAPATRA – CHIEF OPERATING
OFFICER
MR. DEEPAK KUMAR MOHANTY – HEAD, FERRO
ALLOYS BUSINESS UNIT
MR. BINOY AGARWALLA – HEAD, POWER BUSINESS
UNIT
MR. SANDEEP B. NARADE – HEAD, MINING BUSINESS

UNIT

MODERATOR : MR. ARYAN PREM RANA – VERITAS REPUTATION PR
PRIVATE LIMITED

Indian Metals & Ferro Alloys Limited
July 27, 2023

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to the earnings conference call of Indian Metals & Ferro Alloys Limited arranged by Veritas Reputation.

At this moment, all participants' lines are in the listen-only mode. Later, we will conduct a question & answer session. At that time, if you have a question, please press "*" and "1" on your touch-tone keypad. Please note that this conference is being recorded.

I hand the conference over to Mr. Aryan Rana from Veritas Reputation. Over to you, sir.

Aryan Prem Rana: Good morning ladies and gentlemen. Thank you for joining us today on this Earnings Conference Call of IMFA (Indian Metals & Ferro Alloys Limited). I am Aryan Rana from Veritas and I am delighted to be your host for this session today. We have some exciting updates to share with you as we present and discuss the financial results for the quarter ended 30th June, 2023. I am pleased to inform you that IMFA's market valuation has reached a significant milestone nearing Rs. 2,000 crores up from Rs. 1,500 crores since our last earnings call in May this year. This accomplishment underscores IMFA's position as India's leading fully integrated manufacturer of quality ferrochrome in the metals and mining industry. We have already shared the results with you and they are accessible on our company website and the stock exchanges. However, I would like to remind you that our discussion may include forward-looking statements that are subject to known or unknown risks, uncertainties, and other factors. To provide you a comprehensive overview of our Q1 performance and address your queries, we are privileged to have esteemed members of our management team present today. Let me welcome Mr. Prem Khandelwal – CFO & Company Secretary; Mr. Bijayananda Mohapatra – Chief Operating Officer; Mr. Deepak Mohanty – Head, Ferro Alloys Business Unit; Mr. Binoy Agarwalla – Head, Power Business Unit; and Mr. Sandeep B. Narade – Head, Mining Business Unit.

Now we will begin with a brief summary of our Q1 performance for the quarter ended 30th June 2023, following which we'll open the floor for a Q&A session where you will have the opportunity to interact directly with our management team.

Without further ado, I now hand over the call to Mr. Prem Khandelwal, our CFO and Company Secretary, to take us through the financial highlights. Over to you, sir.

Prem Khandelwal: Good morning ladies and gentlemen. Financial results as expected for Q1 is much better than Q4 of last year with EBITDA of Rs. 183 crores compared to Rs. 143 crores in the Q4 of last year and PAT of Rs. 110 crores compared to Rs. 64 crores. Production and sales numbers; Production for the quarter Q1 FY24 was 66,261 tonnes as compared to 61,200 tonnes in the previous quarter, i.e., Q4 of FY23. Sales is around 64,695 tonnes compared to 57,362 tonnes. And prime realization was Rs. 1,15,825 per tonne as compared to Rs. 1,16,558 per tonne. EBITDA cost for Indian Metals & Ferro Alloys Limited
July 27, 2023

Page 3 of 17

the quarter was Rs. 81,044 as compared to Rs. 86,686. With that, we can now start the Q&A session to address your queries.

Moderator: Ladies and gentlemen, we will now begin the question & answer session. We will wait for a moment while the question queue assembles.

The first question is from the line of Shubham Agarwal from Aequis Investments. Please go ahead.

Shubham Agarwal: This is Shubham from Aequis. Sir, my first question is related to the realization. Since June, we have seen some decrease in realization of ferrochrome. How is it currently trending and how is it expected for the next 3 to 6 months?

Deepak Kumar Mohanty: Actually, the present market scenario is subdued due to the demand issue and it has already gone down. Compared to the last quarter, it will be 5 to 6 cents

down certainly. Already it is below

\$1. But we can't predict beyond this quarter because a lot of variability is there in the market.

Basically, how it will pan out in China, it all depends on that, they being the major producer and consumer. But considering the cost pressure on the producing side production and all, things are going to look up. And as you must be aware, the Chinese government has already started taking a lot of steps to revive the demand, particularly interest rate lowering, lending rate lowering, and easing out mortgage rules for the people to buy houses and all. With all those things, probably next quarter will go but nothing can be predicted.

Shubham Agarwal: But for the next quarter, we can expect a slight decrease in average realization compared to this

quarter?

Deepak K umar Mohanty: Absolutely.

Prem Khandelwal: We can expect a little low realization and the cost is also going down.

Deepak Kumar Mohanty: Yes.

Shubham Agarwal: My next question was on cost only. You mentioned that Rs. 81,000 was the cost per tonne, almost.

Prem Khandelwal: Yes, EBITDA cost.

Shubham Agarwal: How much can we expect this to decline?

Prem Khandelwal: Difficult to predict, but I think it can go down by another Rs. 2,000 to Rs. 3,000 a tonne because the coke cost is coming down. Recently we have procured coke at \$316 which used to be \$480 earlier. Coke cost is coming down. Coal cost has already come down quite a lot. If this price

Indian Metals & Ferro Alloys Limited

July 27, 2023

Page 4 of 17

realization goes down a little bit, the cost will also come down. Maybe we would be able to maintain the margins.

Shubham Agarwal: When it comes to cost, both coal and coke costs, as you rightly mentioned, are coming down.

But now, given that it has stabilized to some extent, once we have consumed all our inventory of the last 3 -4 months, what is the average cost per tonne that we can stabilize at?

Prem Khandelwal: You need to understand the coke inventory whatever we are buying, that will be used, say, after 3 months or 6 months. As of now, in the current quarter, we are using high cost inventory of \$475, which will gradually go down to, say, \$400, then \$350, then \$300. So, very difficult to pinpoint the cost as such – total cost, EBITDA cost, but gradually it will come down.

Shubham Agarwal: I understand that. What I am trying to understand is, given that coke cost is close to \$300 and coal cost has also gone down substantially, if we take the current prices of coke and coal, what should be our cost of production? I am asking hypothetically.

Prem Khandelwal: We need to work out because if we take \$300.... Right now, the Rs. 81,000 cost whatever mentioned, it is taking care of \$475 coke. If you take \$320, that kind of saving would be there.

We can't predict the reduction in coal cost, but coke cost at which we can predict.

Shubham Agarwal: So, it can go down as low as Rs. 70,000 to Rs. 75,000 per tonne, right? In the current prices?

Prem Khandelwal: Maybe around Rs. 75,000, not below that. If you take coke cost \$120, that would be roughly what? Rs. 9,000 a tonne and we use half a tonne per tonne of ferrochrome. So, Rs. 5,000 reduction can be there.

Shubham Agarwal: Lastly, sir, on the money that we are expected to receive on the Utkal coal, what is the current status on that?

Prem Khandelwal: Current status is that they had issued a notice to secured creditors and 30 days time was there which expired on 19th of July. And they had asked for valuation report from IDCO which has already been given to them. Now I think it's a matter of time. Can't predict the exact timeline, but it should come sooner now.

Shubham Agarwal: Recently, there was an article which said that a lot of the coal recently which has been auctioned, the companies are finding it difficult to raise financing for those blocks. Is this a reason why things are getting delayed

for us?

Prem Khandelwal: No, that cannot be a reason for this because this is being done by nominated authority at Government of India, Ministry of Coal level. It has nothing to do with the company's performance or company's handling of the block.

Indian Metals & Ferro Alloys Limited

July 27, 2023

Page 5 of 17

Shubham Agarwal: And lastly, my question was, recently FACOR came out with an announcement that from 15th July, they will stop production. How does this help us in realization or supply demand scenario?

Deepak Kumar Mohanty: No, I don't think it will affect because they mostly produce very less quantity and sell in domestic while our major focus is on export. Only thing is demand has also come down in India which has to go up, with that only. The domestic prices also have come down. So, that will more or less increase. But the main thing is China. Unless China revives, sentiments cannot go up and prices moving up will be difficult.

Moderator: The next question is from the line of Mr. Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Sir, if you could mention, what was our coke consumption rate for Q4? i.e., the March quarter and Q1, and the likely for Q2?

Prem Khandelwal: Coke consumption cost or the buying price you're asking, Saket?

Saket Kapoor: Consumption cost.

Prem Khandelwal: Consumption cost for Q4 was Rs. 47,800 and for Q1 it was Rs. 42,500.

Saket Kapoor: And what is it likely for Q2?

Deepak Kumar Mohanty: It will be around Rs. 1,000 lower than the Q1.

Saket Kapoor: And what will be the coal math look like for Q1 versus Q2?

Prem Khandelwal: The coal cost you are talking about?

Saket Kapoor: Yes, sir, the coal cost.

Prem Khandelwal: Coal cost for Q1 was Rs. 2.80 as compared to Rs. 3.01 in Q4.

Saket Kapoor: And Q2, sir, what should be the trajectory?

Prem Khandelwal: It should be more or less the same.

Saket Kapoor: The coal we are using only for the electricity generation?

Prem Khandelwal: Yes.

Saket Kapoor: So, this Rs. 2.80 would be the cost for Q2 also?

Indian Metals & Ferro Alloys Limited

July 27, 2023

Page 6 of 17

Prem Khandelwal: More or less likely to be the same.

Saket Kapoor: And for Q2, sir, how are the deliverables likely? And secondly, sir, for Posco, now things are normal as has been the case with Q1. Whatever the committed quantity shipment goes to them on a quarter basis, I think 7,000 tonnes, that is what it is being maintained at now?

Deepak Kumar Mohanty: Yes, it is maintained at 21,000 level for Q3 – this quarter, running quarter. We finalize on a quarterly basis. So, it has been finalized.

Saket Kapoor: Once again if you could give the sales mix between the contracted one and the spot sales that we do on a

Deepak Kumar Mohanty: 65% is basically all long-term you can say, 35% is on spot basis.

Saket Kapoor: And for this quarter, sir, how much is the realization down from Q1 for the contracted price?

Prem Khandelwal: Saket, giving the number would be very difficult at the moment because we will come to know after the end of the quarter only. But the overall trend seems to be a little moderate than Q1. So is the cost also.

Saket Kapoor: EBITDA per tonne what you mentioned, sir, if you could repeat?

Prem Khandelwal: EBITDA per tonne Rs. 81,044.

Saket Kapoor: And this is what the trajectory is likely for this quarter or is it difficult to tell at this point of time?

Prem Khandelwal: Yes, it is difficult to tell at this point of time.

Saket Kapoor: In June and July, has this only been the average or the trending is lower?

Prem Khandelwal: We are giving you the quarterly figure. This is for Q1, Rs. 81,044.

Moderator: The next question is from the line of Mr. Aashav Patel from Molecule Ventures PMS. Please go ahead.

Aashav Patel: My question is, sir, as you explained in detail that the coal cost is likely expected to be similar

to

the Q1 for Q2 as well. And similarly, coking coal is expected to be down by only Rs. 1,000 per tonne. Then, how do you expect the operating cost to come down by around Rs. 3,000 per tonne?

Prem Khandelwal: For Q2, I have not mentioned Rs. 3,000 a tonne. This is for the entire year we are predicting the coke cost by Rs. 5,000 a tonne, not for the Q2 or Q3.

Indian Metals & Ferro Alloys Limited

July 27, 2023

Page 7 of 17

Aashav Patel: And what would be our blended coking coal cost on our inventories?

Deepak Kumar Mohanty: In the last quarter, it was around \$455 to \$460 because we use some quantity of other coke and other things and which will go down by as we have mentioned, it will be something like \$440.

It is not going to come down drastically because we have booked; so, that will come, and the effect of that comes after 2 quarters only. Because what we have booked now, that will come towards the middle of December because by September end, it will be dispatched from Columbia, then it will be voyage time, then clearance and movement and the actual usage if you say, it will be 2 quarters away from now.

Aashav Patel: Sir, even assuming that our operating cost comes down a bit for Q2, given that there has been volatility in the realization for ferrochrome, can we expect on absolute EBITDA terms Q2 to be somewhat softer compared to Q1 even if the margins remain the same?

Prem Khandelwal: It could be a little softer than Q2. But we are repeating this point again and again that in our company, one should not look at the quarterly basis. It's a long-term play. So, you need to see on the yearly and 3-year and 5-year basis because quarterly is very difficult. We got so many fluctuations. The price fluctuation is so much, it is very difficult to predict anything for a quarter.

Aashav Patel: As you mentioned that nominated authority has already given the valuation report, can you please mention what is the valuation decided by the independent authority regarding our coal block regarding Utkal C?

Prem Khandelwal: No, we don't have the number, but we understand that whatever we have invested, we are going to get back the money. There may not be any write-off.

Aashav Patel: And sir, what would be our power cost for Q1?

Prem Khandelwal: Variable cost for Q1 is Rs. 4.

Aashav Patel: And versus Q4?

Prem Khandelwal: Q4 it was Rs. 4.26.

Aashav Patel: And it is expected to remain Rs. 4 only even in Q2, right?

Binoy Agarwalla: In Q2, the variable cost may go up by 15 paise just because we have scheduled some planned maintenance in Q2.

Aashav Patel: Sir, given the global scenario of ferrochrome prices, given that Chinese chrome ore inventory of UG2 are at record high over the last 7-8 years and given that South Africa may also face a challenge because of the ongoing winter season, how do you expect the ferrochrome realizations

Indian Metals & Ferro Alloys Limited

July 27, 2023

Page 8 of 17

to pan out? I understand in the near future, the realizations are down by around Rs. 15,000 per tonne. But how do you expect the trajectory going forward?

Deepak Kumar Mohanty: First of all, the Chinese inventory of UG2 chrome ore is not record high. It is around 2 million tonnes which is record low, mainly because of the volatility in the market and demand pickup is not there. But once it pans out because of the Chinese government intervention and also as you know Europe already it is summer vacation and all and a lot of people because of the demand and supply not in tandem, some steel mills have taken maintenance schedules and other things, we expect first the demand and supply need to be in tandem. Then only, the price movement will up because this is not a sustainable price.

Aashav Patel: Do you think that at current realization, given the ore cost, the players which are not integrated globally, they might be just making a single digit margin much

lower than the usual?

Deepak Kumar Mohanty: Yes, absolutely correct. And even in the domestic if you look at the last OMC auction, there the prices are rising by Rs. 2,000 to Rs. 3,000 in different categories. So, chrome ore price in domestic OMC auction also has gone up. So, this is putting cost pressure for everybody.

Because, we are integrated with a little leeway and the rest is the disadvantage. But otherwise, the present price is not sustainable for a non-integrated producer.

Aashav Patel: And given the low ore inventories in China, any price rise is expected to sustain? Is it correct understanding – ferrochrome price rises are expected to be structurally sustaining?

Deepak Kumar Mohanty: It is always expected and government interventions are going on. As I was telling, their interest rates have been decreased twice and the mortgage rules have been slackened so that people will go for investment in housing. All those things are going on and further steps also the Chinese government is working out. With all those things, I see a positive scenario ahead, but it may take a little time.

Moderator: The next question is from the line of Mr. Kaushal Kedia from Wallfort PMS. Please go ahead.

Kaushal Kedia: Sir, just wanted to understand, our 90% is exports, right?

Deepak Kumar Mohanty: Yes.

Kaushal Kedia: And 10% is domestic?

Prem Khandelwal: Correct.

Kaushal Kedia: I just wanted to get a sense of how much are we supplying to Jindal Stainless approximately, if possible to give that breakup?

Indian Metals & Ferro Alloys Limited

July 27, 2023

Page 9 of 17

Deepak Kumar Mohanty: Jindal stainless we are not supplying anything, to be very frank. They used to take quite a bit quantity earlier. But as you know, they also have ferrochrome production capability and they are buying and they are also doing some tolling through Tatas and other producers. So, they don't require ferrochrome. They are not buying from us any material at the moment. Because, mostly they were taking for Hisar production where they have reduced the capacity; not doing, but rather they are getting billets and other things and then basically other grades they are making. So, they don't require at the moment. We are not supplying any quantity to them at this point of time.

Kaushal Kedia: Sir, I just wanted to get a sense that can the share of domestic go up in the near future with the export volume staying at the same levels?

Deepak Kumar Mohanty: Because already we are tied up, as we are telling 65% and other 35% is there. So, wherever it will be viable, we go for that. Unless our additional capacity comes up, which is ahead in '25, till then, we don't see much unless the market scenario, that 35% what will play depending upon the market scenario.

Kaushal Kedia: No, I didn't understand, sorry. 35% of what?

Deepak Kumar Mohanty: As I have mentioned earlier, our contracted or long-term supplies are almost 65%. And balance 35%, we sell on spot basis in which something in Europe, something China, something other places. There is no more scope at this juncture.

Kaushal Kedia: The capacity ramp up will happen by 2025. Most of the capacity will be used for domestic. Is that what you are saying?

Prem Khandelwal: No, that is not what he is saying. We are supplying around 10% in the Indian market till now. Going forward also, I think it is going to be more or less the same.

Kaushal Kedia: Because of the Indian infrastructure push and as you can see, there is demand for massive stainless capacities. Even Jindal Stainless declared the results yesterday; their volumes are up quite a bit. I am just trying to get a sense about how much we can contribute or how much will we benefit from this infrastructure demand?

Prem Khandelwal: In the Indian market, I don't think there is any expansion in the stainless steel sector. Unless the stainless steel as a sector expands, we cannot cater to the

Indian market here because the consumption of ferrochrome is in stainless steel. In India, I don't think in the near future, any expansion is going to happen.

Kaushal Kedia: But if you see, Jindal Stainless volumes are going up. Yesterday in their results year on year if you see, there is an increase.

Prem Khandelwal: I don't know about that, but their capacity utilization may have gone up. But are they going for any expansion? I don't know.

Indian Metals & Ferro Alloys Limited
July 27, 2023

Page 10 of 17

Kaushal Kedia: So, you are not seeing any major tailwinds from the domestic? No increased inquiries or something like that?

Prem Khandelwal: No.

Moderator: Our next question is from the line of Rahil Shah from Crown Capital. Please go ahead.

Rahil Shah: If I heard you correctly, then you said the domestic demand is quite subdued right now. Correct? You are facing some headwinds over there.

Prem Khandelwal: Yes.

Rahil Shah: You also said quarter on quarter, it is difficult to forecast anything. But then on a yearly basis, do you think the exports which is your majority of the business, that will be more than sufficient to capture a good growth for the year? Do you have any targets and expectations of what will be your revenue and margins at the end of FY24? If you can help me with that?

Prem Khandelwal: FY24 is more or less likely to remain the same as FY23 with top line EBITDA and PAT more or less likely to remain the same.

Rahil Shah: What's the reason behind this? Because if the exports is doing well, then is it not expected to grow further?

Prem Khandelwal: The price realization is coming down, so is the cost. So, we are likely to maintain the margins. But if the price goes up, then obviously the margins will improve further and the top line and bottom line both will improve. But it all depends. It is very difficult to predict anything at the moment.

Rahil Shah: Because of the fluctuations?

Prem Khandelwal: Yes.

Moderator: The next question is from the line of Manish Sehgal, an individual investor. Please go ahead.

Manish Sehgal: Sir, I just wanted to understand we have raised about 1 lakh tonne extra chrome ore. What are we going to do with that? And secondly, is there a shipment which has slipped into the next quarter this time also because there was one which had slipped to this quarter and I see sales are lesser than production again. So, I just wanted to get those 2 inputs.

Sandeep B. Narade: In Q1, we have produced more from the Sukinda open cast. It was an opportunity because the monsoon was delayed by 8 to 10 days. So, we encashed that opportunity. But now, the monsoon has started and we may produce as per our budget this quarter. All that ore, because we are

Indian Metals & Ferro Alloys Limited
July 27, 2023

Page 11 of 17

producing limited capacity throughout the year, will be consumed in our ferrochrome plants as per the plan.

Deepak Kumar Mohanty: Second question was on what exactly?

Manish Sehgal: Shipment slipping into this quarter.

Deepak Kumar Mohanty: No, actually there is no shipment delay which has come to this quarter. It was not there. Minor, maybe 1,000 tonnes or something, but it is not major. This will be purely this quarter's production mostly.

Manish Sehgal: But if we see the last 2 quarters, the production is higher than the sales. So, we will have some inventory left over, right?

Deepak Kumar Mohanty: We have some inventory of different materials which we are liquidating also. But our inventory had gone down, particularly at Posco because they were not taking, so which was created and as per our commitment and contract, we need to maintain 1 month's stock at Pohang, in our warehouse. That is why at that point in time it was lower, but now it is all stabilized in the normal inventory level. We don't have additional which can be really exported out or sold off.

Manish Sehgal: S

o, we have some inventory sitting with us in the Posco warehouse.

Deepak Kumar Mohanty: Yes, which was taken out because of the Posco's force majeure thing. But again, we had to bring back that after they resumed from January second half.

Manish Sehgal: Is there an opportunity to sell chrome ore outside if we have the opportunity to raise more in case of what we raise more than what we need? Are we allowed to sell outside given we had options

Prem Khandelwal: Manish, normally we don't do that because we plan the raising as per our requirement only.

Manish Sehgal: If we are able to do 2.5 lakh again, then we have an opportunity to sell outside which is quite

Prem Khandelwal: But this inventory, whatever extra inventory we have raised now, that will be used in the rainy season when there is not going to be any Ore production at that time. Overall for a year, we plan as per our requirement only.

Moderator: The next question is from the line of Sagar Gandhi from Future Generali India Life Insurance.

Please go ahead.

Sagar Gandhi: Sir, if you can please repeat the Q1 and Q4 sales volume number and realization?

Indian Metals & Ferro Alloys Limited

July 27, 2023

Page 12 of 17

Prem Khandelwal: Q1 is 64,695 tonnes and Q4 is 57,362 tonnes. Prime realization for Q1 is Rs. 1,15,825. And for Q4, it was Rs. 1,16,558.

Moderator: The next question is from the line of Anant Mundra from Mytemple Capital. Please go ahead.

Anant Mundra: Sir, for the expansion project at Kalinganagar, how are we planning to meet the energy requirements for the plant? Would it be 100% hybrid renewable or will it be a mix of hybrid renewable and thermal?

Bijayananda Mohapatra: For Kalinganagar, actually we require around 56 to 58 megawatt. We are putting one gas plant there, which we will be using the CO gas generated from our furnace because we are going to set up a closed furnace. The rest, 50 megawatt, we will go for around 60% from hybrid and 40% from our thermal plant at Choudwar.

Anant Mundra: So, there will be no new thermal plant? It will be the existing....

Bijayananda Mohapatra: No, we are not going to set up any new thermal because the government is coming up with renewable energy obligation.

Moderator: The next question is from the line of Chirag Singhal from First Water Capital. Please go ahead.

Chirag Singhal: Sir, I actually wanted to understand on your coking coal cost. You mentioned that the consumption cost was around \$450. Now, when I look at the Australia -origin hard coking coal prices, I am just not able to figure out how our prices are so higher despite the correction has been very steep in the last couple of months. Even if I take the second half average price of FY23, the Australia -origin hard coking coal price was sub \$350. Is this the right comparison to look at the Australia hard coking coal price? Can you just throw some light on this?

Deepak Kumar Mohanty: First of all, this hard coking coal, what price you are telling \$350, yes, it is correct; \$350, \$330, and all those things, that is coking coal. But we are not using coking coal; we are using coke.

When you convert coking coal to coke, then there is a 70% recovery all those things for which prices normally go up. And second thing, we don't buy coke or coal from Australia. We buy Colombian coke which is low cost which is our requirement, ultra low cost. That basically depending upon the demand scenario situation, prices move up and down. And the thing I was

telling that what we finalize now normally is used after 2 quarters because what we finalize now, that comes after around 2 months later. Shipment happens from Colombia and it takes 45 to 50 days to arrive in India. Then discharging, moving to plant, and actual usage in that month. That way if you look at, it becomes 2 quarters. That is why I told, at the moment, our coke cost is high and it will go down in Q3 and Q4. Is it okay or anything

you want to know

Chirag Singhal: I got your point. Are you contemplating any different strategies in order to reduce this 6 months lag that we are currently having? Or is this something that we will have to work with?

Indian Metals & Ferro Alloys Limited

July 27, 2023

Page 13 of 17

Deepak Kumar Mohanty: This is what we have to work with because domestically, we don't get ultra low cost coke which we require, and also Australia or China. That is why we need to work in this manner.

Chirag Singhal: And just to confirm on the cost per tonne based on the current prices, you mentioned that considering the current cost of coal and coke, the cost of production should be somewhere around Rs. 75,000 per tonne which was Rs. 81,000 per tonne. Is that correct?

Prem Khandelwal: No, that is for the year, I told. Maybe for the year it will come down.

Chirag Singhal: I am not talking about Q2. I am just talking about if you consider the current prices of both the thermal coal that you use in your power plant and the coke. If you take the current prices, then the cost should be around Rs. 75,000 per tonne. Is that right?

Prem Khandelwal: Yes.

Chirag Singhal: Just one last question on the volume side. Are we expecting similar volumes as FY23 even for the current

fiscal?

Deepak Kumar Mohanty: Yes, we are targeting 250,000 levels. So, the same level or maybe a little more than the FY23. It will be around 250,000 tonnes in volume.

Moderator: The next question is from the line of Akhilesh Bagri, an individual investor. Please go ahead.

Akhilesh Bagri: Sir, I just want to confirm around which quarter will the new capacity come online, of which financial year?

Bijayananda Mohapatra: That will come one by one. We are targeting to 2025 April and another is around 2 to 3 months after stabilization of number 1.

Akhilesh Bagri: And will it be 50:50 thousand or how will it be?

Bijayananda Mohapatra: Yes, each capacity is 50,000. There will be 2 furnaces. Each furnace has a capacity of production of 50,000.

Akhilesh Bagri: And sir, what will be our strategy in terms of selling this? Is it also going to be like two-third contracted, one-third spot, or have you thought something on that?

Bijayananda Mohapatra: Mostly it will be in that line. However, we need to see how is the market and other things; where it will be. All those things are dynamic. Can be told at the right moment. But we have opportunities because of our performance in the international market with many companies – steel mills and all – directly. So, we have the opportunity to increase also the long-term quantity at different places.

Indian Metals & Ferro Alloys Limited

July 27, 2023

Page 14 of 17

Akhilesh Bagri: Basically, we don't see any challenge in placing this quantity once it comes online?

Bijayananda Mohapatra: Yes.

Akhilesh Bagri: And sir, what kind of peak debt would we perhaps have in order to fully fund this expansion?

Because we will have a lot of cash flow generation in the next 2 years. Also, maybe money will come from Utkal. Just your thoughts on what might be the peak debt?

Prem Khandelwal: No, as of now, we are planning all from internal accruals only. We are not planning to raise any debt.

Akhilesh Bagri: We may be for the long-term debt-free?

Prem Khandelwal: Yes, this investment is spread over a period of 6-7 years. We expect enough cash flow to generate during that period to meet the requirement. As of now, we have not planned any debt raising for the expansion.

Moderator: The next question is from the line of Joshua from Seven Seas. Please go ahead.

Joe Shah: Prem, this is regarding Utkal C. I understand that Utkal C compensation is not $1 + 1 = 2$. For land investment from 2014, we are entitled to 12% interest rate per year. It means suppose the compensation payment is delayed, we continue to earn interest on the land investment. So, do you expect final

compensation to be more than our investment in Utkal C of about Rs. 350 crores to Rs. 375 crores?

Prem Khandelwal: No, that is difficult to predict Joe Shah because there are many components they are going to disallow also. So, maybe whatever interest we are going to get, that will compensate for the disallowance portion. That's why I said that we expect the investment amount to be recovered more or less. We don't expect any write-offs.

Joe Shah: Can we expect more also? Is it possible?

Prem Khandelwal: No, that is difficult to predict.

Joe Shah: But there is a possibility also, right? Because of the delay, we earn more interest also.

Prem Khandelwal: Yes, but that interest meter is stopped from October last year because after the vesting order they have issued, the interest portion is not accruing anymore.

Joe Shah: Deepak, one question for you. Yesterday, MD mentioned that in 5 to 6 years, we plan to raise the ore capacity to 10.5 lakh tonnes of chrome ore and our new furnace capacity will be commensurate with the ore raising. Looking at the new Kalinga capacity of 1 lakh tonnes, I think

Indian Metals & Ferro Alloys Limited

July 27, 2023

Page 15 of 17

there is still scope to have a furnace of another 70,000 to 80,000 tonnes. Next project after this

1 lakh tonne capacities are achieved, we can have one more furnace, one more project?

Bijayananda Mohapatra: Actually these are mining exploration. After 5 years, we are going for underground mining.

From there, we will go up to 10.5. Initially, we are putting 1 lakh tonnes for which around 2.5 lakh tonnes is required. That we are building up now. After 5-6 years towards 2028-29, we will go for another set of ore acquisition. At that time, we will think.

Moderator: The next question is from the line of Mr. Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Prem sir, I missed your comment. You mentioned that FY24 profitability will be in the similar line to what FY23. Did you comment something like this?

Prem Khandelwal: Yes.

Saket Kapoor: Because, when we look at the last year's performance, the PBT numbers were at Rs. 340 crores

and we have done PBT of Rs. 150 crores for the first quarter itself. This means that we are indicating or we are anticipating lower numbers for the coming 3 quarters that will themselves be cumulative to closer to Rs. 340 crores.

Prem Khandelwal: As I said, Saket, in our company, projecting the quarterly numbers is very difficult. We need to see it on a yearly basis only. That's why I said that looking at the current price trend and the cost trend, we expect the profit margins to remain the same for the current year also compared to last year. Quarter on quarter predicting is very difficult.

Saket Kapoor: But that is pointing towards if we have the first quarter as a heavy quarter and we are predicting that we will be closer to last year's number, that means that the trend is going to be lower for the remaining 3 quarters.

Prem Khandelwal: That is for you to extrapolate.

Saket Kapoor: How are the shipping costs currently trending, sir?

Deepak Kumar Mohanty: Shipping costs have come down because as already I have told, demand is not there. It has come down to the earlier normal scenario and it is continuing. Not much difference. It is not at high like earlier. It is more or less stable and range bound.

Saket Kapoor: And 2 last questions. Firstly sir, what are the key factors that have enabled us for this kind of expansion? We have been able to repay our debt. We don't have any long-term debt currently and also the Utkal C litigation is coming to an amicable solution in our favor as of now. Barring these, what has resulted in us committing CAPEX for the expansion wherein we have so many variable factors pertaining to the offtake and pertaining to the realization? Barring the chrome Indian Metals & Ferro Alloys Limited

July 27, 2023

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Page 16 of 17

ore which is the key raw material, the other factors are not in our hands. So, what has led to this commitment of around Rs. 1,500 crore CAPEX over 5 to 7 years down the line? If you could elaborate on the same?

Prem Khandelwal: You mean to say we should not expand?

Saket Kapoor: No, I am not. I am only trying to understand....

Prem Khandelwal: If we have to expand, then we have to put up furnaces also because we are expanding our chrome ore facility. We are expecting more ore from the underground mines. That's why we are putting up more furnaces also. And the biggest strength in our company is that we are fully integrated. So, at any point of time, we are going to make money. Even at the bottom of the curve, we are going to make money. So, why should we not expand?

Saket Kapoor: But these factors were there for us 2 years earlier also or 3 years earlier also.

Prem Khandelwal: But at that time, we were debt heavy. We were not in a position to raise further debt. Now we are debt-free and the situation is much better compared to COVID years now.

Saket Kapoor: Currently, what is our working capital requirement and the cost of funds there?

Prem Khandelwal: As of now, on a net debt basis, we are almost at a zero level. So, not much requirement at the moment.

Moderator: The next question is from the line of Joshua from Seven Seas. Please go ahead.

Joe Shaha : Binoy, will you please confirm my understanding regarding the Kalinga expansion project? Our power requirement is 58 megawatt, out of which 40% will be coming from our captive thermal plant and 60% by way of renewable energy. Is it right?

Binoy Agarwalla: Yes.

Moderator: Ladies and gentlemen, this was the last question for the day. I now hand the conference over to Mr. Abhishek for the closing comments.

Abhishek: Thank you everyone for joining us today on this conference call. We have had the opportunity to share our exciting plans for IMFA's future growth and we are truly optimistic about the year that lies ahead. On behalf of the company's Board of Directors and management, I extend our heartfelt gratitude to each one of you for your active participation in this call. Your interests and questions have been invaluable to us. If you have any further inquiries or require additional information, please feel free to reach out to us or to my colleague at aryan.rana@veritasreputation.com. We are always available to address any queries you may have. Indian Metals & Ferro Alloys Limited

July 27, 2023

Page 17 of 17

have. Thank you once again for being a part of this conference call and we look forward for a promising future and continue to grow ahead. Thank you, and have a great day ahead.

Moderator: On behalf of Veritas Reputation Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

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Stock Symbol & Series : IMFA, EQ
Sub : Earnings Call Transcripts
Dear Sir I Madam, 10th November, 2023
The Deputy General Manager
(Corporate Services)
BSE Limited
Floor 25, P.J. Towers
Dalal Street , Fort
Mumbai-400001
Stock Code: 533047

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio call recording of the Company's Investor / Analyst Call held on 3rd November , 2023 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended 30th September, 2023 is attached herewith.

You are requested to take the same on record.

Thanking you
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CFO COMPANY SECRETARY

Membership No: F3526

Encl : As above.

"Indian Metals & Ferro Alloys

Limited Q2 FY '24 Earnings

Conference Call" November 03, 2023

MANAGEMENT: MR. PREM KHANDELWAL – CHIEF FINANCIAL OFFICER
AND COMPANY SECRETARY – INDIAN METALS & FERRO
ALLOYS LIMITED

MR. BIJAYANANDA MOHAPATRA – CHIEF

OPERATING OFFICER – INDIAN METALS & FERRO ALLOYS
LIMITED

MR. DEEPAK MOHANTY – HEAD, FERRO ALLOYS
BUSINESS UNIT – INDIAN METALS & FERRO ALLOYS
LIMITED

MR. BINOY AGARWALLA – HEAD, POWER BUSINESS UNIT
– INDIAN METALS & FERRO ALLOYS LIMITED

MR. SANDEEP B. NARADE – HEAD, MINING BUSINESS UNIT
– INDIAN METALS & FERRO ALLOYS LIMITED

MODERATOR: MR. ARYAN RANA – VERITAS REPUTATION PR PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Indian Metals and Ferro Alloys Limited, arranged by Veritas Reputation. At this moment, all participant lines are in the listen-only mode. Later, we will conduct a question-and-answer session. At that time, if you have a question, please press star and one on your touchtone keypad. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aryan Rana from Veritas Reputation. Thank you and over to you, sir.

Aryan Rana: Thanks, Chetna. Good evening to all of you. We extend our warm welcome and gratitude to all of you for joining us today on this Earnings Conference Call for Indian Metals and Ferro Alloys Limited.

I am Aryan Rana, your host for this session, and I am delighted to guide you through the various developments we have in store as we delve into the financial results for the quarter, concluding on September 30, 2023. It brings us great pleasure to share that IMFAs' market valuation has surged by nearly 50% in the last half of the year. For the discussed earnings quarter, IMFA successfully crossed the INR2,000 crores market capitalization milestone, presently standing at approximately INR2,370 crores.

This milestone reaffirms IMFAs' prominent standing as India's leading fully integrated manufacturer of superior ferrochrome in the metals and mining industry. Alongside ferrochrome production and sales, the company also offers fly ash bricks and low density aggregates. Our reach extends to key global markets, including Korea, China, Japan, and Taiwan, fortified by robust relationships with our core clientele.

IMFA, established in 1961, is headquartered in Bhubaneswar, India. We have already shared the detailed financial results on our company website and the stock exchanges, and also mailed it to you and shared with you on WhatsApp messages. However, a note of caution, our discussions may contain forward-looking statements that are contingent upon both known and unknown risks, uncertainties, and various factors.

To provide you with a comprehensive overview of Q2 financial performance and to address any queries you may have, we are honoured to have esteemed members of our management team present today. Mr. Prem Khandelwal, our CFO and Company Secretary, Mr. Bijayananda Mohapatra, our Chief Operating Officer, Mr. Deepak Mohanty, heading the Ferro Alloys Business Unit, Mr. Binoy Agarwalla, heading the Power Business Unit, and Mr. Sandeep B Narade, in charge of the Mining Business Unit.

Our agenda for today begins with a concise summary of the financial performance for the quarter ended September 30, 2023, and subsequently we will open the floor for Q&A session, offering you the opportunity to engage directly with our management team.

Without any further delay, I now turn the call over to Mr. Prem Khandelwal, our CFO and Company Secretary, to lead us through the financial highlights. Over to you, sir.

Prem Khandelwal: Thank you, Aryan. Good evening, ladies and gentlemen, and I welcome all of you to the second quarter FY24 Earnings Concall. The results for the second quarter has been much better in comparison to second quarter of last year, with the PAT surging from INR18 crores to almost INR90 crores, and EBITDA going up from INR79 crores to INR162 crores. Mainly on account of the lower cost, the cost of production has gone down from INR82,115 per ton to INR72,861 per ton. However, the price realization has also gone down, but not so much, from INR1,15,000 to almost INR1,10,000.

For the half year also, the results are much better. The profit after tax has gone up to INR200 crores compared to INR151 crores. The production and sales numbers, production has gone up from 61,000 to 67,000 tons. Power generation has gone up from 275 million units to 296 million units, and chrome ore production has gone up from 79,000 tons to 1,34,000 tons. The price realization I have already mentioned, it

has gone down from INR1,15,000 to INR1,10,000. And cost of production has gone down from INR82,000 to INR73,000. With this, we can start the Q&A session. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. We take the first question from the line of Mr. Aditya Rathi from Aequitas Investments. Please go ahead, sir.

Aditya Rathi: Thank you for considering the question, sir. Sir, I wanted just a little clarification on what are we expecting in terms of cost per ton in next quarter and reasons pertaining to it.

Prem Khandelwal: Aditya, cost for the next quarter may be more or less the same. Although there will be some reduction on coke cost, but there will be some increase on power cost. So, I think for the next quarter also, cost is more or less likely to remain the same at these levels.

Aditya Rathi: Okay. And sir, what about the realization as compared to this quarter for next quarter?

Prem Khandelwal: That would be very difficult to give at this moment. We will come to know at the end of the quarter only because we are selling 60%-70% on long term, but another 30%-40% we are selling on a spot basis. So, the blended will come to know after the end of the quarter only.

Aditya Rathi: But just a wild guess or directional guidance towards where we see it going?

Prem Khandelwal: I think it should be more or less in line with the second quarter.

Aditya Rathi: In line with second quarter?

Prem Khandelwal: Yes.

Moderator: Thank you, sir. We take the next question from the line of Kaushal Kedia from Wallfort PMS, please go ahead, sir.

Kaushal Kedia: Sir, any update on the money that we are supposed to receive from JSPL?

Prem Khandelwal: Sorry, I didn't get you. Hello, you have some noise in the background.

Moderator: Hello, Mr. Kaushal. Sir, it looks like the line for the current question is disconnected. We move on to the next question from the line of Aashav Patel from Molecule Ventures PMS.

Please go ahead, sir.

Aashav Patel: Thank you for the opportunity. Very good evening, Premji and the entire team. Congratulations on the excellent set of numbers despite very soft demand, seamless steel demand at Chinese end. So, sir, my question is that our anticipated cost of production for the result which you have posted, which is Q2, was around 78,000 per ton, right, per ton. But you have mentioned in the opening remark that it is 72,000 per ton. So, I just wanted clarity on those lines.

Prem Khandelwal: No, 72,000 is the cost of production, Aashav.

Aashav Patel: For this 72,000, it is for Q2, right?

Prem Khandelwal: Q2, yes

Aashav Patel: Okay.

Prem Khandelwal: Per INR 72861 per ton – is the cost of production. And what you are mentioning is the cost of goods sold, which is around INR 76,000 and EBITDA Cost is around INR 78000.

Aashav Patel: Okay. And what would be the realization for Q2?

Prem Khandelwal: Q2 realisation is 1,10,000.

Aashav Patel: Okay, 1,10,000.

Prem Khandelwal: Yes.

Aashav Patel: You are also considering the other income part of it in this realization?

Prem Khandelwal: No, no. This is the prime realisation I am talking about.

Aashav Patel: Okay.

Prem Khandelwal: Other income is separate.

Aashav Patel: Okay. And we expect around 2,000 to 3,000 per ton of reduction in the COP for Q3, right?

Prem Khandelwal: That is on the Coke front. But there might be some marginal increase on the power front.

Aashav Patel: Okay. Got it. And sir, next question is that we have – day before yesterday only we announced that our WOS, which is Utkal C, would get amalgamated in the parent entity. So, I just wanted to understand that transaction because historically that was only 80% owned by the parent entity and remaining 20% was not with parent entity.

So, when we received this INR 400 Crores, assume INR 400 plus crores amount, whatever it comes out to be. So, what exactly does the parent entity get? Do they get the entire 100% of it or they will get the 80% of it?

Prem Khandelwal: No, no. You see, first this

money will have to be paid to IMFA because they have extended the loan to UCL. So, the amount will be first repaid to IMFA for some interest. And if anything, else is left, then that will be distributed among shareholders. Okay.

Aashav Patel: Is there equal proportion of ownership?

Prem Khandelwal: Sorry?

Aashav Patel: Is there equal proportion of ownership? Is there proportion of ownership?

Prem Khandelwal: Yes, yes, yes.

Aashav Patel: Got it. Okay, sir. That's all from my side. Thank you.

Moderator: Thank you. We take the next question from the line of Mr. Saket Kapoor from Kapoor and Company. Please go ahead, sir.

Saket Kapoor: Yes. Namaskar, sir. And thank you for the opportunity.

Prem Khandelwal: Namaskar, Saket.

Saket Kapoor: Sir, you mentioned about lower metallurgical coke prices. As earlier also, in the earlier call also it was mentioned that it is booked and the benefit has a lag after two quarters. So, up to quarter, I think the quarter four that you told that the lower price benefits would prevail. What are the current price trends for the metallurgical coke, sir?

Prem Khandelwal: It has gone up after that. Whatever tonnage we have booked after that, the last tonnage what we have booked is at \$340. As compared to \$316, the lowest whatever we have booked.

Saket Kapoor: So, this \$316 is in transit and this will be consumed sometimes in the fourth quarter.

Prem Khandelwal: Yes, third and fourth quarter.

Saket Kapoor: Third and fourth quarter. And for the first quarter?

Prem Khandelwal: Deepak, are you able to speak now?

Deepak Mohanty: Yes. It will be mostly consumed in the last fourth quarter.

Saket Kapoor: Okay. And for Q1 next financial year, we have booked it for \$340.

Deepak Mohanty: \$345 around Yes.

Saket Kapoor: Sir, for the thermal coal, I think so last quarter also you mentioned that the variable cost will go up because of in this quarter, I mean quarter two because of some maintenance, plant maintenance and all. I think, what have been the per unit cost, sir for us?

Prem Khandelwal: The variable cost per unit for second quarter was INR 4.

Saket Kapoor: Okay.

Prem Khandelwal: As compared to...

Binoy Agarwalla: That cost will be booked now in quarter three. We have already taken the shutdown, but cost will come in Q3.

Saket Kapoor: Okay. I can take. So, that INR4 was the cost for Q2 and it will go up to INR4.50 for Q3.

Binoy Agarwalla: Not INR4.50, around INR4.15

Saket Kapoor: Is it feasible to split the cost of INR72,861 between contribution from metallurgical coke and thermal coal or power for INR110 crores?

Prem Khandelwal:Saket, those details I don't think it's appropriate to give those details here in the call.

Saket Kapoor:No issue, sir. I will take it separately. But coming to my point about the green field project, sir. What is the -- any other further current update? Are there things in this process, in the pipeline?

Prem Khandelwal:I would request Bijayananda to answer that.

Bijayananda Mohapatra: This renewable power, round-the-clock power is a hybrid power of solar and wind. We have signed up the term sheet with the party and we will go for power purchase agreement and shareholding this month. And the generation will be in between March, April '25 to June '25. They will start giving power to us and the capacity is 50 MW with availability factor of 80%.

Prem Khandelwal:I think he is asking about the Kalinga Nagar project.

Saket Kapoor:Yes. That was I -- anyway, sir but when you are dwelling with that 30 MW that will be for the existing facilities of IMFA?

Prem Khandelwal:No, this is for Kalinga Nagar we are talking about.

Saket Kapoor:Okay. The green power energy agreement is also for Kalinga Nagar?

Prem Khandelwal:Yes.

Bijayananda Mohapatra: Not only for Kalinga Nagar, it is for Kalinga Nagar as well as for Therubali. We will push some of our captive power from here also.

Bijayananda Mohapatra: From Choudwar thermal power plant.

Saket Kapoor:Okay. Sir, if we take our earlier conversation for the quarter one, we were I

looking for more or

less similar numbers for the entire year. But with quarter two performance and I think what our MD also commented in an interview just an hour earlier, we are looking for, as of now, similar set of performance even for H2. So, we are confident now that H1 and H2 may be on similar lines. Earlier we were looking for?

Prem Khandelwal:No, Saket, we can't comment on these numbers. This is just a guess. You have to estimate the numbers. We can't comment on that.

Saket Kapoor:Correct, sir. Sir, can you explain me the reason for expected credit loss of INR21 crores that we have booked in the cash flow, sir? The reason why and last year also there was this credit loss was there?

Prem Khandelwal:No, I need to check that one. I don't have the numbers readily available with me.

Saket Kapoor:Okay. One more question from cash flow part. On the income tax paid, we paid around INR53 crores for the first half. So, this INR53 crores is the only income for this financial year or the previous year tax item is also there. If you look into my questions, I can get them answered later on also. But if you have handy, please?

Prem Khandelwal:No, I don't have the numbers handy with me. Need to check.

Moderator: Thank you. The next question is from the line of Ashish Kejriwal from Nuvama Wealth Management. Please go ahead, sir.

Ashish Kejriwal:Yes. Thanks for the opportunity. Good evening, everyone. Sir, my question is on this Utkal C mine. What is the status on that? Because what we understand is that the other party has already gone ahead and they are removing the overburden and coal is going to come by December also. So, because we have not been paid yet. So, what is the status over there and what actions we can take in order to receive that money?

Prem Khandelwal:See, these two things are separate, Ashish. Getting money and operating mines are totally different. The vesting order has been issued, so they are the owner of the mines now. And as far as money is concerned, that is a separate transaction which is being dealt with by nominated authority. Okay, so they have to pay to nominated authority. They in turn will pay to us. So, there is no link between the operation of the mine and payment of compensation.

Ashish Kejriwal:So, where is the status now? Because last time we thought that it should be within a week?

Prem Khandelwal:Yes, status remains the same. We are still waiting for final order of nominated authority. The meeting held on 13th of October. They said within seven to 10 days they are going to issue final orders but still they have not issued the same. And we are waiting for final order.

Ashish Kejriwal:Okay. So, we can't do anything. We just have to wait for final order?

Prem Khandelwal:Unfortunately, that is the provision in the law. So, we have to wait for the final order. After that only any action can be taken.

Ashish Kejriwal:Sure, sure. And secondly, when you are giving the numbers of cost of goods sold as well as realization. But when we calculate our realization from the P&L, the revenue in a volume number which you gave, it seems that ferroalloy realization is something like INR 1,01,000.

Whereas, you said INR 1,10,000.

Prem Khandelwal:That is the average realization you are talking about, Ashish. I gave you number of prime

realizations. We have a sub-standard sale also.

Ashish Kejriwal:Okay.

Prem Khandelwal:So, whatever number you are giving is average realization for prime and sub-standard.

Ashish Kejriwal:Okay, okay. So, is there any change in the product mix in this quarter as compared to last quarter?

Prem Khandelwal:No, there is no change in the product mix. But whatever price you get in the market, that is for prime. So, if you have to compare apple to apple, then you need to compare with the prime realization only.

Ashish Kejriwal:Okay. So, you mean to say that 110 is the prime one and obviously sub-standard could be much lower. So, is it possible to give the mix between your pri

me and sub-standard?

Prem Khandelwal:It varies quite a lot every quarter. It depends on what kind of chrome content is there. Deepak, could you elaborate on that?

Deepak Mohanty:No, no. Normally, when you produce ferrochrome, you get prime and sub-standard, which is substantially different than the prime product, which goes at a very low price because you cannot keep everything inside the plant and you have to sell it out. So, for that reason, and there is a limited market and all, so depending upon the situation and all, we sell those things. So, if you add that, normally it's around 6% to 7% of the total product, that kind of market.

Ashish Kejriwal:Okay. So, you mean to say when we are selling 67,000, around 6% to 7% is sub-standard and rest is prime?

Deepak Mohanty:Sometimes. It depends. Sometimes we don't sell, sometimes we sell it based on the requirement of people, those who use that and all, so it depends.

Ashish Kejriwal:Okay. And in terms of cost also, when we say 73,000, is it somewhat different from what we get? Because ultimately, we are getting the EBITDA per ton, which is around INR22,000 per ton, but the number which has been shared, that seems EBITDA per ton should be much higher?

Prem Khandelwal:No, cost is derived by the Prime production only.

Ashish Kejriwal:Right. So, when you are talking about INR73,000 per ton, that is cost of the Prime?

Prem Khandelwal:Yes.

Ashish Kejriwal:And sub-standard, obviously, that is subservient in that. We don't have extra cost in that.

Prem Khandelwal:Yes.

Ashish Kejriwal:Okay. I'll just look into the math and maybe I'll get back to you soon.

Prem Khandelwal:Okay. Right. Thank you.

Ashish Kejriwal:And sir, lastly on Greenfield project. Have we ordered our long gestation period machineries, that one lakh ton?

Bijayananda Mohapatra : Yes. We have gone for mainly the furnace transformer which we have already ordered and expected to reach our site by December '24. The other things required for operation are under process for finalization of orders, which will be majorly done by November and December of this year.

Ashish Kejriwal:Sir, when we are expecting our first commercial production to start from the new one?

Bijayananda Mohapatra: As on date, we are expecting in the month of May, June of 2025. Commissioning.

Ashish Kejriwal:Okay, sir. Thank you. And lastly, if you can share your net cash position at the end of second quarter, that will be helpful?

Prem Khandelwal:Net cash position in the second quarter is around INR449 crores.

Ashish Kejriwal:This is cash?

Prem Khandelwal:Yes.

Ashish Kejriwal:And what about gross debt which includes working capital?

Prem Khandelwal:Working capital loan is around INR350 crores.

Ashish Kejriwal:INR350 crores. Okay. And I think we don't have any long-term debt?

Prem Khandelwal:No. We don't have any long-term debt.

Ashish Kejriwal:Sure. So, roughly net cash is our INR100 crores?

Prem Khandelwal:Yes.

Ashish Kejriwal:Okay. Thank you, sir. Thank you so much and all the best.

Moderator: Thank you. We take the next question from the line of Joe Shah from 7Seas. Please go ahead, sir.

Joe Shah: Prem, you mentioned that we are waiting for the final order of nominated authorities regarding Utkal C compensation. Now, is it that the JSPL has to accept this final order or again they can go for litigation, they can take us to court and waste our time and everybody's time? And is there any -- suppose they go to court, then again we should be entitled to some compensation for delayed payment of the compensation.

So, INR 416 crores. Suppose they delayed by one year, we should have INR50 crores, 12% per annum. We should have some compensation. So, what is your idea about this? Because we are worried about the delay actually.

Prem Khandelwal:It is very difficult to comment on that, Joe bhai, because I don't know what they are going to do. After getting the final order, we'll come to know what are their action plans. So, we can't comment on that.

Joe Shah:

Okay. Let us wait for this final order. Thank you. And Deepak, one question for you. We are all worried about the China, very slow market in China. Do you think that in six months' time, say from April 2024, April-May 2024, there should be improvement in Chinese market? You are experts in this subject. So, please let us know your views.

Deepak Mohanty: I think nobody can predict from now, what will be in the first quarter of next year. But, however, they need to stabilise. There is a certain kind of crisis mainly based from the real estate side. So, things need to settle and there are many other factors which can change the scenario immediately. So, that's why. But we should always hope that things should come to proper perspective and things should move on well. So, infrastructure will develop and more depend on our Indian development also.

Joe Shah: Right. Okay. Thank you.

Deepak Mohanty: Okay.

Moderator: Thank you, sir. The next question is from the line of Aditya Rathie from Aequitas Investments. Please go ahead, sir.

Aditya Rathie: Sir, continuing on the Utkal 'C' allotment. As far as I remember, last time we spoke and you said that until and unless they pay us the money, they can't start operating in the mining. And I just read in the JSPL report that they'll probably start it by November of this year. So, do we expect to receive the money around it before it? What do we expect? What is our outlook towards it?

Prem Khandelwal: As I said, we are waiting for the final order of nominated authority. It all depends on that.

Aditya Rathie: And that means that they can still start it without paying us?

Prem Khandelwal: Yes, they can. As per the law, they can start the operations. Because the mines have been vested to them now.

Aditya Rathie: Okay. And, sir, when will the order come?

Prem Khandelwal: That, we are also waiting for last 15 days. So, it's a government machinery. Very difficult to predict any timeline for that.

Moderator: Thank you, sir. The next question is from the line of Mr. Rakesh Roy from Omkara Capital. Please go ahead, sir.

Rakesh Roy: Hi, sir. Sir, my first question regarding China, sir. So, China recently, sir, announced a 1 trillion, sir, steel usage for 2024. Any comment on this one?

Deepak Mohanty: Actually, it's not very clear. Can you repeat the question?

Rakesh Roy: Yes, sir, China government recently announced nearly 1 trillion RMB for infrastructure. So, in that case, sir, in China, steel demand will improve? Your view, sir?

Deepak Mohanty: Yes. It really has. Because, you must be aware, two major infrastructure developers, Evergrande and Country Garden, they were struggling with heavy debt. And that has put them back and real estate is not. And infrastructure in that real estate, lot of steel usage stimulus. So, if that comes to proper thing, I think it will go up.

Rakesh Roy: Okay. So, in that case, our realization also improved for CY '24?

Deepak Mohanty: Pardon?

Rakesh Roy: Sir, if steel demand will improve in China, in that case, in our realization, our realization also increased, sir? Can we assume?

Deepak Mohanty: No. We have already, Mr. Khandelwal has informed that we sell in 30% to 35% maximum in the spot basis. So, in those, it will naturally, if the prices go up, our realization will go up. But other measure, we work on quarterly or long-term pricing kind of thing. So, for this quarter, there should not be much change. But it depends on how that 30%- 40%, what counts.

Rakesh Roy: I'm just saying for FY '25, sir. For FY '25 onwards, sir?

Deepak Mohanty: Nobody can tell how, what will be. You don't know. Now, this Israel conflict is going on. That can affect many things. Even the World Bank prediction is barrel rate can go up to \$150. So, if, who knows how it will pan out, how it will be. There are many, that's why I told in the previous, there are many factors which can affect. If something happens in South Africa, things will change in the top of a hat only immediately. So, there are many issues, but we

should be forward looking and positive.

Moderator: Thank you. We take the next question from the line of Mr. Saket Kapoor from Kapoor and Company. Please go ahead, sir.

Saket Kapoor: Yes, sir. Sir, for 65% of our sales is long-term. So, how have the benchmarks cents is trending for this quarter and versus last quarter?

Management: So, benchmark has gone up by \$0.02. So, basically it was \$1.51. Now, it has become \$1.53. But with the discount, the actual operation is happening. So, there is a slight minor increase in the benchmark related prices.

Saket Kapoor: Sir, I missed your discount part. Can you repeat your statement once again?

Deepak Mohanty: No. I showed \$1.51 per pound of chromium was the declared benchmark price for Q2. And for Q3, it is \$1.53 per pound of chromium. So, basically, so, but normal actual transactions does not take place at that. With a discount to that, it operates. So, accordingly, but since the prices

have gone up marginally, even our long-term prices also have gone marginally.

Saket Kapoor: Sir, what are the current spot prices for the month of October? How are the Ferrochrome prices trending?

Deepak Mohanty: No, actually, if you spot price, if you talk about China, which is the major price, it was around \$0.94. But October, but in November, it has gone down little bit, \$0.92, \$0.93. Domestically also, it has been at the moment around INR1.10 lakh. So, which has also gone down recently. But things can change anytime because these are not viable rates for any policy.

Saket Kapoor: But we are hovering in the range of INR1.10 lakh to that extent?

Deepak Mohanty: Yes, in the domestic market, that is what.

Saket Kapoor: And 35% of the sales are determined by these prices only?

Deepak Mohanty: Yes, domestic as well as spot in China and other places.

Saket Kapoor: Sir, when we heard Mr. Panda today in the conference, in a media interview, he did spoke about that Kalinganagar unit is designed closer to the hub of stainless steel. And we will be focusing more on the domestic demand since we are now, the type of the economy for the country is now moving up.

So, do we see a change in trend on the -- on our buyers going ahead as has been, that has not been the case earlier. We have already been an export-oriented unit dependent on export as the main selling. But the comments were different. So, what's the thought process on the new capacity that we are setting up and who will be the buyers? How are we plan to sell the expanded capacity?

Deepak Mohanty: Actually, you see, expanded capacity, we are looking for new horizon. We cannot -- we are not in the planning to increase our involvement at the present areas. Mostly we will see, but as the domestic demand is expected to go up, naturally we will cater more to domestic, if that is to the sale and mostly because the ferrochrome prices remain in line with the world trend. So, I don't think we'll have to look for other geographies if there is a demand in the domestic market. It all depends on how the domestic market and how is the requirement based on that, naturally we have to cater.

Saket Kapoor: The short point was that is there any incremental demand from the existing customers or how is the commitment from your long-term contracts are? Do you have that off-take agreement revision two years down the line from where, like POSCO takes 7000 ton per month, so that gets revised to 10k ton or any other figures? Anything on that timeline that we have or this is the quantity that is continued?

Deepak Mohanty: No, we have the opportunity because of our quality and timely delivery everywhere, wherever we are supplying, but we are looking for new geographies and spread in our marketing strategies.

Saket Kapoor: Okay, sir. I also congratulate the Board for the interim dividend part, that too on the higher side at INR7.50. Although, sir, paying dividend to investors and also promoters being the largest shareholder, the tax incidence part is significantly higher, since it is tax

on recipients,

but considering buyback would have been more tax efficient way of distributing cash to the investing community.

So, I would request to deliberate on buyback also as a medium to distribute cash, although we know that a large capex is in the anvil, but still, that would also give a very different message also in terms of the valuation at which our stock is trading? So, that was my understanding and my submission. And all the best.

Prem Khandelwal: Saket, we have dealt with this point several times and the management view is very clear that buyback is not a viable option at the moment for us.

Moderator: Thank you sir. We will take the next question from the line of Joe Shah from 7Seas. Please go ahead.

Joe Shah: Deepak, I understand that there is a power problem in South Africa which is making the Ferro Chrome production in South Africa difficult and expensive, but there is no disturbance of export of UG2 to China. So, unless and until there is a disturbance of Chrome Ore export to China, we cannot expect Chinese cost of production export process to go up and Ferro Chrome to be able to go up. So, what is your take on the UG2 export from South Africa to China?

Deepak Mohanty: No, no. That naturally I cannot comment directly, but you might have seen that there is an appreciation in South African currency Rand while there is a depreciation in Chinese currency.

So, if South African appreciate, then naturally the UG2 prices will go up. But how it pans out and all, how stable it is, it all to be seen. Nobody can predict at the moment.

Joe Shah: Okay. Then one more question for you. I understand that Boundary Wall for Kalinga project, the construction of Boundary Wall will start around December '23. What is your target?

Deepak Mohanty: Bijayananda, would you answer that?

Bijayananda Mohapatra : Actually, we are supposed to start the Boundary Wall in the month of October, but in the October month it got delayed because of Pooja and some friction among the contractors. So, hopefully we are expecting that Boundary Wall mid of the November will start.

Moderator: Thank you. The next question is from the line of Ashish Kejriwal from Nuwama Wealth

Management. Please go ahead, sir.

Ashish Kejriwal: Thanks for the opportunity. Sir, I was just trying to calculate the number, but I was unable to do that. So, please help me in that. You said INR110,000 is a prime product price and you said there was a cost about something like INR72,000 even cost of goods sold around INR76,000. So, which means you are saying around INR34,000 per ton is EBITDA, which we are generating on our prime product?

Prem Khandelwal: Ashish, let me stop you there. I said cost of goods sold. I didn't tell you the EBITDA cost. EBITDA cost is INR78,000.

Ashish Kejriwal: So, what is the difference between this EBITDA cost and this INR76,000?

Prem Khandelwal: There are impact of changes in inventory and there are unallocable expenses also there related to CHQ our head office. So, those costs will also get added there. So, EBITDA cost if calculate EBITDA, then EBITDA cost is INR78,000.

Ashish Kejriwal: Okay. So, let it be INR78,000 also. Then INR110,000 minus INR78,000 is your INR32,000 should be the EBITDA per ton for prime products.

Prem Khandelwal: No, no. You just said average is 1,01,000.

Ashish Kejriwal: No, no. You said average is a prime.

Prem Khandelwal: Prime realization is INR1,10,000. But our average relation is INR1,01,000 because we have sold some substandard material also.

Ashish Kejriwal: Understood, sir.

Prem Khandelwal: If you are dividing direct sales from tonnage, then you won't get this number.

Ashish Kejriwal: No, no. What I am trying to do is that we said that normally 6% is our substandard project. So, even if we assume 10% was there, then also I was trying to look at EBITDA calculation for our prime product. So, suppose INR67,000 out of that 10% is your substandard. So, roughly INR60,000 should be our prime. Then if I am trying to calculate that INR6

0,000 with your

INR32,000 per ton, then also my number comes to be closer to INR200 crores, whereas we have reported INR150 crores. I am not calculating any substandard project profitability also if it happens. So, I am just trying to get that maths in right order. Or I can ask you offline.

Prem Khandelwal: There are lot of other components also. You go through the results; you will come to know. You need to add everything there.

Ashish Kejriwal: I think I can take it offline then.

Prem Khandelwal: Yes, yes. You take it offline, you need to rework it again, because there are other incomes the other expenses also which need to be taken into account for calculating EBITDA.

Ashish Kejriwal: When we are saying INR78,000 we are not including other expenses in that.

Prem Khandelwal: No INR78,000 we are including all the expenses, barring finance and depreciation.

Ashish Kejriwal: That's what I am asking sir, because INR 78000 is above EBITDA INR 11000 is above EBITDA so difference is 32,000...

Prem Khandelwal: No, you are not getting the point.

Ashish Kejriwal: Okay. I will take it offline then sir.

Prem Khandelwal: Yes.

Moderator: Thank you. We take the next follow-up question from the line of Mr. Saket Kapoor from Kapoor and Company. Please go ahead sir.

Saket Kapoor: Sir, when we look at this employee benefit expenses of INR51 crores, does the commission on profits being factored for the MD and the KMPs?

Prem Khandelwal: Yes. Right.

Moderator: Thank you sir. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to Mr. Abhisekh Sawant for closing comments. Thank you and over to you sir.

Abhisekh Sawant: Dear all, your presence on this conference call today has been greatly appreciated. We have had the opportunity to delve into IMFA's future growth strategies and how we plan to navigate these challenging times. Our optimism for the growth journey ahead, not only within India, but also in other regions is unwavering.

On behalf of the company's esteemed board of directors and dedicated management team, I extend our heartfelt gratitude to each one of you for your active participation in today's call. Your interest and insightful questions have been a valuable contribution to our disclosure. Should you have any further inquiries or regional additional information, please do not hesitate to reach out to us or you can also contact my colleague; Aryan Rana at aryan.rana@veritasreputation.com. We remain at your service to address any queries you may have. Once again, thank you for being a part of this conference call. We eagerly anticipate a promising future and continued growth together. Wishing you all a very happy Diwali and a wonderful year ahead.

Moderator: Thank you. On behalf of Indian Metals and Ferro Alloys Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

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The Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza
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Bandra-Kurla Complex
Sandra (E)
Mumbai-400051
Stock Symbol & Series : IMFA, EQ
Sub : Earnings Call Transcr ipts
Dear Sir/ Madam, 7th February, 2024
The Deputy General Manager
(Corporate Services)
BSE Limited
Floor 25, P.J. Towers
Dalal Street , Fort
Mumbai-400001
Stock Code : 533047
Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, the transcript of the audio
call recording of the Company 's Investor / Analyst Call held on
31st January, 2024 on the Unaudited Standalone and Consolidated
Financial Results of the Company for the quarter and nine months ended
31st December , 2023 is attached herewith.
You are requested to take the same on record.
Thanking you
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PANY SECRETAR Y
Membership No: F3526
Encl : As above.
Page 1 of 20

"Indian Metals & Ferro Alloys Limited
Q3 FY '2 4 Earnings Conference Call "
January 31, 202 4

MANAGEMENT : MR. PREM KHANDELWAL – CHIEF FINANCIAL
OFFICER AND COMPANY SECRETARY – INDIAN
METALS & FERRO ALLOYS LIMITED
MR. BIJAYANANDA MOHAPATRA – CHIEF OPERATING
OFFICER – INDIAN METALS & FERRO ALLOYS
LIMITED
MR. DEEPAK MOHANTY – HEAD OF FERRO ALLOYS
BUSINESS UNIT – INDIAN METALS & FERRO ALLOYS
LIMITED
MR. BINOY AGARWALLA – HEAD OF POWER BUSINESS
UNIT – INDIAN METALS & FERRO ALLOYS LIMITED
MR. SANDEEP B. NARADE – HEAD, MINES BUSINESS

MODERATOR : MR. ARYAN RANA – VERITAS REPUTATION

Indian Metals & Ferro Alloys Limited
January 31, 2024

Page 2 of 20

Moderator: Ladies and gentlemen, good day , and welcome to the Earnings Conference Call of Indian Metals and Ferro Alloys Limited, arranged by Veritas Reputation. At this moment, all participant lines are in the listen -only mode. Later, we will conduct a question -and-answer session. At that time, if you have a question, you may please press star and one on your touch tone keypad. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aryan Rana from Veritas Reputation. Thank you and over to you, sir.

Aryan Rana: Thank you, Liza nn. Good evening, everyone. We warmly welcome and express our gratitude to each one of you for being a part of today's Earnings Conference Call for Indian Metal s and Ferro Alloys Limited.

I'm Aryan Rana, your host for this session, and it brings me great joy to guide you through the proceedings as we analyse the financial results for the quarter concluding on December 31st, 2023. We 're delighted to announce that IMFA s Market Valuation has witnessed an impressive surge of nearly 103% in the past 10 months, crossing the INR3, 000 growth market capitalization milestone. IMFA s Market Valuation currently stands at approximately INR 3,548 crores.

This achievement, despite external challenges, solidifies IMFA s position as India 's foremost fully integrated manufacturer of superior ferrochrome in the metal and mining industry. While the detailed financial results are available on our company website and stock exchanges, it 's essential to note that our discussion may include forward-looking statements contingent upon known and unforeseen risks and uncertainties and various factors. So, for a comprehensive overview of our Q3 financial performance and address any queries you may have, we are honoured to have esteemed members of our management team present today.

I welcome Mr. Prem Khandelwal, our CFO and Company Secretary ; Mr. Bijayananda Mohapatra , our Chief Operating Officer ; Mr. Deepak Mohanty, overseeing the Ferroalloys Business Unit ; Mr. Binoy Agarwalla , heading the Power Business Unit ; and Mr. Sandeep B. Narade, in charge of the Mining Business Unit.

Without further delay, I now hand over the call to Mr. Prem Khandelwal, our CFO and Company Secretary, to guide us through the financial highlight s. Over to you, sir. Thank you.

Prem Khandelwal: Thank you, Aryan. Good evening, ladies and gentlemen. I welcome you all to this Q3 FY '24 Earnings Call of the Company. Third quarter years have been excellent, as you might have seen, especially if you compare it from the corresponding quarter of previous year.

Although sales has gone up by 10 % from INR614 crores to INR675 crores , the profit has gone up by tenfold from INR 10 crores to INR108 crores . The primary reason for this increase is the higher realization and lower cost. The sales realization has gone up from 93,000 to 1,03,000 in the corresponding quarter, and costs have gone down from INR 80,000 to INR 72,000.

Rest, all the figures are in public domain already through our press release , so I will not delve into those, and we can start the Q&A session now. Thank you.

Indian Metals & Ferro Alloys Limited
January 31, 2024

Page 3 of 20

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question-and -answer session. The first question is from the line of Kaushal Kedia from Wallfort. Please go ahead.

Kaushal Kedia : Hi. Thank you for taking my question. Sir, on the capex , I just want to understand, the capex is on track, and how are we going to go about the capex on the Chrome Ore Mining Front and the Furnace Front? Can you just explain in a little detail, please?

Prem Khandelwal : Yes, capex front, we are well on time, but the possession of land is getting a little delayed, so we are trying to overcome that. But if we are

not getting the possession within time, then it might get delayed a little bit. But that is not going to suffer the project too much. We will try to contain that delay. And as far as the amount is concerned, the furnace, we are going to spend around INR600 crores. And on mining, we are going to spend around INR 1,000 crores. But this capex is going to be spent over a period of seven years.

Kaushal Kedia : Sir, so the furnace capacity will go up by 33%, right?

Prem Khandelwal : Yes, it will go up by 1 lakh ton . So, from 2,84,000, the capacity will go up to 3,84,000.

Kaushal Kedia : Okay . Sir, and the mining capacity, the commentary by Mr. Panda in the press release, he has said that this year we will cross 6 lakh tons for the first time. So, the mining capacity, we are increasing gradually. Is it so?

Prem Khandelwal : Yes.

Kaushal Kedia : So, the blast furnace, if everything goes...

Prem Khandelwal : Yes, sorry . Please go ahead.

Kaushal Kedia : So, the blast furnace, if everything is on track, I believe the blast furnace will come on track by September '26, correct?

Prem Khandelwal : No, it's September ' 25, not '26.

Kaushal Kedia : Okay . By September 25, okay. If the land procurement is on track?

Prem Khandelwal : Yes.

Kaushal Kedia : Okay . But the mining capacity, that will go up gradually. So, we should see more than 6 lakh tons in FY '24. And by FY '25, that means by March FY '25, how much should we see on the mining front?

Prem Khandelwal : Sandeep, would you answer that?

Sandeep B. Narade: So, in FY '25, we are targeting 7.3 lakh tons of ore.

Kaushal Kedia : This is March '25.

Indian Metals & Ferro Alloys Limited
January 31, 2024

Page 4 of 20

Sandeep B. Narade: FY'25. FY'24, we will be crossing 6 lakh tons , close to 6.7 lakh. And in FY '25, that will be 7.3 lakh.

Kaushal Kedia : So, sir, this excess chrome ore, we are hoping to sell it in the open market then?

Prem Khandelwal : No. We have no plans to sell in the open market. The excess ore, either we'll stock it or we'll look for some alternative to use that ore. But no plan to sell ore in the market.

Kaushal Kedia : Why, sir? Because in the domestic market we can command a good price also, right?

Prem Khandelwal : No, but as a policy, we are not selling ore.

Kaushal Kedia : Okay, sir. Thank you.

Moderator: Thank you. The next question is in the line of Saransh Sethi from Samar Wealth Managers. Please go ahead.

Saransh Sethi: Sir, am I audible?

Moderator: Yes, sir. Please proceed.

Saransh Sethi: Sir, I want to know what are the key drivers behind driving growth and what is the future outlook on demand side?

Prem Khandelwal: Deepak?

Deepak Mohanty: Can you come again once again . I could not -- a little bit of echoing happened while you were speaking. Can you repeat your question?

Saransh Sethi: Yes, sir. Of course. Sir, I want to know what are the key drivers behind revenue growth and what is the future outlook on demand side?

Deepak Mohanty: No, demand outside, let me tell you, as per ISSS, which is the International Stainless Steel Forum. So, they are expecting around 4%, 3.6% growth in stainless steel and conjunctions , okay. So, in that manner, what it was expected for basically calendar year ' 23, it was around 60 million but actually it should be slightly less . But in calendar year ' 24, it is going to exceed 60 million tons . So, which will drive the requirement and all . And as such, we being the integrated producer and long-term kind of our agreement with many people. So, we have also opportunity when our other production comes into line, we have the opportunity to increase in those areas as well as new areas. We are also looking at different kind of products and also to cater to other markets also. So, I don't think as far as -- because demand and the thing is issue is there. So, we do not have any challenges really to enhance our invo

Ivement in the global front with the big players where

Indian Metals & Ferro Alloys Limited

January 31, 2024

Page 5 of 20

we have long -term relationships. Considering our consistency in quality and delivery everything, we have enough opportunity to cope up to the additional quantity. Hope I have explained ...

Prem Khandelwal: And Saran, as far as the revenue growth is concerned, we are already in the expansion mode and

we are putting up two furnaces in Kalinga Nagar. So, that will increase the capacity by 1 lakh ton. In FY '26, we will see the revenue growth also.

Saransh Sethi: And sir, secondly, do you have any significant plan for domestic markets?

Prem Khandelwal: Domestic market as of now -- yes, Deepak, please.

Deepak Mohanty: It is not at the moment, but as it grows, we will be also catering to the domestic market as per the requirement.

Saransh Sethi: Okay, sir. Thank you. That's all.

Prem Khandelwal: Thank you.

Moderator: Thank you. The next question is from the line of Dhviti from Molecule Ventures. Please go ahead.

Dhviti: Hello. Am I audible, sir?

Prem Khandelwal: Yes.

Dhviti: Good afternoon and congratulations on good set of numbers, sir. My first question is on if you could give breakup of cost of production per ton for Q3 FY '24 and EBITDA cost based on the RM prices.

Prem Khandelwal: Our Ferro Chrome cost for Q3 FY '24 is INR 72,000.

Dhviti: Okay.

Prem Khandelwal: And EBITDA cost for Q3 FY'24 is INR 79,000.

Dhviti: Okay. And how do we see that shaping up for Q4 FY '24?

Prem Khandelwal: It is more or less likely to remain same.

Dhviti: Okay. And sir, what about the power cost for current quarter and the Y-o-Y? So, if you could give a breakup of that.

Prem Khandelwal: Binoy?

Binoy Agarwalla: Sorry, I couldn't get you. You are comparing with Q3 FY '24 versus Q4 FY '24?

Dhviti: Q3 FY' 23 and Q3 FY '24.

Indian Metals & Ferro Alloys Limited

January 31, 2024

Page 6 of 20

Binoy Agarwalla: The power cost Q3 FY '23, it was variable cost was INR 4.77. And Q3 FY '24, the variable cost has come INR 4.30. There is a saving of around 47 paise.

Dhviti: Okay. And so, considering the rise in realizations of Ferrochrome in the past few months, how do we see our Q4 realization? Will it be similar to what we did in Q3? Or how is that standing out?

Prem Khandelwal: Look, Q4 realization will be a little lower, because the price -- the benchmark has come down by \$0.09. So, I think there will be some reduction in our price also.

Deepak Mohanty: I would like to add two things also. In addition to that, you know that Chinese New Year and other places like Kutuzov holidays and other things, particularly month of February, non-transaction, normally people don't conclude anything. They do it prior. So, it will be remaining in that level. So, it will be slightly lower with the decrease in long term, this benchmark price.

Dhviti: Okay, sir. And what will be our cost for coal and coke inventory? Has there been some spike in the coke prices? So, when will that be coming in the cost?

Prem Khandelwal: Deepak, coke cost?

Deepak Mohanty: Yes, coke cost, actually it has come down. We are using it somewhere in \$ 320 around in that range at the moment. And the prices are going up slowly, because the coking coal prices have also gone up. But our booking is always forward, because we get it from Columbia and it's a long lead time required for that consignment term.

So, our thing will be more or less in the range of the present market scenario, which is around \$350 to \$360. So, not much change will be there in coke, particularly coke front, which has come down drastically, in fact, from the earlier quarters, which we looked at earlier. In last year, corresponding quarter, it was quite high.

Dhviti: If you could give a number for that, sir?

Deepak Mohanty: So, corresponding year, if you look at the coke price

was something like 47,000 or something,

let me just one minute. It was around 47,000 around, which has come down by around 10,000 now, like 37,000.

Dhviti: Thank you, sir. That's all from my side.

Prem Khandelwal: Right. Thank you.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Yes. Namaskar, sir. Thank you for this opportunity. Sir, firstly, when we look at the numbers on a Q-on-Q basis, our depreciation has gone down from INR26 crores to INR15 crores. So, what explains this, sir?

Indian Metals & Ferro Alloys Limited

January 31, 2024

Page 7 of 20

Prem Khandelwal: We have changed the method, Saket, this time from WDV to SLM. That's why it has gone down from INR27 crores to INR14 crores.

Saket Kapoor: Okay. And now, sir, Q -on-Q, this will be the number going ahead?

Prem Khandelwal: Yes. Now, it is SLM. So, more or less, this is going to be the number going forward.

Saket Kapoor: Sir, why we have adopted this straight line method? What was the reason?

Prem Khandelwal: We had appointed a consultant to study the plant life and other things. And we have studied industry norms also. Most of the companies in our industry are following SLM method. We were only following WDV. So, we did a study and then came to the conclusion that SLM is more suitable to us compared to WDV. So, that's why we decided to change the method.

Saket Kapoor: And Prem sir, also for the other expenses, Q -on-Q, we see a reduction of INR7 crores on a base of INR118 crores. So, any one -off items or what has led to this reduction of INR7 crores?

Prem Khandelwal: Saket, INR7 crores is nothing. It's almost only 7%.

Saket Kapoor: 7% is there, sir?

Prem Khandelwal: Yes. So, it's normal, I think, some item might have reduced.

Saket Kapoor: Sir, can you give me the cost per ton for the second quarter? 72,000 you gave for Q3.

Prem Khandelwal: Yes.

Saket Kapoor: What would be the cost for the previous quarter, sir?

Prem Khandelwal: It was 70,500.

Saket Kapoor: Come again, sir?

Prem Khandelwal: 70,500.

Saket Kapoor: Okay. So, the cost has gone up Q -on-Q?

Prem Khandelwal: Yes.

Saket Kapoor: Okay. And the realization for Q2 and Q3?

Prem Khandelwal: Realization for Q2 was 1,01,000. Q3, I've already told, 1,03,000 INR.

Saket Kapoor: Okay. And for the next quarter also, these metrics are going to remain. But the selling price, we are not aware how it will shape up. But for the cost, it is going to...

Prem Khandelwal: The selling price will come down a little bit, but the cost will remain the same.

Indian Metals & Ferro Alloys Limited

January 31, 2024

Page 8 of 20

Saket Kapoor: Cost is going to remain the same. Sir, today in one of the interviews, MD did spoke about our ore output to go up, and you were earlier discussing. So, what are we contemplating in terms of the excess ore that we are going to mine? Other than stocking it, what other activities are we envisaging? Any type of job work?

Prem Khandelwal: Nothing, has been frozen at the moment, Saket. So, it's not proper for us to delve into that right now. We are just exploring the alternatives to use that ore.

Saket Kapoor: Okay, sir. So, lastly, sir, on the coal prices, we have seen in international markets, coal prices are only correcting by 8% to 10%. I'm not aware of the grades. So, how are the current coal prices, spot prices trending? And what kind of further advantage can we expect in terms of the coal prices and then also the trend for the metallurgical coke, if you could give some colour on that?

Management: Binoy, regarding coal, would you answer that?

Binoy Agarwalla: Yes, the coal price, as of now, it is in decreasing trend. Earlier, we used to buy spot auction at 6,000, 6,200 in FY23. But now it has come down to 4,000. It is slowly, gradually coming down.

If it remains like this, then our variab

le cost will remain also like in the same line.

Saket Kapoor: Okay, then for the coke part, sir, coke we are importing, metallurgical coke.

Deepak Mohanty: So, I told, as I told, considering the Colombian coke, particularly which we use, so it will be in the range of 350 to 360 over a period of next six months for our usage. Thereafter, nobody can say how it will turn out, coking coal and coke scenario and other things. So, for the moment, you may consider for next six months, it will be in that range, \$350 to \$360 per ton of coke.

Saket Kapoor: And lastly, sir, on the compensation part, the INR390 crores is what the figure that have been crystallized from the authority that will be due to the company?

Prem Khandelwal: Yes.

Saket Kapoor: And sir there is, again, the other party has gone to the arbitration to seek what relief, sir? What are they contemplating or contesting now?

Prem Khandelwal: Initially, they initially, they went to coal Tribunal for a stay of order, final order, which was turned down by the Tribunal. And now they are, they are, they are into the Tribunal to, for the

reduction in the compensation amount. We are also into Tribunal for whatever reduction the NA has done, INR64 crores reduction. We have also filed a case in Tribunal for re-estimating that amount, because there is no logic for reduction of amount.

Saket Kapoor: Okay. So, there has been a INR64 crores. No, no. I'm just seeking the clarification only, ma'am. No further question. There has been a reduction of INR64 crores on the sum of, nominated by, sums finalized by the nominated court. That is 390 minus 64. That is what they are...

Indian Metals & Ferro Alloys Limited
January 31, 2024

Page 9 of 20

Prem Khandelwal: 416 minus 352 they have done. So, the provisional order was INR416 crores. But it was 352 crores as per final order. So, the INR64 crores reduction, whatever they have done, we have challenged that also in coal Tribunal.

Saket Kapoor: Okay. But then, what is the reference of INR390 crores here, sir, when you are mentioning 416?

Moderator: Mr. Kapoor may we request you to return to the question. Sir, there are participants waiting for their turn.

Saket Kapoor: Done. Yes, ma'am. I'll join again.

Moderator: Thank you. The next question is from the line of Kaushal Kedia from Wallfort.

Kaushal Kedia: Sure, I just want to understand that demand is not an issue. I think when we had met you earlier also, you were pretty confident that demand is not going to be an issue even after capacity expansion. So, we could sell at the prevailing rates. So, if we want to model in our financial models for, say, three years down the line, it is safe to assume that given the prevailing realizations, EBITDA will go up by more than 33% going forward after expansion.

Prem Khandelwal: No, no. See, in our industry, it's very difficult to predict anything beyond one quarter.

Kaushal Kedia: Okay. No, fair enough. But I'm not saying, I'm not talking about the rates. I'm talking about more on the volume sales. So, after we've done the capex, demand is not going to be an issue.

Prem Khandelwal: Yes, yes. That's true.

Kaushal Kedia: Because I think, and as a policy, you're saying, so we don't want to sell ferrochrome in the domestic market.

Prem Khandelwal: Chrome ore I said, not ferrochrome.

Kaushal Kedia: Okay, sir because I think the way the stainless-steel demand is increasing, I think we'll have a big market in India for ferrochrome.

Prem Khandelwal: Yes, of course, if the market goes up in India, yes, that's, I think, Deepak Mohanty also said the same thing, that if the market goes up in India, we'll sell in the Indian market? Why do we export it then?

Kaushal Kedia: And I think the realizations will be slightly better also in the Indian market. Is my understanding correct?

Deepak Mohanty: No. Realization will be always in line with the world market price, because

there will be leads

that lag at certain points in time, or certain points where some glitches, like at the moment the chrome ore prices have gone up, for which the prices have gone up. But that is not a sustainable thing. And nobody in this world -- any country, they deal with their own prices, more or less aligned to the world price. Okay, and more or less in line.

Kaushal Kedia: And we are confident of finishing the capex in September '25.

Indian Metals & Ferro Alloys Limited
January 31, 2024

Page 10 of 20

Prem Khandelwal: Yes, as of now, we are trying to do that. But if the position gets delayed, then it might get a little bit more.

Kaushal Kedia: By about how many months?

Prem Khandelwal: Difficult to predict at the moment. Depends on when we get the position of land. Yes.

Kaushal Kedia: Okay, sir. Okay. Thank you very much, sir. All the best. Thank you very much.

Moderator: Thank you. The next question is in the line of Rakesh Roy from Omkara Capital. Please go ahead.

Rakesh Roy: Hi, sir. My first question is your realization part. As you said, in Q4, realization will come down. But if we see overall picture for CY24, you just mentioned that the stainless-steel business will grow nearby 3.6% on international level. So, we see any more realization will grow same like 3.6% or more than 3.6% in CY24?

Deepak Mohanty: No, actually 3.6% growth is also quite a bit, considering a lot of issues at the moment going on. Russia -Ukraine war has not stopped. And if it stops, it will not be 3.6%, it will be exponentially going up. And the rates we issue is also decreasing the trade and everything. So, a lot of stability needs to come in the world, then only you can think of any higher 3.6% growth is a very good growth if it is really achievable.

Rakesh Roy : And then how much growth you are looking for, you are seeing for the Indian domestic stainless - steel business for if you say CY24 and '25?

Deepak Mohanty: No prediction so far by anybody, but everybody said because as you know, the consumption per capita consumption is still below 2.5. Any minor change can lead to a very great requirement level. So, nobody can say, but things are pressing. So hopefully it will go up and then we'll be catering to domestic also.

Rakesh Roy : Okay. And any comments on the China economy and from your point of view on China, sir?

Deepak Mohanty: Chinese economy, you must have heard, they are facing certain crisis with real estate side and you know Evergrande has been directed for liquidation. So that is a good news and bad news also because that will ultimately make the things stable, which was unstable because they were trying to manage and manage. But particularly as I have told in the previous con call also, that Chinese stainless -steel producers are behaving good.

Indian Metals & Ferro Alloys Limited
January 31, 2024

Page 11 of 20

They don't want to bring down stainless steel production, not the ferrochrome production, but they are working on low margin. So that is why even now the production, ferrochrome production, if you look at, they are producing 650,000 per month and they are producing at least 3 million tons of stainless steel every month. So, it is a good thing they are managing and keeping the things in tandem.

So, I hope things will better and they are having also, government is having concerns, started certain concern because their population has come down by 0.15% to 0.08 million in 2023. So, if the population goes down continuously over the years, going ahead, their workforce will be going down, which is a concern they are working on. Otherwise, things are more or less stable.

Rakesh Roy : Right. So, one last question, sir. So last question is the same on realisation. I am just asking -- Q4, can we see Q4 is a bottom -out for realisation sir or is it or near term more downside of realisation, ferrochrome?

Deepa

k Mohanty: I think it will remain in the -- it will not go further down because of the cost. So only because of currency devaluation and all, they are able to work it out, but further going below will not be sustainable. As I told, both ferrochrome and stainless -steel people are operating at a very low margin,

Rakesh Roy : Right. Thank you.

Moderator: Thank you. The next question is from the line of Nihar Shah from Crown Capital. Please go ahead.

Nihar Shah: Good evening, sir. I'm fairly new to the company, so I have two, three questions. What are the opportunities we are exploring going ahead with the company?

Prem Khandelwal: Nihar, your voice is not clear.

Nihar Shah: Hello. Am I audible now?

Prem Khandelwal: Yes, a little better.

Nihar Shah: Yes, I was saying that I'm fairly new to the company. So, can you help me understand the opportunities we are exploring going ahead?

Prem Khandelwal: I didn't get your question, Nihar. Can you repeat it again?

Nihar Shah: Yes. Sorry. Now, now is it better?

Prem Khandelwal: Yes.

Nihar Shah: I am saying that can you help me understand the opportunities we are looking...

Prem Khandelwal: No, no, your voice is breaking again.

Indian Metals & Ferro Alloys Limited

January 31, 2024

Page 12 of 20

Moderator: Sorry to interrupt, Mr. Shah. Your audio is breaking up. Sir, may we request that you return to the question queue? Because we are unable to hear you clearly. Thank you. The next question is from the line of Vinay Nadkarni from Hathaway Investments Private Limited. Please go ahead.

Vinay Nadkarni: Yes, just wanted to check out, can you just give us some light on what is the cost of material as a percentage of sale and what would be the power cost as a percentage of sale? I believe these are the two key costs for you.

Prem Khandelwal: We need to work out percentage. Binoy its not...

Management: Actually, power, we are not selling. We are using as a captive.

Prem Khandelwal: No, no, he's asking about the power cost as a percentage of sales.

Vinay Nadkarni: Yes. Or the ferrochrome production.

Prem Khandelwal: So that we need to work out. We'll tell you that separately.

Vinay Nadkarni: Okay. Thanks. Thanks.

Prem Khandelwal: Right. Right.

Moderator: Thank you. The next question is on the line of Joe Shah from 7seas. Please go ahead.

Joe Shah: Deepak, I have one question for you regarding the impact of this. The Chinese reserve requirement issue has been reduced by \$0.50 cents, which is significant. Will it have any impact on the ferro chrome demand in China?

Deepak Mohanty: I couldn't hear. Somehow I got a break in between. Can you repeat?

Joe Shah: Yes. Now, Chinese reserve requirement ratio has been reduced by \$0.50 cents. So, to help struggling economy, Chinese economy, will it help in better ferro chrome demand from China?

Deepak Mohanty: With the ferro chrome demand, as you know, it is already there and they are also 50% dependent on export.

Joe Shah: Right.

Deepak Mohanty: Their internal consumption plus 50%, around 50% also, they require the export market. So, which is not in very good shape in Europe and UK or US and other places. So, it's not very good.

That's why they are keeping a tandem by producing, maintaining the level of stainless steel as well as ferro chrome, balancing the price and minimum things so that they need not to cut down.

And also, they are bringing up ferro chrome where it is more cheaper, like northern part, Inner Mongolia and on and closing down the high cost producers. That kind of balancing they are managing. So hopefully it will continue.

Indian Metals & Ferro Alloys Limited

January 31, 2024

Page 13 of 20

Joe Shah: Okay. Now, Deepak, one more thing. Today, MD mentioned in CNBC interview that average price for the Q3 was INR1,09,000 for the prime ferro chrome. Now here we are seeing the 1,23,000. So, what is the, actual

y, what is the difference? Why difference is there?

Deepak Mohanty: No, where you are seeing 1,23,000?

Joe Shah: No, here we are discussing. So, MD said that it was prime ferro chrome of Q3.

Deepak Mohanty: You know, total average realisation is 1,02,000, what Mr. Prem Khandelwal was informed, which we normally look at for the costing and in this. But there are certain rates and other things which goes at a higher and certain rates which goes at a lower. So overall, it is 102.

Joe Shah: Overall, the realization is 102 average?

Deepak Mohanty: Which was 93,000 in the corresponding quarter.

Joe Shah: Okay. Okay. Okay. Thank you. Thank you.

Moderator: Thank you. The next question is on the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Prem sir, I also missed this point. Then what is the significance of this 1,23,000 for number which you mentioned?

Prem Khandelwal: Where are you getting that number, Saket? 1,23, we have never mentioned.

Saket Kapoor: Okay, sir. Then please, I stand corrected. What was our realization for Q3?

Prem Khandelwal: 1,03,000, I said for quarter Q3 FY'24, it is 1,03,000 compared to 93,000 in Q3 FY'23.

Saket Kapoor: Okay. And Q2 was 1,01,000?

Prem Khandelwal: 1,01,000.

Saket Kapoor: So, from 1,01,000, it is 1,03,000?

Prem Khandelwal: Yes.

Saket Kapoor: That is what the number is. And this is what we are anticipating for current, currently current prevailing market conditions also?

Prem Khandelwal: For Q4, it will come down a little bit from 1,03,000.

Saket Kapoor: Okay. Sir, on the compensation part, sir, in the December notification, we have mentioned that the freehold and the leasehold pertaining to Utkal -C Coal Mines at INR353 crores, approx number. Out of that...

Prem Khandelwal: INR352 crores.

Indian Metals & Ferro Alloys Limited

January 31, 2024

Page 14 of 20

Saket Kapoor: Yes, INR352 crores. And out of that, JSPL paid around INR131 crores and INR221 was pending.

Post that, sir, what should we learn from this INR390 numbers mentioned and also the INR416 numbers mentioned by you during the call?

Prem Khandelwal: Sorry, you are getting confused, Saket. INR416 was the provisional order, which we had declared through the stock exchanges also.

Saket Kapoor: Correct.

Prem Khandelwal: That is only related to land.

Saket Kapoor: Okay.

Prem Khandelwal: That has been reduced to INR352 crores by NA. We have already got INR20 crores on the statutory portion. We have already got INR20 crores. So, INR352 plus INR20, we are adding INR372. And another INR18 crores we should get on mining infra, which is not yet finalized.

So, all put together, we are saying that maximum we can get INR390 crores as of now.

Saket Kapoor: Okay.

Prem Khandelwal: And we have challenged the INR64 crores of reduction also in coal tribunal. If we get that, then it will again go back to INR433 crores. INR390 plus INR64 crores.

Saket Kapoor: Okay. Now it is clear. So, there is a lot of buffer here also for the INR64 crores part also. What are we contesting for this INR64 crores money? Why has there been a litigation pertaining to this figure?

Prem Khandelwal: They have disallowed certain amounts there, which as per Act, it is not disallowable. So, we have contested that. How can you disallow when the Act says nothing about this, like registration charges, lapsed period of lease. So, those things are, as per Act, those things are not disallowable.

But NA has disallowed those amounts. So, we are contesting that.

Saket Kapoor: Right. And Prem sir, what is the cash on book, sir, as on 31st December?

Prem Khandelwal: Just a moment, let me see. It is around INR398 crores.

Saket Kapoor: INR398 crores. This is the net cash number post the working capital requirement?

Prem Khandelwal: No, no, no. This is the gross number and working capital is INR245.

Saket Kapoor: So, we have to reduce. Okay

. 245 from this 398 number?

Prem Khandelwal: Yes.

Saket Kapoor: To get the net cash?

Prem Khandelwal: Yes.

Indian Metals & Ferro Alloys Limited

January 31, 2024

Page 15 of 20

Saket Kapoor: Right, sir. Thank you, sir. And all the best, sir.

Prem Khandelwal: Thank you.

Moderator: Thank you. The next question is from the line of Nihar Shah from Crown Capital. Please go ahead.

Nihar Shah: So, I was just asking that I'm fairly new to the company. So, can you help me understand the working capital cycle and what are the working capital days?

Prem Khandelwal: Normally, it is 25%. The working capital is 25%. And cycle, as it is calculating, very difficult because Coke, we stock for six months, we import one shipment altogether. So, that way, it is very difficult to calculate. But on average, we take it 25%.

Nihar Shah: Okay. I understood. And can you help me understand the opportunity we are exploring going ahead with the company?

Prem Khandelwal: Opportunity? I didn't get you. What kind of opportunity? We are already expanding our ferro chrome capacity. We are already expanding our mining capacity. And apart from that, we are also working on some renewable power project. So, these are the things at the moment we are exploring.

Nihar Shah: Okay. Okay, sir. So, as you said, like we can only predict one quarter ahead? So, what are we predicting?

Prem Khandelwal: For price.

Nihar Shah: For price. So, looking at that, what are we predicting our revenues to be in last quarter, quarter four?

Prem Khandelwal: Deepak, do you have that number or difficult to predict at the moment?

Deepak Mohanty: Our projection, basically, turnover.

Prem Khandelwal: Turnover for the fourth quarter?

Deepak Mohanty: Maybe around, I have some figures. INR600 crores or close.

Prem Khandelwal: But we'll come to know after the end of the quarter. We are going to sell on the spot basis also. So, difficult to give that number now. I think we'll have to wait for the end of the quarter.

Nihar Shah: Okay. Okay. And I just wanted to ask that, are margins sustainable at this level?

Prem Khandelwal: Yes, we are hopeful of maintaining 23 %, 24% margin.

Nihar Shah: Okay, sir.

Prem Khandelwal: Right.

Indian Metals & Ferro Alloys Limited

January 31, 2024

Nihar Shah: Thank you and all the best.

Prem Khandelwal: Thank you. Thank you.

Moderator: Thank you. The next question is from the line of Joe Shah from 7seas. Please go ahead.

Joe Shah: No, Prem, I understand that the spot ferro chrome price in India is now about INR120,000. So, when in February there is a festival holiday in China, can we sell in India in the spot market to have a bit better realization?

Prem Khandelwal: Deepak?

Deepak Mohanty: Yes, actually, the thing you're telling is practically not moving and all steel mills are opposing and not buying at that level. It's being the offer. People are not buying at that level. But we supply a certain quantity and those will be in line with the current market scenario. It's not, anyway, it's not INR120,000. It may be INR118,000, INR119,000, INR117,000 in that range where the really deals are taking place.

Joe Shah: Okay. Okay. Very good. Now, Prem, one question for you. We have approached this tribunal for this reduction in this Utkal -C compensation by INR64. Now, there's JSPL, they are approaching tribunal. The tribunal has not given them any stay order. Now, can they go to court again after tribunal, they can go to court and to delay the compensation payment?

Prem Khandelwal: For stay?

Joe Shah: Yes, tribunal has not given them the stay, right? So, they are supposed to make the payment.

Prem Khandelwal: They will go to court. They will go to court for what? For staying the order?

Joe Shah: Yes, for objecting the order.

Prem Khandelwal: I don't know. They can go to court also, but they have, till now, they have not g

one to court.

Joe Shah: Okay. Okay. Good. And our approaching this tribunal for the INR64 crores of difference, that we must not delay the whole payment of the INR250 crores to INR222 crores balance.

Prem Khandelwal: That should not get delayed because both the things are separate.

Joe Shah: Right. So, we expect this INR221 crores payment in about three months' time?

Prem Khandelwal: No, difficult to give any timelines there.

Joe Shah: Okay. Okay. Okay. Thank you.

Moderator: Thank you. The next question is from the line of Akshada Deo from Vivog Commercial Limited. Please go ahead.

Indian Metals & Ferro Alloys Limited

January 31, 2024

Akshada Deo: Hi. I just wanted to understand a little bit of the backstory of how you were able to connect the profits so far. I am new to the company. Was it just because of the materials cost that you have experienced a reduction in the same, and you were able to translate that into realizations, or was there something else?

Prem Khandelwal: Well, two factors I said, madam. One is that price has gone up by INR10,000 a ton, and cost has come down by INR8,000 a ton. So, there is a saving of INR18,000 per ton, and if you multiply that by 60,000, 65,000 normally what we sell in the market, that will give you the number.

Akshada Deo: Okay, sir. So, it was basically, okay, market dynamics is what you're giving.

Prem Khandelwal: Yes.

Akshada Deo: Okay. Okay. And the court tribunal that is going on, do you have a timeline on when you are expecting the said cash of roughly INR390 crores?

Prem Khandelwal: Statutorily, they have to dispose of case within 90 days' time.

Akshada Deo: Sorry, sir. What time?

Prem Khandelwal: Statutorily, they are supposed to dispose of the case within 90 days' time.

Akshada Deo: Okay.

Prem Khandelwal: Right.

Akshada Deo: Okay. Okay. Thank you so much.

Prem Khandelwal: Right. Thank you.

Moderator: Thank you. The next question is from the line of Vinay Nadkarni from Hathway Investments Private Limited. Please go ahead.

Vinay Nadkarni: I just wanted to check out what is the capacity utilization for this year so far?

Prem Khandelwal: Deepak.

Deepak Mohanty: So, basically, we are in line with our budget and as we have always given that production and sales, both will be in the range between 250 to 260,000. So, what we will do better than that?

Prem Khandelwal: So, that would be what percentage of your total capacity? I'm sorry, I don't have the...

Deepak Mohanty: We say 284,000 is the capacity, but we produce in the range of 250 to 260,000.

Vinay Nadkarni: I get that. I get that.

Deepak Mohanty: Although that is the capacity, you have the maintenance, you have a lot of other things to go on in between. So, taking that normal things out, it will be...
Indian Metals & Ferro Alloys Limited
January 31, 2024

Page 18 of 20

Vinay Nadkarni: So, you're kind of peaked out on your capacity?
Deepak Mohanty: Yes.
Prem Khandelwal: Yes.
Deepak Mohanty: Yes, yes. We are utilizing almost 100%. Even maybe last quarter it was 104%.
Vinay Nadkarni: So, from this period till the September 25, when your new capacities will be generated, you will be more or less at the same utilization levels? And therefore...
Deepak Mohanty: Absolutely, 250 to 260,000 levels. I think you are thinking of many other things as Mr. Prem Khandelwal informed. So, if you can arrange some other avenues and for the utilization of chrome ore then it will be more.
Prem Khandelwal: I have already said to assume between 250 to 260 only.
Vinay Nadkarni: Yes. And with the downward realization prices expected to be lasting in 2025, in 2024-25, do you see impact in your growth being more or less stagnant next year? Till the time your new capacities get developed?
Prem Khandelwal: So, the price we said, the price is likely to be more or less same like this year, next year also.
Yes.
Vinay Nadkarni: And capacity too? I mean the output also?
Prem Khandelwal: Yes, yes, yes.
Vinay Nadkarni: So, it will be more or less stagnant as the current year?
Prem Khandelwal: Yes.
Vinay Nadkarni: Okay. One last question was on material cost. Your material cost seems to be pretty 54%, 55% of your total cost. Is that a norm in your industry in ferro alloys ? Because others have seen is pretty high.
Prem Khandelwal: No, because we have our own captive ore, our cost is very less. Okay.
Vinay Nadkarni: So, that's mining, captive mining and captive power. These are the main costs and both of them your maximum.
Prem Khandelwal: Yes. These two are giving us a lot of savings in the cost front.
Vinay Nadkarni: Okay. Thanks a lot, sir. And I would await your mail or you're on the earlier question that I had on power cost and material cost.
Prem Khandelwal: Okay. Right.
Indian Metals & Ferro Alloys Limited
January 31, 2024

Page 19 of 20

Vinay Nadkarni: Yes. Thank you, sir. Thank you very much.
Moderator: Thank you. The next question is from the liner, Joe shah from 7seas. Please go ahead.
Joe Shah: Binoy Agarwalla , one question for you. Now, about the hybrid renewable power tie -up, can you explain it? Because I remember two, three quarters ago, there was some information that we'll have to invest INR100 crores in this company, which is going to supply us a renewable power. So, can you explain more on this?

Binoy Agarwalla: Means our discussions are on with two, three developers.
Joe Shah: Okay.

Binoy Agarwalla: Those who are giving us, those who will be giving us renewable energy.
Joe Shah: Right.
Binoy Agarwalla: And that will be on RTC basis round the clock and it will be in the hybrid mode, solar and wind, so that during daytime we can get solar and during nighttime also we can get wind. In that way, in that collaboration, we are trying to develop in that sense .
Joe Shah: Will we be able to invest some money with this?

Binoy Agarwalla: Yes. Investment amount would be around INR100 crores.
Joe Shah: 100 crores. Right. Okay. Very good. And first, side by side, we'll be using our captive percent, about 50%.

Binoy Agarwalla: Sorry, sorry, your voice got break.

Joe Shah: Apart from the solar and wind, the renewable energy, we'll be utilizing our captive coal also, our captive power generation also.

Binoy Agarwalla: Yes.

Joe Shah: Yes. Okay. Thank you.

Indian Metals & Ferro Alloys Limited

January 31, 2024

Page 20 of 20

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Abhishek Sawant for his closing comments.

Abhishek Sawant: Yes. Ladies and gentlemen, your presence on this conference call today has been greatly appreciated. We would like to thank you for this opportunity to explore in fast future growth strategies and discuss how we plan to navigate through these challenging times.

Our optimism for the growth journey ahead, not only within India, but also in other regions, remains steadfast. On behalf of the company's esteemed board of directors and dedicated management team, I extend our heartfelt gratitude to every one of you for your active participation in today's calling. Your interest and insightful questions have been a valuable contribution to our discourse.

Should you have any future inquiries or require additional information, please do not hesitate to reach us on aryan.rana@veritasreputation.com. We remain at your service to address any queries you may have in the future. Once again, thank you for being a part of this conference call. We eagerly anticipate a promising future and continued growth together. Wishing you all a fruitful and fulfilling time ahead.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Indian Metals and Ferro Alloys Limited, that concludes

this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Management: Thank you.

Call: May 2024

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The Listing Department
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Stock Symbol & Series: IMFA E
Sub : Earnings Call Transcripts
Dear Sir/ Madam, 3Qth May, 2024
The Deputy General Manager
(Corporate Services)
BSE Limited
Floor 25, P.J. Towers
Dalal Street , Fort
Mumbai-400001
Stock Code : 533047
Pursuant to Regulation 46(2)(a) of the SEBI (Listing Obligations
and Disclosure Requirements) Regulations, 2015, the transcript of
the audio call recording of the Company's Investor / Analyst Call
held on 24th May, 2024 on the audited Standalone and
Consolidated Financial Results of the Company for the quarter and
year ended 31st March, 2024 is attached herewith .
You are requested to take the same on record.
(PREM K DELWAL)
CFO & COMPANY SECRETARY
Membership No.F3526
Page 1 of 16

"Indian Metals & Ferro Alloys Limited
Q4 FY '24 Earnings Conference Call "
May 24, 2024

MANAGEMENT : MR. PREM KHANDELWAL – CHIEF FINANCIAL
OFFICER AND COMPANY SECRETARY – INDIAN
METALS & FERRO ALLOYS LIMITED
MR. BIJAYANANDA MOHAPATRA – CHIEF OPERATING
OFFICER – INDIAN METALS & FERRO ALLOYS
LIMITED
MR. DEEPAK MOHANTY – HEAD OF FERRO ALLOYS
BUSINESS UNIT – INDIAN METALS & FERRO ALLOYS
LIMITED
MR. BINOY AGARWALLA – HEAD OF POWER BUSINESS
UNIT – INDIAN METALS & FERRO ALLOYS LIMITED
MR. SANDEEP NARADE – HEAD, MINES BUSINESS UNIT
– INDIAN METALS & FERRO ALLOYS LIMITED
MR. SAUNAK GUPTA – DEPUTY CHIEF FINANCIAL
OFFICER – INDIAN METALS & FERRO ALLOYS

LIMITED

MODERATOR : MR. ABHISHEK SAWANT – VERITAS REPUTATION

Indian Metals & Ferro Alloys Limited
May 24, 2024

Page 2 of 16

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Indian Metals & Ferro Alloys Limited, hosted by Veritas Reputation. At this moment, all participants lines are in the listen only mode. Later we will conduct a question and answer session. At that time, if you have a question, you may press star and one on your touchtone keypad.

Please note that this conference is recorded. I now hand the conference over to Mr. Abhishek Sawant from Veritas Reputation. Thank you and over to you, sir.

Abhishek Sa want: Good evening, everyone. We warmly welcome and express our gratitude to each one of you for being a part of today's Earnings Conference Call for Indian Metals & Ferro Alloys Limited. I am Abhishek Sawant, your host for this session and it brings me great joy to guide you through the proceedings as we analyse the annual financial results for the quarter and full year ended 31st March 2024.

We are glad to announce an excellent operational performance during the year with the highest ever ferrochrome production, chrome ore raising and captive power generation, which has set the stage for a strong financial performance. This achievement has come despite all external challenges and it further solidifies I MFA's position as India's foremost fully integrated manufacturer of ferrochrome in the metals and mining industry.

While the detailed financial results are available on our company website and the stock exchanges, it is essential to note that our discussion may include forward-looking statements, contingent upon known and unforeseen risk, uncertainties and various other factors. To offer a comprehensive overview of our annual financial performance and address any queries you may have, we are honoured to have an esteemed team members of our management team present today. Mr. Prem Khandelwal, CFO and Company Secretary; Mr. Bijayananda Mohapatra, Chief Operating Officer; Mr. Deepak Mohanty, overseeing the Ferroalloys Business Unit; Mr. Binoy Agarwalla, who Head's Power Business Unit and Mr. Sandeep Narade, who is incharge of the Mines Business Unit.

Our agenda for today begins with a concise summary of our Q4, as well as annual financial performance. Following that, we'll open the floor for a Q&A session, providing you with the opportunity to engage directly with our management team.

Without any further delay, I now hand over the call to Mr. Prem Khandelwal, our CFO and Company Secretary to guide us through the financial highlights. Over to you, sir.

Prem Khandelwal: Thank you, Abhishek and good evening, ladies and gentlemen. I welcome all of you to this Q4 and FY24 Earnings concall of the company. FY24 has been a very satisfying year for the company in the sense that the company has achieved the highest ever operational performance in terms of ferrochrome production, power generation and mining output and has been the second best year in terms of PAT. So, financial numbers and quantity numbers are already in public domain, so I am not going to repeat those numbers again.

But I would like to clarify just one item -- one-off item, which is in the fourth quarter results relating to Utkal Coal Limited. As you may be aware of, the company had invested INR 111 crores in the share capital of Utkal Coal and had advanced a loan of INR 243 crores to the company for a coal mining project. But on the principal amount of INR 243 crores, the company had stopped recognizing interest, since the date of cancellation of coal block in 2014. But in the fourth quarter, the Nominative Authority has quantified the compensation amount at INR 353 crores, consequent to which the company has recognized interest on INR 243 crore's principal amount from 2014 to 2024, and the interest amount comes to around INR 220 crore's.

Page 3 of 16

But as the compensation amount of INR 353 crores is not enough to cover the entire principal and investment amount along with the interest, the balance amount of INR 221 crore's has been written-off, which is forming part of other expenses. And the interest component of INR 221 crore's forms part of other income, apart from that, all other things are normal things. So with that, I would now request to start the Q&A session.

Moderator: The first question is from the line of Aashav Patel from Molecule Ventures PMS. Please go ahead.

Aashav Patel : Thank you for the opportunity. First of all, I would like to thank the entire team and congratulate the entire team for an excellent set of numbers in a globally very tough environment. To start with, my first question is in quarter 4 consolidated P&L, we have seen an increase in other income by roughly around INR 50 crores compared to the usual range. So can you please specify what led to this increase in other expenses?

Prem K handelwal: Other expenses, you are talking about consol account or?

Aashav Patel : Consolidated other expenses.

Prem K handelwal: Consolidated other expenses, we have usual like repairs and maintenance has gone up by INR 12 crores because of boiler repairs and furnace repairs was done. These are one-off kind of expenses. And the selling expense has gone up by INR 6 crores primarily because of more tonnage we have sold in this quarter. And the routine overhead cost has escalated to around INR 10 crores and there is a write off of goodwill.

As I have said in my opening remarks, we have written up the investment of INR 111 crores in UCL. So there was a goodwill amount of INR 21 crores also lying in the consol account, which we had to write-off, so if you put all these together, you will get the figure.

Aashav Patel : Got it. So all these items shouldn't be, for example, goodwill write-off and everything should be part of exceptional line item ?

Prem K handelwal: Saunak , why have we done this? Can you explain that?

Saunak Gupta: So primarily this is on the basis of routine expenditure and going by INDAS requirement. It is that since whatever was our investment amount that we had in the standalone financials in UCL, where we have also put a note that about INR 111 crores we are providing for impairment. On the same basis, on the goodwill which has been created in the consolidated financials has to be

Indian Metals & Ferro Alloys Limited

May 24, 2024

Page 4 of 16

also written off as a part of the other expenses. And we cannot treat it as the exceptional expenses. So that is why we have taken it in the normal course of business.

Aashav Patel : Got it, sir. So my second question is that our EBITDA, what would be our EBITDA production cost for quarter 4? And how do you expect it to pan out in quarter 1?

Prem K handelwal: Just a moment. Let me see EBITDA cost. EBITDA cost for Q4 is around INR 82,000 to INR 83,000 a ton. And I think Q1, it should be in the same range, more or less in the same range.

Aashav Patel : Similar. But we have seen coking coal has been correcting significantly in the last six months. And met coke is also expected to be corrected in a similar fashion . What was our coke cost in quarter 4? And what is the coke cost in our inventory?

Prem K handelwal: Deepak, would you explain that?

Deepak Mohanty: Yes. Actually, our coke cost -- it is something like in the quarter 4, it is around INR 15,500 around. And which was in the previous year, if you consider it was something like INR 22,000, INR 23,000. So it has come down quite a bit because of the downtrend. And our existing coke, whatever we have, what we are using at the moment, so that is more or less in line with this. But it is -- as you are telling also, the prices have come down. I mean, we have booked for what will be shipped in the next quarter, early

next quarter in June. So those prices are coming down quite a bit.

So going ahead, of course, that will take three months and all those things. Actually, it will be after maybe four to five months. But still our coke cost for the next quarter will be hovering in the same line.

Aashav Patel: Okay. But for Q2 onwards, we can expect a significant decrease in coke cost.

Deepak Mohanty: In Q2? No, it is remaining more or less in line. That's what in Q2. Q3, it will go down.

Aashav Patel: For how many months we hold the coke inventory, sir?

Deepak Mohanty: Yes, we keep around three months inventory because it comes from mostly from Columbia. So it has a shipping time of 45 days and then packing the material for shipment, all those things. So normally, we keep the inventory for three months.

Aashav Patel: Got it, sir. Okay, sir. I have other questions. I'll come back in the queue.

Prem K handelwal: Thank you, Aashav.

Moderator: Thank you. The next question is from the line of Shubham Sethia from Bajaj Finance. Please go ahead. Mr. Sethia, your line is unmuted. Please go ahead with your question.

Shubham Sethia: Sir, what was the specific consumption of coal in quarter 4 and for overall FY?

Binoy Agarwalla: Sir, I could not hear. What were you asking?

Indian Metals & Ferro Alloys Limited

May 24, 2024

Shubham Sethia: What was the specific consumption of coal for quarter 4 and then overall FY?

Binoy Agarwalla: Overall, specific coal is coming around 1.01 in ARB per megawatt.

Shubham Sethia: And, sir, specific consumption of coke per metric ton of ferrochrome production?

Deepak Mohanty: So basically, for ferrochrome, it is around 450 to 500 kgs of the fixed carbon is required. So you can say 0.5 or 0.6 if you take on the fixed carbon basis, 0.5 to 0.6 ton per metric.

Shubham Sethia: Okay. Sir, my next question is on the power cost. So what was the tentative power cost for quarter 4?

Binoy Agarwalla: Quarter 4 or you are asking for FY'25 Q1?

Shubham Sethia: No. For quarter 4 FY'24.

Binoy Agarwalla: Power cost, variable cost is 4.37.

Shubham Sethia: And fixed cost, sir?

Binoy Agarwalla: Sorry?

Shubham Sethia: Fixed cost?

Binoy Agarwalla: Fixed cost is around 1.30.

Shubham Sethia: 1.3, sir?

Binoy Agarwalla: INR1.30.

Shubham Sethia: And for quarter 1, what we are expecting, sir?

Binoy Agarwalla: We are expecting variable cost will be around INR4.20.

Shubham Sethia: Okay.

Binoy Agarwalla: And fixed cost will be at par with Q4.

Shubham Sethia: Sir, my next question is on the NSR side. So we saw very good NSR for overall quarter 4 and then for FY'24. What is our forecast for this Q1 and Q2 in terms of NSR, sir?

Prem K handelwal: You mean net realization?

Shubham Sethia: Realization, sir.

Prem K handelwal: Market has improved a little bit after Q4, so I think we can see an increase of around INR3,000 to INR4,000 for Q1.

Shubham Sethia: So total will be, sir, around?

Indian Metals & Ferro Alloys Limited
May 24, 2024

Prem K handelwal: This quarter it was around INR1,02,000. So we may see INR1,05,000 -INR1,06,000 in the next quarter.

Shubham Sethia: Okay. Thank you, sir. That's all from my side.

Moderator: Thank you. Our next question is from the line of Joe Shah from 7seas. Please go ahead.

Joe Shah: Prem, going back to our last con- call, we were told that construction of Boundary Wall for Kalinganagar project was not started, could not be started because of some administrative issue. So now what is the status of this Kalinganagar land? When we are going to start the Boundary Wall construction?

Prem K handelwal: BNM, would you answer that?

Bijayananda Mohapatra : Yes. Regarding this Kalinganagar project site, so there is a R&R issue, compensation issue. The IDCO has already given the disbursement process started, and they have initiated to the district administration. But in the meantime, election has already started, so they will give this distressed families after the election, so mid-June. Thereafter, this process will be started, construction of Boundary Wall.

Joe Shah: Did you say it will start? So there won't be delay on this side, or after month we'll be able to start construction?

Bijayananda Mohapatra : No. District administration will help us for construction. Because of the election, they don't want any law.

Joe Shah: Right. Okay. Now one more question about this ethanol. What is our annual capacity in liters per year? How many liters will be produced per year from this ethanol?

Bijayananda Mohapatra : Sir, this project we are putting is around 120 kiloliters per day. Basically it is from maize, broken rice, and damaged food grains. So if you take 300 working days...

Joe Shah: Your production capacity, what about production capacity?

Bijayananda Mohapatra : Production capacity is 120 kiloliters per day.

Joe Shah: Okay. 120 kiloliters per day. And how many tons of rice bran we need for 1 kiloliter?

Bijayananda Mohapatra : It is not rice, sir. We are more focused about the maize. So it will be basically maize-based because that area maize cultivation is too much. So that will -- the exact figure I have to check for the project.

Joe Shah: No problem. Okay. Thank you.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company.

Please go ahead.

Saket Kapoor: Namaskar, Prem sir. Namaskar to all the team members.

Indian Metals & Ferro Alloys Limited

May 24, 2024

Page 7 of 16

Prem Khandelwal: Namaskar, Saket.

Saket Kapoor: Sir, as you alluded to the earlier participant about the other expenses for this quarter, which is to the tune of INR162 crores, that includes INR21 crores of the royalty, the goodwill part.

Prem Khandelwal: Yes, the write-off.

Saket Kapoor: And other than that, then the remaining INR20 crores is also a non-recurring one or what should we take into account for that remaining balance?

Prem Khandelwal: Again, as I said, the INR12 crores is repairs and maintenance and this is again non-recurring.

But INR6 crores of selling expenses is because of higher tonnage. So that is recurring in nature. And other overheads of INR10 crores is again non-recurring in nature.

Saket Kapoor: Other? Last point, sir.

Prem Khandelwal: Other overheads of INR10 crores is again a one-off kind of thing. So that may not repeat again.

Saket Kapoor: Okay. Sir, when we look at your Note 7, Note 6 rather, therein you have proposed about some acquisition of 52 lakh shares of UCL. Sir, if you could explain the nature of the transaction and how much we will spend to acquire this 21% stake?

Prem Khandelwal: As you are aware of, IMFA is holding 79% stake in UCL. So on balance, 21% is held by promoter companies. And we are in the process of merging that UCL into IMFA. But we have been advised that if you make UCL 100% subsidiary, the merger process will be much easier. That's what we are trying. But in UCL, since the value is nil, we are buying the 21% remaining stake at INR1 to make it 100% subsidiary and then we'll launch the merger scheme.

Saket Kapoor: Right, sir. And sir, when we look at the segmental reporting, therein we find that under the mining category, on a revenue of INR139 crores, we have booked loss of INR110 crores. So are these all goodwill and all these issues that get factored into the segment under mining? Or how will you explain this, sir?

Prem Khandelwal: Saunak, are you aware of that?

Saunak Gupta: Yes, so over there, what usually happens is that all the cost in mines, everything including whatever is the expenses that has been incurred for raising as well as mining is actually shown under the segment. But since it is a captive consumption, so only those if you are sold outside are considered. Otherwise, whatever is the value

of transfer that is accounted there as a revenue.

And that is what is given to our FABU business and the Ferro Alloys business. So, on a standalone mining, it shows a loss because all the costs that have been incurred in the mines are booked under the mining costs.

Saket Kapoor: Okay, but this is only one off for this quarter only. Every quarter we are booking revenue in this trajectory of INR130 crores and the loss is closer to INR1 crores. But only for this fourth quarter, we are seeing this loss rising to INR110 crores. So that was my only reason. Last year also --

Indian Metals & Ferro Alloys Limited

May 24, 2024

Page 8 of 16

Saunak Gupta: It is actually dependent upon whatever is our mining and dispatch plan to our Ferro Alloys business. So, that can be quarter-to-quarter depending upon whatever is our production plan.

Saket Kapoor: Sir, these are the extraordinary costs? It is a significant number, INR112 crores for the year as a whole.

Saunak Gupta: No, it includes routine cost and UCL expenses.

Saket Kapoor: Right. Sir, when we spoke about this ethanol project, what is the capex that we have outlined for the project and when will we start spending on the same?

Prem Khandelwal: BNM?

Bijayananda Mohapatra: The project cost is around INR140 crores and now we have applied for the single window clearance to the government of Orissa and as well as we have applied for this environment clearance to MOF. So we have this one hearing on 14th May. There is some concern that also we have replied. Hopefully, we will get the EC by next month. So, after that, this land belongs to us.

So then we can start about the land preparation, all these things. Then simultaneously, we will go for the project execution.

Saket Kapoor: And when will be any timeline when we will be commissioning this project?

Bijayananda Mohapatra: This is generally around 12 to 14 months.

Saket Kapoor: And on a capex of INR140 crores, what should be the expected top line since 1,20,000 litres you mentioned, I think so.

Bijayananda Mohapatra : There is a 120 KLD used to call kiloliters per day.

Saket Kapoor: So at today's value of ethanol, what should be our optimum revenue at full capacity?

Saunak Gupta: So it is what you correctly mentioned. It is 1,50,000 or basically 150 KLD. And in that cost of INR140 crores, INR30 crores is related to our own land. So we will not actually have any pay-outs on that. So overall, our investment will be somewhere around INR100 crores -INR110 crores. And of this –

Prem Khandelwal : Saunak, he is asking Revenue, turnover?

Saunak Gupta: So, turnover would be somewhere around -- once we achieve that 150 KLD, it will be around INR200 to INR220 crores to start with. But it will depend upon the market price, which can increase.

Saket Kapoor: Right. And the margins are also in double -digits. And this product is because I think that the OMC will be fetching the --

Bijayananda Mohapatra : OMC is the controlling authority, sir.

Indian Metals & Ferro Alloys Limited

May 24, 2024

Page 9 of 16

Saket Kapoor: And last point is on the tax provision part. We find that there is a higher tax outgoing. Any prior period item also we are seeing or what could be the reason? The profitability is definitely higher.

So what is our tax rate currently?

Prem Khandelwal: Tax rate is 25% Saket. We have gone for new regime. So tax rate is 25%. I don't think tax rate is high. Because of high profitability, tax is high.

Saket Kapoor: And just to conclude, employee benefit also include the director's remuneration, the promoter's commission also. That is the reason why it has gone up for this cost.

Prem Khandelwal: No, no. It has gone up because of the normal increments, as well as the commission also. Because of higher profits, higher commission.

Saket Kapoor: And sir, I would also like to thank the Board for the in-

creased dividend pay-out and also the

commitment which Panda sir alluded to during the television interview, whether he did. I did not get the fact that he will be sharing the pay-out with his investors as has been the case as the precedent be. So we are really grateful to the team for agreeing to this task and rewarding their shareholders in the best possible way.

Prem Khandelwal: Thank you, Saket. And this has already been the management priority to reward the shareholders wherever possible.

Saket Kapoor: Correct. Correct, sir. And we have acted on the same task. Thank you, Khandelwal Ji. And thank you to all the team members. All the best. Thank you.

Moderator: Thank you. The next question is from the line of Satyan Wadhwa from Profusion Investment Advisors. Please go ahead.

Satyan Wadhwa: Sir, can you tell us what the production and sales number was for March quarter? And what would you expect for FY25?

Prem Khandelwal: Production for March quarter is 65,000 tons and sales is 68,000 tons. And next quarter –

Satyan Wadhwa: What are we planning for next quarter?

Deepak Mohanty : Next quarter, it will be slightly lower because we had some maintenance in between from which we started from March and completed in May. So, in TCP2 and one furnace at Choudwar and one furnace at Therubali. So, that will be slightly around 62,000 it will be in that range next quarter.

Satyan Wadhwa: And for the full year, what would you project?

Deepak Mohanty : We are expecting around 250,000 to 260,000 as usual in that range.

Satyan Wadhwa: So 62,000 to 65,000 per quarter, is that what you're saying?

Deepak Mohanty : I told normally 250,000 to 260,000 in that range. Around 260,000 only it will be, because we had some maintenance in the initial part of the beginning of the year and all. So taking that into

Indian Metals & Ferro Alloys Limited

May 24, 2024

Page 10 of 16

which happens normally after five to six years in two furnaces, that will reduce, cannot go to the DCM level probably. But it will be in and around 260,000. Okay.

Satyan Wadhwa: All right. Great. Thank you.

Deepak Mohanty : Thank you.

Moderator: Thank you. The next question is from the line of Ashaav Patel from Molecule Ventures PMS.

Please go ahead.

Ashaav Patel: Thank you for the opportunity again, sir. My question is, clear margin pressure is visible globally, even on large South Africa -based smelters like Mirafra. What is the situation exactly in China right now? Given that they don't have captive ore, what sort of margins do you think the non-integrated players over there will be making? And do you expect it to inch upward?

Deepak Mohanty : Let me answer. So, actually Chinese market, in fact, their ferrochrome production has gone to 770,000 per month, which was in the range of 600 to 650. And the stainless steel production also accordingly has gone up there. Only thing, China now, they have a strategy to operate at a very low margin, but have higher efficiency and higher operational ratio.

So which is going on. And their domestic demand also is not very bad, but only the problem is the real estate sector, for which the government has given certain declarations that they will buy out and bail out this real estate. If really that happens, things will become better. Otherwise, at the moment, the situation is quite steady.

Demand, supply are matching and going on. And it's not going to go up further at the moment unless government takes some initiative. Otherwise, it is more or less stable. And in the range of around \$0.98, \$0.99, which is the level, is workable for most of the people.

Ashaav Patel: Got it, sir. And sir, on a EBITDA basis, EBITDA per ton basis, we will be more profitable than Chinese smelters, right? Is that correct understanding?

Prem K handelwal: Absolutely.

Ashaav Patel: Okay. So what sort of chrome ore inventory is currently present in Chinese port? Rough b

allpark?

Deepak Mohanty : Yes, Yes. It's around 2.6 to 2.7 million tons, which is mostly 50 days consumption.

Ashaav Patel: 50 days consumption only. So the inventory looks to be quite on the lower side of the spectrum compared to the usual.

Deepak Mohanty : Little bit delay in shipment and registry issues, which is delaying the thing. But nowadays, probably they are maintaining in that range.

Ashaav Patel: Does this mean ...

Indian Metals & Ferro Alloys Limited

May 24, 202 4

Page 11 of 16

Deepak Mohanty : They are not maintaining like earlier 3 million, more than 3.5 million. They were in the range of 2.1 million tons stocking, but what I'm telling that is at the ports. Of course, there will be some inventory in the plants and all, but port stock wise also now they have gone up from 2 to 2.1 million to 2.7, 2.8 in that they are maintaining at the moment.

Aashav Patel: But given that whenever the demand improves in China, does this slow inventory mean that price increase could last for a longer time until they actually procure the ore again from South Africa and convert it into ferrochrome and provide the supply in the market?

Deepak Mohanty : You see the demand if it goes up naturally prices will go up, but Chinese are trying to maintain a low margin both in ferrochrome and also in stainless steel rather some destocking took place which has brought the stability in stainless steel particularly destocking. So they are maintaining that as a strategy.

So that's why they don't want to take it high and then bring it down similar way like which was happening earlier, but nowadays they are operating with low margin at all the places, but maintaining operational level of 90%.

Aashav Patel: Sure, got it, sir. Sir, next question is regarding the upcoming capex. So as we have already announced the INR1500 crores of capex, I just wanted to know how the fund outflow is expected to be spread over the next 5 years to 7 years

Prem Khandelwal: You want year -wise breakup?

Aashav Patel: Yes, roughly year -wise breakup. I understand exact can't be laid down at the start of the project?

Prem Khandelwal: Yes, because that will be difficult to give year wise, but since the spread is over a period of 6 years to 7 years we are quite hopeful of funding it through our internal accruals.

Aashav Patel: So except the smelter the entire mining capex will be spread out. So in a single year we won't require any significant amount?

Prem Khandelwal: Yes, even in the space, smelter will be spread over a period of 18 months.

Aashav Patel: And what is the current status of EC, environmental clearance regarding this 1 lakh metric ton enhancement?

Prem Khandelwal: EC has been recommended for grant of EC. I think within a month's time we should be getting it.

Aashav Patel: and for chrome ore enhancement?

Bijayananda Mohapatra : Chrome ore enhancement already we have got EC for Mahagiri from 3 lakhs to 6 lakhs. We have already got CTO and we have produced in the last quarter. And for SMC also we have got EC for 6 lakhs enhancing from 3 lakhs to 6 lakhs.

Aashav Patel: So mining EC has already been achieved?

Indian Metals & Ferro Alloys Limited

May 24, 2024

Page 12 of 16

Bijayananda Mohapatra : Yes,

Aashav Patel: But we cannot sell this as a merchant miner this enhanced chrome ore?

Prem Khandelwal: No, 50% of that we can sell, but as a policy we don't do that because that's why we are adding more furnace capacity.

Aashav Patel: And sir given that we already have a robust balance sheet with INR300 crores of net cash and also expecting around INR250 crores as a final settlement from Utkal C and we are already generating INR400 to INR500 crores of annual cash flow which is sufficient to fund the announced capex of INR1500 crores as mentioned by you. So my question is that in the past management communicated of further expansion beyond this 1 lakh metric ton capacity. So any

concrete plans have been laid down on this part?

Prem Khandelwal: No, as of now beyond that we have not planned anything concretely because any expansion along with the ore output without ore, we cannot expand in the furnace further.

Aashav Patel: But sir we are meaningfully increasing our ore. At the same time we are increasing our furnace capacity only by 30%.

Prem Khandelwal: No, as of now you see whatever extra ore we are going to get, maybe after 18 months, 12 months to 18 months by that time, this furnace will come up for operation also and in the next phase when we are going to get further ore, then we'll plan the furnace. That is at the very initial stage now. No concrete plans on that as of now.

Aashav Patel: All the best from me. Thank you.

Moderator: Thank you. The next question is from the line of Shubham Sethia from Bajaj Finance. Please go ahead.

Shubham Sethia: Sir our annual production for the year was around 2.6 lakh tons with adding this 1 lakh tons of capacity, so this year output will be in the same range only 2.6 lakh tons?

Prem Khandelwal : Yes.

Shubham Sethia: And from the next year onwards we can expect like if we take 18 months of capex time for the smelter, so we can expect half of the capacity inaugurating from the next year onward?

Prem Khandelwal: In FY27 we can expect net capacity to be operational.

Shubham Sethia: Sir, my next question is again is on the cost front only. So for the overall production in Q4 what was our specific power consumption?

Binoy Agarwalla: So basically specific power consumption is around 4000 units.

Shubham Sethia: Sorry sir?

Binoy Agarwalla: 4000 units per ton of ferrochrome.

Indian Metals & Ferro Alloys Limited

May 24, 2024

Page 13 of 16

Shubham Sethia: Thank you sir.

Moderator: Thank you. The next question is from the line of Anant Mundra from MyTemple Capital. Please go ahead.

Anant Mundra: Hello. Good afternoon, sir. Thank you for the opportunity. Sir, just wanted to seek a clarification. You mentioned the current EC limit is 1.2 million tons for us already. Is that correct?

Bijayananda Mohapatra : Let us say EC we are having a 1.2, 6 lakhs for MMC and 6 lakhs per Sukinda. After EC, we have got the 6 lakhs production from Mahagiri, but 6 lakhs per Sukinda we'll start after getting this underground operation which will take 6 to 7 years.

Anant Mundra: So right now we are producing mainly from Mahagiri. Is that what you're saying?

Bijayananda Mohapatra : Actually, we are doing this open- cast mining from Sukinda that we are restricting to 3 lakhs. So that the underground operation we are keeping those stocks and the rest incrementally, everything we are doing from Mahagiri. Because Mahagiri operation CTO that consent to operate that we have got up to 6 lakhs.

Anant Mundra: Okay. So currently, Sukinda you'll just restrict to 3 lakhs, and Mahagiri you'll ramp up to 6 lakhs?

Bijayananda Mohapatra : Yes as per requirement with our furnace consumption.

Anant Mundra: And once we have to do the phase 2 expansion of Kalinga Nagar at that point of time we will explore expanding Sukinda to 6 lakhs is that correct?

Bijayananda Mohapatra : Up to 1 lakh we'll require around 2.5 lakh ore. So 9 lakhs is there. 3 lakhs from Sukinda, 6 lakhs from Mahagiri.

Anant Mundra: So Sukinda will not do beyond 3 lakhs that's the correct answer?

Bijayananda Mohapatra : Because unless we go for an underground operation we have to reserve our open-cast stock.

Anant Mundra: Okay. Thank you. That's it from me.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead, sir.
Saket Kapoor: Sir, a small point you mentioned that for this quarter, for quarter 4 we have some overhead and exceptional expenses in the overhauling part and that we have booked for this quarter and the volume dip we will see in the next quarter. This is what you are

communicating?

Prem Khandelwal: Mostly, yes.. Those are overhead expenses it has nothing to do with the volume, Saket. Volume is more or less fixed around 60,000 tons every quarter.

Saket Kapoor: No, sir. When we look at quarter 4 numbers the production number is at 65. We are looking at a lower volume number. This is also not a monsoon quarter. That will happen later on. For Q1,

Indian Metals & Ferro Alloys Limited

May 24, 2024

Page 14 of 16

we are expecting production in the range of 62,000 and for that the expenses will be different. I was just trying to understand whether we have booked the expenses in March quarter or it will have a bearing again in the first quarter.

Prem Khandelwal: Deepak ?

Deepak Mohanty: Okay. I think it will be basically something will be measured equipment and other stuff when issued and booked in the March. Something also will come in April. So, some amount. But the production will be mostly in the level of 63,000.

Saket Kapoor: Right. 63,000 should be our tonnage for the quarter.

Deepak Mohanty : Yes, tonnage wise. For this quarter. I am saying quarter.

Saket Kapoor: And, sir, our realization, as you mentioned, are currently trending up by 3% to 4% as of now. We are 45 days into means 2/1 into the quarter. So, the realization trajectory is the spot prices are up by 3% to 4%. That is what you alluded to.

Prem K handelwal: INR3000 to INR4,000 per ton.

Saket Kapoor: Per ton. That is the spot prices?

Prem K handelwal: Yes.

Saket Kapoor: Okay. And if we take the percentage that we take for the quarterly run rate that we book every quarter, what is that trend there, sir?

Prem K handelwal: No, I didn't get you, Saket. Can you repeat it again?

Saket Kapoor: So, we also have a contracted price index that is set every quarter. Where is that index currency? What is that indicating?

Deepak Mohanty: So, basically, you are talking about the benchmark.

Saket Kapoor: Benchmark, right, sir. I missed the word.

Deepak Mohanty: Benchmark price has gone up in this quarter by \$0.8 cents from \$1.44 to \$1.52 cents.

Saket Kapoor: Okay. And that benefit we will get in the Q1 realization in terms of the contracted volume?

Deepak Mohanty: You see, we will get benefit naturally for that reason. It will go up. And the thing what Mr. Khandelwal has told that it is increasing. Taking all those things into account, we will gain 3000 to 4,000 in the average realization.

Saket Kapoor: Okay. But only dampener will be, we will be selling less than what Q4 has been. Q4 is the highest at 60, closer to 68,000, sir?

Indian Metals & Ferro Alloys Limited

May 24, 2024

Page 15 of 16

Deepak Mohanty: But as the production will be around 53,000, naturally, the sales projection is also at the same rate system, because we don't have really stock to operate beyond the stock. Already last year, we have done. So, we are at the minimum stock. So, that's the level what we are expecting, 53,000.

Saket Kapoor: And sir, our mining lease, for which year, when will the expiry or the renewal come?

Prem K handelwal: Mining lease is up to 2049 and 2055.

Saket Kapoor: Okay. Right, sir. Thank you once again. Thank you, sir.

Prem K handelwal: Thank you, Saket.

Moderator: Thank you. The next question is on the line of Joe Shah from Seven Seas. Please go ahead.

Joe Shah: Deepak, I understand that from June onward, MARAF, South Africa, they will stop announcing the benchmark price. What will be the impact on the pricing? How will they be able to decide on the price?

Deepak Mohanty: Well, it's a big impact, just that bombshell has come on 20th of this month. So, people are working out, have to work out with people, because that was a good base to start negotiations with, but which will not be there. But eventually seems will people have to -- there are many other indices, like your CRU, fast market and many other things are there. So, it has to be

dealt with individual customers, how to bring in certain, whatever the way to further negotiation and moving ahead. Of course, everybody, including Glencore and all, they are working on that. So, a lot of issues were there, for which they have now stopped it. But anyway, so the things have to change and change that we managed well. So, we'll be doing all those things in the coming days.

Joe Shah: Right. Now, Deepak, one more thing, I need your views on macroeconomics, because now our future for IM FA will be based mainly dependent on the ferro chrome price realization. We are stuck around 10,5000, 2,000, 6,000, something like that. But now, people are talking about the Fed rate cut in maybe 6 to 9 months, if it happens. So, will it increase the amount of commodities and standardization and hence ferro chrome? What is your view?

Deepak Mohanty: Well, you see, I've just attended ICDR, where SMR presented a paper, where particularly for stainless steel sector, they are expecting around 4% growth. And even the ISSF have told also there will be 3.6% hike in stainless steel consumption. And we are expecting, which is at 58 million stainless steel worldwide production, back to reach 59.5 million tons in this '24 calendar year. So, I don't think there will be much issues at the moment. People are changing, but I think it will not and China trying to bail out their residential, these real estate people. If it happens, things will be more or less steady.

Joe Shah: Sir, but suppose there is a Fed rate cut, then it will increase the demand for our standard steel beyond our target consumption will go up? It is generally believed that with Fed rate cuts, consumption will go up and...

Indian Metals & Ferro Alloys Limited
May 24, 2024

Page 16 of 16

Deepak Mohanty: You see, China is producing more, but they have to have the opportunity to sell. And Europe, particularly Germany and many other places are not in very good shape economically. Inflation, debt inflation and interest rates and everything. So, with all those things, that's why people are, even with the negative sentiment, they are telling that their consumption is expected to grow around 3% to 3.5%, which is, according to me, is very good. If that remains, things will not behave well.

Joe Shah: Okay. Okay. Thank you.

Moderator: Thank you. As there are no further questions, I now hand the conference over to Mr. Abhishek Sawant for closing comments. Over to you, sir.

Abhishek Savant: Ladies and gentlemen, your presence on this conference call today has been greatly appreciated. You've had the opportunity to explore IMFA's future growth strategies and discuss how we plan to navigate through the challenging times. Our optimism for the growth journey ahead, not only within India, but also in other regions, remains steadfast.

On behalf of the company's esteemed board of directors and dedicated management team, I extend our heartfelt gratitude to each one of you for your active participation in today's call.

Your interest and insightful questions have been a valuable contribution to our discourse. Should you have any further inquiries or require additional information, please do not hesitate to reach out to us, or you can contact my colleague, Aryan Rana at aryan.rana@veritasreputation.com.

We remain at your service to address any queries you may have. Once again, thank you for being a part of this conference call. We eagerly anticipate a promising future and a continued growth together in FY 2025. Wishing you all a fruitful and fulfilling time ahead. Thank you.

Prem Khandelwal: Thank you.

Moderator: Thank you. On behalf of Indian Metals & Ferro Alloys Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

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Sub : Earnings Call Transcr ipts

Dear Sir/ Madam, 07th August, 2024

The Deputy General Manager

(Corporat e Services)

BSE Limited

Floor 25, P.J. Towers

Dalal Street , Fort

Mumbai-400001

Stock Code : 533047

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio call recording of the Company's Investor / Analyst Call held on ist August, 2024 on the Unaudited Standalon e and Consolidated Financial Results of the Company for the quarter ended 30th June, 2024 is attached herewith .

You are requested to take the same on record.

Thanking you

(PREM K NDELWAL)

CFO & OMPANY SECRETAR Y

Membership No: F3526

Encl : As above.

Page 1 of 12

"Indian Metals & Ferro Alloys Limited

First Quarter of Fiscal Year Ended June 30, 2024

Conference Call "

August 01, 2024

MANAGEMENT : MR. PREM KHANDELWAL – CHIEF FINANCIAL
OFFICER AND COMPANY SECRETARY – INDIAN
METALS & FERRO ALLOYS LIMITED

MR. BIJAYANANDA MOHAPATRA – CHIEF OPERATING
OFFICER – INDIAN METALS & FERRO ALLOYS
LIMITED

MR. BINOY AGARWALLA – HEAD OF POWER BUSINESS
UNIT – INDIAN METALS & FERRO ALLOYS LIMITED

MR. SANDEEP NARADE – HEAD, MINES BUSINESS UNIT
– INDIAN METALS & FERRO ALLOYS LIMITED

MR. SAUNAK GUPTA – DEPUTY CHIEF FINANCIAL

OFFICER – INDIAN METALS & FERRO ALLOYS
LIMITED
MR. M. VENKATESH -- HEAD SALES AND MARKETING ,
FERRO ALLOYS BUSINESS UNIT – INDIAN METALS &
FERRO ALLOYS LIMITED

MODERATOR : MR. ARYAN RANA – VERITAS REPUTATION

Indian Metals & Ferro Alloys Limited
August 01, 2024

Page 2 of 12

Moderator: Ladies and gentlemen, good day, and welcome to earnings conference call of Indian Metals & Ferro Alloys Limited, arranged by Veritas Reputation. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I'll now hand the conference over to Mr. Aryan Rana from Veritas Reputation. Thank you, and over to you, sir.

Aryan Rana: Thank you, Suma. Good evening, and thank you all for joining this conference call with Indian Metals & Ferro Alloys Limited to discuss our financial results for the first quarter of this fiscal year ended June 30, 2024. We are delighted to share that IMFA whose market valuation has jumped 100% the past year has been awarded several honours by the Directorate General of Mines Safety during the all India Mines Safety Awards 2024. These awards testify to the company's stringent safety measures at Sukinda Mines and Mahagiri Mines, which were ranked second and third in the minor mines category, respectively.

Recently, the company's market valuation crossed INR 4,000 crores mark, reflecting an impressive surge of nearly 900% over the past five years. Operating in the metals and mining industry, IMFA is India's leading fully integrated manufacturer of quality ferrochrome. Our business portfolio includes chrome ore mining, electricity production and chrome ore smelting with 190 MVA of installed furnace capacity, 204.55 MW of captive power generating capacity, including 4.55 MWp solar capacity and extensive chrome ore mining tracts.

Despite external challenges, the company is strongly focusing on maximizing operating efficiency and maintaining IMFA's position as India's foremost fully integrated manufacturers of superior ferrochrome. The financial results are available on our website and the stock exchanges.

Before we begin the discussion, I must remind you that our conversation may contain forward-looking statements that involve risks, uncertainties and other factors. These statements should be viewed in conjunction with our business risks that could affect its results, performance or achievements.

To discuss results and address investor queries, we have our management team with us including Mr. Prem Khandelwal, CFO and Company Secretary; Mr. Bijayananda Mohapatra, Chief Operating Officer; Mr. Saunak Gupta, Deputy CFO; Mr. Binoy Agarwalla, Head of Power Business Unit; Mr. Sandeep Narade; Head of Mining Business Unit; and Mr. M. Venkatesh, Head Sales and Marketing, Ferro Alloys Business Unit. We'll begin with a brief overview of the Q1 FY '25 results followed by a Q&A session.

Indian Metals & Ferro Alloys Limited
August 01, 2024

Page 3 of 12

Now I will hand over the call to Mr. Prem Khandelwal, our CFO. Over to you, sir. Thank you.

Prem Khandelwal: Thank you, Aryan. Good evening, everybody. As intimated in the last con call, the results for this quarter are much better compared to Q4 of last year, although the turnover has gone down by 5%, mainly on account of lower production and sales volume. The PAT has gone up by 42%, mainly on account of improved realization by INR 2,000 and lower cost by approximately INR 2,000. The ferrochrome prices are holding firm above INR 1 lakh at present also, and with more volume expected in this quarter, the Q2 results are likely to be much better than Q1. So with this, we can start the Q&A session now. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. We take the

first question from the line of Aditya Welekar from Axis Securities. Please go ahead

Aditya Welekar: Yes. Thanks for the opportunity. Sir, I wanted to understand the impact of the recent Supreme Court judgment that the states can levy tax on mineral rights. So from that perspective, what will be impact on our operations as we have some captive mines? Will it have any cost bearing going ahead? So that's my first question.

Prem Khandelwal : Aditya, very difficult to answer that at the moment. I mean very difficult to quantify anything at the moment because judgment itself is not fully pronounced, whether it will be retrospective or prospective and what actions state government or central government is going to take is still unknown. So very difficult to estimate anything on that front at the moment.

Aditya Welekar: So my next is on the pricing and demand environment, especially if you are seeing the steel prices. They are quite subdued because of these Chinese imports and declining Chinese HRC

prices. So from that perspective, where do you see ferro alloy prices in the coming quarters and even if you can touch base upon the current supply- demand situation?

Prem Khandelwal : Venkatesh, would you answer that?

Venkatesh: Yes, sir. When we look at the next quarter, normally, it's a weak quarter because of climatic reasons, being monsoon season in India and China, where construction activity and normally the demand slows down a bit. In Europe, this is a time where they have the summer vacation and many of the steel mills go on a maintenance. So the demand is lower.

But in our case, we have a lot of long-term contracts. In fact, most of our sales are on a long-term basis. So we do not see any impact on that. And when you look at something like the pricing, again, one-third of our tonnages are already fixed for the next quarter at the same price as the last quarter. So I would see very -- if at all there is any impact, that will be very, very marginal. I don't see any impact basically on us.

Aditya Welekar: Okay. Thanks a lot sir. That's it from my side. Thank you.

Prem Khandelwal : Thank you, Aditya.

Indian Metals & Ferro Alloys Limited

August 01, 2024

Page 4 of 12

Moderator: Thank you very much. We take the next from the line of Shubham Jain from Kotak. Please go ahead, sir.

Shubham Jain: Hello there good evening. First of all many congratulations for posting a super result s. So sir, my first question is on the operational performance, where our costs have come down by around \$70 to \$80 from quarter four in Q1. So what are the main levers for that? Maybe you can say it in terms of time benefit or change in specific ability?

Prem Khandelwal : No, if you compare it from Q4, the cost reduction is mainly on account of power. The variable power cost has come down from INR 4.37 in Q4 to INR 3.76. And other costs are more or less remaining same.

Shubham Jain: So sir, is it mainly on account of purchase of lower-priced coal?

Prem Khandelwal : Yes. Binoy, would you answer that? The power cost has gone down.

Binoy Agarwalla: Yes. The power cost has gone down mainly due to coal price. Because earlier, we were getting less rates for transportation of coal. Now we are getting more or less 85% -- more than 85% coal are coming by rail. That is the reason why the coal cost has come down.

Shubham Jain: Sir, my next is -- can you brief us on the specific ore and specific coal?

Prem Khandelwal : I didn't get you. You mean consumption per ton ?

Shubham Jain: Yes, sir.

Binoy Agarwalla: You are talking about specific coal consumption per unit of generation in power plant?

Shubham Jain: No, sir. Specific coal consumption per ton of chrome production.

Prem Khandelwal : Shubham, you are not audible properly. Can you repeat it again?

Shubham Jain: Yes. Sir, I wanted to understand how is the specific consumption of ore, power and fuel ...

Moderator: I'm sorry to interrupt you, Mr. Jain, your voice is breaking up, sir. Are you connected

on your earphones?

Shubham Jain: Ma'am. Am I audible now?

Moderator: You are audible, sir. Only one request, if you're connected on your earphones, I would request you to switch to your handset, sir.

Shubham Jain: Yes, I have done it. So sir, I wanted to understand how is the specific consumption moving in terms of power, fuel, and ore vis-a-vis quarter 4?

Prem Khandelwal : In terms of per ton of ferrochrome if you ask, then it is almost same, like chrome ore...

Shubham Jain: Can you tell us that in absolute number?

Indian Metals & Ferro Alloys Limited

August 01, 2024

Prem Khandelwal : You want quantity?

Shubham Jain: Specific, sir. Let's say, 2.1 or 2.2, what is the exact number?

Prem Khandelwal : Chrome ore is 2.34, coke is 0.48 and power is 4,009 units.

Shubham Jain: 4,009 units. Okay. That's all from my side.

Prem Khandelwal : Yes. Okay. Right.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Greetings to everyone. You commented that Q2 profitability is on a better trajectory than Q1, the one which we are discussing. And this is, I think so, would be the monsoon quarter also. So

if you could just explain, sir, what factors will lead to better profitability for this quarter?

Prem Khandelwal : As I said, mainly on account of volumes because this quarter, we have sold around 63,000 tons of ferrochrome. We expect it around 67,000 tons in the next quarter. And price remaining more or less same or maybe a little lower than this. So, the profit we expect is better in Q2.

Saket Kapoor: That is the absolute number will go up because of the higher tonnage?

Prem Khandelwal : Yes.

Saket Kapoor: Okay. And sir, what are our contracted prices, the benchmark, how are the benchmark moving?

Prem Khandelwal : Venkatesh?

M Venkatesh: So as many of you would be aware, Merafe discontinued announcement of the CBM from quarter three or quarter two, in our case, of financial year. But Samancor, the other big player from South Africa, they announced the quarter three prices, or in our case, quarter two prices, which is a rollover of the previous quarter. So July, August, September, the benchmark remains unchanged or it is the same.

Saket Kapoor: Sir, I missed your first comment. You mentioned some regions discarding it that I missed.

M Venkatesh: Earlier, there was a South African company called Merafe, who used to declare the benchmark. So they discontinued declaring the benchmark. But another South African company by the name of Samancor has declared the benchmark for July to September and it is a rollover from April to June. So basically, it's a roll over of the benchmark prices.

Saket Kapoor: So Khandelwal ji, one comment on the Supreme court judgment part, although the judgment has been reserved, but only point is that on the basis of which the matter has been fought, any demand has been raised towards the company from the government authorities earlier that is still lying pending, continued liability, any amount?

Prem Khandelwal : No. Nothing is pending as of now.

Indian Metals & Ferro Alloys Limited

August 01, 2024

Saket Kapoor: Okay. Then so it has to be learned how -- what parameters will set for taking the tax there is no demand pending on their side. On what way they -- will they accompany. This will be totally a different thing altogether, is that the understanding?

Prem Khandelwal : No. As I said, I think that the judgment itself is not complete now. So I think very, very nascent stage. So estimating anything is very difficult at the moment.

Saket Kapoor: Only to harp on it, because Tata Steel yesterday came up with the results. And in that, they mentioned about some demand being raised by the state. And on some formula, they also provided for a large sum of money closer to INR 17,000 crores as contingent liability on account

of this order itself. So that was the reason why I put forward whether any demand on the basis of which the case has been fought. Any demand is pending from the state towards the company expected? That was my question.

Prem Khandelwal : No. If there would have been any demand that would have reflected in the contingent liability in our balance sheet.

Saket Kapoor: Okay. Correct. And sir, lastly on the ferrochrome market, in particular, I think you said these electricity outages in South Africa has been -- they have been a persistent condition for a very long time and taking into account what Mr. Panda commented on the higher global stainless steel production, 6% higher for this year. Is there a very, very strong likelihood that these realizations are more likely to be in a range-bound manner? And also, sir, please provide the realization for this quarter.

Prem Khandelwal : Venkatesh?

M Venkatesh: Yes. Sir, I will answer the question about South Africa.

Saket Kapoor: Okay.

M Venkatesh: So, the power situation in South Africa, in fact, has drastically improved. So, from 26 March

2024, that's almost like more than four months now. So, there is no blackouts in South Africa. The bigger challenge in terms of what South Africa is facing is the unpaid municipality bills. These bills have to be paid by the municipality to Eskom, which is the electricity provider. The unpaid bills stands at ZAR 78 billion. So this is kind of thwarting the recovery efforts of Eskom to kind of end those decades of blackouts. So at the current stage, it's in a better situation as far as the electricity goes.

Saket Kapoor: Okay. And therefore, the likelihood of production will also be streamlined and will be adequate depending upon the demand from the stainless steel here that would be a good understanding?

M Venkatesh: Yes. So what happens -- what we've seen in the past is there is a slight reduction in production in South Africa, then there is an equivalent increase in production in China, because China, as you know, have no ore on their own. So they import most of the ore from South Africa. So a reduction here is somewhere made up there. So I do not see -- if you're looking in terms of a shortage of ferrochrome going ahead? I don't see that.

Indian Metals & Ferro Alloys Limited

August 01, 2024

Page 7 of 12

Moderator: I'm sorry to interrupt you Mr. Kapoor, may we request you to join the question queue, sir. Thank you. We have the next question from the line of Rajesh Agarwal from Moneyore. Please go ahead, sir.

Rajesh Agarwal: Hello. Sir, do we get a better realization in export market or local market? First question. And second, what do you -- we mean by chrome -- having chrome raising in the quarterly press release?

Prem Khandelwal : Venkatesh?

M Venkatesh: Yes. I'll answer the question regarding realization. Different markets give different realization, so in some markets we definitely get a higher realization than the domestic. And in certain markets, it would be on similar levels.

Rajesh Agarwal: Okay. And sir, suppose, for example, do we supply to Jindal Stainless? When I saw their quarterly raw material costs, they fixed the ferrochrome prices were INR 1,08,000? Are these lower to them in terms of like INR 1,05,000 or something like that? No?

Prem Khandelwal : No.

M Venkatesh: The prices keep changing. What Jindals have reported and Jindal has lot of their own ferrochrome, what they produce.

Rajesh Agarwal: Okay. Understood. And sir, the second question, in quarterly, we saw capital chrome raising, but how do we calculate that? What does it mean by it? In quarterly sales release, we have written below that our chrome production -- chrome raising, what does it mean?

Prem Khandelwal : No. I didn't get you. Chrome raising means what? In quarterly press release?

Rajesh Agarwal: Quarterly press release, you have mentioned chrome raising, below

with the productions and exports.

Operational highlights, where you mentioned chrome production, chrome tons, power used and chrome ore raising.

Prem Khandelwal : That is chrome ore, whatever we had produced during the year.

Rajesh Agarwal: During the year. It is trailing because we sell 63,000.

Prem Khandelwal : No. We are mining chrome ore. We have our own mines. So we are mining chrome ore.

Rajesh Agarwal: Understood, sir. Is there any ratio on that? Supposed, we mine like 2,000 tons. And how much do we get the final ferrochrome?

Prem Khandelwal : No. For per ton of ferrochrome, we use around 2.3 tons of chrome ore.

Rajesh Agarwal: I got that sir. So any guidance on the volume current year?

Prem Khandelwal : For chrome ore or ferrochrome?

Indian Metals & Ferro Alloys Limited

August 01, 2024

Page 8 of 12

Rajesh Agarwal: Ferrochrome.

Prem Khandelwal : Ferrochrome is likely to be around the same 2,50,000 tons, 2,60,000 tons.

Moderator: Thank you. We take the next question from the line of Aashav Patel from Molecule Ventures PMS. Please go ahead.

Aashav Patel: Thank you for the opportunity. Congratulations to the whole team for excellent set of numbers. Sir, my question is, sir -- in terms of our EBITDA cost for this quarter, for Q1, what was our EBITDA cost comparing to last quarter or Y-o-Y?

Prem Khandelwal : It was INR 77,000 for Q1 compared to INR 83,000 in Q4.

Aashav Patel: Okay. And for Q2, what would be this figure, roughly what we are internally working with?

Prem Khandelwal : I think it will remain more or less at these levels only.

Aashav Patel: Around INR77,000?

Prem Khandelwal : Around INR77,000, INR78,000, yes.

Aashav Patel: And this will be the EBITDA cost, which covers the ...

Prem Khandelwal : Yes, this is net EBITDA cost.

Aashav Patel: Okay, sir. That's all from my side. Thank you and all the very best.

Moderator: Thank you. The next question is from the line of Shubham Jain from Kotak.

Shubham Jain: Sir, so my first question is on the NSR side. So our NSR for the quarter one was around \$1,260 per ton, which has increased by roughly \$20 last quarter. So sir, if this \$20 increase is only on account of the better realization -- and what is the actual grade projecting which we are ?

Moderator: Sorry to interrupt Mr. Jain, we're unable to hear you, your voice is breaking up.

Shubham Jain: Ma'am, am I audible now?

Moderator: Yes, sir. Better, please go ahead.

Shubham Jain: Sir, our NSR has gone up by \$20 from the last quarter. So is it only because of the better realization? Or are we selling better grades in the market? And what is the average grade which we are selling right now?

Prem Khandelwal : Venkatesh, would answer that?

M Venkatesh: I don't have the grades what we have it in front. But definitely, like Mr. Khandelwal said, it's -- like the realization is improved by INR 2,000. So it could be a combination of better realization, of course, maybe grades and maybe factors like exchange rate.

Indian Metals & Ferro Alloys Limited

August 01, 2024

Page 9 of 12

Shubham Jain: Sir, my next question is on the byproduct side. So when we are producing ferrochrome, so a lot of byproducts -- so for example, when we are producing lumps, lot of fines and chips are getting generated. So are we selling those also in the market? Or are we consuming it in the process itself?

Prem Khandelwal : Venkatesh?

M Venkatesh: Yes. I wouldn't use the word byproduct. It is a product itself -- ferrochrome in different size range. Yes. There are different size ranges, which are sold in the market.

Shubham Jain: Sir, my next question is on the future outlook, basically on the capex plan. So what are our capex plans for quarter two and quarter 3?

Prem Khandelwal : Bijayananda, would you answer that?

Bijayananda Mohapatra: We have mainly planned for our running maintenance, planned. And otherwise, our capex is at mi

nes development.

Shubham Jain: Okay. Sir, my last question is on the chrome sale. So our sales -- quarter 1. Sir, what is the percentage of 63 KT. Basically, I would like the bifurcation of 63 KT into domestic and export.

Prem Khandelwal : Your voice is breaking, Shubham. I couldn't understand. Can you repeat it again?

Shubham Jain: Sir, our sales for the quarter was 63 KT. So what is the percentage of this 63 KT is into domestic and international?

Prem Khandelwal : Venkatesh, do you have the number? Domestic and Export?

M Venkatesh: I don't have the exact numbers, but it could be close -- it could be nearly close to ninety-ten . But I don't have the exact number, sir.

Prem Khandelwal : Okay.

Shubham Jain: Sir, you mean to say 90% is Export or ...

Prem Khandelwal : Yes. Domestic. Yes. Yes. Normally, it's 90% of it, Shubham. So we don't have the exact number. But it would be in that range only.

Shubham Jain: Okay. Sir, I couldn't understand, 90% you mean to say Export?

Prem Khandelwal : Yes.

Shubham Jain: Okay. Okay. That's all from my side.

Prem Khandelwal : Okay. Thank you.

Moderator: Thank you. We take the next question from the line of Akhilesh, an Individual Investor. Please go ahead.

Indian Metals & Ferro Alloys Limited

August 01, 2024

Page 10 of 12

Akhilesh : Hi Sir, good afternoon.

Prem Khandelwal : Good afternoon, Akhilesh.

Akhilesh : Yes. Sir can you give us an update on the start date for Phase 1, Phase 2 of the expansion next

year?

Prem Khandelwal : You mean, Kalinganagar?

Akhilesh : Yes, 40,000, 50,000 tons expansion?

Prem Khandelwal : Bijayananda, would you answer that?

Bijayananda Mohapatra: Yes. Yes. Actually, there is slight delay in our original plan. This is definitely because of the acquiring of the land and removal of the people staying there by government. So in between that election has come. So now, we're forecasting this one mid of 2026 will be the first unit and within another three months, our second unit.

Akhilesh : So around June 2026, you were saying, it will start?

Bijayananda Mohapatra: 26 -- June 2026.

Akhilesh : Okay.

Bijayananda Mohapatra: The first unit. And the second unit will be within three months from the first unit.

Akhilesh : Okay sir, that's all.

Bijayananda Mohapatra: Right. Thank you.

Moderator: Thank you, sir. The next question is from the line of Joe Shah from Seven Seas. Please go ahead.

Joe Shah: Deepak, please answer my question. Yesterday...

Prem Khandelwal : Yes Joe Bhai Deepak is not there.

Joe Shah: Okay. Okay.

Prem Khandelwal : We'll ask somebody to answer your question. What is the question?

Joe Shah: Okay. Question is the so yesterday you mentioned at the AGM that from Single Window

Clearance Authority of Odisha, we have received permission for the second phase of expansion, which I believe is about 200,000 tons. So will you please elaborate on this section, phase of expansion for which Single Window authority has given the approval.

Prem Khandelwal : Bijayananda?

Indian Metals & Ferro Alloys Limited

August 01, 2024

Page 11 of 12

Bijayananda Mohapatra: Yes. Actually that -- basically for our other land requirement -- for our projected another two or three similar size of units they are still Kalinganagar, so we have asked for a land in the patch of around 200 acres to invest.

So it is only initial stage of Single Window Clearance, and the team will you will look at then they will allot. So that will take time. That will be our next phase after stabilization of this phase - 1.

Joe Shah: Okay. So this 300 acres of land which we have received for Kalinganagar is not sufficient for this second phase of expansion, we need more of it?

Prem Khandelwal : Yes.

Joe Shah: Okay. Okay. Thank you. Yes .

Prem Khandelwal : Yes. Thank you.

Moderator: Thank you. We take the next question from the line of Saket Kapoor from Kapoor & Company.

Please go ahead sir.

Saket Kapoor: Yes sir. On the realization front sir what was our net sales realization for Q1 and the comparative number for the preceding quarter?

Prem Khandelwal : Q1, it was INR 1,03,755 and Q4 last year, it was INR 1,01,771.

Saket Kapoor: And this is the blended one between the long term and the spot market?

Prem Khandelwal : Yes.

Saket Kapoor: Okay sir. And for Q2 also, this will hover, because spot market will fluctuate, I think, so we are one month into the quarter ?

Prem Khandelwal : Yes. We'll come to know about the number at the end of the quarter only. It's difficult to give any numbers now.

Saket Kapoor: The spot is trading in the similar what exit of June was?

Prem Khandelwal : Yes, it's more or less similar.

Saket Kapoor: And sir, about the Utkal Coal compensation amount, sir, how much is pending sir? And I think so, yesterday, MD sir did comment on that to be also -- we are on the end of the season. How much is it?

Prem Khandelwal : Yes, INR221 crores is pending and already the order has been passed and the money expected any time now.

Saket Kapoor: Thanks. Right, sir. I'm done with my questions, and thank you sir and all the best to the team.

Indian Metals & Ferro Alloys Limited

August 01, 2024

Page 12 of 12

Prem Khandelwal : Thank you.

Moderator: Thank you, sir. The next question is from the line of Joe Shah from Seven Seas. Please go ahead.

Joe Shah: Prem, regarding reward to shareholders, as per the new budgetary provision for the buybacks, the 23.3% tax in the distribution of this -- on account of buyback has gone now from first October 2024. And again, there is one more provision of under 46 whereby we can claim capital loss for the buyback. I have given -- sent all the details to you by mail.

Now if our shareholders are concerned, buyback is more beneficial to small shareholders because they can claim income of these taxes and benefit as per the lower slab available to them and for large shareholders, they always go for selling in the market and get LTCG benefit of 12.5%. So as for the shareholders, instead of paying up 33% income tax on dividend, buyback is more preferable. So I request that is -- I understand that is a decision to be taken by the Board. So kindly convey our shareholders' opinion that they consider buyback as more beneficial to the company as well as to them. So please consider buyback option 1st of October 2024 as per the new budgetary provisions?

Prem Khandelwal : Sure. I'll convey your message to Board of Directors whenever they take up this matter.

Joe Shah: Yes. Okay. Thank you.

Prem Khandelwal : Right. Thank you. Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Abhishek Savant for closing comments.

Abhishek Savant: Thank you. The results for the first quarter reflect our strong focus on maximizing operational efficiency despite lower output on account of maintenance activity while softening input costs have also provided the relevant boost. While ferrochrome prices are range bound at the moment, an uptick in demand driven by global stainless steel production, which is expected to be around 6% higher this year could result in improved realization during the second half of the current fiscal. We will, of course, continue to benefit from our fully integrated business model and long-term debt-free balance sheet.

On behalf of the Board of Directors and management, we thank you all for your participation in this call, and a good evening ahead. Thank you.

Moderator: Thank you. On behalf of Indian Metals and Ferro Alloys Limited and Veritas Reputation, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

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Stock Symbol & Series : IMFA, EQ
Sub : Earnings Call Transcripts
Dear Sir / Madam, 14th November 2024
The Deputy General Manager
(Corporate Services)
BSE Limited
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Stock Code : 533047
Pursuant to Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio call recording of the Company's Investor / Analyst Call held on 14th November, 2024 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended 3Qth September 2024 is attached herewith .
You are requested to take the same on record.
Thanking you
(PREM KH ELWAL)
CFO & COMPANY SECRETARY
Membership No: F3526
Encl : As above.

Page 1 of 16

"Indian Metals & Ferro Alloys Limited Q2 FY25
Earnings Conference Call "

November 08, 2024

MANAGEMENT : MR. PREM KHANDELWAL – CHIEF FINANCIAL
OFFICER & COMPANY SECRETARY
MR. BIJAYANANDA MOHAPATRA – CHIEF OPERATING
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MODERATOR : MR. ARYAN RANA – VERITAS REPUTATION

Indian Metals & Ferro Alloys Limited
November 08, 2024

Page 2 of 16

Moderator: Ladies and gentlemen, good day and welcome to the Analyst Conference Call of Indian Metals & Ferro Alloys Limited arranged by Veritas Reputation.

At this moment, all participant lines are in the listen only mode. Later, we will conduct the question and answer session. At that time, if you have a question, please press “*” and “1” on your touchtone keypad. Please note that this conference call is being recorded.

I now hand the conference over to Mr. Aryan Rana from Veritas Reputation. Thank you and over to you, sir.

Aryan Rana : Thank you. Good evening and thank you for joining this Conference Call with Indian Metals and Ferro Alloys Limited to “Review” our “Financial Results” for the 2nd Quarter of Fiscal Year 2025 ending September 30, 2024.

IMFA has seen a remarkable year with about 80% increase in market valuation in the past one year and over 700% in the last 5 years recently got re-affirmation of our credit ratings by ICRA. Our long-term facility rating remains at AA - with a stable outlook while our short-term rating continues at A1+. This endorsement reflects IMFA's robust financial performance with sustained profitability, strong cash flows and solid debt coverage indicators projected to remain strong in the near term.

The improved financial profile is largely a result of effective debt reduction since FY22 and the company is favorably placed for growth in the Ferro Chrome sector. As a fully integrated manufacturer of quality Ferro Chrome and a leader in the industry, IMFA benefits from a highly competitive cost structure driven by self-reliance and chrome ore and power production. We remain one of India's top Ferro Chrome exporters with a diverse operational portfolio encompassing chrome ore mining, electricity production and Ferro Alloys smelting. Our Financial Results are available on our website in the stocking changes for further reference. Please note that today's discussion may contain forward-looking statements that involve risks, uncertainties and other factors. These statements should be considered in light of our businesses risk which could impact future performance or results.

Joining us today are key members of our management team, Mr. Prem Khandelwal - Chief Financial Officer and Company Secretary; Mr. Bijayananda Mohapatra - Chief Operating Officer; Mr. Sanak Gupta - Deputy Chief Financial Officer; Mr. Binoy Agarwalla - Head of Power Business Unit; Mr. Sandeep B Narade – Head, Mines Business Unit; Mr. Suresh Babu – Head, Ferro Alloys Business Unit and Mr. M. Venkatesh - Head Sales and Marketing, Ferro Alloys Business Unit.

Indian Metals & Ferro Alloys Limited
November 08, 2024

Page 3 of 16

We will start with the “Brief Overview” of our Q2 FY25 Results, after which we will open the floor for questions. With that, I will now hand over the call to Mr. Prem Khandelwal – our CFO. Over to you, sir. Thank you.

Prem Khandelwal : Thank you, Aryan, and good afternoon, everyone. Thank you for joining us on today's Earnings Call for Q2 FY 25.

We are pleased to report Results that exceeded our expectations for this quarter, reflecting the hard work and commitment of our team and our strategic focus on operational efficiency. Our profits came in stronger than anticipated, bolstered by solid performance across our key segments. This positive outcome reinforces our confidence in the strength and resilience of our business model even as we navigate a dynamic market environment.

Looking ahead, we expect the upcoming quarters to continue this trend. We anticipate stability in demand and pricing which should allow us to maintain a steady performance. We remain committed to driving sustainable growth supported by our investments in technology and efficiency improvements. We are grateful for the c

ontinued support of our stakeholders and we are eager to build on this momentum. Thank you once again for your trust and partnership and we look forward to your questions now.

Moderator: Thank you very much, sir. We will now begin with the question and answer session. The first

question is from the line of Sid Mehta from HNI . Please go ahead.

Sid Mehta : I have a question , if you can clarify my understanding of the operations going forward , if I read it correctly based on the CNBC interview I saw today, it seems that in the future, in the year FY25-26, there will be probably, the quantity of production will be more or less what we have going right now, but there may be an improvement in the price as well as there is currently a reduction in the cost of coking coal, and that both aspects together should be expected to increase our profitability going forward. So, is this one correct outlook that I am having?

Prem Khandelwal : No, for the next quarter, I don't think the MD has indicated that.

Sid Mehta : For the next 15-18 months, 15 months ?

Prem Khandelwal : No, I don't think he has indicated that because in our business predicting more than 2 quarters is very difficult. So, what he has mentioned in the interview that next 2 quarters looks like that we are going to maintain these kind of margins. Beyond that, it is very difficult to predict anything, so we need to see where the market is at that point of time and the demand and supply situation will determine the price.

Sid Mehta : So, in FY25-26, we will be setting up the expansion facilities and after FY 25-26, the year after that pretty much we would start seeing some result of the expansion, right , so the quantity would

Indian Metals & Ferro Alloys Limited

November 08, 2024

Page 4 of 16

increase only at that time, today we are producing everything we can and we are selling everything we can ?

Prem Khandelwal : Yes, that is right.

Sid Mehta : So, any improvement in the next year, next FY would come mainly from price increases, if any if they take place, right ?

Prem Khandelwal : Correct.

Sid Mehta : And maybe foreign exchange improvements also?

Prem Khandelwal : And maybe some cost reduction. It all depends on where the market is at that point of time.

Sid Mehta : So, once we pass over this scenario, if I am understanding it correctly, we will get an expansion of roughly 40%. So, if our capacity would go from say about two point some lakh tons to another probably 1 lakh tons added end to that ?

Prem Khandelwal : Yes.

Sid Mehta : And say , 2-3 years after that we would look to probably expand another 2 lakh tons if I am understanding correct?

Prem Khandelwal : Another 1 lakh ton.

Sid Mehta : The second expansion also would be this underground mining and all that , that would also be 1 lakh tons?

Prem Khandelwal : Yes, that will start somewhere in FY28 or FY29.

Sid Mehta : Would you like to add anything to this outlook as I am seeing?

Prem Khandelwal : No, I think pretty much you are on this thing , as you said, next year we cannot predict anything, but next 2 quarters , yes, that we can predict that it is more or less likely to be like this.

Sid Mehta : Now, in terms of the global situation, our position today is such that we can sell everything that we are making , we are one of the lowest cost producers. If Africa, maybe if the situation improves or if the world goes slightly into recession , a little bit here and there, I don't see that it should affect us right very much because right now, at 90 -95 cents, we are already among pretty a low price at the moment ?

Prem Khandelwal : You see, we are at such a level in as far as cost curve is concerned that if prices come down at certain unsustainable level , then most of the facilities would be shut down worldwide. So, almost

Indian Metals & Ferro Alloys Limited

November 08, 2024

Page 5 of 16

70%-80% capacity will

be shut down, but even at that level, we would be making some money.

That is the advantage we have.

Sid Mehta : So, such a bad scenario seems unlikely that people will drive the price down so low that they?

Prem Khandelwal : Yes, very unlikely and if it happens, then you see the kind of jump back we have seen earlier also.

Sid Mehta : One last question, what is your view on what are the options available to us to discuss the money that will come to us?

Prem Khandelwal : No, the money , as of now , you may know that lot of expenses have been lined up . Almost , we have to spend almost Rs. 2,000 crores in next 6-7 years. So, apart from the dividend, I don't see any further disbursement.

Sid Mehta : No further windfall disbursements ?

Prem Khandelwal : No, as of now, we are not anticipating any such kind of thing because we would be needing money for expansion lot of expenses.

Sid Mehta : It is the correct thing .

Prem Khandelwal : Yes.

Moderator : Thank you. The next question is from the line of Dhviti from Molecule Ventures . Please go ahead.

Dhviti : I had a question that given the new capacities will be on stream in 2 years and we already have our mining capacity approval. So, do you plan to expand to any inorganic routes like acquisition of some smelting capacity just to achieve the volume growth in FY 25 and FY 26?

Prem Khandelwal : We are open to that Dhviti and we are in fact looking for those kind of opportunities in the market also, but nothing lucratively is available at the moment. So, if something comes up, definitely we will look for that.

Dhviti : And sir, if you could help me with the cost of production for Q2 FY 25?

Prem Khandelwal : Q2 FY25, the cost of production was Rs. 69,600.

Dhviti : And EBITDA per ton?

Prem Khandelwal : And EBITDA was Rs. 176 crores which is around 25.38%.

Indian Metals & Ferro Alloys Limited

November 08, 2024

Page 6 of 16

Dhviti : And sir, power for this quarter and also if you could help me with the coal cost and coke cost ?

Prem Khandelwal : Power cost variable cost for Rs. 3.85 paisa and the coke cost was Rs. 16,545.

Moderator : Thank you. The next question is from the line of Joe Shah from Seven Seas . Please go ahead.

Joe Shah : Now Prem, regarding this legal stake, we know that the Supreme Court has rejected review petition filed by Union of India, all the legal rows are closed now and now this hanging bigger stakes is a big tension for us. We are also not able to utilize the compensation which we have received for UC. Now, I think the only option left is the parliamentary action which is not a small job, but I remember our Vice Chairman during Manmohan Singh's time, he was coordinating with all the Central India States for mineral matters. He is a brilliant person, we know and he is an elected Member of Parliament from Orissa and very active in Parliament, so I think this, this better should be taken up by him, not just for the benefit of IMFA , but for the benefit of the entire mining industry and because it is very important that this matter is sorted out amicably in the interests of the industry, which Indian Government of India also believe that this is very unjust ruling by Supreme Court. So, now do you have any idea of what is happening in Parliament for this matter?

Prem Khandelwal : No, I have no idea about that, but I believe this matter has been taken by all the mining companies with the government and in fact FIMI has also given their representation that this levy should not be allowed. So, beyond that, I have no idea. And our MD has also taken up the matter with the ministry. So, all the companies are jointly taking the action , so let us see hopefully there should be some amicable solution to this, but beyond that I won't be able to comment anything on this .

Moderator : Thank you. The next question is from the line of Sanjeev Goswami from Fractal Capital Investments

. Please go ahead.

Sanjeev Goswami : Sir I was saying the production of Chrome Ore, actually declined by almost 50%, while Ferro Chrome production has gone up by more than 10%. So, do we really buy Chrome Ore from other mining companies like Orissa Mining Corporation? Or we had enough inventory of Chrome Ore initially ?

Sandeep Narade : Yes, we are having the inventory and if you compare with the last year , it sounds to be dropped, but this year the monsoon was quite long and there was a rainfall almost all the days. So, that was the main reason. And last year , the monsoon was delayed , so we could make up the production in H1 and you can see the difference is of almost 1 lakh tons, so there is no direct impact of this. So, we are in line and in Q1 it was 100% , in Q2 about 18% less. But yes, we have the stock . We are having the inventory of ore, so no need to buy from others.

Sanjeev Goswami : And generally, we don't buy Chrome Ore from outside ?

Indian Metals & Ferro Alloys Limited

November 08, 2024

Page 7 of 16

Sandeep Narade : We don't buy it.

Sanjeev Goswami : The reason I am asking is because if you look for FY21 to FY24, your Ferro Chrome production plus Chrome Ore has come down from 0.5 to 0.39 in FY 24. So, is it because the production of Chrome Ore coming out is better or what exactly explains that?

Prem Khandelwal : No, we didn't get your question. You are talking about Chrome Ore consumption in terms of Ferro Chrome ?

Sanjeev Goswami : Yes, exactly.

Prem Khandelwal : No, I don't know from where you got the figure, but Chrome Ore in terms of Ferro Chrome, the chrome ore consumption is almost 2.3, I am seeing all the year , 2.3-2.4, it is not coming down.

Sanjeev Goswami : So, if you look at FY21 to FY24, the Chrome Ore production increased from 5,21,000-6,70,000. That is increase of almost 1, 50,000, while the production of Ferro Chrome increased only 5,000?

Prem Khandelwal : Yes, but that is not the comparison, because we are holding inventory, but consumption is almost same. It is around 2.4 tons per ton of Ferro Chrome.

Moderator : Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor : We have spent around Rs. 41 crores for the first half for the purchase of property, plant and equipment. So, how much of this is to be our new furnace project and when are we going to start spending in a major way, CAPEX for the new project?

Suresh Babu : We have started our boundary work from the last month and the boundary work will be completed by the end of this December. So, we are expecting to start the furnace by 2026 July.

Saket Kapoor : And we have placed the order for the equipment s?

Suresh Babu : Yes, major packages we have ordered, like power plant and other electrode systems of the furnace and packages we have already made LOA and some of them were ordered.

Saket Kapoor : And when will we draw money? When will we paying them for that ? In which quarter we will be drawing cash for the same?

Suresh Babu : The payment will begin from the Q2 beginning of the next year , some of them in the Q1 and major will be coming Q2 of the 2025.

Saket Kapoor : And how much have been entrusted with? What will be spending on this in terms of the plant equipment?
Indian Metals & Ferro Alloys Limited

November 08, 2024

Page 8 of 16

Suresh Babu : Plant equipment for furnace packages , it will be around Rs. 181 crores and power plant is around Rs. 95 crores and other we have paid till date around Rs. 63 crores.

Saket Kapoor : And sir, what is our cash balance, if you could give me in terms of our investment in liquid funds and what is the cash on books ?

Prem Khandelwal : Total cash and bank balance as on date is Rs. 869 crores .

Saket Kapoor : And our working capital requirement is?

Prem Khandelwal : Working capital is Rs. 240 crore s.

Saket Kapoor : So, -600 i

s net cash where we are here?

Prem Khandelwal : Yes.

Moderator : Thank you. The next question is from the line of Sid Mehta from HNI. Please go ahead.

Sid Mehta : My question relates to our expansion going into ethanol production. I am just curious, not a criticism or anything that about what is the reason that while we are making Chrome Ore, we decided to get into a different field altogether and right now from my understanding the sales on that would be around Rs. 300 crores, which is a fairly small amount for us as a company. So, doing some different business, getting into a whole different area, but getting a small amount of revenue , so I am just curious what was the reason , I am not criticizing or anything, I am just curious about this and will this 300 one day become Rs. 3,000 crores also or it will remain Rs. 300-Rs. 400 crores like that ?

Bijayananda Mohapatra : Actually , we have diverted this new project as a diversification and we have a land at Therubali. So, utilizing that one , this one and initially we are going for 120 KLD , afterwards we will go on increasing the capacity seeing the plant performance.

Sid Mehta : So, if we go for maximum capacity in the future given our land, roughly what would you expect the sales say in today's prices to be , in theoretically, what would be the maximum sale?

Bijayananda Mohapatra : Maximum 120 KLD means around Rs. 300 crores. So, add another 120 will increase to another Rs. 300 crores like that we will, phase wise will expand not at a time.

Sid Mehta : Total how much KLD you can put ?

Indian Metals & Ferro Alloys Limited

November 08, 2024

Page 9 of 16

Prem Khandelwal : That would be difficult to say anything at the moment because it depends . We are just experimenting now with 120 KLD and very successful and if we get extra land there then we will expand further , but nothing concrete has been worked out.

Sid Mehta : So, in the future, we can go for 300-500 KLD like that ?

Prem Khandelwal : Yes, because you see the Ferro Chrome production in that area, logistically there is a disadvantage around Rs. 6,000 per ton. So, it doesn't make any sense in expanding Ferro Chrome in that area. So, we have enough infrastructure s available there, lot of land is available, railway siding is available and that is a full agriculture belt. So, maize, rice, everything is available in plenty there. So, that was the reason for expanding in ethanol and we are seeing lucrative business and if it is successful then we will expand further.

Sid Mehta : So, it is likely to be successful because are there any other people doing the same business , they are taking ethanol out of maize in that area and selling ?

Prem Khandelwal : No, that area, I think nobody else is there. So, that is why we have started. We have pioneered there.

Sid Mehta : Let us hope it all works out, I am glad that some new initiative is there and by God's grace, let us say one day it can go from 120 to maybe 1,200 also.

Prem Khandelwal : Let us hope so.

Moderator : Thank you. The next question is from the line of Kaushal Kedia , an Individual Investor. Please go ahead.

Kaushal Kedia : Sir, I want to ask you in one of the annual reports , you mentioned that you have proven capacity in the reserves are 21 million tons and in some earlier interview , I think someone had mentioned that it can increase also , you have not done proper survey of the area. I want to know what is the kind of reserve that you have in the mines ?

Sandeep Narade : Can you please repeat the question?

Kaushal Kedia : What are the mining reserves that we have, proven reserves ?

Sandeep Narade : Number as of now , I am not having with me right now, but yes, we are having enough reserves for our lease period from both the mines.

Kaushal Kedia : So, we are comfortable for the next 20 -25 years?

Sandeep Narade : Yes.

Indian Metals & Ferro

Alloys Limited

November 08, 2024

Page 10 of 16

Kaushal Kedia : So, it is upwards of I am assuming 21 million tons ?

Sandeep Narade : Yes, roughly.

Kaushal Kedia : Sir, and can you just repeat what was the EBITDA cost per ton?

Prem Khandelwal : EBITDA cost per ton is around 77,500.

Kaushal Kedia : Sir, and the new furnace that we are setting up, where will we get the power from?

Bijayananda Mohapatra : Actually , we are setting up the power plant in the Kalinga nagar and whatever our thermal capacity is now , it is now catering there. So, for future we are getting tie up with the renewable energy , it is a hybrid solar plus wind. So, with that grid power we will go for that furnace.

Kaushal Kedia : No, which CAPEX that we are doing, it includes setting up of how many megawatts of power plant ?

Bijayananda Mohapatra : No, we are starting up a small power plant, utilizing the furnace gas. It will be around 9 megawatts. That is beneficial to just using the heat from the flue gas. That is now real thermal power plant.

Kaushal Kedia : So, the balance will be dependent on the grid only?

Bijayananda Mohapatra : Not in grid. We are getting tie up with the captive hybrid power plant.

Kaushal Kedia : What does that mean , captive hybrid power plant ?

Bijayananda Mohapatra : That means somebody setting up a solar plus wind energy, we have to set as a stakeholder.

Kaushal Kedia : So, we will be investing in that as equity shareholder ?

Bijayananda Mohapatra : Yes.

Indian Metals & Ferro Alloys Limited

November 08, 2024

Page 11 of 16

Kaushal Kedia : So, a third party setting it up and we will be investing in that ?

Bijayananda Mohapatra : Yes.

Kaushal Kedia : And how much is that investment , Rs. 95 crores?

Prem Khandelwal : Rs. 120 crores.

Kaushal Kedia : So, that is including in this CAPEX or you included in this CAPEX or that is a separate investment ?

Prem Khandelwal : No, that would be separate CAPEX . It is not included in the furnace.

Kaushal Kedia : And sir, to set up 1,00,000 tons of furnace, what is the cost ? Is it Rs. 500 crores or Rs. 1, 000? I am confused because when I like last ?

Prem Khandelwal : No, it is around Rs. 650 crores, Kaushal. Furnace is Rs. 650 crores and for mining it is around Rs. 1,000 crores.

Kaushal Kedia : And this mining is to go to 1.2 million tons?

Prem Khandelwal : Yes, 1.2 million tons.

Moderator : Thank you. The next question is from the line of Joe Shah from Seven Seas . Please go ahead.

Joe Shah : Regarding power investment mentioned of about Rs. 85 crores in Kalinga nagar, that is for processing power from the gas, right?

Binoy Agarwalla: That Kalinga nagar power plant is around 9 megawatts. That power generation will be done from

the furnace of f gas.

Joe Shah : So, we will be producing 9 megawatts of power from this furnace gas?

Binoy Agarwalla: Yes.

Joe Shah : Now, one more thing, Prem, this Sukinda underground mining, which we are going to start when we are starting with the project underground because it is very challenging project, underground mining and what is the timeline and how much investment should be needed?

Indian Metals & Ferro Alloys Limited

November 08, 2024

Page 12 of 16

Sandeep Narade : Yes, the timeline is next 5 -6 years to start the improved production and investment will be about Rs. 1,000 crores.

Joe Shah : And when we will be starting this underground project ?

Sandeep Narade : We have already started some work.

Moderator : Thank you. The next question is from the line of Akhilesh B, who is an I ndividual Investor.

Please go ahead.

Akhilesh B : Sir, I have two questions. So, one is on the Supreme Court verdict which came few months back that State Government can also get the royalty h ave you had any discussion with your state government in O rissa? Is there any idea you a re getting about how it will proceed

going ahead?

Prem Khandelwal : No, that Act has been struck down in Orissa High Court and the State Government has gone to Supreme Court against that. So, that is pending since so many years now. So, unless the act is reenacted, nothing is payable as of now.

Akhilesh B : So, do we have no contingent liability on other ?

Prem Khandelwal : No, there is no demand , there is no conti ngent liability. So, that is how we are not showing anything in our books and even Tata Steel also which had quantified earlier this quarter , they have also withdrawn that note because there is no demand, there is no act as on date.

Akhilesh B : So, as on date, royalty is still decided by the center ?

Prem Khandelwal : Yes, IBM, not center , IBM.

Sandeep Narade: Royalty will be the 15% and IBM declares the price on which we pay royalty.

Akhilesh B : And that is s tatus quo , nothing has changed since this process ?

Prem Khandelwal : Yes, nothing has changed .

Akhilesh B : And unlike Tata Steel, we didn't even have any contingent liability or demand in the past, so?

Prem Khandelwal : That was when Tata Steel had any demand, I don't know how they have shown it because the act was struck down. So, obviously, there is no demand.

Akhilesh B : That worried lot of investors ?

Prem Khandelwal : So, now they have modified the note. This quarter result , they have now modified note.

Indian Metals & Ferro Alloys Limited

November 08, 2024

Page 13 of 16

Akhilesh B : And s ir, second question is , can you refresh us on this ethanol project? What is our total CAPEX?

When is the payback period, our expected EBITDA once it transfers refreshes only?

Saunak Gupta : So, on the ethanol project, our CAPEX is approximately Rs. 140 crores a nd we expect to get this around in 6 years' time (the payback period).

Akhilesh B : And what can be the projected EBITDA at full utilization?

Saunak Gupta : In full utilization , we expect it should be somewhere around 14 %-15% EBITDA .

Moderator : Thank you. The next question is from the line of Pavan Kaware from NMV Securities. Please go ahead.

Pavan Kaware: Sir, my question is on CAPEX. In quarter 4 of FY24, you had given a CAPEX number of Rs. 1,500 crore , is there any improvement in that number?

Prem Khandelwal : Improvement , you meant reduction?

Pavan Kaware : Obviously , you have said 2000 today?

Prem Khandelwal : No, 2000 is because there are several CAPEX items are there like we have furnace capacity, then mining, then ethanol , then RE power, all put together is around Rs. 2,000 crores.

Pavan Kaware : If you can give me a break up of this Rs. 2,000 c rores?

Prem Khandelwal : Estimated around Rs. 650 crores furnace, Rs. 1 ,000 crore for mining, Rs. 140 as Mr. Saunak said, Rs. 140 for ethanol and roughly Rs. 100-Rs. 120 crore f or RE power.

Pavan Kaware : So, what is the expected CAPEX for this and the next 2 years?

Saunak Gupta : So, this year , we expect to be around, if I go by the order release , will be around Rs. 600 crores CAPEX. Next 2 years, we are in the finalization stage. So, we will be actually framing it out.

Pavan Kaware : So, out of this Rs. 600 crores for this year , what was the executed CAPEX till now in half year ?

Saunak Gupta : As of now, what Suresh mentioned especially the Kalingan agar project we have around if I say executed is around Rs. 60 crores , and a portion which the ethanol has started. So, there we have some and the rest of them would be the routine CAPEX which we have spent around Rs. 50 odd crores . That is the thing as of now. So, what we mentioned this basically is on the basis of order

released. So, the overall order released is in that tune, annually Rs. 600. But as of now we have released in the tune of about Rs. 300-350 crores.

Pavan Kaware : So, out of this 600, if it includes maintenance CAPEX?

Indian Metals & Ferro Alloys Limited

November 08, 2024

Page 14 of 16

Saunak Gupta : Yes, routine CAPEX is included .

Pavan Kaware : What is your routine CAPEX sir ?

Saunak Gupta : It is around Rs. 70-Rs. 80 crores .

Pavan Kaware : Rs. 70-Rs. 80 yearly ?

Saunak Gupta : Yes.

Moderator : Thank you. The next question is from the line of Mohit Madhiwalla from Envision Capital.

Please go ahead.

Mohit Madhiwalla: Sir, I just wanted to understand that has there been any reclassification of costs in the cost of material consumed line item?

Prem Khandelwal : Yes, from this quarter onwards, we are showing power and fuel separately. So, if you see our results, there is a line item of power and fuel expenses of Rs. 101 crore s.

Mohit Madhiwalla : So, this was earlier being ?

Prem Khandelwal : This was earlier clubbed under the raw material consumptions, but the auditors have advised that no, this is not part of raw material, this is a separate line item. So, we have segregated this and that is why the two items are appearing now.

Mohit Madhiwalla : And I just wanted to confirm a few things in terms of the capacities that we have and all of that. So, on our Ferro Chrome production capacity, we are currently at 2,84,000 tons, right?

Prem Khandelwal : Yes.

Mohit Madhiwalla : And what would be the utilization for this quarter?

Prem Khandelwal : I didn't get utilization for this quarter means we are running at full capacity now. So, on average , we are producing around 65,000 tons every quarter.

Mohit Madhiwalla : And I also wanted to check on the ethanol plant just in terms of when the revenues are expected, just a little bit on that as well?

Prem Khandelwal : We are expecting it to be operational by end of December 25 , so last quarter of FY26, we should be seeing that.

Mohit Madhiwalla : Sorry, last quarter of FY26?

Indian Metals & Ferro Alloys Limited

November 08, 2024

Page 15 of 16

Prem Khandelwal : December FY25, we are expecting it to be operational. So, January to March quarter 26, we should be seeing the revenue out of that.

Moderator : Thank you. The next question is from the line of Joe Shah from Seven Seas . Please go ahead , sir.

Joe Shah : Prem, this is a rather futuristic statement or suggestion. Now , there is a lot of interest and discussion about the ethanol. Now , there is a very interesting program which is called sustainable aviation fuel , SAF, which is produced using ethanol as a feedstock to process like alcohol -to-jet ATJ. Now, India is seeking expertise from US , Europe about this SAF blend and SAF blend is getting mandated for aviation, so this is the confusion this SAF production in future , we are establishing the ethanol , this ethanol we built mainly for the vehicles on the roads. Now , this is for the aviation fuel and India is supposed to become global hub of this SAF because of our location , so this is number one? Number two is, this is an interesting point , now CBAM is a carbon border adjustment mechanism tax. It is coming into effect in Europe in 2026 because now, everyone is becoming aware of carbon tax and carbon emission and they want to control it. So, Europe is going to levy tax only for the carbon emission and that will make freight very expensive. So, freight of chrome ore from South Africa to China will become more expensive. And China, US, Japan, Korea, they are also considering this kind of carbon tax. So, that will put us in benefit in a way because already , as our power generation is concerned, we are using renewable energy, and our underground mining is also producing less of pollution . So, these are our benefit. So, maybe time will come when the import a good kind of import from us more beneficial than doing all the processing and getting from other places. This is another. CBAM is a very interesting point which we should keep in mind.

Prem Khandelwal : Thank you.

Moderator : Thank you. The next question is from the line of Pavan Kaware from NMV S

curities. Please

go ahead.

Pavan Kaware : Sir, my question was on our CAPEX plans on our mining and Chrome capacity expansion. So,

what is the expected time when we can see the full capacity expansion in mining and coal production both?

Prem Khandelwal : Mining will be in stages . Sandeep , could you give the dates?

Sandeep Narade : So, we are expanding this Sukinda mine for the production capacity in the first phase , 6 lakh tons per annum. Right now , we are producing 3 lakh tons . So, from that we will move to 6 lakh tons. So, that will come in FY31 .

Pavan Kaware : This is about the mining and what about this 1.2 lakh tons in expansions ?

Indian Metals & Ferro Alloys Limited

November 08, 2024

Page 16 of 16

Prem Khandelwal : That is the mining , Sandeep is talking about Pavan, 1.2 million tons , ultimately we will reach 1.2 million tons . From both the mines , together it will be 1.2 million tons.

Pavan Kaware : And basically expected in FY31?

Prem Khandelwal : Yes.

Pavan Kaware : And what about the Ferro Chrome capacity increasing by 1 lakh ton ?

Prem Khandelwal : That will come in 2nd Quarter of FY26.

Pavan Kaware : So, it will be counted in financial year 27 ?

Prem Khandelwal : Yes.

Pavan Kaware : So, our current capacity of mining is 6. 51 lakh, s o will it be possible to produce this much tons of Ferro Chrome b ecause for this 3.84 lakh, we will be requiring nearly 8. 8 lakh?

Bijayananda Mohapatra : Just a minute. These are our product ion. Our capacity is now 9 lakh only, Mahagiri u nderground is 6 lakh and Sukinda opencast 3 lakh. So, as on date, our capacity is 9 lakh.

Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Abhishek Sawant for closing comments.

Abhishek Sawant : Thank you. Our Q2 performance has been solid, driven by consistent growth, higher revenue and improved margin. Thanks to our fully integrated model and debt free balance sheet. While the global stainless steel demand is under pressure due to economic slowdown, China 's recent economic indicators show promise with their October PMI marking the first growth in 6 months, along with stability in the real estate prices . This is encouraging for the Ferro Chrome market, especially as many global regions face uncertainties. Rising power costs in South Africa may also drive China to seek alternative Ferro Chrome sources potentially benefiting our industry. As we move forward, we are focused on our expansion plans, which are progressing consequently. Thank you all for joining and we look forward to continuing positive moment um. On behalf of the Board of Directors and management, we thank you all for your participation in this conference. Have a good day ahead.

Moderator : Thank you very much, everyone. On behalf of India n Metals & Ferro Alloys Limited and Veritas Reputation, that concludes this conference call. Thank you all for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2025

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The Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza
Plot No.C/1, G. Block
Bandra-Kurla Complex
Bandra (E)
Mumbai-400051
Stock Symbol & Series: IMFA, EQ
Sub : Earnings Call Transcripts
Dear Sir / Madam, 04th February 2025
The Deputy General Manager
(Corporate Services)
BSE Limited
Floor 25, P.J. Towers
Dalal Street, Fort
Mumbai-400001
Stock Code : 533047
Pursuant to Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio call recording of the Company's Investor / Analyst Call held on 30th January 2025 at 3.00 pm on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended 31st December 2024 is attached herewith .
You are requested to take the same on record.
Thanking you
(PREM K 'A DELWAL)
CFO & COMPANY SECRETARY
Membership No: F3526
Encl : As above.

Page 1 of 23

"Indian Metals and Ferro Alloys Limited Q3 FY25
Earnings Conference Call "

January 30, 2025

M
MANAGEMENT : MR. PREM KHANDELWAL - CFO & COMPANY
SECRETARY
MR. BIJAYNANDA MOHAPATRA - WHOLE -TIME
DIRECTOR & CHIEF OPERATING OFFICER
MR. SAUNAK GUPTA – CFO DESIGNATE
MR. BINOY AGARWALLA - HEAD, POWER BUSINESS
UNIT

MR. SANDEEP B. NARADE - HEAD, MINES BUSINESS
UNIT
MR CH.S.V.C HSURESH BABU – HEAD, FERRO ALLOYS
UNIT
MODERATORS : MR. ARYAN RANA - VERITAS REPUTATION
MR. ABHISHEK SAVANT - VERITAS REPUTATION

Indian Metals and Ferro Alloys Limited
January 30, 2025

Page 2 of 23

Moderator : Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Indian Metals and Ferro Alloys Limited arranged by Veritas Reputation.

At this moment, all participant lines are in the listen -only mode. Later, we will conduct a question -and-answer session. At that time, if you have a question, please press “*” and “1” on your touchstone keypad. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aryan Rana from Veritas Reputation. Thank you and over to you, sir.

Aryan Rana: Thank you, Rayo. Good evening, everyone, and thank you for joining us on this conference call to discuss Indian Metals and Ferro Alloys Limited, which is IMFA's Financial Results for the third quarter of Fiscal Year 2025 ended December 31st, 2024. IMFA India is leading fully integrated producer of Ferro Alloys has delivered a resilient performance in Q3 FY25 despite a challenging market environment, reinforcing our focus on long-term value creation and operational excellence.

Over the past 3 to 4 years, IMFA has transitioned to profitability driven by strong share price appreciation. Also over the last two years, IMFA's market cap has more than doubled and share price has surged by 89%. While EPS has grown at an analyzed rate of 8.3%, the stock's 24% analyzed gain has gained over this period outpaced EPS growth reflecting increasing market confidence in the company's future. In the past year alone, IMFA shareholders have earned a total shareholders return, TSR, of 10% including dividends, while the five -year TSR stands at an impressive 51% per year, reinforcing our track record of delivering value.

Despite headwinds in the commodity markets, our steady long-term contracts and cost optimization efforts have helped us mitigate the impact on Q3 FY25 results, ensuring steady performance in a dynamic environment. Our financial results are available on our website and stock exchanges for reference.

Before we begin, I would like to remind you that today's discussion may include forward-looking statements that involve risk uncertainties and other factors that could impact the future performances and that should be considered to be in the context of our businesses and market conditions.

Joining us on the call today are Mr. Prem Khandelwal – CFO and Company Secretary ; Mr. Bijaynanda Mohapatra – Whole -Time Director and Chief Operating Officer ; Mr. Saunak Gupta – CFO Designate; Mr. Binoy Agarwal – Head (Power Business Unit); Mr. Sandeep B . Narade – Head (Mines Business Unit) and Mr Chigurupalli Suresh babu – Head, Ferro Alloys Unit. We will start with a “ Brief Overview ” of our Q3 FY25 Performance followed by an open floor for questions.

Indian Metals and Ferro Alloys Limited
January 30, 2025

Page 3 of 23

With that, I will now hand over the call to Mr. Prem Khandelwalji – our CFO. Over to you, sir .

Thank you.

Prem Khandelwal: Thanks, Aryan. Good afternoon, everyone, and thank you for joining us on today's earnings call for Q3 FY25 .

This quarter our performance came in below expectations with the profits seeing some pressure due to market conditions. While this is not the outcome we had anticipated, we remain focused on navigating these challenges with a disciplined approach to operations, cost management, and strategic planning. Looking ahead, we expect some further contraction in the next quarter as sudden headwinds persist. However, we are taking proactive steps to mitigate risk and enhance efficiency, ensuring that we are well positioned for a recovery when conditions improve, which is likely from next month onwards. The expansion and diversification plans are going on track with Kalinga nagar Phase -1 construction to start from next month and ethanol from December 25 or January 26. With Kalinga Nagar Phase-2 thereafter, we are

well poised to double our ferro chrome capacity in the next 3 to 4 years. We appreciate the continued support of our stakeholders and remain committed to delivering long-term value.
Thank you for your trust, and we look forward to discussing our performance and outlook in

greater detail during this call. Thanks.

Moderator: Thank you very much. Shall we begin with a question-and-answer session?

Prem Khandelwal : Yes, now I think we can start with Q&A session.

Moderator: Thank you. Participants who wish to ask questions, please press “*” and “1” on your touchtone telephone. If you wish to remove yourself from the question queue, you may press “*” and “2”.

Participants are requested to use handsets while asking questions. Ladies and gentlemen, we will wait for a moment while the question queue assembles. To ask questions, please press “*” and

“1”. First question is from Manan Vandur from Waldford PMS. Please go ahead.

Manan Vandur: Yes, thank you so much for the opportunity. Sir, I had a few questions. The first question would be that, what are the production and sale volume figures of ferrochrome this quarter?

Prem Khandelwal : Just a moment, let me see. Production was 65,865 tons and sales 65,490 tons.

Manan Vandur: Production you said 65,000?

Prem Khandelwal : 65,865 and sales 65,490.

Manan Vandur: Okay. So, the second question would be, what is the cost of chrome ore per ton for this quarter ?

Prem Khandelwal : It's Rs. 9,085 landed at Choudhary .

Indian Metals and Ferro Alloys Limited

January 30, 2025

Page 4 of 23

Manan Vandur: It is 9,085. Sir, what is the cost of coke per tonne?

Prem Khandelwal : Coke is around Rs. 14,628 .

Manan Vandur: So, that would be for half a ton, right?

Prem Khandelwal : Yes, it's the consumption value I am telling you . It's a part of the ferrochrome cost.

Manan Vandur: Correct . Cost of power this quarter?

Prem Khandelwal : It's Rs. 18,671.

Manan Vandur: Sir, per unit how much would it be?

Prem Khandelwal : Per unit variable cost is Rs. 4.03 and total cost is Rs. 5.27.

Manan Vandur: And sir, the last question would be the what is the average selling price of ferrochrome this quarter?

Prem Khandelwal : This quarter selling price has come down. It is around Rs. 96,943 /-.

Manan Vandur: And how much do we anticipate in the next quarter? Like what would be the range for it?

Prem Khandelwal : You see , giving the exact number is very difficult because you know we are selling on a spot basis also. So, we will come to know at the end of the quarter only.

Manan Vandur: Okay. That's it from my side. Thank you so much.

Moderator: Thank you. The next question is from Aashav Patel from Molecule Ventures PMS. Please go ahead.

Aashav Patel: Thank you for the opportunity. My first question is that what is our EBITDA cost for Q3 this quarter, which went by?

Prem Khandelwal : EBITDA cost is 77,827, Aashav.

Aashav Patel: And roughly what how do we expect the cost per ton to pan out, EBITDA cost per ton to pan out for Q4 which is the current quarter ?

Prem Khandelwal : Q4 I think it would remain more or less at these levels .

Indian Metals and Ferro Alloys Limited

January 30, 2025

Page 5 of 23

Aashav Patel: And sir in terms of hypothetically speaking, if we need, I understand that we have the CTO to double our mining output. Is that correct understanding? From 6 lakh metric tons, we can now mine a total of 1.2 million metric tons of chrome ore .

Prem Khandelwal : Sandeep, would you answer that?

Sandeep B. Narade Yes. We have already received the CTO to double our production up to 1.2 million tons together from both the mines, Sukinda and Mahagiri. We are already having all the permissions.

Aashav Patel: All the permissions, right?

Sandeep B. Narade Yes.

Aashav Patel: So, in case if you need to extract more ore, we can do it right away, from day one we can double?

Sandeep B.

Narade No, not right away. We have initiated the expansion project for that. From Sukinda, we will be doing 6 lakh tons by FY32. So, already we have started working for that. We are converting our opencast mine to underground. That project has been started.

Aashav Patel: Okay. And is there a way to expedite that? Can we expect the ore faster?

Sandeep B. Narade No, already because we are converting opencast to underground, so that will take time and according to that, we have prepared the plan to expedite.

Aashav Patel: But how long does it take to build this underground ore specifically? I just wanted to understand the laid out timeline for the same which is over next 5-6 years. Is it because we have a staggered furnace coming up or is it a time-consuming process to develop the mine itself?

Sandeep B. Narade It is a time -consuming process. It takes about 5 years to start ore production from underground. And that depends upon the type of the ore, what type of ore we are having, how is the quality of the ground. So, all these conditions are taken into consideration for this.

Aashav Patel: Okay. And from Mahagiri, we can any which ways double the output?

Sandeep B. Narade Mahagiri we were doing 3 lakhs tons , 2 years back. From last year started augmenting the production. So, about 15% to 20% per year. At that rate, by FY27, we will be producing 6 lakh tons from Mahagiri.

Aashav Patel: Okay, got it. And how much are you targeting from S ukinda for FY27?

Sandeep B. Narade That will be just 3 lakh tons only from opencast.

Indian Metals and Ferro Alloys Limited

January 30, 2025

Page 6 of 23

Aashav Patel: Okay sir, that's all from me. Thank yo u.

Prem Khandelwal : Thank you, Aashav.

Moderator: Thank you. Next question is from Aditya from Axis Securities. Please go ahead.

Aditya: Thanks for the opportunity. So, just on the previous question, so we will go up to 6 lakh tons at Mahagi ri by FY27 from 3 and Sukinda by FY32. Is that right?

Sandeep B. Narade Yes.

Aditya: And can you just elaborate more on the expansion of ferrochrome from 280 KTPA to 0.5 million tons? How it will happen in what phases ?

Prem Khandelwal : Suresh, can you explain that?

Sureshbabu Chigurupalli: Yes. R egarding this Kalingangar project , we have obtained consent to establish in the month of November and almost major packages order is in progress and by March and April we are going to release us around the order of Rs. 400 crores and we have already released the order of around Rs. 200 crores and we are expecting to power up our first furnace by around first quarter of 26 - 27 by April to June. The June we are expecting, June 26 we are expecting to power up one smelter, and the other smelter with a gap of three months. So, that is how the first phase project expansion plan. That will add around 96,000 for existing power capacity and the remaining inorganic growth also we are planning, wherever it is possible.

Prem Khandelwal : And then in phase two, we will start thereafter , so which is again likely in 3 to 4 years. So, that's how we are planning to reach around 0.5 million tons in 3 to 4 years ' time.

Aditya: Okay. Any color on the inorganic part, any particular targets we have, any advanced discussion?

Prem Khandelwal : No, nothing as such. We are open to that, but nothing as such at the moment.

Aditya: Okay. My last question is on, if you can throw some light on the current situation on ferrochrome prices. We have seen that in this quarter prices have, can we say that prices have bottomed out and what is the outlook? Any directional color will be helpful .

Prem Khandelwal : Suresh?

Sureshbabu Chigurupalli: In the last quarter , there is a steep fall of ferrochrome prices, and the realization is decreased. So, we are expecting similar prices for the next two months . Anything from M arch onwards there will be a uptick in the prices and now there is a

rollover of the same prices. So, we are

expecting the bottom up as happened in both Chinese and European markets. So, we are

Indian Metals and Ferro Alloys Limited

January 30, 2025

Page 7 of 23

anticipating the market condition to improve later part of this quarter and the first quarter of the 25-26.

Aditya: Okay sir . Thank you and all the best.

Prem Khandelwal : Thank you, Aditya.

Moderator: Thank you. Next question is from Madhur Rat hi from Counter Cyclical Investments. Please go ahead.

Madhur Rath: Thank you for the opportunity. I wanted to understand, we have Rs. 1750 crores CAPEX to increase our production capacity as well as to create a new ferro chrome...

Prem Khandelwal : Madhur, you are not audible. Are you using the speakerphone?

Aditya: Sir, is my audio right now better?

Prem Khandelwal : Yes, little better.

Aditya: Yes. So, I wanted to understand what is the payback period expected from this 1,750 crore CAPEX we are doing on ferrochrome?

Prem Khandelwal : I didn't get you. What is the...?

Aditya: Sir what would be the payback period for these investments that we are making in increasing production at al l these three so all are steady like b ased on like past 5 -10 years of pricing, we might have taken a short projection . So, on that, what would be the payback for this?

Prem Khandelwal : No, it's very difficult to project the payback as such because our industry is very cyclical. So, if the prices are good, then it can be 2 -3 years also. But if it is not so good, then it could be 5- 6

years. So, predicting any number is very difficult.

Aditya: Okay, got it. We have got into ethanol production, so if I wanted to understand how much are we going to invest in this? And sir, why are we getting into ethanol when we are a metal player ?

So, what is the rationale behind getting into ethanol?

Prem Khandelwal : This point we have explained in quite a detailed manner in the last concall also, that we have some surplus capacity available in Therubali, and Therubali we are not expanding ferrochrome because of logistic disadvantages. So, we are utilizing our idle capacities there. And that is agriculture belt where enough of raw material is available. So, we are utilizing our idle assets there to generate some money. Okay, so that was the idea. So, it's a 120 KL plant with roughly Rs. 150 crore of investment, which will generate around Rs. 300 crore of revenue and EBITDA margin expected around 10%.

Indian Metals and Ferro Alloys Limited

January 30, 2025

Page 8 of 23

Aditya: Okay, so around 5 years exactly .

Prem Khandelwal : Yes.

Aditya: Sir, thank you so much and all the best.

Prem Khandelwal : Thank you.

Moderator: Thank you. Next question is from Manan Vandur from Wal lfort PMS. Please go ahead.

Manan Vandur: Yes, sir. Thank you again for the opportunity. So, my question was on coke. So, where do we get this coke from? This is ex?

Sureshbabu Chigurupalli: Yes, coke we get Ultra -Low Phos Coke from Columbia . And we are also getting semi -coke from China. There are two sources.

Manan Vandur: Columbia and China ?

Sureshbabu Chigurupalli: Yes.

Moderator: Thank you. Next question is from Joe Shah from Sevens eas. Please go ahead.

Joe Shah: Thanks for the opportunity. Today morning we had excellent CNBC TV18 interview of our Managing Director. It was very informative. Now , Binoy, I have one question. Now we have signed up 25 years renewable power agreement with Jindal Group. Now at present what price we are buying this renewable power?

Binoy Agarwalla: The power will commence by June 26.

Joe Shah: Yes, I see. Okay.

Binoy Agarwalla: That is in line with our requirement.

Joe Shah: Right. No, but what price we will be paying for this?

Binoy Agarwalla: Sorry?

Joe Shah: What rate we will be paying for renewable power?

Binoy Agarwalla: That is ex -generator bus bar tariff Rs. 3. 84 paisa.

Joe Sh

ah: So, that is similar to our thermal power variable cost?

Indian Metals and Ferro Alloys Limited

January 30, 2025

Page 9 of 23

Binoy Agarwalla: Yes, at par with thermal variable cost.

Joe Shah: Okay, good. Now Prem, one more thing. Do we have any expansion plan for ethanol? Because ethanol demand is going up and government of India is also increasing price and encouraging ethanol production. Do we have any expansion plan for ethanol?

Prem Khandelwal : No, we are already putting up one plant, so once that is operational, then we will see what are the nuances in the business, then we will decide.

Joe Shah: Now one question for Sandeep. Now South African situation, our MD also mentioned is very bad from power angle, have so many problems and same with the transmit all the logistics. So, nobody is going to South Africa for investment. In the past, in fact, taken bold step of a venture into Indonesian coal mine, which did not succeed, that is a different story, but we had the guts to go to Indonesia. So, can we look for some good chromite mine in South Africa to buy at cheap rate, which will supplement our chrome ore supply for the ferrochrome production? Do we have any such plan? Are we exploring this opportunity?

Prem Khandelwal : No, I don't see any opportunity there because we have enough ore here itself. And we have enough plant to expand our capacity in India. So, no point in going outside and exploring opportunities there, because it's an unknown terrain. And I don't know whether any lucrative mines will be available there. In the past also , we scouted throughout the world and nothing good was available. So, again unnecessarily wasting time and money I don't think is proper there.

Joe Shah: Sure. And I think our quality of chrome ore and lumpy chrome ore is much better than South Africa's chrome ore?

Prem Khandelwal : Yes.

Joe Shah: And price is also much more attractive. Our cost of this product is about 9000 which is quite less

than \$200 USD price of South Africa today.

Prem Khandelwal : Yes.

Joe Shah: Okay, thank you.

Moderator: Thank you. The next question is from Divya Agrawal from Ficome Family Office. Please go ahead.

Divya Agrawal: Thanks for taking my question. So, my first question is what is the reason for the softening in ferrochrome prices and what are the nature of steps taken to counter the impact of this softening ferrochrome prices?

Indian Metals and Ferro Alloys Limited

January 30, 2025

Page 10 of 23

Sureshbabu Chigurupalli: The prices basically impacted by the Chinese steel consumption. They have oversupplied the steel in this quarter. So, now they are diluting their steel stocks. So, that is the main reason there was no consumption for the ferrochrome. So, many of these smelter states of China is in under pressure and they are operating at lower capacities.

Divya Agrawal: And what are the steps that are we taking to impact this, to safeguard us from this softening chrome prices?

Sureshbabu Chigurupalli: See, we have an integrated model of operations. So, we have an impact, but because of our integrated model and also the depreciation rupee is helping us to absorb those shocks.

Divya Agrawal: Okay. Secondly, what is the cost structure differential between the non-integrated producers and IMFA given your comments on the current conditions which are unsustainable for non-integrated producers?

Sureshbabu Chigurupalli: Non-integrated producers by buying ore and power, the cost of the production comes around 109 to 110, that is 1,10,000/- . Whereas IMFA, cost of production is around...

Prem Khandelwal : EBITDA cost Rs.77000 /-.

Divya Agrawal: Okay, sir. Got it. And, thirdly what do you think of the ferrochrome prices, will this improve from here on and can you list some specific factors to back this up based on the demand in supply dynamics going on into the market?

Sureshbabu Chigurupalli: See,

we are expecting the ferrochrome prices will be an uptick from the first quarter of the coming year and maybe the latter part of this quarter. So, already the prices are bottomed up , same prices roll over in this month and also for February.

Divya Agrawal: But sir what gives you the confidence that there will be an uptick in the prices?

Sureshbabu Chigurupalli: Because there is no drop in the Chinese prices in the last month. So, generally the free fall is stopped and there roll over happened with the same price. So, that there is a sustainable, it is not a tenability to operate at these levels. So, we are anticipating there will be a reverse of the prices.

Divya Agrawal: And lastly, what are the latest set of data points from China which we should be watchful for given your comments on poor economic data from China?

Sureshbabu Chigurupalli: In this year , they have made the 5% growth as per the annual target and similar level of expecting in the coming year also. But of course , the vacations will be over in this month. So, the positive turnover may be anticipated from March onwards. This quarter is more of wait and watch quarter for China.

Divya Agrawal: Thank you, that's all from myself and all the best .

Indian Metals and Ferro Alloys Limited

January 30, 2025

Page 11 of 23

Moderator: Thank you. Before we take the next question, a reminder to participants that you may press "*" and "1" to join the question queue. The next question is from Rajesh Agarwal from Moneyore . Please go ahead.

Rajesh Agarwal: Sir, I always track Jindal Stainless' cost of ferrochrome, but this quarter their cost has not fallen down. So, why our realization has come down if you take a mixture of spot and long term?

Prem Khandelwal : No, we can't comment on J SL here, Rajesh.

Rajesh Agarwal: Okay, generally the difference is Rs. 5000 per ton, but this time it is Rs. 10,000 per ton. Their cost was 1,07,000 and our realization is around 96,000. So, I think trying to 0:25:30__ always Rs. 5000 per ton.

Prem Khandelwal : No, I don't know . No, we can't compare in that manner. I don't know how they are accounting, what they are doing.

Rajesh Agarwal: The spot prices is the lower or the long-term prices which we entered is lower , contract?

Prem Khandelwal : Sorry, come again, spot price?

Rajesh Agarwal: Because we have a mixture of both spot and long term, how much is long term as percentage?

Prem Khandelwal : Long term percentage is roughly around 60% .

Rajesh Agarwal: And what was the realization on that?

Prem Khandelwal : Realization is around 82 cents. Average realization.

Rajesh Agarwal: Average realization, 82 cents comes from how much per ton? Rupee per ton ? No.

Prem Khandelwal : Rupee per ton it is coming around ...

Rajesh Agarwal: For the contract I am asking.

Prem Khandelwal : So, for this quarter , the average price is coming around 81 cents. So, that comes around 90,000/ - , 89 to 90 000/-.

Rajesh Agarwal: That is the reason. And sir, how much will the volumes go in 25- 26? How much capacity will come in on that in the next financial year? Our volumes can go up by?

Prem Khandelwal : Next financial year volumes can go up by another 50,000.

Rajesh Agarwal: We were able to sell completely.

Indian Metals and Ferro Alloys Limited

January 30, 2025

Page 12 of 23

Prem Khandelwal : Yes.

Rajesh Agarwal: And sir, why don't we sell in spot if we have a better evaluation?

Sureshbabu Chigurupalli: We have a long -term agreement, so our customers have a long -term in nature. So, wherever some part we are available, we are selling at a spot. In our domestic market also, we have an exposure, we have increased our exposure in the last quarter.

Rajesh Agarwal: Last quarter, okay. Wherever we get a better price, we can sell in spot also.

Sureshbabu Chigurupalli: But we have a much long -term agreement, so that is why whatever the available quantity we are

also selling in the last quarter.

Rajesh Agarwal: Oh, okay. It is for how many? Yearly contract or two years or three years?

Sureshbabu Chigurupalli: Quarterly.

Rajesh Agarwal: So, every quarter we have flexibility . If the spot is higher, we can sell in spot.

Prem Khandelwal : No, we have mix of contracts, Rajesh. Some contracts are three years, some contracts are five years, some contracts are monthly, one year. So, this is a mix of contracts long term and spot.

Prices are determined every quarter, but the contract tonnage and those things are for three years, one year like that.

Rajesh Agarwal: But is the demand locally is good? Why we need to enter into contracts?

Sureshbabu Chigurupalli: No, there is a constraint in the demand here in the local market. There is a constraint how much you can sell here. It's not that whatever we produce, we can sell the entire quantity in domestic market.

Rajesh Agarwal: Okay. But if the demand goes up, then can we sell?

Sureshbabu Chigurupalli: Yes, obviously. Then wherever we get better price, we will try to sell there.

Rajesh Agarwal: So, that flexibility is there in the system?

Sureshbabu Chigurupalli: Yes.

Rajesh Agarwal: Okay. Thanks .

Moderator: Thank you. Before we take the next question, a reminder to participants that you may press “*”

and “1” to join the question queue. The next question is from Saket Kapoor from Kapoor &

Company. Please go ahead.

Indian Metals and Ferro Alloys Limited

January 30, 2025

Page 13 of 23

Saket Kapoor: Namaskar, Prem sir .

Prem Khandelwal : Namaskar, Saket .

Saket Kapoor: Firstly, you mentioned about this 50,000 additional capacity which we will be selling. That is the ferrochrome we will be selling in H2 . If you could just elaborate on the same ?

Prem Khandelwal : Yes, we are expecting this Kalinganagar Phase-1 to be operational by April to June next year.

And by September, the second furnace. So, both the furnaces should be operational by end of

September. So, six months, we should be getting around 40, 000-45,000 tons next year.

Saket Kapoor: So, sir, for financial year 1st April 2025 to 31st March 26. In that period, we will have this 50,000 additional capacity because...

Prem Khandelwal : No, FY27 we are talking about.

Saket Kapoor: So, this year it is going to be the same trend which we are executing for this year.

Prem Khandelwal : Yes.

Saket Kapoor: Next year, we will have 50,000 additional capacity.

Prem Khandelwal : Yes.

Saket Kapoor: And sir, I also missed this Chinese part of the explanation which sir was mentioning. So, if you could just narrate once again what was the reason for the Chinese smelter feedstock and all? Sir, please could you tell us again ?

Sureshbabu Chigurupalli: Chinese prices, there was a free fall of Chinese prices from the month of November mainly due to the oversupply of stainless steel. So, the ferrochrome producers are not able to sell their product. And the prices are so low, so it is not able to continue their smelting operations. So, they are diluting their stock and anticipating that there will be a reverse in the prices in the coming first quarter of the Financial Year '25-26.

Saket Kapoor: Okay. And sir chrome ore is the component and also nickel. So, have we seen the same trend? I have not observed the price trend for nickel and all. So, other commodities that go into stainless steel have also behaved in a similar pattern since the output has gone down?

Sureshbabu Chigurupalli: Similar tendency in the nickel, but in the coming month, of course, the nickel prices are expected to rise from Indonesia's report we suggests.

Indian Metals and Ferro Alloys Limited
January 30, 2025

Page 14 of 23

Saket Kapoor: Sir, couple of question on the P & L side. When we look at our other expenses line item for this quarter, the balance is Rs. 106 crore. And the comparable number for last year was 88.

So, any

understanding why this increase, what explains this increase?

Prem Khandelwal : It's mainly on account of repairs maintenance and outward carriage, I mean the freight cost. Those two things have gone up. That's why the other expenses also gone up from 88 to 104.

Saket Kapoor: And Prem sir, the price of freight has also been trending lower with now Donald Trump administration in anvil. Have you seen the spot prices or the freight costs trending lower?

Sureshbabu Chigurupalli: The freight costs in the last quarter increased, but now it is softening.

Saket Kapoor: Any quantification you can give, additional cost that got debited just because of the higher trade cost on a comparable basis?

Prem Khandelwal : You mean in terms of rupee?

Saket Kapoor: Yes sir.

Sureshbabu Chigurupalli: In fact those breakups are not available now, so we will have to look into that.

Saket Kapoor: Sir, now coming to the coking coal part of the story, sir, I think in Australia there are some natural disturbances in the mining activity. So, does that also change the outlook for coking coal going ahead and the pressure on margins can accelerate because of that. What is our thought process on the same?

Sureshbabu Chigurupalli: Coke prices, we are actually sourcing from Colombia, and the prices are almost flat for the quarter and the similar prices are we are expecting in the coming quarter also.

Saket Kapoor: Okay, sir. And for the coal prices, which we use for power generation, those linkages and prices are constant or what are the trends there?

Binoy Agarwalla: Coal prices for power plant will remain the same as Q3 FY25.

Saket Kapoor: Okay, and last two points. Firstly, about during this interview and all, there were some thoughts about this inorganic expansion and some exposed means some things on the block by Tata Steel.

So, can you explain, does Tata Steel have anything on block for ferrochrome mines or the chromo ore facilities? What is the buzz around, sir?

Prem Khandelwal : No, see, we can't comment on the rumors, Saket. So, it's not proper for us to name anybody. So, our expansion plans are on track, and we are going ahead with that. And as we said earlier also, if we get any opportunity in inorganic growth, definitely we will look at that. But nothing reportable at the moment.

Indian Metals and Ferro Alloys Limited
January 30, 2025

Page 15 of 23

Saket Kapoor: Right sir. My question was not whether we participate or not. I was just trying to understand.

Just like in the case of Balasore Alloy, earlier you said that if there is any asset, we are only interested in your furnace. In that sense only I am asking whether in Tata Steel case also there is some bit of story coming up of what is the effect that Tata Steel is looking because generally Tata Steel does not exit the business in the India segment. So, I don't understand this question, why?

Prem Khandelwal : No, please understand how we can comment on the matter of Tata Steel. That is their business outlook. So, we can't comment on that.

Saket Kapoor: And lastly sir, Prem sir, this would be the farewell call for you also, next quarter you are retiring from your next...?

Prem Khandelwal : Yes. I think Saunak Gupta is going to take over as CFO from 8th of March.

Saket Kapoor: Yes sir. So, will you be there with the organization as a consultant or...?

Prem Khandelwal : Yes, I will continue as senior advisor here. Okay. But Saunak Gupta is going to be in Chair from next call onwards.

Saket Kapoor: Okay sir, my best wishes to you sir.

Prem Khandelwal: Thank you.

Saket Kapoor: Good life ahead sir and all the best to the team sir. And sir one point was about in the notes, which was also mentioned ...

Moderator: Mr. Kapoor, I am sorry to interrupt but may...

Saket Kapoor: Yes, I will go come back in the queue.

Moderator: Thank you. We will move to the next question. The next

question is from Kaushak from Wal lfort
PMS. Please go ahead.

Kaushak: Yes, thank you for the opportunity. Sir, I just want to understand Jindal Stainless has announced a very aggressive expansion plan. So, the ferro chrome that will be required for them, is that available in India currently?

Prem Khandelwal : You should be asking that to them, not to us. We can't comment on their business plan.

Kaushak: No, but I am just asking from the ferrochrome point of view, is that much ferrochrome available?

See, they have announced 1 million tons of capacity expansion. So, the kind of ferrochrome, the

Indian Metals and Ferro Alloys Limited

January 30, 2025

Page 16 of 23

quantum that is required, is available right now ? Is that kind of capacity commercially feasible right now in the country?

Prem Khandelwal : Suresh, do you have any idea?

Sureshbabu Chigurupalli: No, at present we are producing less ferrochrome because of the ore concern . Much information at this moment is not available.

Kaushak: Thank you. That's it from my side.

Moderator: Thank you. Next question is from Shubham who is an individual investor. Please go ahead.

Shubham: Hello. Sir, am I audible?

Prem Khandelwal : Yes, Shubham.

Shubham: Sir, first of all, my heartiest congratulations for the results in this difficult quarter. As I understand that the prices were quite challenging. Still, we have been able to maintain our good prices. Sir, my questions are, there are three questions, and the first question is from the mining sector. So, sir, what is our stripping ratio for the chrome which we are extracting and what is the grade of chrome ?

Sandeep B. Narade The stripping ratio for the second opencast is 1:3.47. And the grades vary from low to high grade. So, these are high grade...

Shubham: Bifurcate into, what is the grade of high grade and low grade?

Sandeep B. Narade : Low grade is less than 40%. Medium grade is up to 52%. And from 52 onwards, it is high grade.

Shubham: That's fine sir, but what is the average grade which we are producing sir? Average?

Sandeep B . Narade: We are producing in the range of medium grade. So, in general, grade is not taken into percentage and these terms are used low grade, medium grade, high grade. So, we are at average medium grade.

Shubham: And what is the CR by F e sir?

Prem Khandelwal : Suresh B abu can you say?

Sureshbabu Chigurupalli: Around 3.2 to 3.6.

Shubham: 3.2, sir?

Indian Metals and Ferro Alloys Limited

January 30, 2025

Page 17 of 23

Sureshbabu Chigurupalli: Yes.

Shubham: My next question is like you mentioned that the chrome ore landed cost is 9085. Right , sir? So, sir, what is our specific consumption of chrome ore, sir?

Prem Khandelwal : It is around 2.5 tons per ton of ferrochrome.

Shubham: 2.5 sir?

Prem Khandelwal : Yes.

Shubham: Okay, and sir, you also mentioned that the cost of coke is 14, 628/- in the previous answers. So, sir, what is our specific consumption of coke sir?

Sureshbabu Chigurupalli: 0.5 tons.

Shubham: Sir, could not understand. 0.5 tons .

Sureshbabu Chigurupalli: Yes, 500 kg.

Shubham: And sir you also mentioned that you are importing from two regions mainly Colombia and China , so like what is the average percentage which you are using like say what is the percentage of Colombian coke and semi coke sir ?

Sureshbabu Chigurupalli: It is based upon the requirement . It varies from 70 to 30, 60-40 , Colombian & Chinese Coke

Shubham: Sir, Chinese one is semi -coke, right?

Sureshbabu Chigurupalli: Yes.

Shubham: And sir, like in the next quarter, are we expecting any further reduction in cost like you mentioned that repair and maintenance cost have gone up, output trade has gone up. So, like what is our total? Like you also mentioned that our total EBITDA cost is somewhere around 77, right?

Prem Khandelwal : Yes.

Shubham: 77, 827 in quarter three ?

Prem Khandelwal:

Yes.

Shubham: What is our tentative expectation from Quarter 4 or Quarter 1 '26 onwards , any reduction in cost?

Indian Metals and Ferro Alloys Limited
January 30, 2025

Page 18 of 23

Prem Khandelwal : I think Quarter 4 we are expecting to remain same. And difficult to predict at the moment for Quarter 1 next year.

Shubham: Okay . The last question from my side, like, you mentioned that like 60% of the sales, we are doing exports because of our long term arrangement and 40% we are selling ?

Sureshbabu Chigurupalli: No, we are exporting 90%. Out of that , long term is 60 %-70% and balance on a spot basis.

Shubham: Okay . So, sir, 90% we are exporting and 10% we are selling in domestic markets. Is that 10% off grade or pure FG only?

Sureshbabu Chigurupalli: No, it's proper ferrochrome.

Shubham: Okay, so what is the average realization which we are getting in domestic market , sir?

Prem Khandelwal : No, we don't have the breakup like that. I can give you the total realization which is around, I said 96,000 earlier , 96,943 /- average realization.

Shubham: Okay. And sir, what is the grade of ferrochrome which we are selling? Total average grade which we are selling overall?

Sureshbabu Chigurupalli: It is 61 %-62%.

Shubham: Thank you sir and that's all from my side. Wishing you good quarter 4 and onwards.

Prem Khandelwal : Thank you.

Moderator: Thank you. The next question is from Joe Shah from Seven seas. Please go ahead.

Joe Shah: Prem, our best wishes for your new career as an IMFA Advisor. I hope you will also have a very long term with IMFA . My best wishes for you.

Prem Khandelwal : Thank you.

Joe Shah: And also best wishes for Bijayananda Mohapatra , Saunak Gupta, and also SR Ray , my best wishes for you. Now to new team my request is last few days IMFA shareholders have lost lot of money because market cap has gone down very much sharply. So, please see how this market cap can be protected . I know this market operations are not in your hand but still even Finance Minister also stepped in when market crashes , so we are facing the similar situation, so protection of shareholder's value is management responsibility in a way. So, please see what this can be done. And Prem, one more suggestion. Now in my city of Mumbai, every day millions travel by train. Millions of millions of people travel by train. And we don't find anyone wearing this COVID mask. So, COVID is gone now. So, we lost four AGM, physical AGM
Indian Metals and Ferro Alloys Limited
January 30, 2025

Page 19 of 23

because of COVID. Now COVID is no longer there. So, in the coming AGM, we should have physical AGM where people can come and meet New Directors, understand them and view more interaction. So, please consider Saunak , please you also consider this physical AGM for the next, this '25-26, sorry '24 -25.

Saunak Gupta: Thank you, Mr. Shah. Yes, point noted. We will be looking at that time.

Joe Shah: Okay, thank you very much.

Moderator: Thank you. The next question is from Akhilesh B who is an individual investor. Please go ahead.

Akhilesh B: Good afternoon. Sir, I had a few questions. First one, in our long -term contracts, what is considered as the benchmark price? Which is the benchmark price based on which the pricing is decided?

Sureshbabu Chigurupalli: In POSCO , it is around 86 cents.

Prem Khandelwal : No, he is asking about what is benchmark price.

Sureshbabu Chigurupalli: Benchmark is Tsingshan price we are considering.

Akhilesh B: And it gets fixed for the whole quarter, it's fixed for a quarter or how often it changes?

Sureshbabu Chigurupalli: No, this changes every month in Chinese price.

Akhilesh B: So, when you say that some Chinese prices came down to 75 cents etc. So, that is reflecting in this benchmark and in our realization already?

Sureshbabu Chigurupalli: Yes. Already in this quarter we have suffered because of the f

all in the prices.

Akhilesh B: Okay. And our spread on this benchmark with the customers are renegotiated every year or the spread is also fixed long term like 3-5 years, etc.

Sureshbabu Chigurupalli: No, we have quarterly negotiations of prices with South Korea n POSCO and others are based on the quantities decided for the year , but this price is based on the benchmark.

Akhilesh B: I got the benchmark part , but your spread on the benchmark whatever this plus and also this is a ex-box price or or freight also is fixed for the whole quarter or for the whole month?

Sureshbabu Chigurupalli: This is FOB prices .

Akhilesh B: FOB prices. So, if freight goes up or down, it's not affecting our profitability if freight is going

up or down?

Indian Metals and Ferro Alloys Limited
January 30, 2025

Page 20 of 23

Sureshbabu Chigurupalli: Yes.

Akhilesh B: And sir, today with our current production capacity, what would be our global production share of ferrochrome?

Sureshbabu Chigurupalli: You are asking at what level we are there?

Akhilesh B: No, in ferrochrome capacity today. So, what is our global production market share? That's what I want to know.

Sureshbabu Chigurupalli: So, this is around approximately 19 million of production.

Akhilesh B: Prem sir, your voice is cutting actually. Not clear.

Sandeep B. Narade: I think the global production is going to be faster.

Akhilesh B: Sir, your voice is not clear. I am not sure if it is clear to moderators or others. Prem sir's voice is not clear.

Moderator: Mr. Khandelwal, we can't hear you very clearly. Your voice is breaking.

Sureshbabu Chigurupalli: Sir, the global production you are asking, how much is the global production? It is around 19 million tons.

Akhilesh B: 19 million, so we are around 3% of global production. Got it. And also want to wish Mr.

Khandelwal all the best for his future. It was a great pleasure to interact with him on these calls and we will miss his presence. Thank you.

Moderator: Thank you. The next question is from Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Yes sir, you mentioned about FOB for us, our export part. That means the freight is not being part of line item and I missed that point. As you mentioned that freight costs have been higher and those costs have increased the other expenses. But you were just explaining about free on board also. So, if you could just explain what you were trying to convey?

Sureshbabu Chigurupalli: No, our prices are CIF based, so a freight impact will be there during this export of the material.

Saket Kapoor: Please come again, your voice is not clear. And you are not very much audible.

Sureshbabu Chigurupalli: Our prices are CIF based. So, the ocean freight rise in the prices will impact us. The change in the prices will impact our selling prices.

Indian Metals and Ferro Alloys Limited
January 30, 2025

Page 21 of 23

Saket Kapoor: Sir, in the management comments, Mr. Panda mentioned about margins. Further our margins will be bolstered by treasury operations. So, going ahead also sir, I think so quarter-on-quarter our treasury of the other income has remained flattened. How is the treasury book going to behave sir? Where have we invested the treasury money and also what is our cash balance and the CAPEX done for the 9 months?

Prem Khandelwal: Saunak, would you answer that?

Saunak Gupta: Yes. So, actually in this market also, we are having around Rs. 890 crores of total amount invested in various funds, bonds, and in some extent to the FD. And this is basically the surplus from the business which has come in. And even though the market was down, but still we have by switching in, switching out, the funds we have managed a good return. And if you see that quarter-on-quarter also, we have maintained it. And from there we are getting a good amount of interest and income from the returns of

switch in, switch out from the bonds. That actually is adding up to a PAT. So, that's an important point to be noted. And the most important point is that we are debt-free and having almost Rs. 900 crores of total invested amount.

Saket Kapoor: And sir on the CAPEX part sir, how much have we spent for the expanded capacity as of for the nine months and how much balance we will be spending for this year? If you could just give the full number?

Saunak Gupta: So, as of now, we have invested about around Rs. 150 odd crores. And overall we expect that if I go with actual cash outlay, another Rs. 150 odd crores will be by end of this year, which we will be spending it out.

Saket Kapoor: Another Rs. 200 crore cash balance may go down from 890.

Saunak Gupta: Yes, that's right, it will go down by Rs. 200 crores from that balance that we have in the investment amount.

Saket Kapoor: Right sir. Thank you sir and all the best.

Saunak Gupta: Next year, the maximum amount of cash outlay will happen for the Kalinganagar project.

Saket Kapoor: And next year sir, what will be the outlay, how much you will be spending?

Saunak Gupta: So, next year, we are expecting somewhere around Rs. 450 crores to Rs. 500 crores in the cash outlay.

Saket Kapoor: Okay sir, and if we take this 9-month cash generation sir, how much have we generated for this 9 months? Net of taxes?

Saunak Gupta: So, for 9 months ended around Rs. 370 odd crores we have generated this.
Indian Metals and Ferro Alloys Limited
January 30, 2025

Page 22 of 23

Saket Kapoor: Thank you sir and all the best to the team.

Prem Khandelwal : Thank you, Saket.

Moderator: Thank you. Next question is from Divya Agarwal from Ficom Family Office. Please go ahead.

Divya Agarwal: Hi sir, just want a clarification, what is the benchmark that we monitor for the long-term contract? I was not able to clearly hear that. Can you explain that?

Sureshbabu Chigurupalli: We follow Tsingshan benchmark. So, that is monthly rollovers and for POSCO, every quarter, we have a benchmark.

Divya Agarwal: Sorry?

Sureshbabu Chigurupalli: For POSCO, every quarter we negotiate based on the benchmark of the Chinese Steel and also the existing market. So, right now, it is 75 cents in the Chinese benchmark. So, for the Chinese market, it is 75. For POSCO, it is around 84 cents.

Divya Agarwal: Okay, sir. Got it. Thanks.

Moderator: Thank you. Next question is from Shubham who is an individual investor. Please go ahead.

Shubham: Hello, sir am I audible properly?

Prem Khandelwal : Yes, Shubham.

Shubham: Sir, there are couple of questions. So, my first question is on the O&M cost. So, what is the overall O&M cost for our quarter?

Prem Khandelwal : I didn't get you. O&M cost for what?

Shubham : O&M cost for our smelter or whole IMFA level? Total operations and maintenance costs?

Prem Khandelwal : No, we don't have such kind of breakup here. What kind of cost you are looking for? I mean, your fixed cost or...

Shubham: Sir basically our contractual manpower cost. Contractual manpower for running the plant.

Prem Khandelwal : Contractual? No, we don't have those kind of breakups.

Shubham: Okay, and sir, I wanted to understand the specific consumption of our electrode also because this is one of the key consumable for making the ferrochrome. Specific consumption of electrodepaste.

Indian Metals and Ferro Alloys Limited

January 30, 2025

Page 23 of 23

Prem Khandelwal : Suresh, do you have that number?

Sureshbabu Chigurupalli: Yes. It is around 14 kg to 16 kg.

Shubham: Okay. And sir, what is the specific consumption of furnace oil or LPG for producing the Briquette? On an average also will help, sir.

Prem Khandelwal : So, these are to be asked separately by way of mail. I think these things are very minute numbers. We don't keep those numbers.

Shubham: Okay. Sure sir. Thank

you.

Prem Khandelwal : Get in touch with us through e-mail for all these questions.

Shubham: Sure. Okay. Thank you.

Moderator: Thank you very much. We will take that as the last question. I would now like to hand the conference back to Mr. Abhishek Savant for closing comments.

Abhishek Savant: Thank you, Rayo. While Q3 FY 25 presented short-term headwinds, IMFA remains fundamentally strong with a resilient operational framework and a positive long-term demand outlook. As the global stainless steel market recovers, our strategic initiatives and cost-efficiency measures will drive sustained growth. We appreciate the continued support of all our stakeholders and remain confident in delivering long-term value. On behalf of the Board of Directors and Management, we thank you all for your participation in this call. Have a good day.

Prem Khandelwal : Thank you.

Moderator: Thank you very much. On behalf of Indian Metals and Ferro Alloys Limited and Veritas

Reputation that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2025

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Mumbai-400051
~tock Symbol & Series: IMFA, EQ
Sub : Earnings Call Transcripts
Dear Sir I Madam, 29th May 2025
The Deputy General Manager
(Corporate Services)
BSE Limited
Floor 25, P.J. Towers
Dalal Street , Fort
Mumbai-400001
Stock Code : 533047
Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio call recording of the Company's Investor / Analyst Call held on 23rd May, 2025 on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and year ended 31st March, 2025 is attached herewith .
You are requested to take the same on record.
Thanking you
Yours faithfully
For DIAN METALS & FERRO ALLOYS LTD
(Smru 1 Ranjan Ray)
Comp ny Secretary & Compliance Officer
Membership No: F4001
Page 1 of 24

"Indian Metals & Ferro Alloys Limited
Q4 FY25 Earnings Conference Call"
May 23, 2025

MANAGEMENT : MR. BIJAYANANDA MOHAPATRA – WHOLE TIME
DIRECTOR AND CHIEF OPERATING OFFICER – INDIAN
METALS AND FERRO ALLOYS LIMITED
MR. SAUNAK GUPTA – CHIEF FINANCIAL OFFICER–
INDIAN METALS AND FERRO ALLOYS LIMITED
MR. BINROY AGARWALLA – HEAD POWER BUSINESS
UNIT – INDIAN METALS AND FERRO ALLOYS LIMITED
MR. SANDEEP B. NARADE – HEAD MINES BUSINESS
UNIT – INDIAN METALS AND FERRO ALLOYS LIMITED
MR. SURESHBABU CHIGURUPALLI – HEAD
FERROALLOYS BUSINESS UNIT – INDIAN METALS AND
FERRO ALLOYS LIMITED
MR. M. VENKATESH – HEAD SALES AND MARKETING
FERROALLOYS BUSINESS UNIT – INDIAN METALS AND
FERRO ALLOYS LIMITED

MODERATOR : MR. ARYAN RANA – VERITAS REPUTATION PRIVATE LIMITED

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 2 of 24

Moderator: Ladies and gentlemen, good day and welcome to Q4 FY '25 Indian Metals and Ferro Alloys Limited Earnings Conference Call arranged by Veritas Reputation. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aryan Rana from Veritas Reputation. Thank you, and over to you, sir.

Aryan Rana: Thank you, Muskan. Good afternoon, everyone. On behalf of Indian Metals and Ferro Alloys Limited, I extend a warm welcome to all participants joining us for today's earnings call. We appreciate your continued interest and support. This session aims to provide deeper insights into our performance for Q4 and the full fiscal year ended March 31, 2025, as well as the strategic direction for the road ahead.

Following the opening remarks by our management, we will open the floor for Q&A session. And finally, keep your questions concise and relevant to allow broader participation. IMFA, India's leading fully integrated producer of ferroalloys has demonstrated resilience in Q4 FY '25 despite ongoing market challenges. The performance underscores the company's focus on operational excellence, disciplined execution and long -term value creation.

Our financial results and investor presentation are available on our website and have been filed with the stock exchanges for your reference. Before we begin, I would like to remind you that some of the statements made in today's discussion may be forward -looking in nature. These are based on the company's current expectations and are subject to various risks and uncertainties that could cause actual outcomes to differ materially.

Joining us today on today's call are and I welcome Mr. Bijayananda Mohapatra, Whole -Time Director and Chief Operating Officer; Mr. Saunak Gupta, Chief Financial Officer; Mr. Binoy Agarwalla, Head Power Business Unit; Mr. Sandeep B. Narade Head Mines Business Unit; Mr. Sureshbabu Chigurupalli Head, Ferroalloys Business Unit; Mr. M. Venkatesh, Head, Sales and Marketing, Ferro Alloys Business Unit.

With that, I would now like to hand over the call to Mr. Saunak Gupta, our Chief Financial Officer. Over to you, sir. Thank you.

Saunak Gupta: Thank you, Aryan and good afternoon, everyone. Thank you, everyone, for joining today's earnings call on Q4 FY '25 financial results, in my first earnings call briefing to you all as CFO of IMFA. Let me take you through the financial highlights for the fourth quarter and full year ended March 31, 2025.

At the macroeconomic level, Q4 FY '25 experienced uncertainty on trade policy -related developments, along with geopolitical situation impacting several segments of commodity Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 3 of 24

markets. Global ferrochrome market traversed through a phase of subdued global demand and weak pricing trend. Despite this, IMFA demonstrated resilience and marshalled its resources on cost optimization, operational efficiency improvement and leverage its fully integrated model.

The standalone and consolidated financial results have been already uploaded in our website for your perusal. As you would have seen in our results, despite headwinds our focus on efficiencies and disciplined capital allocation allowed us to deliver a positive free cash flow, retain a healthy financial position.

Some of the key business and strategic highlights of FY '25 are chrome ore raised crossed 7 lakh metric tons for the first time for IMFA. Our work has commenced on the 96,000 metric ton per annum Greenfield ferrochrome expansion project in Kalinganagar. The orders & LOIs have been placed for civil and structural works, major furnace equipments and power transformers.

During the year, IMFA has signed a power purchase agreement with JSW Green Energy Group to acquire hybrid renewable power of 70 megawatt contracted demand. Further, we have entered into another binding term sheet with Ampin Energy Utility One Private Limited to acquire hybrid renewable energy of 40 megawatt contracted demand. This will enhance energy security and will substantially reduce our carbon footprint. IMFA has also received necessary statutory clearances for the 120 KLD ethanol project and has also placed all the major equipment orders. Boundary wall for the project has been also completed.

Further, during the year and especially in quarter 4, the Regional Director, Eastern Region has approved the scheme of amalgamation of the merger of Utkal Coal Limited with IMFA with an appointed date of 28 March 2025. Financial entries for merger as per IndAS have been passed in the financial books of IMFA in quarter 4 of FY '25.

While the macroeconomic environment remains uncertain, early signs of recovery in pricing, particularly in April onwards, gives us confidence in a more stable FY '26. Globally, the stainless steel production has grown by 7% in calendar year 2024 and capacity rationalization in markets like South Africa is expected to rebalance the supply-demand dynamics. In FY '26, we remain focused on cost optimization, operational efficiency and executing on our growth initiatives and to deliver the value to our stakeholders.

With that, I will now open the floor to any questions that you all may have.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Aashav Patel from Molecule Ventures PMS. Please go ahead.

Aashav Patel: Thank you for the opportunity, Very good afternoon to the entire team. So, sir, my first question is, what is our EBITDA cost per metric ton for FY '20 -- sorry, for Q4 FY '25?

Saunak Gupta: Yes. So the EBITDA cost is INR76,980 for quarter 4 FY '25.

Aashav Patel: Okay. And sir, what is our met coke cost for Q4, the same quarter?

Saunak Gupta: For the ferrochrome cost per metric ton in it...

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 4 of 24

Aashav Patel: No, met coke?

Saunak Gupta: Yes, I'm saying that per metric ton cost of ferrochrome, the met coke component in that is about INR15,150.

Aashav Patel: Okay. So it is similar to that level. So why I'm asking this is because met coke prices have been continuously falling very much. So I just wanted to understand and gauge when do we accrue the benefit of falling met coke prices. So if INR15,000 per metric ton is the rate for Q4, how do you expect -- what was the opening inventory for this financial year of met coke per metric ton value?

Saunak Gupta: I'll put it to Suresh. Will you be able to give your inputs on that? Suresh? I think Suresh would have dropped out. So if you see in last year, our average met coke cost was INR18,881. From there, this year, we have come down to INR15,543. But we usually keep the stock of about 3 months because a major portion is imported. The flow down will take some more time, but we have already envisaged and seen a drop in the current year compared to last year's average.

Aashav Patel: Okay. So we should see further benefit in Q1 and Q2 of falling met coke prices?

Saunak Gupta: Yes. If we see that drop, we will definitely get something.

Aashav Patel: And sir, our ore raising is now highest ever. We are close to 7 lakh range. So

I just want to understand how the inventory of chrome ore has improved over here over the last, say, 2 years. For example, earlier, we used to keep close to 2 lakhs ton of inventory versus what does it look like right now?

Saunak Gupta: Yes. So on that part, I will just request Sandeep, our Mines BU Head to put insight on that.

Aashav Patel: Sure.

Sandeep B Narade: So right now, we are having about more than 4 months of inventory of ore at our plant site, both the plant sites. And also at mine about 2.5 months inventory is with us ready to dispatch.

Aashav Patel: Okay. So earlier, what was this figure, say, a year back?

Sandeep B Narade: It was about in the plants about 3 months stock was there, at mines about 1 month stock was there.

Aashav Patel: Okay. So we have basically increased our inventory on books by close to 50%, right?

Sandeep B Narade: Yes.

Aashav Patel: Okay. And sir, equipment order has been completed for Kalinganagar expansion, equipment ordering?

Saunak Gupta: Yes. So major equipment ordering has been done for Kalinganagar project. And the point is that, we have planned to commission it mid of next year, the first furnace somewhere in June '26. So

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 5 of 24

that is on track. And on the earlier question you were having on the chrome ore, there is a 50% increase from last year, it's not 50%. That is around 20%, 25% increase from last year.

Basically, we are building it up for the Kalinganagar project, we will be requiring chrome ore. So as you know, we cannot immediately jack up our production at the time of commissioning, we have to build it up. Gradually, we are building it up for the chrome ore production.

Aashav Patel: Got it, sir. And sir, regarding the recent Merafe shutdown, what we have been hearing, I guess, close to 8 lakh metric ton has been brought down by Merafe in South Africa. So can you please throw some more light on the mine -- sorry, furnace closure in South Africa, how that has moved and what other players like Glencore was also earlier reviewing their business situation, but not sure whether they have closed down also or not? So can you please throw some light?

Saunak Gupta: Yes, I'll pass on to Venkatesh, our Sales and Marketing Head to add his insights on that.

M Venkatesh: Right. So Merafe announcement, Merafe and Glencore are partners, so they are partners. So Merafe's announcement was due to the market conditions, so the reduction in production. But Glencore also has announced they will start looking at more chrome units. So what they mean by that is because -- there are challenges in South Africa.

Electricity costs have gone up and the challenges with regards to the ferrochrome market per se. So they have reduced the production on a temporary basis. And when they say chrome units, I believe they would be looking to export maybe more of chrome ore out of South Africa.

Aashav Patel: Okay. But -- okay. So let me put it other way around. Given that China completely is dependent on the imported chrome ore. Right now, as we speak, still we are at an advantage of, say, close to 20,000 metric ton per ton in terms of cost of production compared to China because of our captive ore?

M Venkatesh: I don't have the exact cost of China. Yes, we have an advantage of having a captive mines. China has totally to depend on South African ore, primarily South African ore. So definitely, the cost of production as far as chrome ore, both would be higher. But as far as other raw material goes, they may have a slight advantage, more specifically to do with coke.

Aashav Patel: Okay. And sir, recently there was...

Moderator: Mr. Patel, I'm sorry to interrupt. I just request you to follow wit

h the queue, please.

Aashav Patel: Sure.

Moderator: Thank you. The next question is from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar: Sir, my question is on this forward -looking guidance, means what kind of ferrochrome production we -- trajectory means what kind of trajectory we expect for FY '26? And then once the 1 lakh ton Kalinganagar smelter starts, so what will be the ramp -up tonne for that? So for fiscal '27, how much we can expect from that new facility?

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 6 of 24

Saunak Gupta: So I'll just pass this out. Suresh, you were there?

Sureshbabu C: Yes, yes, I'm added just. See, in the first year, we are expected to start the production from the month of -- mid of the '26 -'27. That is around July, we are going to produce. In June, we are going to commission. So it will -- ramp -up will happen. So in the financial year, it will be around 50,000 to 60,000 production will be there.

Aditya Welekar: Okay. Understood. And as you said, there is 12 months of inventory already of chrome ore now on the line there. So for '26 -- fiscal '26, the new ore raising will not be materially higher, right, means given the inventory situation we have. Is that understanding right?

Sureshbabu C: Yes, yes. Connected with the new facilities, there will not be a problem.

Aditya Welekar: Understood. And any capex guidance for FY '26 and '27?

Saunak Gupta: So on the capex part, as we have mentioned earlier, that almost INR840 crores of our investment is in Kalinganagar project, which is scheduled -- the first furnace is scheduled to get completed in June '26 and the second one in September '26. Besides that, we are also under project completion of 120 KLD ethanol project, which is about INR150 crores, which is on course.

And on the underground mines, which is overall in a 5 -year tenure, it's about INR1,000 crores, we'll be spending, but a part of it will also come in FY '26. So overall, we expect in FY '26 around, INR800 crores to INR900 crores will be the outlay for all these three projects.

Aditya Welekar: Understood. I have few more questions. I will join back the queue.

Moderator: Thank you. The next question is from the line of Supriya Shah from Kotak Associate. Please go ahead.

Supriya Shah: There is a decrease in EBITDA by 44% when revenue has only decreased by 12% and cost has also decreased by INR1,000 per ton. So reason for the decrease in EBITDA?

Saunak Gupta: Not understood. This EBITDA 44% for which period you are comparing?

Supriya Shah: From Q3 '25?

Saunak Gupta: Q3, our EBITDA cost was about INR77,800 and now it is about INR76,980, almost -- it's just about INR800 -odd per metric ton reduction. So not significant. But for that, primarily the reduction is on the chrome ore raising cost to some extent and to some extent on your coke cost.

Supriya Shah: And what the Q4 specifics in terms of ore, coke and power?

Saunak Gupta: So our power cost is INR4.09 variable cost. But on the power, I will ask Binoy to just add his inputs on this.

Binoy Agarwalla: Yes. Saunak, you are correct, in Q4 FY '25, the variable cost of power is INR4.09. And compared to Q4 FY '24, which is INR0.28 less than the -- in this quarter, Q4 FY '25. It's mainly due to coal only. Coal prices come down due to transportation of coal by rail.

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 7 of 24

Supriya Shah: And for ore and coke?

Saunak Gupta: So on the chrome ore part, Sandeep, can you put some insights on that or your views on this?

Sandeep B Narade: Chrome ore cost in Q4 was a bit lower due to higher production in Q4. We have done more production than our budget.

Saunak Gupta: Yes. So chrome ore from Q3, there

was a reduction in this because of the higher production and certain cost optimization initiatives that we have taken. So for that, overall, the cost has gone down. And it was per ton of ferrochrome, it was about -- on a net basis, it was INR 17,400.

Supriya Shah: And what was the specific ore in terms of HCFC?

Saunak Gupta: Specific ore you are talking of?

Sureshbabu C: Specific ore you are talking? Specific ore is around 2.35 tons levels. It varies based upon the grade what we are making. It is 2.32 tons.

Supriya Shah: And what was the coke per ton price in coke -- specific coke per ton of HCFC?

Sureshbabu C: The coke price in this quarter is around INR31,000. Specific, you can consider it is 560 kg.

Supriya Shah: Thank you.

Moderator: Thank you. The next question is from the line of Manan Vandur from Wallfort PMS. Please go ahead.

Manan Vandur: Sir, there was a little bit of confusion. So I would just like to reclarify the questions asked by the previous participant. So the cost of chrome ore per ton, I want to know, not per ton of ferrochrome, but 1 ton of chrome ore is how much cost?

Saunak Gupta: It's about quarter 4 was INR7,500, primarily what Sandeep has given the reasons because of that, it is INR7,500.

Manan Vandur: Okay. Okay. And we normally consume 2.5 tons, right?

Saunak Gupta: Yes. As Suresh saying 2.35 tons.

Sureshbabu C: Yes. 2.35 tons we have consumed in this quarter.

Manan Vandur: Okay. It's 2.35 tons. But is that also generally 2.35 tons or more than that?

Sureshbabu C: No, it varies depending upon the grade. So you can consider from 2.35 tons to 2.5 tons.

Manan Vandur: Okay. Understood. And sir, the next question would be on the average ferrochrome price for -- like we have long -term contracts and we have spot contracts also, right? So for the long -term contracts, could you please give us what is your ferrochrome price for those long-term contracts, please?

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 8 of 24

Sureshbabu C: Venkatesh?

M Venkatesh: Yes, we don't very specifically have anything regarding long-term contracts because most of the contracts are long -term. But what I can say is, the average price realization for prime would be around INR93,500.

Manan Vandur: Okay. Because last quarter, when I asked, it was around INR89,000 to INR90,000 per ton, which was -- which is like almost 60% of your total sales is long -term contracts. Hence, I just asked. And also this changes every month or 3 -month basis?

Saunak Gupta: I just wanted to add that you are saying INR89,000 to INR90,000 is the net realization, the total, whatever is the ferrochrome we sell, which this quarter is INR87,000, INR87,021. So there is a drop in the average realization.

Manan Vandur: Yes, correct. I understand. But the long -term prices, which you have with POSCO and other people you have with, those prices would be INR93,000 you said?

Saunak Gupta: See, these are basically a bit of strategic pricing. So what Venkatesh has said that INR93,000 is the overall long -term contract average, that's the prime cost we have. And on the totality basis,

our average in this quarter, has come to INR87,021.

Manan Vandur: Understood. Just one second, sir. And sir, current ferrochrome prices because the average would be what? Because anyway, the quarter has almost ended. So what would be that?

Saunak Gupta: See, on that net realization value that I said and with the average forex, whatever is the dollar cost, it is about 76 cents. But we -- as I mentioned that we are seeing from April onwards some uptick in the price. But for the quarter, February, March was very low. So almost China was hovering around 75 cents. So, our average is around 76 cents on a net basis.

Manan Va

ndur: Correct. Understood, sir. I just want to know for this quarter, Q1 because 2 months have ended April has passed and even May has gone. So what would be the price as of this quarter I want to know?

Saunak Gupta: Normally, for forward -looking pricing, usually as you know that there is a certain restriction on the SEBI guidelines. So we have to stick to that. But the only thing I can say that we are seeing certain upsides in the overall market on the pricing side. And Venkatesh, what would be that percentage of upside around?

M Venkatesh: What we are seeing the prices currently is around INR1 lakh per ton.

Manan Vandur : On the prime basis?

M Venkatesh: Yes. On the total price, this is -- I'm not talking of in terms of the realization. I mean, the total price, what we're seeing today is around INR1 lakh per ton.

Manan Vandur: Okay, understood. Thank you, sir.

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 9 of 24

Moderator: Thank you. The next question is from the line of Dev Jani from Tata. Please go ahead.

Dev Jani: Hi, everyone. The status of the Sukinda underground plant?

Saunak Gupta: Yes. So, Sandeep, you can give your insight on that.

Sandeep B Narade: Can you please repeat once?

Saunak Gupta: So she is asking for the Sukinda underground mines update.

Sandeep B Narade: Yes. So for Sukinda mines expansion plan, we have already given the major contracts. And all the works are in progress for the decline for the ventilation shafts and for the main shaft and so on. So that is in line as per our plan.

Dev Jani: Okay. And my second question is, what is the ratio of HCFC?

Saunak Gupta: Pardon, we could not hear you. What is the ratio of?

Dev Jani: Sir, I just wanted to ask what type of selective grades do we use for production of HCFC?

Sureshbabu C: See, it is all based upon the market requirements. So based on the market requirement, the grade changes.

Dev Jani: So is this indigenous or do we export?

Sureshbabu C: No, no, it is indigenous from our mines only.

Dev Jani: Okay. Can I have a little bit of knowledge on what was the stripping ratio for quarter 4?

Saunak Gupta: We cannot hear you once more, can you please repeat?

Dev Jani: What was the stripping ratio in quarter 4 in terms of mining?

Saunak Gupta: Sandeep, you can add on this.

Sandeep B Narade: So for open cast, the stripping ratio is about 1:3.5.

Dev Jani: What was the Cr:Fe ratio, which was last told in the communication was specifically...

Sandeep B Narade: No. You are asking the stripping ratio that I have told. Now you're talking about CR:FE ratio that is different.

Dev Jani: That is 3.2 , right, currently?

Sandeep B Narade: Sureshbabu can tell about that, Cr:Fe.

Sureshbabu C: Cr:Fe ratio also varies. It moves from 2.5 to 3.5.

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 10 of 24

Dev Jani: Okay. And so this all totally added up to this time also the peripheral rate went above 60 or it was the realization was low in the market below?

Sureshbabu C: No. We make 60 only. Our grade will be 60 plus. So based on 60, the blending we will do accordingly.

Dev Jani: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Madhur Chaturvedi from MAIQ Capital. Please go ahead.

Madhur Chaturvedi: Congratulations on putting up a formidable result even in a challenging macro environment. And congratulations on the ceremony for the installation of the Kalinganagar plant also yesterday.

Sir, just wanted to get some more -- just to clarify, what is the capex numbers because in previous calls, it was INR650 crores for the 1 lakh ferrochrome expansion. Now in this press release, it was INR900 cr

ores.

So just wanted to get a clarity on -- if we can just do in terms of ferrochrome capacity, what would be the capex for the mining capacity, what would be the capex? And just sort of the time line of when that would be incurred. If we could just get that more granular, that would be very helpful?

Saunak Gupta: Yes, first of all, thank you for your good words on the performance of the company. And yes, yesterday, we had the opening ceremony of our Kalinganagar project. So on the capex side, on the Kalinganagar project, the total amount that I said was at INR840 crores.

And if you add up the capitalizable expenses that will be spent at the time of trial run, it will go up to somewhere around INR900 crores. So that is the overall capex, which obviously will be spent out by next year, September, October by the time when we go for the commissioning of both the furnaces. So June will be the first one and September '26 will be the second one.

Madhur Chaturvedi: And this includes working capital or this is purely capex?

Saunak Gupta: This is purely capex. Working capital will be separate. The capex outlay on the mines outlay, we have a plan approximately INR1,000 crores for increasing the capacity, but that will be spent out in about 5 to 6 years from now. So it will be spent -- majorly in the initial 3 years. The major amount will be spent and then it will taper down by FY '31 end by the time we reach the capacity of 1.2 million tons of raising.

Madhur Chaturvedi: Got it. Perfect. Sir, and just in terms of the furnaces now that you mentioned it, so what -- who is our technology partner, what technology are we going with? Are we going with another technology like Outokumpu or what is the technology we are targeting?

And how would that efficiency of power and chrome ore be in the new plant versus the old plant?

Will we still expect the power to be around 4,000 units per ton and the conversion to be

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 11 of 24

around 2.35 or are we going with a newer technology where we can expect those numbers to be more efficient?

Saunak Gupta: So I'll request Sureshbabu to give more input.

Sureshbabu C: Yes. This is a closed furnace. Both furnace will be closed furnace. So you know that smelting is an energy intensive. And the technology -- yes, so the off-gases we are using for the power plant. So the specific power will be of the same range because of our material what we are using now.

Madhur Chaturvedi: Got it. Perfect, sir. Perfect. And sir, just one last question from my end. This is more about the mining. We are -- sir, with the -- again, mining, are we managing to extract more than our 6 lakh metric ton capacity? Is that how we're able to sort of increase our chrome ore inventory in anticipation of the power coming online just from an operational point of view?

Just trying to understand that if we -- given the chrome conversion, most of our mining capacity goes into our production. Just what you think will be the maximum inventory we'll be able to store in anticipation of the commissioning Q2 next year?

Sandeep B Narade: Okay. So inventory will be just like what is right now, we are having inventory -- you're talking for the Q2 of this year?

Madhur Chaturvedi: So just that we mentioned that we are sort of stockpiling inventory in anticipation of the commissioning of the new production line. Just how much we'll be able to do that given that most of our chrome does go into our ferrochrome production? So how much we'll be able to extract as a sort of buffer inventory so that we can start production at Kalinganagar once that line is ready?

Sandeep B Narade: So right now, just I said before, we are having the inventory of more than 4 months at our both plant locations and

about 2.5 months at mines. So that is...

Madhur Chaturvedi: And that is the number we'll be comfortable with, sir, going ahead into next year or we can ramp that up or...

Sandeep B Narade: Yes. Obviously, it will be quite comfortable right now also it is. And we are increasing our production. So just like in the last FY, we have done 702,000. So this lakh, we have the plan of 8.25 lakh. So we'll be keep on increasing the ore production from the mines.

Madhur Chaturvedi: Got it. Perfect. Amazing sir. I will rejoin the queue and thank you for your time and congratulations.

Moderator: Thank you. The next question is from the line of Pranav Jain from Ageless Capital Finance. Please go ahead.

Pranav Jain: Congratulations on the opening ceremony for the new plant. I just had a few questions. I just want to understand the power requirement for the new plants and the details surrounding it. How much are we going to get from where are we going to get? Could you dwell on it a little more?

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 12 of 24

Saunak Gupta: So I will request our Chief Operating Officer, Mr. Bijayananda Mohapatra to add on that.

Bijayananda Mohapatra: So we'll go for this Kalinganagar project with the help of renewable energy, hybrid energy that we have tied with JSW with 70 megawatt and with Ampin with 40 megawatt. So this will be help through the new facility and both are going to be commissioned in June '26. So it is...

Pranav Jain: I was saying the 70 megawatt and 40 megawatt are these the total capacity? Or is this what we'll be requiring?

Bijayananda Mohapatra: No. Our requirement for Kalinganagar, it is approximately 60 megawatt, okay? But it is a hybrid, it will not give every time that 70 megawatt. So the power will be utilized in our existing operation area, Choudwar and Therubali. So that will also get that obligation, renewable energy obligation. So that will help, and it will also help our CBAM factor.

Pranav Jain: Got it, sir. And sir, next -- so sir, as you can see, ferrochrome prices, they bottomed out in Jan and now they are recovering as said by the management as well. When can we expect the full benefit of these prices in our financials? And also, can you help me understand the lag in price realization?

Saunak Gupta: So on this price realization part, I would say that lag period is about 1.5 to 2 months for us to get the benefit out of it. But on the future outlook, I will just request Venkatesh just to give an overall viewpoint on the ferrochrome market price.

M Venkatesh: Yes. So the challenges continue to remain. There has been an improvement in prices, but challenges continue to remain. The challenges like all of us know in terms of tariffs and ongoing conflicts. But there are small signs of the market improving. When we talk of China, they have taken -- they have introduced small stimulus measures.

They have reduced the reserve requirement ratio. The banks have reduced the reserve requirement ratio by 50 basis points. So they have let out -- banks can lend up to RMB 1 trillion more. So that's like a small stimulus measure there. They've also reduced the lending rates by 10 basis points. So these all will help in the domestic demand or to shore up that domestic demand.

What we have seen with regards to tariffs also, President Trump has kind of toned down a bit. So now China and U.S. have been talking and there has been a tariff reduction and the talks are continuing. We are also seeing now a direct conversation between Russia and Ukraine. So, after the war, there is a lot of rebuild which has to happen. So going ahead, these are small signs of positivity. And if any of that clicks, then I'm sure the market is going to rebound.

Pranav Jain: Okay

. Got it, sir. Just a last question on the technical side. Sir, how much coal do we require per ton of ferrochrome and at what cost do we acquire it?

Saunak Gupta: So, Binoy, will you be taking that coal part?

Binoy Agarwalla: No, met coke.
Indian Metals & Ferro Alloys Limited
May 23, 2025
Page 13 of 24

Sureshbabu C: Yes. So for making a ferrochrome, it is around 560 kg coke is required and the cost is around INR31,000.

Pranav Jain: Okay, sir. Thanks a lot and all the best.

Moderator: Thank you. The next question is from the line of Rajesh Agarwal from MoneyOre. Please go ahead.

Rajesh Agarwal: Sir, my question is, is there any further possibility of cost improving overall production cost?

Saunak Gupta: As I mentioned in my initial note that we are focused on improving operational efficiencies, as well as to get out more cost benefits in the future. So that's a continuous process. But it is, again, to some extent, also dependent upon how the input cost market moves around. For us, the key one would be the met coke, as well as coal and the power cost.

There is a dependency on the market. But operational efficiencies, is a continuous process. We keep on having internal projects to maximize on the cost of optimizing?

Rajesh Agarwal: What is the possibility, INR1,000 per ton, INR2,000 per ton over 2, 3 years?

Saunak Gupta: No, it is very difficult to predict that out currently because it's a continuous process. But as I said, if you see that this quarter 4, we are at INR76,980 of EBITDA cost vis-a-vis INR82,836 of last year. So it's a mixture of both drop in the input cost, market price, as well as our cost efficiencies initiatives that we have taken.

Rajesh Agarwal: Sir, my second question is the stainless steel market is very good in India. And simultaneously, Jindal Stainless was saying after the tariff, China has become a little costlier and India, the export also will increase. So why -- if the chrome is the main -- ferrochrome is the major raw material for stainless steel, why the realization in the price has dropped and why there's not possibility of improvement if the stainless steel industry grows up by 10%?

Saunak Gupta: So, Venkatesh, you will take the call, then I will just add on to that.

M Venkatesh: Okay. Stainless steel market is growing in India. There are two parts, I'll answer it. While the market is growing, there is a weakness also in the demand of Indian stainless steel. Yes, Jindal

is increasing, but there are other producers who are really struggling. And when you -- and that has to move or mostly moves in line of what happens internationally.

It's not that India can do too well and others don't do well. It's almost on similar lines. So stainless steel market in India, yes, the growth is happening, but demand continues to be weak.

Rajesh Agarwal: And sir, overall, the market improves stainless steel, including India and exports, there's a possibility of further improvement in our realization of ferrochrome? I'm talking about structurally. I'm not talking about quarter -to-quarter, I'm talking about structurally?

M Venkatesh: Yes. So we are looking at two things here. Number one, when we look at the prices, they are almost -- obviously, they can't be the same in all the markets, there would be a difference, but Indian Metals & Ferro Alloys Limited
May 23, 2025
Page 14 of 24
they are at similar levels in different markets. The second thing is, going ahead, what we see, if you are talking of the structural.

But going ahead, what we see, we would see a big jump happening in stainless steel production in India. So going ahead, for us also, the domestic market will become a focus.

Rajesh Agarwal: Okay. So realization is better in domestic or export?

M Venkatesh

: Right now, both the markets are similar. Like I said, INR1 lakh a ton, it's similar in both the markets.

Rajesh Agarwal: Both the markets. Okay. Then if we -- will we enter into a long-term contract or no?

Moderator: Sir I am sorry to interrupt I just request you to...

Rajesh Agarwal: Last question, ma'am. Just last question. Sir, if we get a better rate in the spot prices, do we -- will still sell in long -term contracts?

M Venkatesh: See, long -term contracts has the own benefits. When the word long -term means you don't look at one transaction or a month. You look at a horizon. So -- and your material is assured to be sold. In a spot, you never know what happens.

Rajesh Agarwal: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Vineet Thakur from Plus 9 One. Please go ahead.

Vineet Thakur: Congratulations on the new plant opening -- the plant's work. I just had a question with the new -- the National Steel Policy of 300 million ton of FY 2030, what would be the ferrochrome demand going ahead? Would it be increasing or will it be neutral to it?

Saunak Gupta: Suresh, if you can...

Sureshababu C: Venkatesh has something.

M Venkatesh: Yes. So if I can get your question right, that was pertaining to steel, which is carbon steel, not stainless steel. Our ferrochrome goes into the making of stainless steel. So the policy, what you said was of 300 million tons is of crude steel -- carbon steel. Stainless steel is also going to grow. Like I said, I was speaking a little bit earlier, stainless steel is going to grow. And we are there at the right time with our expansions happening. So, obviously, we would be catering more to the domestic market, like I said earlier.

Vineet Thakur: And sir, could you give a guidance on what would be the production numbers for next year?

Saunak Gupta: So usually, we do not give more than two quarters, whatever is the guidance. Anyway, on the H1, Suresh, you can give some guidance on what we expect on the production line.

Indian Metals & Ferro Alloys Limited
May 23, 2025
Page 15 of 24

Sureshababu C: The production is similar to what we have -- for the next half year, it will be around 130,000,

two quarters.

Vineet Thakur: Okay, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Aashav Patel from Molecule Ventures. Please go ahead.

Aashav Patel: Sir, my question is, I have been following the company for past many years. Earlier, we were guiding for a furnace capex of only INR500 crores. But now we are guiding for INR900 crores. So that is effectively 80% higher furnace capex. So what has changed?

Saunak Gupta: So there are two furnaces in our Kalinganagar project. So whatever we were seeing INR900 crores is of the two furnaces overall. But yes, with time, the cost escalations will happen, and there will be a situation where we have to manage based on the -- whatever is the cost of it. But it is the 2 furnace, not a single furnace that...

Aashav Patel: So two furnace, what capacity we are considering two furnace?

Saunak Gupta: It is -- what we said is that 96,000 metric ton annual capacity, it will add up.

Aashav Patel: So capacity is earlier also, we were expecting only 1 lakh capacity. So 80% cost inflation, how can it happen in 1 year?

Saunak Gupta: No, actually, as far as what we have mentioned is that, the cost in last year also, was around INR700 -plus crores what we have estimated. Now the cost has increased as we are to put up the best-in-class equipments over there. So keeping that into the mind, whatever is the other capitalizable cost, it is INR900 crores. In the base level, it is around INR840 crores.

Aashav Patel: Okay. I'm still not satisfied with the answer. But moving on, the second

question is, so recently,

there has been an ADD investigation on the met coke, the specific grade which we rely on in terms of imports for fulfilling our requirement. So what is your view on that antidumping duty investigation? And how does it impact us?

Saunak Gupta: Suresh, you can add on that?

Sureshbabu C: Yes. See, for antidumping, what the ferroalloy is using, that is excluded. So we have actually required the ultra-low phos of 0.030, okay? So whatever the appeal went to the DGTR, this ultra-low phos is excluded from the antidumping norms.

Aashav Patel: Okay. So we don't see ourselves being impacted from the ADD even if it is imposed?

Sureshbabu C: Yes.

Aashav Patel: Got it. Okay. That's all from me.

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 16 of 24

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Sir, firstly, if I could just sum it up, it was the lower realization for ferrochrome per ton to INR84,000 that led to this halving of our profit on a Q-on-Q basis. And now the prices trend are again moving above INR1 lakh per ton. This is what the sum and substance of what the price action and the real reason for the lowering of profit Q -on-Q basis if we eliminate that part?

Saunak Gupta: Yes. So, Saket ji, thank you for your good words on the business performance. On the realization part, yes, the net realization is about INR87,000 in quarter 4. So there is a reduction in that compared to the previous years. But what -- INR1 lakh per ton, which was mentioned by Venkatesh earlier, was on the prime basis.

So INR87,000 is our total average cost that we give on net realization basis. So on that, we are seeing improvements, but INR1 lakh versus INR87,000 is not comparable. It will be much lower than that. So there will be somewhere -- if you go by the comparable level, it will be somewhere around INR92,000 to INR93,000.

Saket Kapoor: Okay. And sir, what was the number for the December quarter, the average realization per ton?

Saunak Gupta: So for December quarter, it was INR96,943 net realization value. And the quarter 4 of last year was INR101,771.

Saket Kapoor: Okay. No, sir, INR96,940 was the average realization per ton for the December quarter?

Saunak Gupta: Net realization.

Saket Kapoor: Net realization. This has gone down to INR87,000 for March quarter?

Saunak Gupta: Yes. And that's why the margins have gone down. But to a major extent, we -- through operating efficiency and cost optimization, we have actually able to manage or get a better profitability.

Saket Kapoor: And other than that, sir, we are -- we will be spending around INR800 crores for this financial year, that is FY '25 -'26. This is what the capex guidance is?

Saunak Gupta: Yes. For the three projects, approximately our spending would be in the range of INR800 crores for this financial year, approximately.

Saket Kapoor: Okay. And how much have we spent, sir, for the first 45 days? Are we drawn or this will be H2? The money will be drawn?

Saunak Gupta: Saket ji, so on the capex, we are managing through our own internal accruals. So it has started, approximately, we would have spent approximately INR100 -odd crores. But a major spend will come in the H2 of this current financial year.

Saket Kapoor: Okay. And what is our closing cash balance as on 31st March?

Saunak Gupta: You are talking of the total, including the...

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 17 of 24

Saket Kapoor: Net cash. No, you give me the net cash number after the short -term borrowings?

Saunak Gupta: If you see our overall cash position was about INR906 crores. This is excluding any securit

y
deposit that we have kept. So INR906 crores we are having. And our working capital borrowings was INR372 crores. So it is about INR535 crores approximately was the net cash balance.

Saket Kapoor: Okay. And these are all invested into the deposit and the short -term instruments. I will join the queue. Thank you, sir. I will join the queue. Thank you and all the best, sir.

Moderator: Thank you. The next question is from the line of Joe Shah from 7seas. Please go ahead.

Joe Shah: Yes. First of all, congratulations to all of you for the second renewable energy agreement also of 40 megawatts. First was 70 megawatts and now second is 40 megawatts, 70 megawatts plus 40 megawatts, 110 megawatts renewable energy. Now, first question is about this chrome ore cost, which somebody said which is INR7,500 per ton of chrome ore. So is it inclusive of royalty and taxes or without royalty and taxes?

Saunak Gupta: So INR7,500 ex mine, so basically without the royalty.

Joe Shah: Without royalty. Okay. Now after this Kalinganagar project, what is our smelting plan, expansion plan? Because after 5 years, we are looking for the ferrochrome production of about 5 lakh tons, right? So what is the next smelter expansion plan?

Saunak Gupta: Yes. So in the Phase 1, as we have mentioned earlier, we are adding approximately 1 lakh metric ton. And once that is commissioned next year by September '26, we will be also having the Phase 2 plan of expansion. Currently, it is Phase 1, having 1 lakh metric ton. We are open to expansion of capacity further.

Joe Shah: Okay. Now, looking at this renewable energy capacity of 110 megawatts, which we have contracted. Now I understand from our last con call also that our requirement in power is 25% of the renewable -- in total energy consumption, 25% would be the renewable e nergy. So we have some 200 megawatts of thermal capacity.

So we'll be able -- renewable energy will be able to give us more room to use our captive power, thermal power, right? So still when we look at the 110 megawatts of renewable energy, it means we can consume -- we can have capacity -- total consumption of about 440 megawatts. So it is going on the higher side. Why is it going on the higher side?

Saunak Gupta: Requesting Mr. Mohapatra to respond to that.

Bijayananda Mohapatra: Actually, we have taken 110 megawatts with two, three aspects. One is the current requirement is another 60 megawatt for this Kalinganagar project Phase 1. Phase 2 in this same land, we have a plan for putting up another 33 MVA. So that will require another 30 megawatt. And to say now the CBAM, so we'll make some renewable energy in our existing operational area like Choudwar and Therubali.

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 18 of 24

So what to say that with June '26, so we'll get around 25% subsidy in transmission -- interstate transmission charges. So that will also give a long-term profit to us. So keeping all these things in mind, we have taken this.

Joe Shah: Okay. Thank you. That's all. Thank you very much.

Moderator: Thank you. The next question is from the line of Aman Madrecha from Augmenta Research. Please go ahead. As there is no response from the participant, we'll move to the next. The next question is from the line of Anshika from Jain Associate. Please go ahead.

Anshika: First of all congratulations for this amazing result. I wanted to ask what would be the potential Q2 numbers in terms of production, sales and EBITDA cost?

Saunak Gupta: See, the forward -looking thing, as you know, there are certain restrictions on SEBI guidelines. We won't be able to give those exact values. But one thing we can say as already Sureshbabu has mentioned that the production will be in the range of around 65,000 tonnes. And you know that whatever is o

ur production based on it, we also sell it off.

Price realization will depend how the market behaves, but we have said we are seeing some sort of upside from the low price what we saw in quarter 4. That's the maximum what we can say as of now.

Anshika: Okay. Secondly, can I have a little knowledge about what is the current sales mix and how we are seeing it for the next quarter as well in terms of LTC and spot and as well as domestic and export?

Saunak Gupta: Yes, Suresh, you can...

Sureshbabu C: Venkatesh, can you deal with it?

M Venkatesh: Yes. Could you just repeat your question, ma'am?

Sureshbabu C: She's asking about mix.

Anshika: Sales mix in terms of spot, LTCs and also in terms of domestic and export. In terms of percentage, it will be okay.

M Venkatesh: Yes. So when we look at export to domestic, it will be in the similar range like what we have been doing roughly about 90 -10, 90% in export, 10% in domestic. That would be somewhat those numbers, 90% to 95% in exports and like 5% to 10% in domestic. LTC to spot, LTC would constitute about 80% of our sales.

Anshika: And most of it is in with POSCO or some other customers as well, if any big customers, they are also having LTC apart from POSCO?

M Venkatesh: Yes, we are having LTC with many customers apart from POSCO. Yes, they are big customers. That's all I can say.

Indian Metals & Ferro Alloys Limited

May 23, 2025

Moderator: Yes, ma'am. Does that answered your question?

Anshika: Yes. Just a last question, if I can ask a follow-up. What is currently we are importing Colombian coke or it was different in the mix of coke from the international market?

Moderator: Can you just repeat your question again?

Anshika: Existing coke is from still Colombian market or are we trying to explore some different countries as well?

Sureshbabu C: Most of the coke is from Colombia only. And some part we are also exporting from other sources.

Anshika: Sir, any ratio to that or -- and we mostly use ULP coke or another...

Sureshbabu C: We mostly use ULP coke. The ratios are dependent upon the market product requirements.

Anshika: And as I can recall, the total cash generation for the whole year has been close to INR100 crores?

Saunak Gupta: Cash generation in the sense?

Anshika: Any of the -- in terms of the operational business performance, what was the IMFA's total cash generation in terms of what was the outflows for operation and net of the inflows?

Saunak Gupta: So as we said that our PAT is INR378 crores. And on the operating and as well as the investing activities if we add up, the total free cash flow generated was INR430 crores. So that is the overall -- this is before payout of the dividend.

Anshika: Okay. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Manan Vandur from Wallfort PMS. Please go ahead.

Manan Vandur: Thank you for the follow up. Sir, my question was that I couldn't understand what is prime rate and that -- could you explain what is that prime rate, what you said around INR93,000 something?

Saunak Gupta: Yes. So the prime rate is basically the gross rate. And then on that, whatever are the sales realizations, those things on the selling cost and selling expenses, transportation expenses, if you reduce that out, it comes to about INR87,000. So we gave you the net sales realization rate, INR87,000.

Manan Vandur: So what is the percentage of these costs usually? So like could you give an example, like, let's say, INR1 lakh is the prime rate, gross rate. Then what would be the rest? How would you do it?

Saunak Gupta: It will be varying from around -- it also depends on the ocean freight cost and all other realisation . So it varies around INR6,000, between

n INR5,500 to INR6,500.

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 20 of 24

Manan Vandur: Okay. So that means the prime rate would be more and then the net rate would be less that way?

Saunak Gupta: Yes.

Manan Vandur: Okay. INR5,000 gap. And sir, so what you said, the long-term contracts of INR93,000, which is there, so that is prime, those long-term contracts?

Saunak Gupta: Yes, that's the average prime cost.

Manan Vandur: Okay. That's the average prime cost. Okay. Understood. And sir, for example, let's say, I just wanted an example. So let's say, today, ferrochrome is INR1 lakh as on today's date. So in our realization, how much time will it take for that INR1 lakh to come ? How many months, for example?

Saunak Gupta: So as I said, it takes about approximately 1.5 months lag period is there, 1.5 months to 2 months to get that full value of it.

Manan Vandur: Okay, understood. Thank you, sir.

Moderator: Thank you. The next question is from the line of Akhilesh B an Individual Investor. Please go ahead.

Akhilesh B: Thanks for the opportunity. Am I audible?

Saunak Gupta: Yes.

Akhilesh B: I had a few questions. So production next year can be 3.1 lakh to 3.2 lakh tons of ferrochrome. And in FY '28, we can do 3.6 lakh completely?

Sureshbabu C: Yes. You are right.

Akhilesh B: Okay. And have we entered into discussions for long-term contract of this expanded capacity or it's already tied up? We can have no problem in placing this quantity in the market?

Sureshbabu C: Venkatesh, can you?

M Venkatesh: I think you mentioned next year, I think so you were mentioning the production will go up. That's FY '26, you are talking of or...

Akhilesh B: No, '27. '27 3.1 lakh to 3.2 lakh tons and '28 to 3.6 lakh tons, whether those can be met by us?

M Venkatesh: I will answer. So we -- like I was mentioning a little while earlier, the domestic market is growing. So there is a huge potential in the domestic market. Added to that, our existing customers -- some of them are also expanding. Their expansions are also coming up. And some of them are -- they just have -- they take a very small quantity from us as compared to the total requirement.

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 21 of 24

So there is a scope there also. So we have the option of expanding with existing customers. But primarily, at this stage, we are trying to increase our presence in the domestic market.

Akhilesh B: But is the realization better domestically compared to these long-term contracts or why are we going to change the mix between long-term and spot in that way?

M Venkatesh: Yes. See, like I was again answering that, you can't have a big gap between all these prices. There may be a little lag or a lead, but the prices overall over a period of time would be at similar levels, whether it's a long-term or when you look at spot. In long-term, you have that certainty.

In spot, you don't have the certainty. So I don't see price is going to play a role for us to decide. We would rather look at the requirement. And since the domestic requirement will go up, it would be better for us to cater in the domestic market. And if need be, like I said, we have an option to also increase our exports.

Akhilesh B: And sir, second question is on power cost. So this new facility, we have tied up power, will the effective cost be lesser, higher or the same as our current power cost?

Saunak Gupta: I think Binoy can just add to that.

Binoy Agarwalla: For Kalinganagar, actually, we have tied up with hybrid renewable energy. And that power cost will be at par with our present generation cost. It won't be that high.

Akhilesh B: Even after accounting for any subsidies, etc. it's not cheaper, it's at par.

Binoy Agarwalla: It will be at par. It's not that cheap because again, there will be transmission charges, enhancement or ED, something like that is there at the landed cost. So it will be at par with power generation cost at present.

Akhilesh B: And sir, one last question on this figure of INR800 crores, INR900 crores on the capex. So if you could spend some more time commenting on how the figure increased, I think it will create a lot of concerns because earlier figure was around INR600 crores, INR500 crores. So if you could spend some more time explaining how it has increased as well?

Saunak Gupta: So, Suresh, you want to add, then I will just further add on that.

Sureshbabu C: No, no, you can talk about that.

Saunak Gupta: So what I was just saying earlier, as I said that we are actually putting in the best -in-class plant over there. We are looking into all the opportunities. It has increased because last year, initially, we had said it will be around INR700 crores from there. It has increased on the base level, to INR 840 crores.

As well as there is an escalation of the various costs, which has happened because this INR700 crores we had mentioned somewhere around 2.5 to 3 years back. So that has gradually, had escalation of cost, plus whatever is the quality of the equipments and all what we have done, that has resulted into increasing to INR840 crores.

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 22 of 24

On that, based on whatever the current accounting standard, we can also capitalize whatever the cost, which we will be spending for commissioning and trial run. It adds up to about INR60 -odd crores. In all total, the full capitalizable value we are taking at INR900 crores.

Akhilesh B: And this is the final value now. There are no escalations in this number?

Saunak Gupta: So, this is the final number on this.

Akhilesh B: And this best -in-class machinery, so will it -- will this plant have better efficiency than our existing plant? Will we have more -- will the ratios improve in this plant compared to the prior one?

Saunak Gupta: So basically, the visibility of the operations will improve. It is more of the digitization we are doing. So those will happen to a major extent. And efficiency, we expect there should be a better improvement from the current levels. We are hopeful on that.

Akhilesh B: Okay. Thank you, sir. All the best.

Moderator: Thank you. The next question is from the line of Joe Shah from 7seas. Please go ahead.

Joe Shah: Gentlemen, I understand that for Q4, average realization was INR87,000 about per metric ton of ferrochrome. Now for Q1, we are expecting some INR92,000 to INR93,000 per metric ton realization -- average realization. Can you confirm my understanding?

Saunak Gupta: So Mr. Shah, we are seeing some upside. But as you know, there are certain lag period for getting this value in our books. So, obviously, we are having that our -- overall, we are expecting that Q1, our realization will improve. But exactly quantifying at this stage is slightly difficult.

As you know, the market still is uncertain. So we can't predict what it will be at the end of 30th June, considering the overall uncertainty in the market. But yes, our overall -- currently, at the current date, we have a feeling that, yes, it should be better than what we had experienced in quarter 4.

Joe Shah: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Manan Vandur from Wallfort PMS. Please go ahead.

Manan Vandur: Yes. Thank you so much for giving another opportunity. Sir, we have 110 megawatt renewable energy contract. So would you please give us the details of that? So like per unit, how much price have we contracted it and for how many years is the contract?

Binoy Agarwalla: Actually, 110 megawatts, we have signed 70 megawatt of contracted capacity with hybrid mechanism with JSW. Fine? And we have signed binding terms with Ampin 40 megawatt. Club up together is 110 megawatts. And both the agreement will be for 25 years, and they will be supplying power by June '26.

Indian Metals & Ferro Alloys Limited

May 23, 2025

Manan Vandur: Okay. And what would be like the agreement price of that, 1 unit price?

Binoy Agarwalla: One unit price of JSW is tariff at injection point is INR3.84 and with Ampin is INR3.75.

Manan Vandur: Okay. So that means this is lesser than our current INR4.09. So this will be helpful for us. Is that understanding correct?

Binoy Agarwalla: It's a generation injection point and your landed cost will be a little bit higher, right? But our variable cost is INR4.09. It will be at par with that only.

Saunak Gupta: Okay. Understood. And these are 25 years contract, PPA contract.

Binoy Agarwalla: That's we already told, 25 years.

Manan Vandur: Correct. Okay. And sir, our long -term contracts, they are changed -- their contract prices are changed every 3 months or 1 month or something like that is there, like renewing of prices is something like that happening?

Binoy Agarwalla: For this contract of 110 renewal energy?

Manan Vandur: No, sorry, sir, sorry. About...

Saunak Gupta: Venkatesh, you may add or respond to the question.

M Venkatesh: Yes. There are contracts which have a quarterly price. And there are also long -term contracts, which is based -- which is a monthly price based on certain indexes. So both the contracts are there in place.

Manan Vandur: Okay, quarterly and monthly. So -- and how is this determined? So these prices, how would they be determined?

M Venkatesh: This is linked. If you look at the quarterly contracts, they are linked to what we call it as EBM. That's the European benchmark price now declared by Samancor. So because you can't have a long-term contract without any linkage to an index. You just can't have a quantity without a price. It has to be linked. Similarly, we have certain monthly contracts, which is linked to certain indexes in China.

Manan Vandur: So when you said quarterly sir, BBM and the monthly one is which index?

M Venkatesh: EBM, European benchmark.

Manan Vandur: Okay. EBM. And the monthly one is linked to what, sir?

M Venkatesh: It's linked to the Chinese index price.

Manan Vandur: Okay. Understood. And if I wanted to understand like any quarter's price, so how is this linkage actually done? Like is that a percentage form or is it directly that same amount? How is that done?

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 24 of 24

M Venkatesh: That is a part of the negotiation. Just to give you a small example, the EBM went up by this quarter, that is quarter 1, from quarter 4 to quarter 1, there was a change of \$0.05. But if you look at it as that's the \$0.05 is an absolute number. But in terms of percentage, it's 3.7%. So based on these numbers, we negotiate the price.

Manan Vandur: Okay. So this was almost a 3.7% rise. So for example, let's say, in Q4, our realization was INR90,000, for example. And so, in Q1, it would be almost 3.74% higher. Is that understanding correct?

M Venkatesh: It would be -- I can't tell it will be exactly the same. It would be at similar level.

Manan Vandur: Correct. Okay. Understood. Thank you so much.

Moderator: Thank you. As that was the last question for the day, I now hand the conference over to Mr.

Abhishek Savant from Veritas Reputation for closing comments. Over to you, sir.

Abhishek Savant: Thank you to everyone who joined us today and participated in the discussion. We appreciate your questions and continued interest in IMFA. As always, we remain committed to the transparent communication and delivering long-term value to our shareholders. On behalf of the Board of Directors and management, we thank you all for your participation in this call. Should you have any further questions, please feel free to reach out to us. We look forward to engaging with you again in our future updates. Have a good afternoon and stay safe. Thank you.

Saunak Gupta: Thank you.

Moderator: Thank you. On behalf of Indian Metals & Ferro Alloys Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2025

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The Listing Department
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~tock Symbol & Series : IMFA, EQ
Sub : Earnings Call Transcripts
Dear Sir I Madam, 29th May 2025
The Deputy General Manager
(Corporate Services)
BSE Limited
Floor 25, P.J. Towers
Dalal Street , Fort
Mumbai-400001
Stock Code : 533047
Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio call recording of the Company's Investor / Analyst Call held on 23rd May, 2025 on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and year ended 31st March, 2025 is attached herewith .
You are requested to take the same on record.
Thanking you
Yours faithfully
For DIAN METALS & FERRO ALLOYS LTD
(Smru 1 Ranjan Ray)
Comp ny Secretary & Compliance Officer
Membership No: F4001
Page 1 of 24

"Indian Metals & Ferro Alloys Limited
Q4 FY25 Earnings Conference Call "
May 23, 202 5

MANAGEMENT : MR. BIJAYANANDA MOHAPATRA – WHOLE TIME
DIRECTOR AND CHIEF OPERATING OFFICER – INDIAN
METALS AND FERRO ALLOYS LIMITED
MR. SAUNAK GUPTA – CHIEF FINANCIAL OFFICER–
INDIAN METALS AND FERRO ALLOYS LIMITED
MR. BINOY AGARWALLA – HEAD POWER BUSINESS
UNIT – INDIAN METALS AND FERRO ALLOYS LIMITED
MR. SANDEEP B. NARADE – HEAD MINES BUSINESS
UNIT – INDIAN METALS AND FERRO ALLOYS LIMITED
MR. SURESHBABU CHIGURUPALLI – HEAD
FERROALLOYS BUSINESS UNIT – INDIAN METALS AND
FERRO ALLOYS LIMITED

MR. M. VENKATESH – HEAD SALES AND MARKETING
FERROALLOYS BUSINESS UNIT – INDIAN METALS AND
FERRO ALLOYS LIMITED

MODERATOR : MR. ARYAN RANA – VERITAS REPUTATION PRIVATE
LIMITED

Indian Metals & Ferro Alloys Limited
May 23, 2025

Page 2 of 24

Moderator: Ladies and gentlemen, good day and welcome to Q4 FY '25 Indian Metals and Ferro Alloys Limited Earnings Conference Call arranged by Veritas Reputation. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aryan Rana from Veritas Reputation. Thank you, and over to you, sir.

Aryan Rana: Thank you, Muskan. Good afternoon, everyone. On behalf of Indian Metals and Ferro Alloys Limited, I extend a warm welcome to all participants joining us for today's earnings call. We appreciate your continued interest and support. This session aims to provide deeper insights into our performance for Q4 and the full fiscal year ended March 31, 2025, as well as the strategic direction for the road ahead.

Following the opening remarks by our management, we will open the floor for Q&A session.

And finally, keep your questions concise and relevant to allow broader participation. IMFA, India's leading fully integrated producer of ferroalloys has demonstrated resilience in Q4 FY '25 despite ongoing market challenges. The performance underscores the company's focus on operational excellence, disciplined execution and long-term value creation.

Our financial results and investor presentation are available on our website and have been filed with the stock exchanges for your reference. Before we begin, I would like to remind you that some of the statements made in today's discussion may be forward-looking in nature. These are based on the company's current expectations and are subject to various risks and uncertainties that could cause actual outcomes to differ materially.

Joining us today on today's call are and I welcome Mr. Bijayananda Mohapatra, Whole-Time Director and Chief Operating Officer; Mr. Saunak Gupta, Chief Financial Officer; Mr. Binoy Agarwalla, Head Power Business Unit; Mr. Sandeep B. Narade Head Mines Business Unit; Mr. Sureshbabu Chigurupalli Head, Ferro alloys Business Unit; Mr. M. Venkatesh, Head, Sales and Marketing, Ferro Alloys Business Unit.

With that, I would now like to hand over the call to Mr. Saunak Gupta, our Chief Financial Officer. Over to you, sir. Thank you.

Saunak Gupta: Thank you, Aryan and good afternoon, everyone. Thank you, everyone, for joining today's earnings call on Q4 FY '25 financial results, in my first earnings call briefing to you all as CFO of IMFA. Let me take you through the financial highlights for the fourth quarter and full year ended March 31, 2025.

At the macroeconomic level, Q4 FY '25 experienced uncertainty on trade policy-related developments, along with geopolitical situation impacting several segments of commodity Indian Metals & Ferro Alloys Limited
May 23, 2025

Page 3 of 24

markets. Global ferrochrome market traversed through a phase of subdued global demand and weak pricing trend. Despite this, IMFA demonstrated resilience and marshalled its resources on cost optimization, operational efficiency improvement and leverage its fully integrated model. The standalone and consolidated financial results have been already uploaded in our website for your perusal. As you would have seen in our results, despite headwinds our focus on efficiencies and disciplined capital allocation allowed us to deliver a positive free cash flow, retain a healthy financial position.

Some of the key business and strategic highlights of FY '25 are chrome ore raised crossed 7 lakh metric tons for the first time for IMFA. Our work has commenced on the 96,000 metric ton per annum Greenfield ferrochrome expansion

ion project in Kalinganagar. The orders & LOIs have been placed for civil and structural works, major furnace equipments and power transformers. During the year, IMFA has signed a power purchase agreement with JSW Green Energy Group to acquire hybrid renewable power of 70 megawatt contracted demand. Further, we have entered into another binding term sheet with Ampin Energy Utility One Private Limited to acquire hybrid renewable energy of 40 megawatt contracted demand. This will enhance energy security and will substantially reduce our carbon footprint. IMFA has also received necessary statutory clearances for the 120 KLD ethanol project and has also placed all the major equipment orders. Boundary wall for the project has been also completed.

Further, during the year and especially in quarter 4, the Regional Director, Eastern Region has approved the scheme of amalgamation of the merger of Utkal Coal Limited with IMFA with an appointed date of 28 March 2025. Financial entries for merger as per Ind AS have been passed in the financial books of IMFA in quarter 4 of FY '25.

While the macroeconomic environment remains uncertain, early signs of recovery in pricing, particularly in April onwards, gives us confidence in a more stable FY '26. Globally, the stainless steel production has grown by 7% in calendar year 2024 and capacity rationalization in markets like South Africa is expected to rebalance the supply-demand dynamics. In FY '26, we remain focused on cost optimization, operational efficiency and executing on our growth initiatives and to deliver the value to our stakeholders.

With that, I will now open the floor to any questions that you all may have.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Aashav Patel from Molecule Ventures PMS. Please go ahead.

Aashav Patel: Thank you for the opportunity, Very good afternoon to the entire team. So, sir, my first question is, what is our EBITDA cost per metric ton for FY '20 -- sorry, for Q4 FY '25?

Saunak Gupta: Yes. So the EBITDA cost is INR76,980 for quarter 4 FY '25.

Aashav Patel: Okay. And sir, what is our met coke cost for Q4, the same quarter?

Saunak Gupta: For the ferrochrome cost per metric ton in it...

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 4 of 24

Aashav Patel: No, met coke?

Saunak Gupta: Yes, I'm saying that per metric ton cost of ferrochrome, the met coke component in that is about INR15,150.

Aashav Patel: Okay. So it is similar to that level. So why I'm asking this is because met coke prices have been continuously falling very much. So I just wanted to understand and gauge when do we accrue the benefit of falling met coke prices. So if INR15,000 per metric ton is the rate for Q4, how do you expect -- what was the opening inventory for this financial year of met coke per metric ton value?

Saunak Gupta: I'll just put it to Suresh. Will you be able to give your inputs on that? Suresh? I think Suresh would have dropped out. So if you see for this -- last year, our average met coke cost was INR18,881. From there, this year, we have come down to INR15,543. But we usually keep the stock of about 3 months because a major portion is imported. The flow down will take some more time, but we have already envisaged and seen a drop in the current year compared to last year's average.

Aashav Patel: Okay. So we should see further benefit in Q1 and Q2 of falling met coke prices?

Saunak Gupta: Yes. If we see that drop, we will definitely get something.

Aashav Patel: And sir, our ore raising is now highest ever. We are close to 7 lakh range. So I just want to understand how the inventory of chrome ore has improved over here over the last, say, 2 years. For example, earlier, we used to keep close to 2 lakhs ton of inventory versus what does it look like right now?

Saunak Gupta: Yes. So on that

part, I will just request Sandeep, our Mines BU Head to put insight on that.

Aashav Patel: Sure.

Sandeep B Narade: So right now, we are having about more than 4 months of inventory of ore at our plant site, both the plant sites. And also at mine about 2.5 months inventory is with us ready to dispatch.

Aashav Patel: Okay. So earlier, what was this figure, say, a year back?

Sandeep B Narade: It was about in the plants about 3 months stock was there, at mines about 1 month stock was there.

Aashav Patel: Okay. So we have basically increased our inventory on books by close to 50%, right?

Sandeep B Narade: Yes.

Aashav Patel: Okay. And sir, equipment order has been completed for Kalinganagar expansion, equipment ordering?

Saunak Gupta: Yes. So major equipment ordering has been done for Kalinganagar project. And the point is that, we have planned to commission it mid of next year, the first furnace somewhere in June '26. So

Page 5 of 24

that is on track. And on the earlier question you were having on the chrome ore, there is a 50% increase from last year, it's not 50%. That is around 20%, 25% increase from last year.

Basically, we are building it up for the Kalinganagar project, we will be requiring chrome ore.

So as you know, we cannot immediately jack up our production at the time of commissioning, we have to build it up. Gradually, we are building it up for the chrome ore production.

Aashav Patel: Got it, sir. And sir, regarding the recent Merafe shutdown, what we have been hearing, I guess, close to 8 lakh metric ton has been brought down by Merafe in South Africa. So can you please throw some more light on the mine -- sorry, furnace closure in South Africa, how that has moved and what other players like Glencore was also earlier reviewing their business situation, but not sure whether they have closed down also or not? So can you please throw some light?

Saunak Gupta: Yes, I'll pass on to Venkatesh, our Sales and Marketing Head to add his insights on that.

M Venkatesh: Right. So Merafe announcement, Merafe and Glencore are partners, so they are partners. So Merafe's announcement was due to the market conditions, so the reduction in production. But Glencore also has announced they will start looking at more chrome units. So what they mean by that is because -- there are challenges in South Africa.

Electricity costs have gone up and the challenges with regards to the ferrochrome market per se.

So they have reduced the production on a temporary basis. And when they say chrome units, I believe they would be looking to export maybe more of chrome ore out of South Africa.

Aashav Patel: Okay. But -- okay. So let me put it other way around. Given that China completely is dependent on the imported chrome ore. Right now, as we speak, still we are at an advantage of, say, close to 20,000 metric ton per ton in terms of cost of production compared to China because of our captive ore?

M Venkatesh: I don't have the exact cost of China. Yes, we have an advantage of having a captive mines. China has totally to depend on South African ore, primarily South African ore. So definitely, the cost of production as far as chrome ore, both would be higher. But as far as other raw material goes, they may have a slight advantage, more specifically to do with coke.

Aashav Patel: Okay. And sir, recently there was ...

Moderator: Mr. Patel, I'm sorry to interrupt. I just request you to follow with the queue, please.

Aashav Patel: Sure.

Moderator: Thank you. The next question is from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar: Sir, my question is on this forward -looking guidance, means what kind of ferrochrome production we -- trajectory means what kind of trajectory we expect for FY '26? And then once the 1 lakh ton Kalinganagar smelter starts, so what will be the ramp -

up tonne for that? So for

fiscal '27, how much we can expect from that new facility?

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 6 of 24

Saunak Gupta: So I'll just pass this out. Suresh, you were there?

Sureshbabu C: Yes, yes, I'm added just. See, in the first year, we are expected to start the production from the month of -- mid of the '26-'27. That is around July, we are going to produce. In June, we are going to commission. So it will -- ramp-up will happen. So in the financial year, it will be around 50,000 to 60,000 production will be there.

Aditya Welekar: Okay. Understood. And as you said, there is 12 months of inventory already of chrome ore now on the line there. So for '26 -- fiscal '26, the new ore raising will not be materially higher, right, means given the inventory situation we have. Is that understanding right?

Sureshbabu C: Yes, yes. Connected with the new facilities, there will not be a problem.

Aditya Welekar: Understood. And any capex guidance for FY '26 and '27?

Saunak Gupta: So on the capex part, as we have mentioned earlier, that almost INR840 crores of our investment is in Kalinganagar project, which is scheduled -- the first furnace is scheduled to get completed in June '26 and the second one in September '26. Besides that, we are also under project completion of 120 KLD ethanol project, which is about INR150 crores, which is on course.

And on the underground mines, which is overall in a 5-year tenure, it's about INR1,000 crores, we'll be spending, but a part of it will also come in FY '26. So overall, we expect in FY '26 around, INR800 crores to INR900 crores will be the outlay for all these three projects.

Aditya Welekar: Understood. I have few more questions. I will join back the queue.

Moderator: Thank you. The next question is from the line of Supriya Shah from Kotak Associate. Please go ahead.

Supriya Shah: There is a decrease in EBITDA by 44% when revenue has only decreased by 12% and cost has

also decreased by INR1,000 per ton. So reason for the decrease in EBITDA?

Saunak Gupta: Not understood. This EBITDA 44% for which period you are comparing?

Supriya Shah : From Q3 '25?

Saunak Gupta: Q3, our EBITDA cost was about INR77,800 and now it is about INR76,980, almost -- it's just about INR800-odd per metric ton reduction. So not significant. But for that, primarily the reduction is on the chrome ore raising cost to some extent and to some extent on your coke cost.

Supriya Shah : And what the Q4 specifics in terms of ore, coke and power?

Saunak Gupta: So our power cost is INR4.09 variable cost. But on the power, I will ask Binoy to just add his inputs on this.

Binoy Agarwalla: Yes. Saunak, you are correct, in Q4 FY '25, the variable cost of power is INR4.09. And compared to Q4 FY '24, which is INR0.28 less than the -- in this quarter, Q4 FY '25. It's mainly due to coal only. Coal prices come down due to transportation of coal by rail.

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 7 of 24

Supriya Shah : And for ore and coke?

Saunak Gupta: So on the chrome ore part, Sandeep, can you put some insights on that or your views on this?

Sandeep B Narade: Chrome ore cost in Q4 was a bit lower due to higher production in Q4. We have done more production than our budget.

Saunak Gupta: Yes. So chrome ore from Q3, there was a reduction in this because of the higher production and certain cost optimization initiatives that we have taken. So for that, overall, the cost has gone down. And it was per ton of ferrochrome, it was about -- on a net basis, it was INR 7,400.

Supriya Shah : And what was the specific ore in terms of HCFC?

Saunak Gupta: Specific ore you are talking of?

Sureshbabu C: Specific ore you are talking? Specific ore is around 2.35 tons levels. It varies based upon the grade what we are making. It is 2.32 tons.

Supriya Shah : And what was the coke per ton price in coke

-- specific coke per ton of HCFC?

Sureshbabu C: The coke price in this quarter is around INR31,000. Specific, you can consider it is 560 kg.

Supriya Shah : Thank you.

Moderator: Thank you. The next question is from the line of Manan Vandur from Wallfort PMS. Please go ahead.

Manan Vandur: Sir, there was a little bit of confusion. So I would just like to reclarify the questions asked by the previous participant. So the cost of chrome ore per ton, I want to know, not per ton of ferrochrome, but 1 ton of chrome ore is how much cost?

Saunak Gupta: It's about quarter 4 was INR7,500, primarily what Sandeep has given the reasons because of that, it is INR7,500.

Manan Vandur: Okay. Okay. And we normally consume 2.5 tons, right?

Saunak Gupta: Yes. As Suresh saying 2.35 tons.

Sureshbabu C : Yes. 2.35 tons we have consumed in this quarter.

Manan Vandur: Okay. It's 2.35 tons. But is that also generally 2.35 tons or more than that?

Sureshbabu C: No, it varies depending upon the grade. So you can consider from 2.35 tons to 2.5 tons.

Manan Vandur: Okay. Understood. And sir, the next question would be on the average ferrochrome price for -- like we have long -term contracts and we have spot contracts also, right? So for the long -term contracts, could you please give us what is your ferrochrome price for those long -term contracts, please?

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 8 of 24

Sureshbabu C: Venkatesh?

M Venkatesh: Yes, we don't very specifically have anything regarding long -term contracts because most of the contracts are long -term. But what I can say is, the average price realization for prime would be around INR93,500.

Manan Vandur: Okay. Because last quarter, when I asked, it was around INR89,000 to INR90,000 per ton, which was -- which is like almost 60% of your total sales is long -term contracts. Hence, I just asked.

And also this changes every month or 3 -month basis?

Saunak Gupta: I just wanted to add that you are saying INR89,000 to INR90,000 is the net realization, the total, whatever is the ferrochrome we sell, which this quarter is INR87,000, INR87,021. So there is a drop in the average realization.

Manan Vandur: Yes, correct. I understand. But the long -term prices, which you have with POSCO and other people you have with, those prices would be INR93,000 you said?

Saunak Gupta: See, these are basically a bit of strategic pricing. So what Venkatesh has said that INR93,000 is the overall long -term contract average, that's the prime cost we have. And on the totality basis, our average in this quarter, has come to INR87,021 .

Manan Vandur: Understood. Just one second, sir. And sir, current ferrochrome prices because the average would be what? Because anyway, the quarter has almost ended. So what would be that?

Saunak Gupta: See, on that net realization value that I said and with the average forex, whatever is the dollar cost, it is about 76 cents. But we -- as I mentioned that we are seeing from April onwards some uptick in the price. But for the quarter, February, March was very low. So almost China was hovering around 75 cents. So, our average is around 76 cents on a net basis.

Manan Vandur: Correct. Understood, sir. I just want to know for this quarter, Q1 because 2 months have ended April has passed and even May has gone. So what would be the price as of this quarter I want to know?

Saunak Gupta: Normally, for forward -looking pricing, usually as you know that there is a certain restriction on the SEBI guidelines. So we have to stick to that. But the only thing I can say that we are seeing certain upsides in the overall market on the pricing side. And Venkatesh, what would be that percentage of upside around?

M Venkatesh: What we are seeing the prices currently is around INR1 lakh per ton.

Saunak Gupta: On the prime basis?

M Venkatesh: Yes. On the total price, this is -- I'm not talking

of in terms of the realization. I mean, the total price, what we're seeing to day is around INR1 lakh per ton.

Manan Vandur : Okay, understood. Thank you, sir.

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 9 of 24

Moderator: Thank you. The next question is from the line of Dev Jani from Tata. Please go ahead.

Dev Jani : Hi, everyone. The status of the Sukinda underground plant?

Saunak Gupta: Yes. So, Sandeep, you can give your insight on that.

Sandeep B Narade: Can you please repeat once?

Saunak Gupta: So she is asking for the Sukinda underground mines update.

Sandeep B Narade: Yes. So for Sukinda mines expansion plan, we have already given the major contracts. And all the works are in progress for the decline for the ventilation shafts and for the main shaft and so on. So that is in line as per our plan.

Dev Jani : Okay. And my second question is, what is the ratio of HCFC?

Saunak Gupta: Pardon, we could not hear you. What is the ratio of?

Dev Jani : Sir, I just wanted to ask what type of selective grades do we use for production of HCFC?

Sureshbabu C: See, it is all based upon the market requirements. So based on the market requirement, the grade changes.

Dev Jani : So is this indigenous or do we export?

Sureshbabu C: No, no, it is indigenous from our mines only.

Dev Jani : Okay. Can I have a little bit of knowledge on what was the stripping ratio for quarter 4?

Saunak Gupta: We can not hear you once more, can you please repeat?

Dev Jani : What was the stripping ratio in quarter 4 in terms of mining?

Saunak Gupta: Sandeep, you can add on this.

Sandeep B Narade: So for open cast, the stripping ratio is about 1:3.5.

Dev Jani : What was the Cr:Fe ratio, which was last told in the communication was specifically...

Sandeep B Narade: No. You are asking the stripping ratio that I have told. Now you're talking about CR :FE ratio that is different.

Dev Jani : That is 3.2, right, currently?

Sandeep B Narade: Sureshbabu can tell about that, Cr:Fe.

Sureshbabu C: Cr:Fe ratio also varies. It moves from 2.5 to 3.5.

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 10 of 24

Dev Jani : Okay. And so this all totally added up to this time also the peripheral rate went above 60 or it was the realization was low in the market below?

Sureshbabu C: No. We make 60 only. Our grade will be 60 plus. So based on 60, the blending we will do accordingly.

Dev Jani : Okay. Thank you.

Moderator: Thank you. The next question is from the line of Madhur Chaturvedi from MAIQ Capital. Please go ahead.

Madhur Chaturvedi: Congratulations on putting up a formidable result even in a challenging macro environment. And congratulations on the ceremony for the installation of the Kalinganagar plant also yesterday.

Sir, just wanted to get some more -- just to clarify, what is the capex numbers because in previous calls, it was INR650 crores for the 1 lakh ferrochrome expansion. Now in this press release, it was INR900 crores.

So just wanted to get a clarity on -- if we can just do in terms of ferrochrome capacity, what would be the capex for the mining capacity, what would be the capex? And just sort of the time line of when that would be incurred. If we could just get that more granular, that would be very helpful?

Saunak Gupta: Yes. So as we had mentioned last quarter also and this quarter -- first of all, thank you for your

good words on the performance of the company. And yes, yesterday, we had the opening ceremony of our Kalinganagar project. So on the capex side, on the Kalinganagar project, the total amount that I said was at INR840 crores.

And if you add up the capitalizable expenses that will be spent at the time of trial run, it will go up to somewhere around INR900 crores. So that is the overall capex, which obviously will be spent out by next year, September, October by the time when we go for the commissioning of both

the furnaces. So June will be the first one and September '26 will be the second one.

Madhur Chaturvedi: And this includes working capital or this is purely capex?

Saunak Gupta: This is purely capex. Working capital will be separate. The capex outlay on the mines outlay, we have a plan approximately INR1,000 crores for increasing the capacity, but that will be spent out in about 5 to 6 years from now. So it will be spent -- majorly in the initial 3 years. The major amount will come and then it will taper down by FY '31 end by the time we reach the capacity of 1.2 million tons of raising.

Madhur Chaturvedi: Got it. Perfect. Sir, and just in terms of the furnaces now that you mentioned it, so what -- who is our technology partner, what technology are we going with? Are we going with another technology like Outokumpu or what is the technology we are targeting?

And how would that efficiency of power and chrome ore be in the new plant versus the old plant? Will we still expect the power to be around 4,000 units per ton and the conversion to be Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 11 of 24

around 2.35 or are we going with a newer technology where we can expect those numbers to be more efficient?

Saunak Gupta: So I'll request Sureshbabu to give more input.

Sureshbabu C: Yes. This is a closed furnace. Both furnace will be closed furnace. So you know that smelting is an energy intensive. And the technology -- yes, so the off-gases we are using for the power plant. So the specific power will be of the same range because of our material what we are using now.

Madhur Chaturvedi: Got it. Perfect, sir. Perfect. And sir, just one last question from my end. This is more about the mining. We are -- sir, with the -- again, mining, are we managing to extract more than our 6 lakh metric ton capacity? Is that how we're able to sort of increase our chrome ore inventory in anticipation of the power coming online just from an operational point of view?

Just trying to understand that if we -- given the chrome conversion, most of our mining capacity goes into our production. Just what you think will be the maximum inventory we'll be able to store in anticipation of the commissioning Q2 next year?

Sandeep B Narade: Okay. So inventory will be just like what is right now, we are having inventory -- you're talking for the Q2 of this year?

Madhur Chaturvedi: So just that we mentioned that we are sort of stockpiling inventory in anticipation of the commissioning of the new production line. Just how much we'll be able to do that given that most of our chrome does go into our ferrochrome production? So how much we'll be able to extract as a sort of buffer inventory so that we can start production at Kalinganagar once that line is ready?

Sandeep B Narade: So right now, just I said before, we are having the inventory of more than 4 months at our both plant locations and about 2.5 months at mines. So that is...

Madhur Chaturvedi: And that is the number we'll be comfortable with, sir, going ahead into next year or we can ramp that up or...

Sandeep B Narade: Yes. Obviously, it will be quite comfortable right now also it is. And we are increasing our production. So just like in the last FY, we have done 702,000. So this lakh, we have the plan of 8.25 lakh. So we'll be keep on increasing the ore production from the mines.

Madhur Chaturvedi: Got it. Perfect. Amazing sir. I will rejoin the queue and thank you for your time and congratulations.

Moderator: Thank you. The next question is from the line of Pranav Jain from Ageless Capital Finance. Please go ahead.

Pranav Jain: Congratulations on the opening ceremony for the new plant. I just had a few questions. I just want to understand the power requirement for the new plants and the details surrounding it. How much are we going to get from where are we going to get? Could you dwell on it a little more?

ore?

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 12 of 24

Saunak Gupta: So I will request our Chief Operating Officer, Mr. Bijayananda Mohapatra to add on that.

Bijayananda Mohapatra: So we'll go for this Kalinganagar project with the help of renewable energy, hybrid energy that we have tied with JSW with 70 megawatt and with Ampin with 40 megawatt. So this will be help through the new facility and both are going to be commissioned in June '26. So it is...

Pranav Jain: I was saying the 70 megawatt and 40 megawatt are these the total capacity? Or is this what we'll

be requiring?

Bijayananda Mohapatra: No. Our requirement for Kalinganagar, it is approximately 60 megawatt, okay? But it is a hybrid, it will not give every time that 70 megawatt. So the power will be utilized in our existing operation area, Choudwar and Therubali. So that will also get that obligation, renewable energy obligation. So that will help, and it will also help our CBAM factor.

Pranav Jain: Got it, sir. And sir, next -- so sir, as you can see, ferrochrome prices, they bottomed out in Jan and now they are recovering as said by the management as well. When can we expect the full benefit of these prices in our financials? And also, can you help me understand the lag in price realization?

Saunak Gupta: So on this price realization part, I would say that lag period is about 1.5 to 2 months for us to get the benefit out of it. But on the future outlook, I will just request Venkatesh just to give an overall viewpoint on the ferrochrome market price.

M Venkatesh: Yes. So the challenges continue to remain. There has been an improvement in prices, but challenges continue to remain. The challenges like all of us know in terms of tariffs and ongoing conflicts. But there are small signs of the market improving. When we talk of China, they have taken -- they have introduced small stimulus measures.

They have reduced the reserve requirement ratio. The banks have reduced the reserve requirement ratio by 50 basis points. So they have let out -- banks can lend up to RMB 1 trillion more. So that's like a small stimulus measure there. They've also reduced the lending rates by 10 basis points. So these all will help in the domestic demand or to shore up that domestic demand.

What we have seen with regards to tariffs also, President Trump has kind of toned down a bit. So now China and U.S. have been talking and there has been a tariff reduction and the talks are continuing. We are also seeing now a direct conversation between Russia and Ukraine. So, after the war, there is a lot of rebuild which has to happen. So going ahead, these are small signs of positivity. And if any of that clicks, then I'm sure the market is going to rebound.

Pranav Jain: Okay. Got it, sir. Just a last question on the technical side. Sir, how much coal do we require per ton of ferrochrome and at what cost do we acquire it?

Saunak Gupta: So, Binoy, will you be taking that coal part?

Binoy Agarwalla: No, met coke.

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 13 of 24

Sureshbabu C: Yes. So for making a ferrochrome, it is around 560 kg coke is required and the cost is around INR31,000.

Pranav Jain: Okay, sir. Thanks a lot and all the best.

Moderator: Thank you. The next question is from the line of Rajesh Agarwal from Money Ore. Please go ahead.

Rajesh Agarwal: Sir, my question is, is there any further possibility of cost improving overall production cost?

Saunak Gupta: So we are -- as I mentioned in my initial note that we are focused on improving operational efficiencies, as well as to get out more cost benefits in the future. So that's a continuous process.

But it is, again, to some extent, also dependent upon how the input cost market moves around.

For us, the key one would be the met coke, as well as coal and the power cost.

There is a dependency on the market. But operational efficiencies, is a continuous process. We

keep on having internal projects to maximize on the cost of optimizing?

Rajesh Agarwal: What is the possibility, INR1,000 per ton, INR2,000 per ton over 2, 3 years?

Saunak Gupta: No, it is very difficult to predict that out currently because it's a continuous process. But as I said, if you see that this quarter 4, we are at INR76,980 of EBITDA cost vis-a-vis INR82,836 of

last year. So it's a mixture of both drop in the input cost, market price, as well as your cost

efficiencies initiatives that we have taken.

Rajesh Agarwal: Sir, my second question is the stainless steel market is very good in India. And simultaneously, Jindal Stainless was saying after the tariff, China has become a little costlier and India, the export

also will increase. So why -- if the chrome is the main -- ferrochrome is the major raw material

for stainless steel, why the realization in the price has dropped and why there's not possibility of improvement if the stainless steel industry grows up by 10%?

Saunak Gupta: So, Venkatesh, you will take the call, then I will just add on to that.

M Venkatesh: Okay. Stainless steel market is growing in India. There are two parts, I'll answer it. While the market is growing, there is a weakness also in the demand of Indian stainless steel. Yes, Jindal is increasing, but there are other producers who are really struggling. And when you -- and that has to move or mostly moves in line of what happens internationally.

It's not that India can do too well and others don't do well. It's almost on similar lines. So stainless steel market in India, yes, the growth is happening, but demand continues to be weak.

Rajesh Agarwal: And sir, overall, the market improves stainless steel, including India and exports, there's a possibility of further improvement in our realization of ferrochrome? I'm talking about structurally. I'm not talking about quarter-to-quarter, I'm talking about structurally?

M Venkatesh: Yes. So we are looking at two things here. Number one, when we look at the prices, they are

Page 14 of 24

they are at similar levels in different markets. The second thing is, going ahead, what we see, if you are talking of the structural.

But going ahead, what we see, we would see a big jump happening in stainless steel production in India. So going ahead, for us also, the domestic market will become a focus.

Rajesh Agarwal: Okay. So realization is better in domestic or export?

M Venkatesh: Right now, both the markets are similar. Like I said, INR1 lakh a ton, it's similar in both the markets.

Rajesh Agarwal: Both the markets. Okay. Then if we -- will we enter into a long -term contract or no?

Moderator: Sir I am s orry to interrupt I just request you to ...

Rajesh Agarwal: Last question, ma'am. Just last question. Sir, if we get a better rate in the spot prices, do we -- will still sell in long -term contracts?

M Venkatesh: See, long -term contracts has the own benefits. When the word long -term means you don't look at one transaction or a month. You look at a horizon. So -- and your material is assured to be sold. In a spot, you never know what happens.

Rajesh Agarwal: Okay. Thank you, sir.

Moderator: Thank you. Th e next question is from the line of Vineet Thakur from Plus 9 One . Please go ahead.

Vineet Thakur : Congratulations on the new plant opening -- the plant's work. I just had a question with the new -- the National Steel Policy of 300 million ton of FY 2030, what would be the ferrochrome demand going ahead? Would it be increasing o r will it be neutral to it?

Saunak Gupta: Suresh, if you can...

Sureshb abu C: Venkatesh has something.

M Venkatesh: Yes. So if I can get your question right, that was pertaining to steel, which is ca

rbon steel, not

stainless steel. Our ferrochrome goes into the making of stainless steel. So the policy, what you said was of 300 million tons is of crude steel -- carbon steel. Stainless steel is also going to grow.

Like I said, I was speaking a little bit earlier, stainless steel is going to grow. And we are there at the right time with our expansions happening. So, obviously, we would be cate ring more to the domestic marke t, like I said earlier.

Vineet Thakur : And sir, could you give a guidance on what would be the production numbers for next year?

Saunak Gupta: So usually, we do not give more than two quarters, whatever is the guidance. Anyway, on the H1, Suresh, you can give some guidance on what we expect on the production line.

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 15 of 24

Sureshb abu C: The production is similar to what we have -- for the next half ye ar, it will be around 130,000, two quarters.

Vineet Thakur : Okay, sir. Thank you so much.

Moderator: Thank you. Th e next question is from the line of Aashav Patel from Molecule Ventures. Please go ahead.

Aashav Patel: Sir, my question is, I have been following the company for past many years. Earlier, we were guiding for a furnace capex of only INR500 crores. But now we are guiding for INR900 crores.

So that is effectively 80% higher furnace capex. So what has changed?

Saunak Gupta: So there are two furnaces in our Kalinganagar project. So whatever we were seeing INR900 crores is of the two furnaces overall. But yes, with time, the cost escalations will happen, and there will be a situation where we have to manage based on the -- whatever is the cost of it. But it is the 2 furnace, not a single furnace that...

Aashav Patel: So two furnace, wh at capacity we are considering two furnace?

Saunak Gupta: It is -- what we said is that 96,000 metric ton annual capacity, it will add up.

Aashav Patel: So capacity is earlier also, we were expecting only 1 lakh capacity. So 80% cost inflation, how can it happen in 1 year?

Saunak Gupta: No. Actually, as far as what we have mentioned is that, the cost was -- last year also, it was somewhere around INR700-plus crores what we have estimated. Now the cost has increased as we are to put up the best -in-class in all the equipments over there. So keeping that into the mind, including whatever is the other capitalizable cost, it is INR900 crores. In the base level, it is around INR840 crores.

Aashav Patel: Okay. I'm still not satisfied with the answer. But moving on, the second question is, so recently, there has been an ADD investigation on the met coke, the specific grade which we rely on in terms of imports for fulfilling our requirement. So what is your view on that antidumping duty investigation? And how does it impact us?

Saunak Gupta: Suresh, you can add on that?

Sureshb abu C: Yes. See, for antidumping, what the ferroalloy is using, that is excluded. So we have actually required the ultra -low phos of 0.030, okay? So whatever the appeal went to the DGTR, this ultra -low phos is excluded from the antidumping norms.

Aashav Patel: Okay. So we don't see ourselves being impacted from the ADD even if it is imposed?

Sureshb abu C: Yes.

Aashav Patel: Got it. Okay. That's all from me.

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 16 of 24

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Sir, firstly, if I could just sum it up, it was the lower realization for ferrochrome per ton to INR84,000 that led to this halving of our profit on a Q-on-Q basis. And now the prices trend are again moving above INR1 lakh per ton. This is what the sum and substance of what the price action and the real reason for the lowering of profit Q-on-Q basis if we eliminate that part?

Saunak Gupta: Yes. So, Saket ji, thank you for your good

words on the business performance. On the realization

part, yes, the net realization is about INR87,000 in quarter 4. So there is a reduction in that compared to the previous years. But what -- INR1 lakh per ton, which was mentioned by Venkatesh earlier, was on the prime basis.

So INR87,000 is our total average cost that we give on net realization basis. So on that, we are seeing improvements, but INR1 lakh versus INR87,000 is not comparable. It will be much lower than that. So there will be somewhere -- if you go by the comparable level, it will be somewhere around INR92,000 to INR93,000.

Saket Kapoor: Okay. And sir, what was the number for the December quarter, the average realization per ton?

Saunak Gupta: So for December quarter, it was INR96,943 net realization value. And the quarter 4 of last year was INR101,771.

Saket Kapoor: Okay. No, sir, INR96,940 was the average realization per ton for the December quarter?

Saunak Gupta: Net realization.

Saket Kapoor: Net realization. This has gone down to INR87,000 for March quarter ?

Saunak Gupta: Yes. And that's why the margins have gone down. But to a major extent, we -- through operating efficiency and cost optimization, we have actually able to manage or get a better profitability.

Saket Kapoor: And other than that, sir, we are -- we will be spending around INR800 crores for this financial year, that is FY '25-'26. This is what the capex guidance is?

Saunak Gupta: Yes. For the three projects, approximately our spending would be in the range of INR800 crores for this financial year, approximately.

Saket Kapoor: Okay. And how much have we spent, sir, for the first 45 days? Are we drawn or this will be H2? The money will be drawn ?

Saunak Gupta: Saket ji, so on the capex, we are managing through our own internal accruals. So it has started, approximately, we would have spent approximately INR100-odd crores. But a major spend will come in the H2 of this current financial year.

Saket Kapoor: Okay. And what is our closing cash balance as on 31st March?

Saunak Gupta: You are talking of the total, including the...

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 17 of 24

Saket Kapoor: Net cash. No, you give me the net cash number after the short-term borrowings?

Saunak Gupta: So if you see our overall cash position was about INR906 crores. This is excluding any security deposit that we have kept. So INR906 crores we are having. And our working capital borrowings was INR372 crores. So it is about INR535 crores approximately was the net cash balance.

Saket Kapoor: Okay. And these are all invested into the deposit and the short-term instruments. I will join the queue. Thank you, sir. I will join the queue. Thank you and all the best, sir.

Moderator: Thank you. The next question is from the line of Joe Shah from 7seas. Please go ahead.

Joe Shah: Yes. First of all, congratulations to all of you for the second renewable energy agreement also of 40 megawatts. First was 70 megawatts and now second is 40 megawatts, 70 megawatts plus

40 megawatts, 110 megawatts renewable energy. Now, first question is about this chrome ore cost, which somebody said which is INR7,500 per ton of chrome ore. So is it inclusive of royalty and taxes or without royalty and taxes?

Saunak Gupta: So INR7,500 ex mine, so basically without the royalty.

Joe Shah: Without royalty. Okay. Now after this Kalinganagar project, what is our smelting plan, expansion plan? Because after 5 years, we are looking for the ferrochrome production of about 5 lakh tons, right? So what is the next smelter expansion plan?

Saunak Gupta: Yes. So in the Phase 1, as we have mentioned earlier, we are adding approximately 1 lakh metric ton. And once that is commissioned out next year by September '26, we will be also having the Phase 2 plan of expansion. So there is already -- we are working on that. So currently, it is Phase 1,

we are having 1 lakh metric ton. But there is -- we are open to expansion of the capacity.

Joe Shah: Okay. Now, looking at this renewable energy capacity of 110 megawatts, which we have contracted. Now I understand from our last con call also that our requirement in power is 25% of the renewable -- in total energy consumption, 25% would be the renewable energy. So we have some 200 megawatts of thermal capacity.

So we'll be able -- renewable energy will be able to give us more room to use our captive power, thermal power, right? So still when we look at the 110 megawatts of renewable energy, it means we can consume -- we can have capacity -- total consumption of about 440 megawatts. So it is going on the higher side. Why is it going on the higher side?

Saunak Gupta: Requesting Mr. Mohapatra to respond to that.

Bijayananda Mohapatra: Actually, we have taken 110 megawatts with two, three aspects. One is the current requirement is another 60 megawatt for this Kalinganagar project Phase 1. Phase 2 in this same land, we have a plan for putting up another 33 MVA. So that will require another 30 megawatt. And to say now the CBAM, so we'll make some renewable energy in our existing operational area like Choudwar and Therubali.

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 18 of 24

So what to say that with June '26, so we'll get around 25% subsidy in transmission -- interstate transmission charges. So that will also give a long-term profit to us. So keeping all these things in mind, we have taken this.

Joe Shah: Okay. Thank you. That's all. Thank you very much.

Moderator: Thank you. The next question is from the line of Aman Madrecha from Augmenta Research. Please go ahead. As there is no response from the participant, we'll move to the next. The next question is from the line of Anshika from Jain Associate. Please go ahead.

Anshika: First of all congratulations for this amazing result. I wanted to ask what would be the potential Q2 numbers in terms of production, sales and EBITDA cost?

Saunak Gupta: See, the forward-looking thing, as you know, there are certain restrictions on SEBI guidelines. We won't be able to give those exact values. But one thing we can say as already Sureshbabu has mentioned that the production will be in the range of around 65,000 tonnes. And you know that whatever is our production based on it, we also sell it off.

Price realization will depend how the market behaves, but we have said we are seeing some sort of upside from the low price what we saw in quarter 4. That's the maximum what we can say as of now.

Anshika: Okay. Secondly, can I have a little knowledge about what is the current sales mix and how we are seeing it for the next quarter as well in terms of LTC and spot and as well as domestic and export?

Saunak Gupta: Yes, Suresh, you can...

Sureshbabu C: Venkatesh, can you deal with it?

M Venkatesh: Yes. Could you just repeat your question, ma'am?

Sureshbabu C: She's asking about mix.

Anshika: Sales mix in terms of spot, LTCs and also in terms of domestic and export. In terms of percentage, it will be okay.

M Venkatesh: Yes. So when we look at export to domestic, it will be in the similar range like what we have been doing roughly about 90-10, 90% in export, 10% in domestic. That would be somewhat those numbers, 90% to 95% in exports and like 5% to 10% in domestic. LTC to spot, LTC would constitute about 80% of our sales.

Anshika: And most of it is in with POSCO or some other customers as well, if any big customers, they are also having LTC apart from POSCO?

M Venkatesh: Yes, we are having LTC with many customers apart from POSCO. Yes, they are big customers. That's all I can say.

Indian Metals & Ferro Alloys Limited

May 23, 202 5

Page 19 of 24

Moderator: Yes, ma'am. Does that answered your question?

Anshika : Yes. Just a last question, if I can ask a follow

-up. What is currently we are importing Colombian coke or it was different in the mix of coke from the international market?

Moderator: Can you just repeat your question again?

Anshika : Existing coke is from still Colombian market or are we trying to explore some different countries as well?

Sureshb abu C: Most of the coke is from Colombia only. And some part we are also exporting from other sources.

Anshika : Sir, any ratio to that or -- and we mostly use ULP coke or another...

Sureshb abu C: We mostly use ULP coke. The ratios are dependent upon the market product requirements.

Anshika : And as I can recall, the total cash generation for the whole year has been close to INR100 crores ?

Saunak Gupta: Cash generation in the sense?

Anshika : Any of the -- in terms of the operational business performance, what was the IMFA's total cash generation in terms of what was the outflows for operation and net of the inflows?

Saunak Gupta: So as we said that our PAT is INR378 crores. And on the operating and as well as the investing activities if we add up, the total free cash flow generated was INR430 crores. So that is the overall -- this is before payout of the dividend.

Anshika : Okay. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Manan Vandur from Wallfort PMS. Please go ahead.

Manan Vandur: Thank you for the follow up. Sir, my question was that I couldn't understand what is prime rate and that -- could you explain what is that prime rate, what you said around INR93,000 something?

Saunak Gupta: Yes. So the prime rate is basically the gross rate. And then on that, whatever are the sales realizations, those things on the selling cost and selling expenses, transportation expenses, if you reduce that out, it comes to about INR87,000. So we gave you the net sales realization rate, INR87,000.

Manan Vandur: So what is the percentage of these costs usually? So like could you give an example, like, let's say, INR1 lakh is the prime rate, gross rate. Then what would be the rest? How would you do it?

Saunak Gupta: It will be varying from around -- it also depends on the ocean freight cost and all. So it varies around INR6,000 , between INR5,500 to INR6,500.

Indian Metals & Ferro Alloys Limited

May 23, 202 5

Page 20 of 24

Manan Vandur: Okay. So that means the prime rate would be more and then the net rate would be less that way?

Saunak Gupta: Yes.

Manan Vandur: Okay. INR5,000 gap. And sir, so what you said, the long -term contracts of INR93,000, which is there, so that is prime, those long -term contracts?

Saunak Gupta: Yes, that's the average prime cost.

Manan Vandur: Okay. That's the average prime cost. Okay. Understood. And sir, for example, let's say, I just wanted an example. So let's say, today, ferrochrome is INR1 lakh as on today's date. So in our realization, how much time will it take for that INR1 lakh to come? How many months, for example?

Saunak Gupta: So as I said, it takes about approximately 1.5 months lag period is there, 1.5 months to 2 months to get that full value of it.

Manan Vandur: Okay, understood. Thank you, sir.

Moderator: Thank you. The next question is from the line of Akhilesh B an Individual Investor. Please go ahead.

Akhilesh B : Thanks for the opportunity. Am I audible?

Saunak Gupta: Yes.

Akhilesh B : I had a few questions. So production next year can be 3.1 lakh to 3.2 lakh tons of ferrochrome. And in FY '28, we can do 3.6 lakh completely?

Sureshb abu C: Yes. You are right.

Akhilesh B : Okay. And have we entered into discussions for long -term contract of this expanded capacity or it's already tied up? We can have no problem in placing this quantity in the market?

Sureshbabu C: Venkatesh, can you?

M Venkatesh: I think you mentioned next year, I think so you were mentioning the production will go up. That's FY '26, you are talking of or...
Akhiles

h B : No, '27. '27 3.1 lakh to 3.2 lakh tons and '28 to 3.6 lakh tons, whether those can be met by us?

M Venkatesh: I will answer. So we -- like I was mentioning a little while earlier, the domestic market is growing. So there is a huge potential in the domestic market. Added to that, our existing customers -- some of them are also expanding. Their expansions are also coming up. And some of them are -- they just have -- they take a very small quantity from us as compared to the total requirement.

Indian Metals & Ferro Alloys Limited
May 23, 2025

Page 21 of 24

So there is a scope there also. So we have the option of expanding with existing customers. But primarily, at this stage, we are trying to increase our presence in the domestic market.

Akhilesh B : But is the realization better domestically compared to these long-term contracts or why are we going to change the mix between long-term and spot in that way?

M Venkatesh: Yes. See, like I was again answering that, you can't have a big gap between all these prices. There may be a little lag or a lead, but the prices overall over a period of time would be at similar levels, whether it's a long-term or when you look at spot. In long-term, you have that certainty. In spot, you don't have the certainty. So I don't see price is going to play a role for us to decide. We would rather look at the requirement. And since the domestic requirement will go up, it would be better for us to cater in the domestic market. And if need be, like I said, we have an option to also increase our exports.

Akhilesh B : And sir, second question is on power cost. So this new facility, we have tied up power, will the effective cost be lesser, higher or the same as our current power cost?

Saunak Gupta: I think Binoy can just add to that.

Binoy Agarwalla: For Kalinganagar, actually, we have tied up with hybrid renewable energy. And that power cost will be at par with our present generation cost. It won't be that high.

Akhilesh B : Even after accounting for any subsidies, etc. it's not cheaper, it's at par.

Binoy Agarwalla: It will be at par. It's not that cheap because again, there will be transmission charges, enhancement or ED, something like that is there at the landed cost. So it will be at par with power generation cost at present.

Akhilesh B : And sir, one last question on this figure of INR800 crores, INR900 crores on the capex. So if you could spend some more time commenting on how the figure increased, I think it will create a lot of concerns because earlier figure was around INR600 crores, INR500 crores. So if you could spend some more time explaining how it has increased as well?

Saunak Gupta: So, Suresh, you want to add, then I will just further add on that.

Sureshbabu C : No, no, you can talk about that.

Saunak Gupta: So what I was just saying earlier, as I said that we are actually putting in the best-in-class plant over there. We are looking into all the opportunities. It has increased because last year, initially, we had said it will be around INR700 crores from there. It has increased on the base level, to INR 840 crores.

As well as there is an escalation of the various costs, which has happened because this INR700 crores we had mentioned somewhere around 2.5 to 3 years back. So that has gradually, had escalation of cost, plus whatever is the quality of the equipments and all what we have done, that has resulted into increasing to INR840 crores.

Indian Metals & Ferro Alloys Limited
May 23, 2025

Page 22 of 24

On that, based on whatever the current accounting standard, we can also capitalize whatever the cost, which we will be spending for commissioning and trial run. It adds up to about INR60-odd crores. In all total, the full capitalizable value we are taking at INR900 crores.

Akhilesh B : And this is the final value now. There are no escalations in this number?

Saunak Gupta: So,

this is the final number on this.

Akhilesh B : And this best-in-class machinery, so will it -- will this plant have better efficiency than our existing plant? Will we have more -- will the ratios improve in this plant compared to the prior one?

Saunak Gupta: So basically, the visibility of the operations will improve. It is more of the digitization we are

doing. So those will happen to a major extent. And efficiency, we expect there should be a better improvement from the current levels. We are hopeful on that.

Akhilesh B : Okay. Thank you, sir. All the best.

Moderator: Thank you. The next question is from the line of Joe Shah from 7seas . Please go ahead.

Joe Shah: Gentlemen, I understand that for Q4, average realization was INR87,000 about per metric ton of ferrochrome. Now for Q1, we are expecting some INR92,000 to INR93,000 per metric ton realization -- average realization. Can you confirm my understanding?

Saunak Gupta: So Mr. Shah, we are seeing some upside. But as you know, there are certain lag period for getting this value in our books. So, obviously, we are having that our -- overall, we are expecting that Q1, our realization will improve. But exactly quantifying at this stage is slightly difficult. As you know, the market still is uncertain. So we can't predict what it will be at the end of 30th June, considering the overall uncertainty in the market. But yes, our overall -- currently, at the current date , we have a feeling that, yes, it should be better than what we had experienced in quarter 4.

Joe Shah: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Manan Vandur from Wallfort PMS. Please go ahead.

Manan Vandur: Yes. Thank you so much for giving another opportunity. Sir, we have 110 megawatt renewable energy contract. So would you please give us the details of that? So like per unit, how much price have we contracted it and for how many years is the contract?

Binoy Agarwalla: Actually, 110 megawatts, we have signed 70 megawatt of contracted capacity with hybrid mechanism with JSW. Fine? And we have signed binding terms with Ampin 40 megawatt. Club up together is 110 megawatts. And both the agreement will be for 25 years, and they will be supplying power by June '26.

Indian Metals & Ferro Alloys Limited

May 23, 2025

Page 23 of 24

Manan Vandur: Okay. And what would be like the agreement price of that, 1 unit price?

Binoy Agarwalla: One unit price of JSW is tariff at injection point is INR3.84 and with Ampin is INR3.75.

Manan Vandur: Okay. So that means this is lesser than our current INR4.09. So this will be helpful for us. Is that understanding correct?

Binoy Agarwalla: It's a generation injection point and your landed cost will be a little bit higher, right? But our variable cost is INR4.09. It will be at par with that only.

Saunak Gupta: Okay. Understood. And these are 25 years contract, PPA contract.

Binoy Agarwalla: That's we already told, 25 years.

Manan Vandur: Correct. Okay. And sir, our long-term contracts, they are changed -- their contract prices are changed every 3 months or 1 month or something like that is there, like renewing of prices is something like that happening?

Binoy Agarwalla : For this contract of 110 renewable energy?

Manan Vandur: No, sorry, sir, sorry. About...

Saunak Gupta: Venkatesh, you may add or respond to the question.

M Venkatesh: Yes. There are contracts which have a quarterly price. And there are also long-term contracts, which is based -- which is a monthly price based on certain indexes. So both the contracts are there in place.

Manan Vandur: Okay, quarterly and monthly. So -- and how is this determined? So these prices, how would they be determined?

M Venkatesh: This is linked. If you look at the quarterly contracts, they are linked to what we call it as EBM. That's the European benchmark price now declared by Samancor.

So because you can't have a long-term contract without any linkage to an index. You just can't have a quantity without a price. It has to be linked. Similarly, we have certain monthly contracts, which is linked to certain indexes in China.

Manan Vandur: So when you said quarterly sir, BBM and the monthly one is which index?

M Venkatesh: EBM, European benchmark.

Manan Vandur: Okay. EBM. And the monthly one is linked to what, sir?

M Venkatesh: It's linked to the Chinese index price.

Manan Vandur: Okay. Understood. And if I wanted to understand like any quarter's price, so how is this linkage actually done? Like is that a percentage form or is it directly that same amount? How is that done?

Indian Metals & Ferro Alloys Limited

May 23, 2025

M Venkatesh: That is a part of the negotiation. Just to give you a small example, the EBM went up by this quarter, that is quarter 1, from quarter 4 to quarter 1, there was a change of \$0.05. But if you look at it as that's the \$0.05 is an absolute number. But in terms of percentage, it's 3.7%. So based on these numbers, we negotiate the price.

Manan Vandur: Okay. So this was almost a 3.7% rise. So for example, let's say, in Q4, our realization was INR90,000, for example. And so, in Q1, it would be almost 3.74% higher. Is that understanding correct?

M Venkatesh: It would be -- I can't tell it will be exactly the same. It would be at similar level.

Manan Vandur: Correct. Okay. Understood. Thank you so much.

Moderator: Thank you. As that was the last question for the day, I now hand the conference over to Mr. Abhishek Savant from Veritas Reputation for closing comments. Over to you, sir.

Abhishek Savant: Thank you to everyone who joined us today and participated in the discussion. We appreciate your questions and continued interest in IMFA. As always, we remain committed to the transparent communication and delivering long-term value to our shareholders. On behalf of the Board of Directors and management, we thank you all for your participation in this call. Should you have any further questions, please feel free to reach out to us. We look forward to engaging with you again in our future updates. Have a good afternoon and stay safe. Thank you.

Saunak Gupta: Thank you.

Moderator: Thank you. On behalf of Indian Metals & Ferro Alloys Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2025

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05th August 2025
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Stock Code : 533047
Pursuant to Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio call recording of the Company's Investor/ Analyst Call held on 31st July 2025 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended 30th June 2025 is attached herewith .
You are requested to take the same on record.
Thanking you
Yours faithfully
For IN N METALS & FERRO ALLOYS LTD
(Smruti Ranjan Ray)
Company Secretary & Compliance Officer
Membership No: F4001
Encl : As above.

Page 1 of 19

"Indian Metals & Ferro Alloys Limited Q1 FY '26
Earnings Conference Call"

July 31, 2025

MANAGEMENT : MR. B IJAYANANDA MOHAPATRA – WHOLE TIME
DIRECTOR AND CHIEF OPERATING OFFICER
MR. SAUNAK GUPTA – CHIEF FINANCIAL OFFICER
MR. BINOY AGARWALLA – HEAD POWER BUSINESS
UNIT
MR. SANDEEP B. N ARADE – HEAD MINES BUSINESS
UNIT
MR. S URESHBABU CHIGURUPALLI – HEAD
FERROALLOYS BUSINESS UNIT

MR. M. V ENKATESH – HEAD SALES AND MARKETING
FERROALLOYS BUSINESS UNIT
MODERATOR : MR. ARYAN RANA – VERITAS REPUTATION PRIVATE
LIMITED

Indian Metals & Ferro Alloys Limited
July 31, 2025

Page 2 of 19

Moderator : Ladies and gentlemen , good day and welcome to Earnings Conference Call of Indian Metals and Ferro Alloys Limited, arranged by Veritas Reputation.

At this moment, all participant s' lines are in listen -only mode. Later, we will conduct a question -and-answer session. At that time, if you have a question, please press * ' and '1' on your touchstone keypad. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aryan Rana from Veritas Reputation. Thank you. And over to you, sir.

Aryan Rana: Thank you, Shubham. Good evening once again, everyone. On behalf of Indian Metals & Ferro Alloys Limited , I welcome you all to the Q 1 FY '26 Earnings Conference Call . We appreciate your time and interest in joining us today to discuss the Company 's financial performance for the quarter ended June 30, 2025.

Following the 'Opening Remarks by our Management , we will open the floor for a Q&A session . Kindly keep your questions concise and relevant to allow broader participation.

IMFA , India 's leading fully integrated producer of ferro alloys , has demonstrated significant improvement and resilience in Q1 FY '26 despite ongoing market challenges. This performance underscores the Company 's focus on operational excellence, disciplined execution, and long -term value creation.

The financial results and investor presentations are available on our website and have been filed with the stock exchanges for your reference.

Before we begin, I would like to remind you that some of the statements made in today's discussion may be forward -looking in nature. These are based on the Company 's current expectations and are subject to various risks and uncertainty that could cause actual outcomes to differ materially.

Joining us on today's call are, and I welcome Mr. Bijayananda Mohapatra – Whole -Time Director and Chief Operating Officer of the Company ; Mr. Saunak Gupta – Chief Financial Officer; Mr. Binoy Agarwalla – Head (Power Business Unit); Mr. Sandeep B. Narade – Head (Business Mines Unit); Mr. Sureshbabu – Head (Ferro Alloys Business Unit); Mr. M. Venkatesh – Head of Sales and Marketing for the Ferro Alloys Business Unit.

With that, I would now like to hand over the call to Mr. Saunak Gupta – our Chief Financial Officer for the 'Update' on 'Financial Performance and Overview' . Over to you, sir. Thank you.

Saunak Gupta: Thank you, Aryan. Good afternoon, everyone. I welcome all of you to IMFA's Q1 FY '26 earning call. And I thank all of you for joining the call.

Indian Metals & Ferro Alloys Limited
July 31, 2025

Page 3 of 19

The highlights of Q uarter 1 FY '26 Results were :

Our revenue and margins have sequentially improved over the previous quarter, primarily driven by the Ferrochrome price pick -up, along with our cost optimization and operational efficiency improvement initiatives. Our greenfield ferrochrome expansion project in Kalinganagar is on track with our execution plan.

Simultaneously, the underground Sukinda Mines expansion is progressing as per our schedule. The construction work in our 120 KLD ethanol project in Therubali has also commenced in Q1 and we are on track of commissioning the plant by Q4 FY '26 .

Our financial position as of June '25 end continues to be robust with net debt -free balance sheet. Our focus will continue to be on operational efficiency improvement, further cost optimization and closely monitoring capacity expansion, building on the Company 's financial strength and integrated business models .

I will keep it short , and I thank you once again for your valuable time and support. We look forward to your questions and insight. Over to the moderator to open the floor for question -and-answer.

Moderator: Thank you very much. We will now begin with the question -and-answer session

. The first

question comes from the line of Joe Shah from Seven Seas. Please go ahead.

Joe Shah: Binoy, I would like to understand the ratio between renewable energy and captive power, thermal power. From our last conc all, I understand that 25% renewable power enables us to use 75% thermal power. So , 25-75 ratio, is it a ratio of government of India? Or is it a European

ratio? Renewable power versus thermal?

Binoy Agarwalla: No, as per the guidelines from MOP, each year they have kept REC obligation to be met. That is, this year, 25 -26, they have kept 33.01% of REC obligation. But As per our availability of thermal power and renewable energy signed is coming around 75-25 range. There are no guidelines or standards for 75 -25.

Joe Shah: Now, ferrochrome produced by using this kind of power mix, is it called this a green ferrochrome or that has to be produced by totally renewable power? Green ferrochrome, what is the definition? How is it produced?

Binoy Agarwalla: Suppose my ferrochrome production power requirement is 100 Megawatts. I am just giving you an example. And out of which 25% is renewal and 75% is thermal. Then your 25% is your green product. You have used 25% of renewable energy for your product. And your 25% will be accounted for your green product. Not 100%.

Indian Metals & Ferro Alloys Limited

July 31, 2025

Page 4 of 19

Moderator: The next question comes from the line of Gautam Rajesh from Ever flow Partners. Please go ahead.

Gautam Rajesh: I have two questions. My first question was in terms of our cost of production. How does our production cost compare with global peers in China, South Africa and I think maybe Kazakhstan as well? So, how would our cost of production compare among these three countries and the peers there?

Sureshbabu Chigurupalli: We are better compared to the China and many countries. Only a few countries which are faring better than us are like Kazakhstan, that is producing at a lower price than us.

Gautam Rajesh: What about South Africa?

Sureshbabu Chigurupalli: South Africa price is also high because of their present problem of power prices. They are facing the problem of electricity charges.

Gautam Rajesh: Because of their telecom, right?

Sureshbabu Chigurupalli: Electricity charges are hiked by around 950% in the last two decades, recently it has been hiked by 12.5%. And the availability of power is a problem there. That is the main reason for the cost competitiveness problem of South Africa.

Gautam Rajesh: Can you give a rough percentage? How much cheaper are we compared to China? And how much more expensive is Kazakhstan compared to us? Is there a rough sense of percentage you can give us?

Sureshbabu Chigurupalli: At present, I can't be able to give the right picture, but we are better compared to other countries except Kazakh and a few more Asian countries. Like Kazakh and other, Turkey is also a little bit better compared to our prices.

Gautam Rajesh: Would this be better by single digits or double digits, sir?

Sureshbabu Chigurupalli: Single digits?

Saunak Gupta: No, I don't think we will be in a position because of volatility in the market and the price changes as well as FOREX movement. Under the current geopolitical situation, we may not be having the exactness.

Gautam Rajesh: And my next question was, once the new capacity comes on board, how will this change our current cost of production?

Indian Metals & Ferro Alloys Limited

July 31, 2025

Page 5 of 19

Saunak Gupta: When the Kalinganagar project comes into operation, like the first furnace in June '26, and the second furnace in September '26. Obviously, there will be teething issues which may come in during initial stages and it will take time to get scaled up fully.

But at the full scale -up level, the cost will be more or less like the current level, what we are maintaining,

duly adjusted with inflation.

Gautam Rajesh: Inflation?

Saunak Gupta: But we can't comment much on something which will happen after 1.5 years in the current geopolitical situation.

Gautam Rajesh: No, my understanding was these facilities are more equipped. So, would we have more operating leverage or efficiency here? Would we see any improvement in the cost of production post that?

Sureshbabu Chigurupalli: The cost of the production will be in the similar line. Only the logistic advantage we may get at Kalinganagar. Otherwise, the efficiency and operation parameters will be similar in line.

Gautam Rajesh: Is there like a quantum you can give me for logistic advantage?

Sureshbabu Chigurupalli: It will be slightly advantageous. At this moment we can't tell those prices here.

Gautam Rajesh: And sir, not by numbers, are we significantly cheaper than China or just by a hairline?

Sureshbabu Chigurupalli: Yes, substantially, we are at a better price. We are making double digits.

Gautam Rajesh: Substantially, at least.

Moderator: The next question comes from the line of Pranav Jain from Ageless Capital and Finance. Please go ahead.

Pranav Jain: Hi, everyone. Congratulations for the Q1 numbers. And it is great to see the Company come back up with great numbers. My first question is, sir, can you tell us the production numbers for this quarter?

Saunak Gupta: Ferrochrome is 65,929 metric ton and Chrome ore is 1,03,780 metric ton.

Pranav Jain: And sir, what would be our EBITDA cost for this quarter?

Saunak Gupta: It is around 77,500.

Pranav Jain: Can you give the breakup of it as well?

Indian Metals & Ferro Alloys Limited

July 31, 2025

Page 6 of 19

Saunak Gupta: See, these are bit of strategic in nature. Primarily if you see, our overall costs are in line with whatever marginally it has increased from last quarter by about Rs. 500. Driven by a slight higher chrome ore cost and to some extent the repair and maintenance. We had planned repairs and maintenance. For that there is a marginal increase in repair and maintenance costs. These are the two major costs. Otherwise, it is in line with the overall cost structure.

Pranav Jain: Sir, looking at your FY '25 annual report, I was seeing the cost of material, what does the purchasing number include? Is it met coke or is it something else?

Saunak Gupta: Yes, primarily met coke and binders, like molasses.

Pranav Jain: Lastly, just a clarification from my end. In the previous call, it was mentioned that the cost of chrome ore was 7,500 per ton. Is it per ton of ferrochrome or per ton of chrome ore raised?

Saunak Gupta: It is basically on total chrome ore. It is landed chrome ore cost.

Pranav Jain: That we multiply by 2.35 to get the per ton of ferrochrome price, right?

Saunak Gupta: Yes, approximately it is about 2.35 to 2.38. It varies.

Pranav Jain: That's all from my end.

Moderator: The next question comes from the line of Madhur Chaturvedi from MAIQ Capital. Please go ahead.

Madhur Chaturvedi: Congratulations, sir, on a good quarter in a difficult environment, but exceptionally done. Just to clarify, how much ore did we raise this quarter?

Sandeep B. Narade: In Q1, we have raised about 1,04,000 tons of ore.

Madhur Chaturvedi: 1,04,000 tons. And sir, how would that compare to Q1 last year? For the last quarter?

Sandeep B. Narade: It was last quarter, Q4 or Q1 of last FY?

Madhur Chaturvedi: Either one, whichever number you have handy, if you have both.

Sandeep B. Narade: It was about 2,20,000 in Q4 FY 25.

Madhur Chaturvedi: And this is mostly attributable to the monsoon?

Sandeep B. Narade: It is attributable to two or three things. Monsoon is the number one because this year, Monsoon is almost three weeks earlier. Generally, it comes on the 15th of June, but it started in the last

Indian Metals & Ferro Alloys Limited

July 31, 2025

Page 7 of 19

week of May. And, we are having enough stock at our plants and at mines. About more than four months' stock at plants and more than two months' stock at mines.

Madhur Chaturvedi: And is this in anticipation of the Kalinganagar expansion coming on next year?

Sandeep B. Narade: Yes, we will ramp up our production as per requirement in Q3.

Moderator: The next question comes from the line of Vinayak Kariwal from Xponent Tribe. Please go ahead.

Vinayak Kariwal: Sir, I wanted to understand the domestic capacity on the ferrochrome and the chrome ore side.

So, if you could give an overview to us, it would be very helpful. Because as per my understanding, we would be one of the largest private chrome ore miners in the country. Because even Tata has closed one of their Sukinda Mine and they have submitted the documents for giving up the Sukinda Mine. Could you please explain us how the domestic scenario is playing currently?

Sureshbabu Chigurupalli: Last year, it was around 1.325 million tons. And most of the smelters are non-operational. Now also the figure will be less than that. We are forecasting the production levels this year will be lower. So, the capacity utilization is less this year. The similar kind of figures will come around 1.25 to 1.3 million tons.

Vinayak Kariwal: Sir, this you are talking about the ferrochrome or the chrome ore?

Sureshbabu Chigurupalli: Yes, ferrochrome. Chrome ore is around 3.3 million tons of production per annum.

Vinayak Kariwal: And, sir, who would be the biggest chrome ore miner in the country? Let's say, if you talk about the private player, would we be the biggest chrome ore miner private player in the country?

Sureshbabu Chigurupalli: Yes.

Vinayak Kariwal: And the public player who is the biggest is the Odisha Mining Company, if I am not wrong.

Sureshbabu Chigurupalli: Yes, Odisha Mining Corporation.

Vinayak Kariwal: How much chrome ore do they produce in the year?

Sureshbabu Chigurupalli: The OMC figures at present I do not have. But they have published in the Steel Mint. You can see those figures.

Vinayak Kariwal: Sir, my second question was on the line of if you could give us an understanding of the value-added products like the products we do. Do we do any value-added products like a few players are talking about low silicon ferrochrome which is used in special steel? So, are there any value-added products in our product segment?

Indian Metals & Ferro Alloys Limited

July 31, 2025

Page 8 of 19

Sureshbabu Chigurupalli: Yes, we have started to produce these niche products from the month of January. We are producing low-silicon, low-phosphorus products with high-chromium alloy.

Vinayak Kariwal: Sir, could you give us a percentage of the total production, how much are we doing this? How much could it ramp up?

Sureshbabu Chigurupalli: That is a very small amount we are producing, around 15,000 of production we are making for this niche segment. It is around 5% to 6% of our total capacity.

Moderator: The next question comes from the line of Dhviti from Molecule Ventures. Please go ahead.

Dhviti: Sir, I just wanted to know, what is the cost of production for Q1 FY '26 for the quarter?

Saunak Gupta: EBITDA cost is about 77,500 for the quarter.

Dhviti: And are our power costs for the current quarter?

Binoy Agarwalla: Power cost is Rs. 5.27, total cost per unit.

Dhviti: Versus for Q1 FY '25?

Binoy Agarwalla: Q1, '25, it was Rs. 4.97.

Dhviti: And if you could give a breakup of coal and coke cost for the current quarter?

Binoy Agarwalla: You wanted to know the coal cost of Q1 FY '26.

Dhviti: Yes.

Binoy Agarwalla: The coal cost is Rs. 2.68.

Saunak Gupta: More or less, it is in line with our cost. It is in the range of around 2.7. The main thing is that our variable cost is Rs. 4.03 and total cost is Rs. 5.27 for

the quarter.

Dhviti: And sir, I just wanted to know what our current cost of raising ore is and how it is expected to change when we transition to underground mining for both our mines. I wanted to understand how it will add up to our operating cost.

Sandeep B. Narade: Right now, our raising cost is about Rs. 3,000 together of both the mines. And definitely it will increase when we go fully underground. As of now I cannot give the exact number of what the cost will be, but it will increase.

Dhviti: Any percentage if you can?

Indian Metals & Ferro Alloys Limited

July 31, 2025

Page 9 of 19

Sandeep B. Narade: No, actually it depends upon the type of mining we will be doing. And there are many things that we are not sure of right now. That is why I cannot say the exact number.

Saunak Gupta: Dhviti, just to add, the whole expansion plan for the mines will continue to about four to five years. At this point, predicting the overall final cost for raising will be a bit of a challenge. So, that is what Sandeep was mentioning.

Moderator: The next question comes from the line of Jainam Madrecha from KC Capital. Please go ahead.

Jainam Madrecha: My question was on the line of like last 4, 5 years, we have seen the EBITDA per ton going up like massively from the previous historical averages. So, is it just because of the realization growth or we had some operating leverage as well? And on top of that, if it was an operating leverage thing, on what line items are we getting the operating leverage?

Saunak Gupta: Basically, if we see for the last one year, our EBITDA cost has remained in the range of around 77,500 only, plus or minus 500. Primarily, over here, as you know, the input cost like the met coke cost has to a larger extent reduced. At the same time, some of the other operational costs have also gone up to some extent.

It is a mixture of our input cost to some extent coming down, driven by the cost optimization efficiencies that we have done. But at the same time, even for the imports, met coke imports, there is exposure to the forex fluctuation. And you would have seen that for the few years, from around 78 levels, currencies have gone up to 87 levels. That also has an impact on the overall cost to some extent.

There are multiple factors, but more or less we closely monitor our alternative cost opportunities as well as the operating efficiencies to keep the overall cost of EBITDA to around 77,500.

Jainam Madrecha: And if, like, let's say, in future, met coke prices go up, are we going to go back to like earlier EBITDA per ton levels or we would be maintaining this level?

Saunak Gupta: See, it is very difficult to say because it is a factor of many other costs, not just the met coke cost, it is coal cost and the overall impact can only be measured after we see how the trend is coming on all the input cost. It is very difficult to predict for the future.

But currently, we are seeing stability in the cost structure. You have seen over the last two quarters and this quarter also, we have maintained our costs at around 77,500, between 77,000 to 77,800 and 77,900. We are expecting the EBITDA cost to remain in this level currently. But with the current geopolitical volatility, it is very difficult to predict anything for the future.

Jainam Madrecha: And just another question on the industry perspective. Like, how are we seeing the Chinese ferrochrome producers? Are there any new capacities coming up or have they just cut down the production levels? We know the production levels are down. But are there any plans in future
Indian Metals & Ferro Alloys Limited

July 31, 2025

Page 10 of 19

for new capacities? And how is the stainless-steel supply demand over there? Because that would be the end part that would be driving the pricing over there. So, what is the scenario over there?

Saunak Gupta: I will just

give it to Venkatesh for his insights on that.

M. Venkatesh: Going into China, basically, we are not hearing any more big new capacities in ferrochrome coming up. As far as our knowledge goes, nothing is going to come up in recent times.

Going back to the stainless-steel industry, in fact, all industries, like Mr. Saunak said, there is a geopolitical uncertainty. There are so many talks of tariffs, you know, which are keeping the entire industry on tenterhooks. So, currently, the demand also for stainless steel is weak.

And traditionally, if you look at this quarter, which is a monsoon month, both in China and in India, where the demand comes down a little bit, and in Europe, there is a summer vacation. So, from the tariff situation, looking at the economies of various countries on tenterhooks, the demand or the downstream demand for stainless steel is quite challenging at this moment.

Jainam Madrecha: But how is the supply/demand currently like? Are we seeing too much oversupply in China market?

M. Venkatesh: I will just put it in another way to answer your question. Many of us have read that there has been a lot of cutbacks in production in South Africa. I am talking about ferrochrome production.

We see a little bit of reduction of ferrochrome production even in India. You know, when we see these cutbacks, and as I said, the lower downstream demand for stainless steel, this has kind of countered each other.

Otherwise, if the demand was good and there were cutbacks, obviously the prices would have jumped. So, these cutbacks with demand and the weakness in downstream demand have kind of balanced the industries as of now.

Jainam Madrecha: And just on the last part, like ex-China, there are no new capacities coming in. And is it the case that China would be taking in all the ferrochrome for captive use only or they would be exporting their ferrochromes as well?

M. Venkatesh: As far as China government policy goes, they restrict the export. There is an export tax on ferrochrome. Their idea is to be kind of self-sufficient or have ferrochrome capacity. But the purpose of the government is to discourage exports. There is an 40% export duty on ferrochrome in China. So, there is no question of any ferrochrome being exported out of China.

Moderator: The next question comes from the line of Joe Shah from Seven Seas. Please go ahead.

Joe Shah: Venkatesh, I think you will be able to answer my question in a better way. Now, for the first time in history of South Africa, Glencore and Samancor, they asked South African government
Indian Metals & Ferro Alloys Limited

July 31, 2025

Page 11 of 19

to levy \$100 per ton export tax on Chrome or its export. This has happened for the first time. It will help South African government to raise the revenue, very important, significant, \$3 billion, \$4 billion, which is very important for them.

It will lead to the higher cost of a per ton for China, by say, Rs. 20,000 per ton of ferrochrome.

And then, all the prices of ferrochrome everywhere will go up. And it would be a very good windfall for India. So, now, what is your take about this export tax in South Africa? This \$100 is suggested by Glencore and Samancor. Although this Mineral Council, they were happy to be opposing this, and South African government is not listening to those Mineral Council things. Those people just want to make money from export of ore without doing any value addition. So, now I want your valued views, please.

M. Venkatesh: Thank you very much for asking the question. I think this was also addressed by our MD during the AGM. It is the same view as we had heard of this imposition or planned imposition of export duty around five years back. I think it was just before COVID. And somehow it fizzled out.

On a plain basis, yes, if there is an export tax, the cost will go up and all that. What you said is true.

But let us wait and see actually what the numbers translate. As you know, and you have rightly said, there is a lot of dependency on South African ore in China. You know, most of the ore comes in from South Africa .

Let's wait and see. It will be too early to speculate right now what is going to be that impact because we are not just talking of South African government. The Chinese also have a lot of investments in South Africa. You must have heard about that.

We don't know exactly what kind of pressures would come on a governmental level also . So, let's wait for the concrete announcement , and then I think let's take it forward.

Joe Shah: Venkat esh, my point is for the first time, not even during covid time also, this Glencore and Samancor came out with this proposal. This is the first time these two companies, giant companies in South Africa, they will come out with this proposal to put export tax .

As you know, they are heavyweight in South Africa. And South African government, as we know in the past also, they have passed a resolution to impose a tax on this ferrochrome, this chrome ore export.

Now, this is the first time these major chrome ore companies have come out with this suggestion to impose tax . So, then it makes a big difference between the situation in the past and the situation at present.

My take is, now South Africa is inclined more towards the imposing of tax. And then that would change the whole dynamic of ferrochrome price in India and internationally. Okay, we will have to wait for that. But it should not take more than six months' time .

Indian Metals & Ferro Alloys Limited

July 31, 2025

Page 12 of 19

M. Venkatesh: I agree with the change in dynamics but let us both wait for the announcements.

Joe Shah: Yes, definitely. Sandeep, I have some questions for you. In Q1 FY '26 , this chrom e ore raising has gone down by around 50% say, 1, 03,000 tons. If we compare it with the Q1 of FY '2 5, monsoon quarters , in FY '2 5, it was 2,02,000 tons. In Q4, FY '2 5, it was 2 ,20,000 tons.

Sandeep B. Narade: Yes.

Joe Shah: This time, monsoon has arrived three weeks early, but it cannot de duct into 50% reduction in chrom e ore raising. So, what is the main reason for this drastic reduction?

Sandeep B. Narade: That is what I am saying. Actually, in Q4 of last year, we have produced more than our budget. And we build the stock like more than 4 -month stock in the plants and more than 2 -month stock in the mines. In the last year, as you see, the monsoon arrived quite late. It was not on 15th of June. And this year, the monsoon arrived at the end of the third week , in May itself . So, that was the major reason .

What we are producing and disp atching to the plants are as per the requirement of the plants and as per our storage capacity in the plants . We are having that capacity right now. And as I said we will ramp up production in Q3 and Q4 because from the open cast, we are capable enough to ramp up production .

Joe Shah: One more question. We have been discussing critical minerals , and the exploration of critical minerals . I want to understand it in more detail. The Sukinda Valley, our mining area, is said to have a lot of critical minerals after the geological survey . In case IMFA wants to ex tract these critical minerals in our own mining area, do we have to take permission of the O disha government that we can export on our own?

Sandeep B. Narade: In Sukinda Valley, there is nothing like the presence of critical minerals. There may be some previous studies, like Nickel and that number is quite low in percentage, which is not minable also. And if there is presence of critical mineral in our own l ease, even then we will have to take permission . We can do exploration without getting permission , but after that for mining and all those things, we will have to take permission because our lease is for minin

g of chromite ore only.

Moderator: The next question comes from the line of Naman Bhansali from Nine Rivers Capital . Please go ahead.

Naman Bhansali: I have one question that in the annual report you have mentioned that incremental 40% of the capacity that is coming up would be targeted towards the domestic player consumption . So, could you help us understand the dynamics of the stainless -steel market in India in terms of the current demand/supply situations and how much the stainless -steel market is growing at in terms of the demand requirement?

Indian Metals & Ferro Alloys Limited

July 31, 2025

Page 13 of 19

I am asking this given that our business mix is currently almost 90% of exports and that can shift towards 70% to 75% exports after this incremental 40% is used for domestic consumption . So, how should we think about the impact on realizations or the EBITDA margins going forward?

M. Venkatesh: Stainless -steel in India is growing at a healthy rate of around 6% on C AGR growth. What we

are witnessing is there is a slight reduction in ferrochrome production in India , and there is a good domestic requirement . So, our focus going ahead with the expansion is to focus on the domestic market and cater to the domestic market. Of course, the exports will continue.

Your second question was pertaining to the realization part.

Naman Bhansali: The realization, ye s.

M. Venkatesh: Whether you look at domestic or export, there is a slight lead or a lag. But finally, both settle at similar price levels.

Moderator: The next question comes from the line of Akhile sh B from an individual investor. Please go ahead.

Akhilesh B.: I was saying in a previous answer, you mentioned that 5 % to 6% of the total sales can be considered as value -added products . So, I wanted to know, can this number increase as a percentage of our sales? What is the kind of premium on realization we get for such products assuming these are higher margin products compared to a regular grid?

M. Venkatesh : When you look at what we call the niche gr ade as Mr. Sureshbabu explained , the market itself is limited and there are already entrenched players . Going up above 5% would be kind of difficult at this stage. We are still exploring if this can go up.

This product has various categories . So, the premium could range all the way from Rs. 4,000 a ton till about Rs. 20,000 a ton.

Akhilesh B.: You had mentioned that our EBITDA per ton has been going up also because we have done some cost efficiency internally in our Company . So, I wanted to know whether there is more scope for more efficiency in our internal operations for further gains in EBITDA.

Saunak Gupta: Yes. There is more scope. We are just evaluating it out internally. And that is a continuous process for us . So, all the areas related to the conversion process from Chrom e ore to Ferrochrome, the whole chain, we are evaluating now on an individual basis.

Last financial year, we implemented the ERP Oracle Fusion in our system. That is a very high - end ERP system where we can also get a lot of visibility. And that also through digital operation efficiency, further improvement initiatives are being taken . Whatever scope we have on the cost optimization and improving on the operational efficiency , we take .

Indian Metals & Ferro Alloys Limited

July 31, 2025

Page 14 of 19

That is a continuous process which I said in the beginning of the initial statement. And that is also helping us in driving . There are a lot of actions we are now focusing on to keep ourselves more cost -efficient. When the overall price actually drops in the market, we will see that our margins have been better off compared to our peers . So, that is the advantage we are having.

Akhilesh B .: From your position, can you see 1% to 2% possibility through efficiency gains in the coming years ? If you can, quantify what

kind of potential you see in these activities .

Saunak Gupta: In this, yes, we can . We are trying to identify currently how much we can improve upon. And that is the main reason if you see that overall , we have maintained our cost quite efficiently within 77,500.

But as I said, we do not actually make too much estimation during one or two quarters . It will be very difficult to say how much the improvement will be in one or two years down the line.

But we are focused on that way , and actually a lot of initiatives have been taken , and we are expecting a lot of positives from that.

Currently, it will be very difficult to say whether it will be 1% or 2% or more or less. But definitely, a continuous mechanism has been put in to ensure that we make a concerted effort to improve our operating efficiency and find alternative sourcing , I would say, opportunities in our input cost to keep our cost down.

Akhilesh B .: And, sir, one last question. We are shifting from open cast completely to underground mining in Sukinda . What was the trigger to do this because it is going to cost more than it did in open cast? Was this some regulatory reason that we had to shift or what was the reason to completely phase out open cast and get into underground?

Sandeep B. Narade: Basically , we do the open cast mining when it is possible to do it, technically. It depends upon the depth of the o re body. Also, it depends upon the o re from which depth we can get . That is the basic reason .

We have done the open cast mining till now in Band 1 and then we started backfilli ng, now in Band 2 , we are doing the open cast mining. That will be possible for the next 4 to 5 years . After that we have to go for the underground only. Otherwise, there will be no ore available for our plants. That is the basic reason. From the technical mining point of view, we have to go for underground.

Moderator: The next question comes from the line of Manan Vandur from Wallfort PMS . Please go ahead.

Manan Vandur: The first question is what is the cost of chrome ore and coke per ton in this quarter?

Saunak Gupta: we had already mentioned that the chrome ore cost is approximately around 8,400 odd for the quarter.

Page 15 of 19

Manan Vandur: And coke cost, sir?

Saunak Gupta: And coke, a nyway, we had mentioned that in our total 77, 500 EBITDA cost, the coke is approximately comes to 14,500.

Manan Vandur: Okay, 14,500. So, sir, from Q1 till July end, are we saying that coke cost has increased or it has decreased since that time ?

Saunak Gupta: The overall market cost has gone down and in our EBITDA cost also, to some extent, it has decreased.

Manan Vandur: Currently, the coke cost would be, you are saying, less than 14, 500.

Saunak Gupta: When? In future?

Manan Vandur: Yes, like current prices and future prices.

Saunak Gupta: More or less, the prices whatever it is, we have got the benefit of it. At least for this quarter, we expect the prices to be in the same line . But again, there is a lot of forex volatility . We have to see how the landed cost ends up in Quarter 2. But currently the met coke will remain in the similar range.

Manan Vandur: Out of the total Rs. 21 crores of other income is the Rs. 7 crores of Utkal C also included?

Saunak Gupta: No. Currently, we are having about Rs. 915 crores of total amount of surplus, including internal accruals . The return on the investment adds up to that amount is approximately Rs. 21 crores.

Moderator: The next question comes from the line of Joe Shah from Seven Seas. Please go ahead.

Joe Shah: Bijayananda , now I think whatever is happening with Tata Steel is very important for us. Number one, they surrendered this very important Sukinda Mine, and they got a notice of Rs. 1,902 crores from the Orissa government to pay the penalty for t

he raising of less ore .

Now they are continuing with the Misrilal and Mohanty Mines , where also they have to pay the same 95% premium . There also Tata Steel entirely becoming unviable. And I understand that the ferrochrome production has gone down from 50,000 tons per month to just 15,000 tons. And that also they are thinking of getting out of ferrochrome business.

That will give us very good opportunities in two ways. Number one, we will get some asset buying opportunities. Our management has been saying that we look forward to inorganic growth.

Indian Metals & Ferro Alloys Limited
July 31, 2025

Page 16 of 19

So we will get asset inorganic growth opportunities . And number two , the Indian domestic market, when it is improving, it has started improving and becoming bigger. In fact, we will be probably the only supplier in India . So, maybe we would be getting more of a price premium in the Indian market . That also we will be able to see . So, I would like to know your views on this , Bijayananda, yes.

Bijayananda Mohapatra: They cannot go for further open cast mining and have to go for only underground. That is why they are surrendering. So, we cannot go for that one. We don't know for the time being and if any opportunity comes, we will see and report.

Joe Shah: No, but they will reduce the ferrochrome production from 50,000 tons to just 15,000 tons. 35,000 tons per month they will see the reduction. So, that is giving us good strength going forward.

Bijayananda Mohapatra: Yes, that is what, whatever our capacity is, we are utilizing to the maximum. And we are adding Kalinganagar, but it will take time. That is why Sureshbabu and Venkatesh told that we are focusing on Indian market.

Moderator: The last question for the day comes from the line of Vinit Thakur from Plus91 . Please go ahead.

Vinit Thakur: Sir, could you throw some light on the strategic rationale behind IMFA's acquisition of Metallix Aviation ? And how do you see it complementing your existing business operations?

Saunak Gupta: On the Metallix Aviation , which is a 100% subsidiary, we have incorporated. It is basically IMFA has certain helicopters ,which is primarily used for its own business purposes to go to the mines or the Therubali plant .

To keep the balance sheet core assets in the IMFA book, the ones which are not directly linked to the IMFA business, we are restructuring it and moving it to the separate Company . That is the overall rationale behind it. Now we are waiting for the DGCA approval . We are making an application to DGCA. And it takes about 6 months to one year to get the final approval to move the assets.

Moderator: The next question comes from the line of Vinayak Kariwal from Xponent Tribe . Please go ahead.

Vinayak Kariwal: Sir, I wanted to understand, we have a stainless -steel capacity in the domestic market of 7.5 million to 8 million tons. And let's say if 60 % or 80% of that is utilized , so 5 million tons of stainless steel is being produced in the country every year. So, I just wanted to understand, do we have enough ferrochrome capacity in the country so that we could fulfill the stainless -steel

production demand, and how much of this capacity is actually being used in the domestic market versus being exported?

Indian Metals & Ferro Alloys Limited

July 31, 2025

Page 17 of 19

M. Venkatesh: You are right in terms of the capacity, stainless -steel capacity in India, about 7 million tons. And the actual production is around 4 million tons. You know, the requirement of ferrochrome would also depend on the scrap usage by these stainless -steel mills.

I will just address it in a different manner. When you look at India's ferrochrome production, like Mr. Sureshbabu had mentioned a little earlier, hovering at around 1.3 million tons , and roughly about half of the ferrochrome is consumed domestically a

nd half is exported .

In case the stainless -steel capacity utilization improves , there is a strong demand for stainless -steel. Obviously, then what you see is the exports are coming down and more and more ferrochrome gets consumed domestically .

To address it in another manner, we have the capacity to meet the requirements of the domestic stainless -steel manufacturers.

Vinayak Kariwal: That is what my question is. Because looking at the dynamics, I think we have a lot of ferrochrome being imported in the country for fulfilling our stainless -steel production . Our capacity, which is 90% being exported , so, in that dynamics, I guess we have a lot bigger opportunity on the domestic side if we see going further , because also one of the participants mentioned lots of ferrochrome capacities are being closed down in the country and we being the largest producer of chrome ore and also one of the largest in ferrochrome. So, how do you see the domestic and export share going forward, like two, three years down the line?

M. Venkatesh : To address, there was one, the first point that you made that ferrochrome getting imported into the country , there is very limited ferrochrome which gets imported into our country. There could be certain grades of ferrochrome which may come in, depending on the requirement for that manufacturing, that grade of stainless steel . There could be some imports coming in, but there are no big imports which come in.

And to address the second question, we have already addressed it, saying that once the expansion comes up, our focus will be more on the domestic market . So, I think that addresses your question .

Vinayak Kariwal: Could you give a share of revenue, if you have in mind, where could the dynamics go from there?

M. Venkatesh : It is a very evolving and dynamic market . Let the expansion come in, let's do the domestic , and then we can really work out on the share of export versus domestic. But for sure, the direction is going to be more domestic, less of exports as far as the expansion comes . So, overall, when we look at the ratio of 90 -10, that is going to change drastically.

Vinayak Kariwal: And sir, one last question on the prices of chrome ore . So, I was tracking and there was the last quarter the chrome ore prices which we mentioned were 7,500. And this quarter , we are

Indian Metals & Ferro Alloys Limited

July 31, 2025

Page 18 of 19

mentioning it as 8 ,400. So, how does this fluctuation come in, in the chrome ore price because that is the cap tive thing which we are raising.

Saunak Gupta: On the chrome ore price, compared to the last quarter and this quarter, as we said, due to the early coming of the monsoon, the production was lower. But there were some semi -variable costs also in that, which is usually loaded to the overall cost.

That is why the average cost for the quarter has slightly increased. But one should always look into the total annual value of the chrome ore prices to get an overall sense of how the price is moving.

Vinayak Kariwal: You are saying that they are range bound normally, and they don't fluctuate much because of any other factor which we don't know.

Saunak Gupta: No, chrome ore actually would be primarily driven by the average production cost and whatever decline work cost we have taken into account. But more or less it remains in line with our normal range. If the production is slightly lower , then obviously the average cost tends to be slightly higher. If production is higher, like in Quarter 4 , the production was quite high , so the cost was slightly lower. But more or less, it is in the range of Rs. 8,000 to Rs. 9,000 in the last year you have noticed.

Vinayak Kariwal: Thanks for the clarification. That helps a lot.

Moderator: The next question comes from the line of Gautam Rajesh from Everflow Partners. Please go ahead.

Gautam Rajesh:

Sir, one follow-up question. Like, Tata is shutting down or like wanting to close their mines you mentioned because they won't go underground and all that. So, what gives us the surety that when we are spending this much money on going underground with our mines that the cost won't completely go up, that all our cost advantages go up? Because a huge Company like Tata, which would have scaled up and had Capex of a greater extent, is also shutting down. What is the idea behind that?

Sandeep B. Narade: We have to plan early for going underground. Like we are having one underground mine, the Mahagiri one. We started quite early. Now, we are heading for 6 lakh tons in the next one or two years.

Same with our Sukinda Mine. Now we are running an open cast and simultaneously we are going for the underground. So, for more than one year we have started on this underground project, and we are doing all our development for decline, ventilation & main shafts. So, this is how we have to do.

Indian Metals & Ferro Alloys Limited
July 31, 2025

Page 19 of 19

Gautam Rajesh: And, sir, also that I just want to clarify, we do not, India as a country, do not import any ferrochrome, right?

M. Venkatesh: Our imports are minimal, if there are requirements of certain special grades of stainless-steel, and India has a particular standard grade of ferrochrome being manufactured, then there is some import. Not like regular imports, that is what I meant to say.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. Abhishek Savant from Veritas Reputation. Thank you. And over to you, sir.

Saunak Gupta: Before Abhishek, I want to thank all of you who have congratulated us on our results. And I also want to thank all of you for your very insightful questions and participating today. So, thanks for it. And over to Abhishek.

Abhishek Savant: Thank you, Saunak. And thank you to everyone who joined us today and participated in the discussion. We appreciate your questions and continued interest in IMFA. As always, we remain committed to transparent communication and delivering long-term value to all our stakeholders. In closing, on behalf of the Board of Directors and Management, we thank you all for your participation in this call today. IMFA remains focused on operational excellence, financial prudence, and long-term value creation. Should you have any further questions, please feel free to reach out to us. Look forward to engaging with you again in our future updates. Have a good evening and stay safe.

Moderator: Thank you. On behalf of Indian Metals & Ferro Alloys and Veritas Reputation, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

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Stock Symbol & Series: IMFA, EQ
Sub : Earnings Call Transcr ipts
Dear Sir/ Madam, 14th November 2025
The Deputy General Manager
(Corporate Services)
BSE Limited
Floor 25, P.J. Towers
Dalal Street, Fort
Mumbai-400001
Stock Code: 533047
Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, the transcript of the audio
call recording of the Company's Investor / Analyst Call held on
7th November 2025 on the Unaudited Standalone and Consolidated
Financial Results of the Company for the quarter and half year ended
3Qth Septembe r 2025 and strategic plans going ahead is attached
herewith.
You are requested to take the same on record.
Thanking you
Yours faithfully
For IN IAN METALS & FERRO ALLOYS LTD
(Smru i Ranjan Ray)
Comp ny Secretary & Compliance Officer
Membership No: F4001
Encl : As above.

Page 1 of 26

"Indian Metals & Ferro Alloys Limited Q2 FY '26
Earnings Conference Call"

November 07, 2025

MANAGEMENT : MR. SUBHRAKANT PANDA – MANAGING DIRECTOR
MR. BIJAYANANDA MOHAPATRA – WHOLE TIME
DIRECTOR & CHIEF OPERATING OFFICER
MR. SAUNAK GUPTA – CHIEF FINANCIAL OFFICER

MR. BINOY AGARWALLA – HEAD (POWER BUSINESS UNIT)
MR. SANDEEP B. NARADE – HEAD (MINES BUSINESS UNIT)
MR. SURESHBABU CHIGURUPALLI – HEAD (FERRO ALLOYS BUSINESS UNIT)
MODERATOR : MR. ARYAN RANA – VERITAS REPUTATION PRIVATE LIMITED

Indian Metals & Ferro Alloys Limited
November 07, 2025

Page 2 of 26

Moderator : Ladies and gentlemen , good day and welcome to the Earnings Conference Call of Indian Metals and Ferro Alloys Limited, arranged by Veritas Reputation.

At this moment, all participants' lines are in listen -only mode. Later, we will conduct a question - and-answer session. At that time, if you wish to ask a question, press '*' and '1' on your touch tone keypad. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aryan Rana from Veritas Reputation. Thank you and over to you sir .

Aryan Rana: Thank you, Sarthak . Good afternoon, everyone , and very warm welcome to the Indian Metals & Ferro Alloys Limited 's Analyst Conference Call to discuss the Company's Financial Performance for the 2nd Quarter ended and half -year ended September 30, 2025. On behalf of IMFA, I would like to thank all participants, analysts, investors and stakeholders for joining us this afternoon.

Before we begin, please note that some statements made during this call may be forward -looking in nature. These statements are based on current expectations, estimates and projections and actual results may differ materially. The company undertakes no obligation to publicly update or revise any forward -looking statements, whether due to future developments or otherwise.

We have with us today, Mr. Subhrakant Panda – Managing Director ; Mr. Bijayananda Mohapatra – Whole -Time Director and COO; Mr. Saunak Gupta – Chief Financial Officer; Mr. Binoy Agarwalla – Head (Power Business Unit); Mr. Sandeep Narade – Head (Mines Business Unit); Last but not the least, Captain Sureshbabu – Head (Ferro Alloys Business Unit).

We will begin with the opening remarks from the Managing Director and CFO followed by Q&A session. I now invite Mr. Subhrakant Panda – our MD, to share his perspective on the quarter and key developments. Mr. Subhrakant Panda , over to you, sir. Thank you so much.

Subhrakant Panda: Thank you Aryan. Ladies and gentlemen, I would like to welcome all of you to IMFA's Q2 FY '26 Earnings Call . As you heard, we have the full Management Team available and given the important development of a few days ago, I am also part of this call to give you an update on the strategic directions of the company going ahead.

Before getting into the financial performance, let me talk about the important milestone in our growth journey, which we announced on the 4th of November pertaining to the asset transfer agreement we have signed with Tata Steel for the ferrochrome plant at Kalinganagar. This is a strategic move which will reshape IMFA's scale, market position, and in fact, it fast -tracks our growth plans significantly and enables us to deliver value on a consistent and sustainable basis.

Indian Metals & Ferro Alloys Limited
November 07, 2025

Page 3 of 26

As I mentioned, we have signed the definitive agreement on the 4th of November. This is for 99 MVA furnace capacity, which is four furnaces totaling 66 MVA which are complete and ready to operate and can produce about 100,000 tons of ferrochrome and a 33 MV A furnace which is under construction and when complete can produce about 50,000 tons of ferrochrome. This is spread out over 115 acres of land in Kalinganagar. We have agreed to a base purchase consideration of Rs. 610 crores.

And speaking to the value of the strength of the balance sheet, this is going to be entirely funded from internal accruals. And of course, as we have clarified that all the ore for our existing capacity for our ongoing greenfield expansion as well as this acquisition is going to be met from our captive chrome ore mines.

This is a significant acquisition because combined with our existing capacity of 284,000 tons, 100,000 tons greenfield capacity and acquisition being 150,000 tons, it will take us beyond the half a million -to

n mark, making us India's largest producer of ferrochrome and the sixth largest producer globally.

Significant operational synergies because the unit we are acquiring is very close to our greenfield

project site. Besides, there are logistics efficiencies as well because it is located closer to our chrome ore mines as well as our customer base. And if you look at the export market, then to Paradip port.

So, all in all, I think it is something, which is a game changer for IMFA and subject to certain conditions and requisite approvals we expect to close it within three months. In fact, both sides are aligned to expedite it and we would try to close it within the calendar year, if possible. Now, let me turn a little bit to our operational and financial performance. Of course, Saunak will go deeper into the details, but I will just provide a broad overview.

If I go back and take a look at the start of H2 of the previous Financial Year FY '25, that is when the commodities globally and including ferrochrome were in a lot of turmoil due to various geopolitical developments and tariff-related uncertainty and ferrochrome prices had come down sharply in the 4 quarters since then, which is Q3 and Q4 of FY '25 and Q1 and now Q2 of FY '26, we have seen a steady improvement in prices each subsequent quarter and that happened in Q2 as well.

But given that a lot of our tonnage is priced on a quarterly basis and even where there is monthly pricing, the real improvement came towards the end of Q2, we have not fully benefited from prices, but that will change in the ongoing Q3 of FY '26 because you would be aware of the increase in the benchmark price.

Indian Metals & Ferro Alloys Limited
November 07, 2025

Page 4 of 26

You are also aware that spot prices have moved up substantially. And all of this is happening on the back of higher chrome ore costs for non-integrated producers and because of turmoil in South Africa, there have been sharp production cutbacks and because of all of this, we not only expect the ongoing Q3 FY '26 to be noticeably better, but we expect this trend to continue into Q4 as well.

And as you know, we don't really go beyond a couple of quarters in terms of predicting or giving any directionality to prices but suffice it to say I think the demand environment remains strong. India's own stainless-steel production and consumption are growing rapidly given the country's economic growth and the focus on infrastructure development globally as well we see positive signs. So, I remain sanguine about the future without giving any specific guidance in that regard but suffice it to say that I remain confident about the future.

And what also gives me a lot of confidence is IMFA's fully integrated business model spanning mining, smelting and captive power generation, which continues to provide stability and makes us a cost competitive producer on a global scale and of course you are aware that we are doing a pivot towards renewable energy with 110 Megawatts of hybrid renewable energy being signed up to come online next year which will power our growth plans.

We remain focused on responsible growth, on operational excellence and most importantly value creation for all stakeholders. And with this, let me invite Saunak Gupta, our CFO, to take you through the detailed financial performance. Of course, what I look forward to is the Q&A thereafter, which will enable us to provide further clarity where needed. Thank you.

Saunak Gupta: Thank you, and good afternoon to everyone.

On Q2 performance, we have already shared our Regulation 33 Financials. So, everybody would have taken note of it, but going by what our MD said, we just wanted to highlight that we are seeing increasing profitability trend in last 3 quarters. So, as you may note, our PAT in Q4 was Rs. 47.07 crores. In Q1, it improved

to Rs. 91.48 crores with the increase in the average realization price to about Rs. 95,000, and this quarter it has further improved by 8% to Rs. 98.77 crores, which is with average realization of Rs. 1,01,000.

And our EBITDA also is a healthy 19.3%, more or less in the similar range we were in Q1, and in Q3 we are expecting to be better because the price realization benefit is about couple of months lag to realize it out. So, that is on the summarized viewpoint.

Since there were some queries related to last year's Quarter 2 EBITDA versus this year's Quarter 2 EBITDA changes, we should be also looking into sequential performances. As you know, the prices in the international market actually declined in H2 last year, and it is in the recovery mode. And in Quarter 2 of last year, it was in a very high level or peak of around 96, 97 USC. So, currently, the market is in increasing trend.

Indian Metals & Ferro Alloys Limited
November 07, 2025

Page 5 of 26

On the EBITDA movement, primarily you would have seen that last year, Quarter 2, we were at Rs. 170 crores, and this Quarter 2 is Rs. 138 crores, primarily because of change in the renewable power obligations. There is a change in law. Since you know that we have a coal-based captive power plant, we have certain conditions to be met on the renewable power usage.

Based on it, we have purchased RPO obligation -based certificates amounting to Rs. 16 crores during the quarter. It is a one -time impact; the differential impact is about Rs. 14 crores for that, and that is to actually align with whatever the change in law.

And the second one is that almost 90% to 91% of our business is export -oriented, and we invoice in USD, and with the dollar fluctuations, we have a hedging policy to de -risk the future export sales against Forex fluctuation. So , in this quarter, we booked a notional cost of Rs. 14 crores on the mark -to-market accounting as per accounting standard of India. This is higher as the mark -to-market is done on the closing rate of the quarter, that is 30th September, the Forex rate was 88.79, versus on 30th June, which was 85.54.

That is why there was a one -time impact here, which is a notional cost. However, if the rupee appreciates in future, we will get gain on MTM . So, this is purely an accounting impact. The equivalent benefit of this is Rs. 16 crores embedded in revenue. And revenue is higher because of Rs. 16 crores of forex gain we have made during this quarter.

Overall, if you see, it is not having any impact. But when you see the overhead part, there is a jump of about Rs. 14 crores due to accounting . So, these are the two important items.

And the third one is that usual increase in the logistics cost of about Rs. 2 crores and other overheads of another Rs. 2 crores. If you take this into impact, our current EBITDA would go up to Rs. 170 crores plus, which is similar to last year. If you take out these outliers in Q3, we are expecting to do much better than Q2. But nonetheless, our Q2 overall EBITDA was at 19.3%, which is healthier.

That's all from my side. Now, I open it up for everyone for the questions, anything they specifically have.

Moderator: Thank you very much sir. We will now begin the question -and-answer session. Our first question is from the line of Parthiv Jhonsa from Anand Rathi. Please go-ahead sir.

Parthiv Jhonsa: Thanks for the opportunity and congratulations on our strategic acquisition we all were waiting for. So, my first question is pertaining to the synergies from the acquisition. I think in the opening remark, you mentioned that you will have a lot of synergies right from mine to the location and everything and all the other synergies. Is it possible to quantify once you acquire the asset , what kind of synergies on a per ton basis are you expecting? Is it possible to quantify?

Indian Metals & Ferro Alloys Limited

November 07

, 2025

Page 6 of 26

Subhrakant Panda: Parthiv, first of all, thank you for your kind words. And let me take a stab at quantifying the synergies . As you know, our current operations are in Choudwar and Therubali and Choudwar , we have the advantage of the power plant being located right there as well as being close to the chrome ore mines , whereas in Therubali, we have to transport the ore a substantial distance . So, we have a logistical disadvantage to the extent of about maybe Rs. 4,000 a ton or so as compared to Choudwar .

Now, Kalinganagar is more like Choudwar, being close to the mines and therefore every ton that we produce in Kalinganagar is as competitive as Choudwar . Now, in terms of, when we look at the weighted average cost of production and therefore the resultant EBITDA, etc., the more we produce towards closer to the mines, the better we are. And that will further go up at some point in time when we start supplanting Therubali tonnage by producing that in Kalinganagar . That is where there will be further advantages.

I hope I was able to clarify the point, which is that as our production goes up from 260,000 tons to 400,000 in FY '27 and further to 475,000 tons in FY '28 and beyond, it is being produced in a more friendly, logistically friendly location.

Parthiv Jhonsa: That actually is quite helpful sir. My second question is , I believe you said that you are trying your level best to complete this acquisition by the end of this particular calendar year. Is it possible to quantify if this facility comes up, say, for example, in Q4, what kind of additional or incremental volumes can we expect on a quarterly basis? As in, is it a facility like operational as on date and can you ramp it up immediately?

Subhrakant Panda: So, a couple of questions. I just want to add one more point about synergies, which is that there will be some outbound logistical advantages as well. I mean, in the sense that when any tonnages dispatched from Therubali to the domestic market has a higher freight element, whereas Therubali is quite ideally located from a Vizag port point of view for particularly containerized exports. So, we will be sort of reassigning our customer base a little bit and a lot of the domestic consumption or supplies will be out of Kalinganagar. So, there will be some outbound logistical advantages as well, which could be probably about Rs. 1,000 to Rs. 1,500 a ton is our estimate. Now, as far as the closing date is concerned, we are certainly, both sides, as I said, are aligned to close this as quickly as possible. And in terms of the unit as on date, two out of the four furnaces are operating, but not at full load. And we will, I mean, of course, I think in the process of handing over and getting the necessary permissions, there will be disruption for some time, probably two to three weeks is what we are estimating, but thereafter, we should be able to ramp

it up reasonably quickly .

But we are not taking, as an abundant caution, we are not taking any tonnage in Q4 of the ongoing fiscal. But even if it were to come in, honestly, it would not be something very significant. So, the real advantage of it would come from FY '27.

Indian Metals & Ferro Alloys Limited

November 07, 2025

Page 7 of 26

Now, having said that, when we ramp up and operate the four furnaces, we will have to figure out how the situation plays out. But we are fairly confident about achieving, let's say, between 70,000 to 80,000 tons of output in FY '27 from this unit with an upside potential to that number. But I am more comfortable indicating something like 70,000 to 80,000 tons in FY '27.

Parthiv Jhonsa: That is actually quite helpful sir. Thanks for the answer, sir. My next question is pertaining to the ferro prices as on date. I believe the prices are up. And like sir said that you usually get the benefit one quarter lag. So, is it possible tha

t this 19.3% kind of an EBITDA margin, there is a substantial upside and you can achieve what highs you are able to achieve a couple of quarters back , about 24 %, 25% kind of a range?

Subhrakant Panda: We will certainly achieve more than Q2 EBITDA in Q3, partly because we will not have the one-time outliers, as Saunak put it. But even otherwise, purely on a realization basis, there is a substantial up move.

As you know, domestic prices are ranging in between Rs. 1,15,000 to Rs. 1,18,000 a ton. And internationally, excluding China, it is more than a dollar, so about \$1.02 to \$1.04. And even in China, the monthly prices that they have declared are significantly higher than two or three quarters ago .

So, we will see a definite improvement in the EBITDA margins for Q3. And we are comfortable at this point in time, indicating that we expect that to continue in Q4 as well, with the usual caveat that barring any exceptional circumstances.

Parthiv Jhonsa: That's helpful, sir . So, is it possible to let us know the production and the ore raised during Q2?

Subhrakant Panda: Yes, I will ask Saunak to sort of give that number. I know that in our press release, those numbers were not there, but I think it was a very content-heavy press release, focusing primarily on the acquisition, but we will most certainly share the output numbers. Saunak , would you like to just mention that, please?

Saunak Gupta: Yes. So, for Q2, our production of ferrochrome was 65,671 metric ton. And chrome ore production was 1,69,615 metric ton . Ferrochrome sales improved in this quarter, and it was 69,765 metric ton . These were the production and sales figures . And on the power side, that's the captive power, it was 309.41 million units .

Parthiv Jhonsa: I believe, even in last quarter con call , you had mentioned that you have ample of inventory of ore, and also this time, I believe you have done almost over 1,70,000 . So, it is fair to assume that once the acquisition facility comes up on screen, you will have an ample of ore on hand to immediately take care, captive ore on hand to take care of that, basically?

Indian Metals & Ferro Alloys Limited

November 07, 2025

Page 8 of 26

Subhrakant Panda: Parthiv , let me answer that. You know, I think you were there on the CNBC call yesterday also . I want to clarify, so as to remove any iota of confusion or doubt in this regard, that we do not intend to buy any ore going ahead, and we will be meeting our requirement both for the existing capacity plus greenfield plus acquisition from our captive mine s.

And in that regard, in fact, if I am not mistaken, three, four quarters ago, there had been some questions relating to the high level of ore that we were carrying as stock, and we were actually building it up. Because as you know that for quite a while, we had been around that 6 lakh tons of ore raising per annum. And in FY '25, we crossed 7 lakh tons for the first time. And in FY '26, we are now with the acquisition having been signed off on. If all systems go and we are looking to touch about 8.5 lakh t ons of ore raising in FY '26. And of course, our eventual target is to get to 12 lakh tons.

And if you look at the production, clearly, for three to four years, there is going to be a sort of a gap between what the annual requirement is and what our annual raising is. And that gap is going to be met from the stock that we have built up, as well as so me low-grade ore, which is available for blending purposes . So, all in all, all the ore required will be in -house. And that, of course, substantially adds to value creation.

Parthiv Jhonsa: Thank you for all the answers. They were quite detailed. I will just get back in the queue if I have further questions.

Subhrakant Panda: Most welcome.

Moderator: Our next question comes from the line of Priya Agrawal from Kot ak Investment. Please go

ahead.

Priya Agrawal: Fi

rst of all, congratulations to the IMFA team for such a great quarter and on the acquisition part. I would like to know what was the Quarter 2 KPI performance for IMFA in terms of specific ore, specific coke and specific power ?

Subhrakant Panda: If you were asking about the data in terms of production and output, we just shared that, but Saunak can repeat the numbers.

Priya Agrawal: I wanted to ask regarding the specific consumption in terms of per ton of HCFC, how much ore was consumed, how much coke was consumed, and how much power was consumed?

Subhrakant Panda: So Priya, we will not get into the specifics because these are again commercially sensitive data, but broadly in line with the accepted parameters, so no outliers in that regard.

Priya Agrawal: And secondly, I wanted to ask that, as you have mentioned that the benefits from the recent acquisition will start from FY '27, so how much percentage of decrease in the cost can we expect?

Indian Metals & Ferro Alloys Limited

November 07, 2025

Page 9 of 26

Subhrakant Panda: It is not a decrease in cost, because if you look at our production cost in Choudwar and our production cost in Therubali , they will broadly remain what they have been. But what is relevant here is that production will be coming online at a location which is Kalinganagar .

So, just to clarify, we are now using the terminology Kalinganagar 1 for our green field project and Kalinganagar 2 for the acquired unit . So, production coming up in Kalinganagar overall will be far more competitive than, I mean, will be very competitive . So, our weighted average cost of production goes down. But in other locations, it sort of remains the same.

And the best way I can explain it is that if this production was to come up in some other location, it may not have been as competitive . So, I hope I am able to explain the thought process here that the production is in a location which is logistically very competitive and efficient.

Priya Agrawal: That was a great help. I will get back into the queue.

Moderator: Our next question comes from the line of Anshika Agrawal from Kotak Bank. Please go ahead.

Anshika Agrawal: I wanted to know the domestic and export percentage of sales.

Subhrakant Panda: In 2nd Quarter , we did supply a little bit more tonnage to the domestic market . So, broadly, I think we were at about 90% exports and 10% domestic sales there or thereabout. But I would like to take this opportunity to also share that going ahead, we are certainly going to align a little bit more towards the domestic market.

Given our strategic positioning in Kalinganagar in Odisha, which is really emerging as the stainless -steel hub of India , so in a couple of years' time with the entire capacity online, greenfield and acquisition, we are expecting to be about 60 -40. So, 60% exports and 40% domestic. But of course, we retain the flexibility to direct more tonnage towards the domestic market or towards the export market if circumstances so warrant.

Anshika Agrawal: Another thing, second question, what is a spot and LTC percent?

Subhrakant Panda: So really, if you look at it from a long -term contract and a spot perspective, the bulk of it is long -term. Because the only difference being that, I mean, certain customers, we have annual contracts or in fact with POSCO, given that we have a joint venture, we have a five -year contract which is repriced every quarter . So, purely in terms of spot tonnages, it is very insignificant. But Suresh, is there any additional data that you can add to this question or that about broadly answers it?

Sureshbabu Chigurupalli: You have broadly answered. That is insignificant and it is almost around 7% to 8% we go on for spot.

Anshika Agrawal: And what will be our future spot and LTC percentage after this acquisition?

Indian Metals & Ferro Alloys Limited

November 07, 2025

Page 10 of 26

Subhrakant Panda: So, Anshika, by and large, we prefer longer -term commitments because I think that assures us off-take while keeping some tonnage available for the spot market. But even in the long -term contracts, as I mentioned, these are repriced either every month or every quarter. So, we will continue to follow that strategy.

But having said that, I mean, as we direct more towards the domestic market, the domestic market tends to be not against long -term contracts . So, to that extent, I think domestic sales will be more on a cargo -to-cargo basis for pricing. But we will sort of see how it plays out. But our preference is for longer -term relationships where there is assured off -take from our point of view and assured supply from our customers' point of view.

Moderator: The next question comes from the line of Deepak Pandey from Sagun Capital. Please go ahead.

Deepak Pandey: Congrats on the acquisition part. Sir, my question actually pertains to the global supply -demand

scenario. With the cuts in South Africa, where do we stand versus Chinese players currently in cost of production, if you can throw some light?

Subhrakant Panda: Actually, as much as South Africa is concerned, as you know, that there has been a gradual decline in South African output. Until about five or six years ago, they were the world's largest producer of ferrochrome and then ceded that position to China. And Chinese production has gone up significantly primarily at the cost of South African production.

That is because of their internal logistics costs as well as increasing power costs. So, while that tussle is going on between whether there should be special tariffs for South Africa or not, basically, I think the preference has been towards exporting the chrome ore entirely to China to say.

Now, if I look at China, while they have emerged as the world's largest producer of ferrochrome, but they are relatively speaking high cost because they are entirely dependent upon imported chrome ore.

Now, your specific question, Deepak, about Chinese cost of production versus ours, it is a little difficult to sort of estimate what the Chinese cost of production is because it is not an open economy and not too much published data available. But based on experience, based on conversations, the sense we get is that they are perhaps somewhere around that \$1,000 per ton mark.

And I know this is a number which is covered in the Anand Rathi, mentioned in the Anand Rathi report as well. And we sort of corroborate that with our experience in the sense that if you look at the recent past, prices sort of bounce back from a certain level, which is indicative that that has reached the variable cost of production of Chinese producers. So, I can't give you any concrete data, but this is born out of experience.

Indian Metals & Ferro Alloys Limited

November 07, 2025

Page 11 of 26

And if you look at in the last three or four quarters, I think the lowest we saw was about \$0.75, \$0.77. And then it started pulling back from that level, indicating that a lot of production was underwater in terms of value at that point in time.

Deepak Pandey: That's very helpful. Secondly, you said domestic spread split will move on, move up in the revenue part. But is there a difference in realization or EBITDA per ton in domestic versus export? Or is that largely the function of market prices only?

Subhrakant Panda: No, there is no significant difference. There is a timing difference and let me explain that. So, first of all, there is no significant difference because duty on ferrochrome, import duty is negligible. I think it is 5% if I am not mistaken. So, there is no duty protection, which means that ferrochrome prices domestically are higher or anything of that sort.

But there is a timing difference and that will happen even with exports, because if we are pricing a particular customer

on a quarterly basis and we are pricing another customer on a monthly basis, then that timing difference can lead to pricing difference as well. And how it works with quarterly pricing is that there are many instances where we have fixed a certain price with that customer and the spot prices go down thereafter. And there are many instances where we fix a quarterly price and the spot price moves up.

When you have a long-term relationship, you adjust for these vagaries and make sure that it is a win-win situation. But if you look at it at a singular point in time, then what you will find is differences between customers, even when it is exports, or between customers when it is exports and domestic, simply because of the timing difference.

The one other factor here, of course, is China is a unique situation where they have huge production capacity and it is also a producer's price that is declared by them. So, China tends to be a little more competitive than the rest, but there are structural reasons for that.

Moderator: Our next question comes from the line of Parthiv Jhonsa from Anand Rathi. Please go ahead, sir.

Parthiv Jhonsa: Saunak sir, is it possible just to repeat the production and the sales number again? Actually, I missed it out.

Saunak Gupta: Yes. So, on the production side of Ferrochrome, we did 65,671 metric ton. And on Chrome ore, 1,69,615 metric ton. And Ferrochrome sales was 69,765 metric ton.

Indian Metals & Ferro Alloys Limited

November 07, 2025

Page 12 of 26

Parthiv Jhonsa: Thank you, sir, for the information again. Just, again, Saunak sir, I just wanted to check with you quickly. You said that you had a one-time impact of about Rs. 16 crores in power and fuel expenses, line item, basically. So, that basically translates to about 2% or 2.2% of the top line.

So, is it fair to assume that if this is basically a one-time, so this won't be there in the next quarter, and considering better prices and all, there is a certain benefit of almost 2%-2.5% on the EBITDA from this?

Saunak Gupta: Yes. This differential is about Rs. 14 crores. Rs. 2 crores will be the average quarterly expenses on this. So, it is around 2.3% and the one-time impact for this quarter.

Moderator: Our next question comes from the line of Kaushal Kedia from Wallfort PMS. Please go ahead.

Kaushal Kedia: Congratulations on a fantastic acquisition. Sir, I don't have a question, more of a recommendation and a request as an old shareholder. There hasn't been much institutional participation in the share, and I think you all had also done a kind of a roadshow in June to tell our story to the bigger funds.

If possible, I know you have said it multiple times that the entire acquisition will be funded internally through internal accruals, and we don't need money, but it would be great if you could consider raising like maybe a primary, a small token amount for primary share capital, may be to get some institutional interest in the stock. So, just a request from a shareholder, if you could consider that and explore that, please.

Subhrakant Panda: Thank you, Kaushal. We will certainly take the suggestion on board.

Moderator: Our next question comes from the line of Aashav Patel from Molecule Ventures PMS. Please go ahead.

Aashav Patel: Many thanks for participating on the con-call, Mr. Panda. And many congratulations to the entire team for this truly exemplary achievement. My first question is to Mr. Panda, that I understand ferrochrome prices are very dynamic, and it is difficult to predict the future as such. But given the massive supply cuts in South Africa over the last few months, now almost 60% of their smelting capacity is shut down.

Further, Samancor is planning more shutdowns and industry is also expecting an export tariff of 25% on South African chrome ore exports, which if implemented will further lead to cost inflation.

So, probabilistically speaking, sir, can FY '27 be a year of upcycle for IMFA like FY '22 or like FY '27, wherein we ended up reporting almost 30% kind of operating margins?

Subhrakant Panda: Well, I would certainly hope so and pray that it happens. But realistically, as I said, we have learnt with the passage of time not to get ahead of ourselves and make any long-term projections. All that I will say is that the fundamentals are such and they are changing in a manner which is indicative that strong competitive producers like ourselves are well-placed.

Indian Metals & Ferro Alloys Limited

November 07, 2025

Page 13 of 26

But, I mean, of course, South African production cut has been quite significant, but that is getting replaced by Chinese production, which is not necessarily a bad thing because that cost of production is noticeably higher than an integrated producer in India like us, right? And in as much as export tax on chrome ore and all from South Africa, there has been quite a bit of back and forth on it. And we will wait and watch how it sees.

But fundamentally, while I am reluctant to make any long-term projections, but I am confident to say that by the grace of God, we will be competitive and profitable and relatively well-placed compared to others. And the fundamentals are shaping up in such a way that things look good at this point in time.

Aashav Patel: And sir, my second question is on the longevity of cycle. So, historically, what we have seen after such supply cuts, there is improvement in the ferrochrome realization in line with improvement in stainless-steel demand or volume growth. But this time around, as you rightly mentioned that the incremental capacity is also moving more towards China. And they have a higher cost of production by, say, Rs. 10,000 to Rs. 15,000 per t on compared to us.

How do you see the longevity of the upcycle? Because this time around, as of now, yet, we don't have support from stainless-steel volume growth or stainless-steel demand improvement. What really happens when that starts also clicking? Can we expect the cycle to last much longer compared to the historical phase?

Subhrakant Panda: You have asked a very good question, by the way, but it is difficult to predict what the longevity of the cycle will be. Because, I mean, when I first started out in the business, and I am talking quite a while ago, the cycles had a certain cadence to it. And that was dictated by the mismatch between consumption, which is stainless-steel production increase, and supply, which is ferrochrome capacity increase. So, those were the original sort of contributors to the cycle. But today, it is a far more complex situation. And therefore, it is a little harder to predict.

But again, I think fundamentally, things are changing. Because you are seeing across the world an elevated chrome ore costs. So, if you are not an integrated producer, that is a huge disadvantage. Besides that, earlier, a lot of capacity which went offline would come back on if markets improved. But today, the expectation is that if South Africa somehow digs itself out of this situation, not all of the capacity which has gone offline will come back online. That is what experts have to say.

Fundamentally, I think the markets have changed. And this is what, without making specific comments or giving guidance about future prices, all that I am happy to say is that fundamentally, we are confident about where we are placed.

Indian Metals & Ferro Alloys Limited
November 07, 2025

Page 14 of 26

Aashav Patel: And sir, based on spot EBITDA cost of around, say, Rs. 78,000 per metric ton and realizations as we speak are at Rs. 1,18,000 per metric ton, so our current spread is almost Rs. 40,000 per metric ton, which is historically the highest ever. I understand this flows into numbers with a quarterly lag. So, is that

at correct understanding?

Subhrakant Panda: There and thereabouts. I mean, again, the other reason, of course, you see the ebb and flow in terms of margins is that raw material, you see a lag between stainless-steel and ferrochrome and ferrochrome and chrome ore for non-integrated producers. What is happening with non-integrated producers right now is that almost in real time, chrome ore prices are moving up in anticipation of higher ferrochrome prices. So, that is handy if you are an integrated producer like ourselves. But there are certain other elements which are not in our control, which is metallurgical coke, etc.

But you asked actually one other question. In your first question, there is one other element with regard to long-term forecast, which I wanted to speak, is with regard to stainless-steel demand. Now, you are absolutely right that I think currently, the upward movement in prices has more to do with cost pressures and relatively less to do with stainless steel demand.

That is not to say stainless-steel is not increasing. Stainless-steel demand is increasing. You know, in India, in China, it is increasing. But if there is a little bit more sort of legs to the demand side, then you will certainly see that translate very, very noticeably quickly into ferrochrome prices.

Aashav Patel: Even considering sir, what you mentioned in the press release, almost 4 lakh metric ton of production for next year, even if we consider slight dip in our EBITDA spread from current level of 40,000 to, say, a more sustainable level of 30,000 and keeping all this stainless-steel demand increase as an optionality, so even a sustainable 30,000 EBITDA per metric ton for the next year would translate itself to around Rs. 1,200 crore kind of an EBITDA, right?

Subhrakant Panda: Look, I don't want to get ahead of myself in making projections for a year, year-and-a-half out. What I have said in interactions is that up till now, we have considered a steady-state EBITDA of about Rs. 18,000 to Rs. 20,000 a ton with peaks and troughs depending upon market situation.

Aashav Patel: I understand sir. I am just asking probabilistically. I absolutely agree with you that it is very difficult to predict, but probabilistically speaking, given all the fundamentals, there is more probability of that happening, right? That is my question.

Subhrakant Panda: Look, I will leave you to make that conclusion because I wouldn't want to, you know, it has served us well not to project too far out. So, we remain quietly confident, but I wouldn't want to put numbers of probability to that.

Aashav Patel: That is all from my side, sir.

Indian Metals & Ferro Alloys Limited
November 07, 2025

Page 15 of 26

Moderator: Our next question comes from the line of Pranav Jain from Ageless Capital and Finance. Please go ahead.

Pranav Jain: Good afternoon to the entire team, and congratulations on the good, great numbers and the acquisition, and really happy to see you on the call, Subhrakant Ji. I just had a couple of questions regarding the acquisition. Firstly, can you just give me an idea on why Tata Steel wanted to sell their ferrochrome plant? Was this their only ferrochrome plant or after this will they not have ferrochrome operations at all or was there some other reason?

Subhrakant Panda: So, Pranav, I can answer the factual part of the question is that they have other ferrochrome facilities, but as regards why they sold, I don't think it is correct or proper on my part to say anything in that regard.

Pranav Jain: And, sir, with this new plant, our power requirement will be captive. Like, do we get a power source from the asset transfer agreement?

Subhrakant Panda: No, we don't get a power source from the asset transfer agreement, but that is where we have tied up with 110 Megawatts of hybrid renewable energy, which, of course, will be distributing some to our existing

units as well in order to reduce our carbon footprint. But, no, we are not getting up any power arrangement through the asset transfer agreement. We will, of course, be connected to the DISCOM as far as both the units of the greenfield and the acquisition unit as

far as both are concerned.

Pranav Jain: Sir, the 110 Megawatt was, I think, barely sufficing our existing needs. So, how will that translate to the new plant as well then?

Subhrakant Panda: No, not sufficing our existing needs. Prior to the acquisition, it was a little bit more than what was there. But that is why we have signed up for 110. And we will be exploring if we need to increase the quantity in that, you know, increase more procurement of electricity through hybrid renewable or otherwise.

Pranav Jain: And sir, the incremental 50,000 tons that is under construction, how much CAPEX would have to be incurred for that to go live?

Subhrakant Panda: Pranav, thank you for asking that question. Actually, I should have covered it in my remarks. So, the Rs. 610 crores is the base purchase consideration. There is GST being asset transfer, but that is something on which we will get input tax credit, net working capital to be determined on the day of closure. We expect it to be somewhere around Rs. 50 crores.

Indian Metals & Ferro Alloys Limited
November 07, 2025

Page 16 of 26

And as far as the fifth furnace is concerned, we expect to spend about Rs. 50 crores to commission that. This is basis a due diligence, albeit a very thorough due diligence, but we will be able to get greater certainty about this number once we take control of the unit and do a deeper dive. But we are fairly comfortable projecting about Rs. 50 crores CAPEX to commission the furnace under construction.

Pranav Jain: So, the approximate cost for the entire 1,50,000 tons will be somewhere around Rs. 700 crores to Rs. 750 crores then?

Subhrakant Panda: Broadly, yes.

Pranav Jain: That's all from my end, sir. Thank you for answering the questions. And it is lovely to see the management being true to their word and expanding in very favorable conditions.

Moderator: Our next question comes from the line of Joe Shah from Seven Seas. Please go ahead.

Joe Shah: Subhrakant, congratulations to you and your team for Kalinganagar Unit #2. Now, please clarify, it is the same as the Rohit Ferro plant, which Tata Steel acquired in 2022. This is the same as Rohit Ferro plant?

Subhrakant Panda: Yes, that's right.

Joe Shah: And this 33 M VA fifth furnace, of course, which you mentioned of Rs. 50 crores is incredible and very good actually for us. Because when we look at Kalinganagar Unit #1, we are spending about Rs. 550 crores for 100,000 ton capacity plus other CAPEX, related CAPEX. So, that way, this Rs. 50 crores is very good for IM FA.

Subhrakant Panda: That's actually not, you know, we are not comparing apples to apples because, I mean, of course, Kalinganagar is a new unit. Kalinganagar 1 greenfield is a newer unit being built now. And secondly, there is substantial work has happened on the 33 M VA furnace. So, it is not starting from scratch. Almost a substantial amount of work has been done. It is only to complete that and bring it to commissioning stage. So, actually, it is not comparable numbers.

Joe Shah: Now, Tata Steel is having another very good unit, Bamnival plant, which is now idle and not working with capacity of 65,000 tons. Now, this would be our next target, this Bamnival unit.

Subhrakant Panda: It is not proper for me to comment on what assets they have and what TSL plans to do with it.

Moderator: Our next question comes from the line of Saket Kapoor from Kapoor Co. Please go ahead.

Indian Metals & Ferro Alloys Limited
November 07, 2025

Page 17 of 26

Saket Kapoor: Thank you, Mr. Panda, for addressing us today. And we hope to hear more from you, sir, going ahead. Sir,

firstly, with respect to the asset being acquired, since it was an operational asset, sir, can you elaborate who are the customers which Tata Steel was catering to? Where are the export and the domestic mix? Any color you can give?

Subhrakant Panda: Saket, I don't know about that. And in any case, it is not relevant for us. Because being an asset transfer, we are only buying specific assets. So, that's it.

Saket Kapoor: But in terms of we continuing with the asset and sweating of the assets, we will be eyeing a new customer? Or how are we going to sell the expanded capacity currently?

Subhrakant Panda: There is a fair amount of demand for ferrochrome in the domestic market. And as I have mentioned and as you would be aware, our existing capacity of 260,000 tons is primarily directed to export markets. And that was because there wasn't that much opportunity. But now there is space which has opened up. And therefore, we will be looking to cater more to the domestic market in terms of the various stainless-steel producers there are. And in fact, with some overseas

customers as well, there is expectation of more to grow suppliers as they grow their size . So, we will be balancing that out.

Saket Kapoor: Just a small point, what is our EC limit for the throughput for ore for the existing mine set? As you were mentioning that we will be enhancing the throughput . So, what is the environmental clearances that we have received ? The higher side limit ?

Subhrakant Panda: It is 12 lakh tons. Sandeep, could you confirm that, please?

Sandeep B. Narade: Yes, sir. It is 12 lakh tons together from both the mines.

Saket Kapoor: And our last year number was? How much have we extracted?

Sandeep B. Narade: 7 lakhs .

Saket Kapoor: 7 lakhs. So, we have quite a lot of area to cover. And lastly, sir, we have also seen, as in case of Sukinda Mine from the Tata Steel, there were some issues pertaining to the output there . So, are we eyeing that ? What is the story behind this mine output being lower? Since we are also operating in the same region, not specific to IMFA, but we have seen a lot of stuff regarding the output not being raised from those areas . So, are these geographies any way affecting our thought process of expansion also? There was some lower output, yes.

Indian Metals & Ferro Alloys Limited
November 07, 2025

Page 18 of 26

Subhrakant Panda: Saket, again, two different circumstances. And in any case, not correct for me to comment in any way on somebody else's assets and what issues they are facing or not facing. But the one thing I can certainly speak with confidence is that we are on track to expand our own raising from the steady state 6 lakh tons where we were and 7 lakh tons in FY '25, little more than 7 lakh tons, to 8.5 lakh tons in FY '26 and eventually scaling up to 12 lakh tons . So, we are on target, on course for that and I don't see any concerns in that regard.

Saket Kapoor: And lastly, for this, we will be going through the undermined route also , I think . So, a lot of CAPEX will go there to reach that 1.2 million capacity.

Subhrakant Panda: Yes. So, our Mahagiri Mines from which we are looking at ultimately getting to 4 lakh tons, we have in FY '25 raised across 4 lakh tons for the first time and sorry, we will be going up to 6 lakh tons . So, Mahagiri Mine is already underground.

As far as our Sukinda mine is concerned, we have initiated the underground project and we will be transitioning in the next 3-odd years, 3 to 4 years to a fully underground mine, eventually reaching 6 lakh tons . So, 6 plus 6 is 12 lakh tons. And as far as the CAPEX for underground is concerned, broadly, it is about Rs. 1,000 crores, which is what we have briefed earlier as well.

Saket Kapoor: Thank you, sir. And hope to hear you more in the call going ahead if time permits for you, sir.

Moderator: Our next follow-up question comes

from the line of Parthiv Jhonsa from Anand Rathi. Please go ahead, sir.

Parthiv Jhonsa: Sir, I had a very big, a bit of a technical question. Is it possible to quantify our ore grade with the average blended ore grade of India or globally, whatever is comfortable?

Subhrakant Panda: So I can, you know, Sandeep can perhaps give you an answer. But even in our mines, it depends upon which vein you strike. And as we go deeper, we are finding the grade improving, actually.

Broadly speaking, South Africa is very low-grade ore, but they have humongous quantities, as you know, 8 billion tons or whatever it is. And Sandeep, if you want to just shed some light on this.

Sandeep B. Narade: Mostly, right now, we are having a medium grade that is ranging from 40 % to 51.99% . So, in that range, mostly, we are getting the ore.

Parthiv Jhonsa: And what would be the grade at, say, South Africa? Just a very blended number is fine, sir.

Subhrakant Panda: I don't want to hazard a guess on that. I know generally speaking it is lower grade than Indian ore. But again, it depends where. Because Karnataka, where there used to be chrome ore mining until 10, 15 years ago, Karnataka had very low grade ore as well. But all of that just translates to the grade of ferrochrome that you produce, nothing more beyond that.

Indian Metals & Ferro Alloys Limited
November 07, 2025

Page 19 of 26

Moderator: Our next question comes from the line of Harsh Vasa from SBI Capital Securities. Please go ahead.

Harsh Vasa: Congratulations on the major milestone acquisition . Sir, my question is that the greenfield capacity is coming up around 96,000 to 100,000 tons. So, what will be a capacity utilization for FY '27? Like 48,000 is coming in June '26, followed by September '26, 48,000 . So, what will be a capacity utilization for next year?

Subhrakant Panda: Broadly, as I had mentioned earlier, we have been producing 260,000 tons on an annualized basis from our existing capacity, give or take a little bit if you look at the data for the last three -

odd years . So, next year in FY '2 7, we are assuming the same broad 260 from our existing capacity. We are looking at between 70,000 to 80,000 tons for the acquisition, and the rest coming from our greenfield project .

So, Suresh, would you like to just give any more details on that? But broadly, Harsh , what I would say is 260, about 80 or so from acquisition and the rest from Greenfield, b ut this mix might change a little bit depending on how things pan out. But overall, we are reasonably confident about the 400,000 ton number.

Moderator: Our next question comes from the line of Nitik Kaushik from Afin Capital Private Limited.

Please go ahead.

Nitik Kaushik: Sir, my first question was, how has the realization improved on quarter -on-quarter basis and year-on-year basis?

Saunak Gupta: On the realization front, in Quarter 1 , our average realization was 1, 01,000, approximately vis-à-vis last quarter it was 95 ,000. And in previous year, it was 1, 02,000. So, 1,02,000 in H2 had gone down in H2 to almost 81,000 in Quarter 4 . But gradually, it has started improving. It was 95,000 last quarter and 1, 01,000 this quarter.

Nitik Kaushik: Sir, the next question was on CAPEX . So, since you are doing Rs. 900 crore CAPEX in this financial year, so would it be entirely equity funded or debt funded?

Saunak Gupta: No, i t will be a mixture of both . So, currently, we have got Rs. 900 crores in Kalinganagar, of which is about Rs. 400 crores sanction limit . We will not be using to the full extent of this sanctioned limit. D epending upon how the CAPEX outlay happens on that basis, we may take disbursement but not more than Rs. 400 crores . It is approximately 0.45% debt vs equity .

Subhrakant Panda: Nitin, if I can just add some context to that, we are, of course, funding the acquisition entirely from internal accruals. As far as our Ethanol

project is concerned, we have a very small quantum

of debt sanction for that, which we haven't drawn down as yet, but we will look to do that. And we have a term loan facility sanctioned for our greenfield expansion. Again, we haven't drawn down on that. B ut we have the flexibility to do so if required.

Indian Metals & Ferro Alloys Limited

November 07, 2025

Page 20 of 26

And hopefully with a much better H2, the financial planning will change a little bit. But overall, I would say that we are going to be fairly conservative about debt and only take on as much or as little as we need. And the idea is to be fairly conservativ e in that regard, which has worked well for us.

Nitik Kaushik: Sir, my next question was on power and fuel. Since it is a big part of your expenses, so in this quarter, it was increased around 50 %-60%. So, sir, was there any specific reason for that?

Subhrakant Panda: Saunak , if you could just reiterate that point, please .

Saunak Gupta: So, I reiterate the point which I was saying . There is a change in law with respect to the renewable power obligation . For that we have a one -time impact of Rs. 14 crores. Overall, the outflow was Rs. 16 crores. We bought REC certificates for that to meet the obligations . So, this is the reason why the power cost has gone up. From next quarter onwards, it will be in the range of Rs. 2 crores to Rs. 3 crores.

Moderator: The next question is from the line of Yash Goyal from Ionic Wealth. Please go ahead, sir.

Yash Goyal: Congratulations for your result. You have got some good plans. And I wish to know about the inventory build -up and the cash position in the company. Right now, I have the result in front of me. In FY '2 5, under the CF S column, we have receivables build -up and additional incremental receivables of Rs. 289 crores in March 2024. And whereas the incremental increase in the inventory has not been that much. The incremental inventory has been around Rs. 60 crores to Rs. 70 crores . So, there has been a sudden spike in the receivables to Rs. 289 crores . So, could you please break down for me?

Subhrakant Panda: Saunak , would you respond to that, please?

Saunak Gupta: That is basically due to merger of UCL with IMFA . There was already an order received by us on that respect. Hence , there was an increase in the receivables in the quarter , which we have received in subsequent quarter.

Yash Goyal: And secondly, sir, could you please guide me what would a sustainable margin for the next one to two years would look like? As in the previous two quarters, this quarter has been an outlier.

In the previous two, three quarters, you have seen a margin improvement in the company. But what would be a s ustainable margin after this ramp -up happened to this mine?

Subhrakant Panda: Yash, as I have said a couple of times on the call, you know, we don't , I mean, while we are very confident about our fundamentals and that of the market that it is changing in a manner where a fully integrated producer like ourselves is well positioned by the grace of God. But I don't want to give guidance a couple of years ahead in terms of what margins will be.

Indian Metals & Ferro Alloys Limited

November 07, 2025

Page 21 of 26

But suffice it to say that we are fundamentally very strong and poised very well in terms of competitiveness and that will translate into superior margins as compared to many of our peers.

Moderator: We move to the next question from Priya Agarwal from Kotak Investment. Please go ahead.

Priya Agarwal: Sir, just during the call, you mentioned that since we are having a long-term strategy goal of 12 lakhs ton of ROM, so is there the saying that now there will be no such ore shortage and it will be wholly integrated and there will be no outside ore purchase?

Subhrakant Panda: Yes, so I mean even now we don't purchase any ore and going ahead we don't need to purchase

any ore for our existing capacity or acquisition or greenfield. So, entirely met from captive mines, from a combination of increased ore raising plus, I mean we will take a few years to get to 12 lakhs tons, but until then we have other stock available, which we have been carrying some excess stock, so that will guide us through the interim period.

Priya Agarwal: And in terms of the other raw materials, are we looking forward to long-term agreements for the raw material as well to lock in the prices or are we going for the spot purchases only in terms of coke or coal?

Subhrakant Panda: No, I mean coal pricing, of course, in India is decided by Coal India Limited and as far as metallurgical coke, etc., is concerned, we buy on a cargo-to-cargo basis, so not really possible to lock in prices for long periods of time. Of course, in as much as electricity is concerned, we are now going to be from next June, going to be procuring a lot of hybrid renewable energy, where barring any policy change, the procurement price is fixed for long term.

Moderator: Our next question comes from Deepak Pandey from Sagun Capital. Please go ahead.

Deepak Pandey: My questions have been answered.

Moderator: Our next question comes from Akshat Gupta, who is an investor. Please go ahead.

Akshat Gupta: First of all, congratulations to the management for a tremendous result and I hope this result continues for the next whole financial year and for the upcoming years. So, my two questions which I want to ask that will be mostly on the expansion project. First of all, with the expansion project and along with the acquisition of Tata plants, so I just wanted to understand what will be the source of coke which we are going to purchase as coke is one of the most important raw material for the ferrochrome industry.

And secondly, with the increased expansion and with the increased acquisition of the Tata plant, almost IMFA production will be around 500 KTPA. Since there are some other companies who are also expanding their operational base to 450, 500 KTPA. How will the market be driven from that, like your growth and from other companies' growth also? What will be the market strategy and along with that, what will the impact on NSR and COP?

Indian Metals & Ferro Alloys Limited

November 07, 2025

Page 22 of 26

Subhrakant Panda: Akshat, as far as source of coke is concerned, we look at a variety of sources primarily focusing on ultra low source coke because of the end use specifications that we need to meet. So, that will continue. And as far as market is concerned, the overall ferrochrome market worldwide is close to 20 million tons. So, we are very, very confident about our ability and not to mention within India itself, ferrochrome consumption is increasing. So, marketing the increased output is not an issue at all, irrespective of other dynamics.

Akshat Gupta: So, can you just explain in a few lines how that is the marketing? Like, you have mentioned 20 million tons of the market is of the whole ferrochrome market. Indian market is also something. Can you quote up some number? How can we weave with planning? What is the gap which is there in the current market? So, you are expanding and your peer companies are also expanding.

Subhrakant Panda: Right. But, I mean, Indian ferrochrome production is a fraction of the world market. So, our expansion and other expansions are not, you know, there is not going to be an oversupply situation is the plain and simple point if that is an area of concern.

Moderator: Our next question comes from Manan Vandur with Wallfort PMS. Please go ahead.

Manan Vandur: Congratulations on the numbers and the acquisition. Sir, my question was regarding the Met coke prices for Q2 and currently. Could you please guide us on that?

Subhrakant Panda: Without getting into specifics, I would say that Met coke prices have

been reasonably stable.

But again, I wouldn't want to quote specific cargo-wise numbers because I think that is again sensitive. But Suresh, would you want to comment on the directionality? Broadly stable if I am not mistaken.

Sureshbabu Chigurupalli: Yes. Broadly the prices are stable. A little bit of washery freight is increasing. So, slight increase is there, but broadly it is stable.

Manan Vandur: And about Ferrochrome prices, you said that domestically we are at 1,15,000 to 1,18,000. So, overall in our exports also if we convert it from dollar to INR, would that also be somewhere around that price only?

Subhrakant Panda: Yes, it is. I mean, of course, there are several export markets. Chinese tends to be slightly on the lower side, as I said, because of the particular dynamics of significant production capacity within the country. But by and large, yes, that is the case.

Moderator: Our next question comes from Aashav Patel from Molecule Ventures PMS. Please go ahead.

Aashav Patel: Sir, my question is with regard to the acquisition which we have done. We have almost 115 acre land parcel there. So, how much land have we consumed between say 1.5 lakh metric ton and what is the spare land which we have available? Asking this for to gauge the how much future capacities can the same land parcel consume?

Indian Metals & Ferro Alloys Limited

November 07, 2025

Page 23 of 26

Subhrakant Panda: Ashraf, interesting question. I don't think we have that. I think that is a question which has taken us a little bit by surprise. I don't think we have an exact number of how much land is available, but suffice it to say that even after completing all of this, there is scope to add more capacity there if needed. But I don't think we have the exact answer of how much land is unused because there is quite a bit of facilities there in terms of metal recovery plant, etc. which is there as well.

Aashav Patel: And with regards to the same question on the greenfield Kalinganagar 1 land parcel?

Subhrakant Panda: Kalinganagar 1 that way is, you know, Bijayananda, what is the land acreage on that for Kalinganagar 1?

Bijayananda Mohapatra: There is around 120 acres, but we have already planned for another furnace of same capacity. There is land available.

Aashav Patel: We can scale from 1 lakh metric ton towards 2 lakh metric ton on the Kalinganagar 1.

Subhrakant Panda: No, 1,50,000, from 2 furnaces to 3 furnaces.

Aashav Patel: And beyond that on the same land parcel won't be possible, is it?

Subhrakant Panda: No, I mean, even this will be tight, but it is doable, but beyond that not possible.

Moderator: The next question comes from Swahit Agarwal, who is an investor. Please go ahead.

Swahit Agarwal: Sir, my question is on the line of the underground mining. You mentioned that you are looking at Rs. 1,000 crore CAPEX for the same. Given that from Rs. 900,000 we will be moving to another additional Rs. 300,000, this amount looks quite huge. So, can you elaborate more on how this CAPEX and over how much time it is going to be utilized?

Subhrakant Panda: No, this is not to go from 9 lakh tons to 12 lakh tons. This is to go from open cast 3 lakh tons in Sukinda to underground 6 lakh tons in Sukinda, open like 3 lakh tons to underground 6 lakh tons. So, the CAPEX has already started from last year and it will be spread out for about four years or so. But Sandeep, you can provide a little bit more context.

Sandeep B. Narade: Right now, our Sukinda Mine is open cast mine and we are producing 3 lakh tons per annum from there. So, in the next four to five years, this open cast mine will cease, and it will be transferred into the underground mine and will be having the capacity of 6 lakh tons from underground in Sukinda.

Swahit Agarwal: And so per ton cost, how much would it increase when we shift to this?

Subh

rakant Panda: Again, we wouldn't want to get too much into the details, but Saunak, any number that we are in a position to share or give an indication?

Indian Metals & Ferro Alloys Limited

November 07, 2025

Page 24 of 26

I mean, look, when we move from open cast to underground, there will certainly be an increase in costs, but there are certain other efficiencies which also come into play in underground mines.

So, overall, nothing significant in terms of the cost increase.

Saunak Gupta: Yes, I agree that there won't be significant cost increase. Currently also we are doing in Mahagiri, with a marginal increase in the cost. Similarly, in Sukinda, we would be in a similar range of cost for the underground mines.

Moderator: Our next question comes from Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Mr. Panda sir, you have always alluded to the fact of visibility for the ensuing two quarters and taking that account the type of the trend in the ferrochrome prices, what should be the EBITDA trajectory that we should look forward a ballpark number for H2 since when we compare the previous H1 with the current year H1, the gap is around, say, Rs. 60 crore is the down trading in the EBITDA. So, what should we look forward a ballpark number if you could guide us with?

Subhrakant Panda: I will actually ask Saunak to give you a little bit more details, but Saket, I don't think it is correct to say that there is a Rs. 60 crore difference because, I mean, certainly there is some difference because the realizations in Q2 were moving up and hadn't reached the levels that we will see for the full quarter of Q3. But there are also other one-time elements which have eaten into the reported EBITDA, and primarily the notional mark-to-market.

And here, one question I want to clarify because this is something which used to come up that whatever may be the mark-to-market number, we should never be under the illusion that it goes

against us because actually, what is happening is that the corresponding gain is embedded in the top line, but more importantly, what you are embedding, the gain which is emitted is your sales during the quarter, whereas mark-to-mark is your entire outstanding Forex position. So, it is not really also an apples-to-apples comparison if you understand what I mean.

Saunak Gupta: What we said earlier, is what Parthiv was asking. So the RPO related whatever is the differential obligations we had, that is the one-time impact of 2.3%. So, from 19.3, we expect the margins to improve to that level, and then we have to see how specifically the currencies move because on that, as I said, we have de-risked it with the hedging part. So, there is one part which is in the revenue and the other one is in the other expenses which technically set it off, but there may be a timing difference. That we have to see in the future. But with the increasing average realization price, we expect Quarter 3 to be definitely better than 19.3%.

Saket Kapoor: Thank you for all the detailed call, sir, and all the best, sir.

Moderator: Our next question comes from Pranav Jain with Ageless Capital and Finance. Please go ahead.

Indian Metals & Ferro Alloys Limited

November 07, 2025

Page 25 of 26

Pranav Jain: Sir, I just want to understand one thing. We set up a greenfield capacity with a cost of around Rs. 950 crores and we acquired this plant from Tata Steel for approximately Rs. 600 crores. I understand greenfield is more cost-intensive, but like such a big deviation, does that bound to happen generally?

Subhrakant Panda: First of all, it is not Rs. 950 crores. Second, the greenfield includes about Rs. 120-odd crores towards 8.7 Megawatt waste heat recovery power plant, right. And third, there are, as you said, greenfield costs which are attributed to the ferro

alloys plant and partly to the power plant as well, which is not there in a matured site.

And of course, the other point is the acquired asset is an older asset. So, to that extent, CAPEX costs have moved up in that context, but of course we are looking at our ability to create value from those assets and the age of the assets is not something that concerns us because if you look at our own facilities, our very first furnace at Therubali was set up in 1967 or 68 and it is still running beautifully.

Pranav Jain: Would it be possible to give out the production numbers for the acquired plant?

Subhrakant Panda: No, we don't have access to that.

Moderator: Our next question comes from Nitin Kaushik with Afin Capital Private Limited. Please go ahead.

Nitik Kaushik: Sir, my question was based on current scenario, you were saying that a price increase is expected. Sir, can you quantify the impact of your margins since you are fully integrated? I was asking if this price increase would help you and if it helps you, could you please quantify that number on EBITDA margin?

Subhrakant Panda: It will obviously, I mean, we have shared the average realization for Q2 and we are indicating, for example, in the domestic market, prices have moved up to the 1,15,000 to 1,18,000 range, and export markets by and large have also moved up there and thereabouts. So, that is something that can be worked out fairly easily.

Nitik Kaushik: Sir, my next question is exactly what is the main driver of your revenue? Is it volume or the price level, if you could answer that?

Saunak Gupta: As you would understand that we have a production capacity of 2,60,000 units as of now, and currently we sell off all the units produced. So, obviously, the key driver would be the market price. For our revenue the price is the main driver for the quarter.

Subhrakant Panda: Yes, but going ahead the volume is increasing, so then volume becomes the driver along with price.

Indian Metals & Ferro Alloys Limited

November 07, 2025

Page 26 of 26

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. As there are no further questions, I would now like to hand the conference over to Mr. Abhishek Savant for closing comments.

Subhrakant Panda: Before that, Abhishek, I just wanted to come in briefly. So, I wanted to thank all the participants who attended today's Investor Con Call for the time. I appreciate you taking time out from your busy schedules to learn more about the company and appreciate the opportunity to discuss in detail. And I certainly look forward to more such opportunities. And if there are any questions that were left out, if there is anything else that you would like to learn further about, then please do not hesitate to reach out to us. And we will certainly try our best to answer your queries to the best of our ability.

Abhishek Savant: Yes. Thank you, sir. And thank you to everyone who joined us today and participated in the discussion. We appreciate your questions and continue to invest in I MFA. As always, we remain

committed to transparent communication and delivering long -term value to our stakeholders. On behalf of the Board of Directors and Management, we thank you for all your participation in this call. I MFA remains focused on operational excellence, financial prudence, and long -term value creation. Should you have any further questions, please feel free to reach out to us. We look forward to engaging with you again in the near future. Have a great evening and stay safe. Thank you.

Moderator: Thank you. On behalf of Indian Metals and Ferro Alloys Limited and Veritas Reputation, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you, everyone.

Call: Feb 2026

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13th February 2026
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The Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza
Plot No.C/1, G. Block
Bandra-Kurla Complex
Bandra (E)
Mumbai-400051

Stock Symbol & Series: IMFA, EQ

Sub : Earnings Call Transcripts

Dear Sir/ Madam, The Deputy General Manager
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Stock Code : 533047

Pursuant to Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Transcript of the audio call recording of the Company's Investor / Analyst Call held on 06th February 2026 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended 31st December 2025 is attached herewith.

You are requested to take the same on record.

Thanking you

Yours faithfully

For INDIAN METALS & FERRO ALLOYS LTD

(Smriti Ranjan Ray)

Company Secretary & Compliance Officer

Membership No: F4001

Encl: As above.

Page 1 of 21

"Indian Metals & Ferro Alloys Limited
Q3 FY '26 Earnings Conference Call "
February 06 , 2026

MANAGEMENT : MR. SUBHRAKANT PANDA – MANAGING DIRECTOR
MR. SAUNAK GUPTA – CHIEF FINANCIAL OFFICER
MR. BINOY AGARWALLA – HEAD, POWER BUSINESS
UNIT
MR. SANDEEP NARADE – HEAD, MINING BUSINESS
UNIT

MR. SURESHBABU CHIGURUPALLI – HEAD, FERRO
ALLOYS BUSINESS UNIT

MODERATOR : MR. ABHISHEK SAWANT – VERITAS REPUTATION PR
PRIVATE LIMITED

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Indian Metals & Ferro Alloys Limited
February 06 , 202 6

Page 2 of 21

Moderator: Ladies and gentlemen, good day, and welcome to the Indian Metals & Ferro Alloys Limited Q3 FY '26 Earnings Call , hosted by Veritas Reputation PR Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions once the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Abhishek Savant from Veritas Reputation.

Thank you, and over to you, sir.

Abhishek Savant: Thank you, Alex. Good afternoon once again to everyone. On behalf of Indian Metals & Ferro Alloys Limited, I welcome you all to the Q3 FY '26 Earnings Conference Call. We appreciate your time and interest in joining us today to discuss the company's performance for the quarter ended December 31, 2025.

Following the opening remarks by our management, we will open the floor for the Q&A session. Kindly keep your questions concise and relevant to allow broader participation.

IMFA, India's leading fully integrated producer of ferro alloys has demonstrated a significant improvement and resilience in quarter 3 FY '26 despite the ongoing market challenges. This performance underscores the company's focus on operational excellence, disciplined execution and long -term value creation.

As you all know, the company has signed definitive agreements to acquire Tata Steel Limited ferrochrome plant at Kalinganagar in Odisha, adding 99 MVA of furnace capacity for a base consideration of INR610 crores. This acquisition will make IMFA , India's largest ferrochrome manufacturer and the sixth largest globally, with a total capacity exceeding 0.5 million tonnes. The financial results are available on our website and have been filed with the stock exchanges for your reference.

Before we begin, I would like to remind you that some of the statements made today in our discussion

may be forward -looking in nature. These are based on the company's current expectations and are subject to various risks and uncertainties that could cause actual outcomes to differ materially.

Joining us on the call today are Mr. Subhrakant Panda , Managing Director; Mr. Saunak Gupta , Chief Financial Officer; Mr. Binoy Agarwalla , Head , Power Business Unit; Mr. Sandeep Narade , Head , Mines Business Unit; and Mr. Sureshbabu , Head , Ferro Alloys Business Unit. With that, I would like to hand over the call to Mr. Subhrakant Panda, our Managing Director, for the update on the overall performance. Over to you, sir.

Subhrakant Panda: Thank you, Abhishek. And at the outset, I would like to extend a warm welcome to all of you who have taken time out to join this call and to talk about IMFA's Q3 results. So let me start out with an opening statement, and then, of course, we will move on to the Q&A section. Iflifa

Indian Metals & Ferro Alloys Limited
February 06 , 202 6

Page 3 of 21

First, a word about the performance. I'm quite pleased to report to you about the robust set of numbers that we have reported for the third quarter of FY '26, where our EBITDA and PAT numbers have gone up as we had indicated on account of the improvement in realizations in ferrochrome pricing.

Of course, we have had a continued focus on productivity, on making sure that output is on track, focus on efficiency that is our various consumption norms. And by and large, our costing has been stable with a slight increase in the power generation cost on account of coal prices. But other than that, during the quarter under review, the costing has remained stable. And taking the

improvement in realization into account, we are reporting these numbers.

I will just quickly go through the production and the sales numbers for Q3 FY '26. Ferrochrome production during the quarter has been 67,196 tonnes. Power generation stands at 256.17 million units and chrome ore raising during the quarter is 265,468 tonnes. And if you look at sales of ferrochrome during the quarter, that stood at 64,802 tonnes.

On the ongoing expansion and acquisition plans, as far as the greenfield project at Kalinganagar is concerned or KNR 1 as we refer to it, I'm glad to report that the project is on track, and we expect to commission the first furnace in June 2026 and the second furnace shortly thereafter.

So, it's at a very advanced stage and on track.

Secondly, as far as the strategic acquisition is concerned, which we refer to as KNR 2, we are in the process of obtaining various statutory and other government approvals, and we expect to close out the deal in the ongoing fourth quarter of FY '26, more specifically, I think, within the month of February itself.

Now in as much as output from the acquisition is concerned, anything that we get in fourth quarter is going to be a little bit of a bonus, but we really expect volumes to come in, in the true sense of the word in first quarter of FY '27. And this is, of course, something which is going to be immediately value accretive.

Finally, in as much as the ethanol project is concerned, that's again at a very advanced stage, and we expect to commission it in March 2026, that is next month. So, there is a slight delay because we were initially targeting the second half of February, but there's been a slight spillover on that, and we are expecting to commission it in March. And this is something after the initial sort of stabilization activity, we expect it to start contributing to the top line in, starting April, so in FY '27.

That is where we stand. And I would now like to move on to the Q&A section, and we will do our best to answer your questions and provide further clarity and information about the company's operations. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line

of Aashav Patel from Molecule Ventures PMS. Iffifa
Indian Metals & Ferro Alloys Limited
February 06, 2026

Page 4 of 21

Aashav Patel: Congratulations to the entire team for a great set of numbers. And special thanks to Mr. Panda for taking out the time and joining the con-call. My first question is, sir, that globally realizations are very robust right now, and they have increased from the recent lows. Do you expect Q4, we will be able to see most of the benefit of increased realization? And the second question, follow-up on that is that the demand buoyancy, how you are seeing at this point in time?

Subhrakant Panda: Thank you, Aashav. Pleasure to be on the call to interact with you and other investors and analysts who have taken the time out. First, a word about realizations. As we had indicated in the last investor call, we were expecting a noticeable jump in realizations from Q2 to Q3. That has indeed translated through. And our EBITDA margins are a little above 23% in Q3.

Now as far as Q4 is concerned, there was a slight dip in prices, but now they have again moved back up. So domestic prices are roughly in the INR118,000 to INR120,000 a tonne mark, and Chinese prices are around USD 0.96 to USD 0.97. Now, we expect these prices to continue during the ongoing quarter, barring any exceptional situations, which I don't foresee at this point in time to be very clear. And if so, we will certainly benefit from these realizations.

Secondly, as far as demand is concerned, we have always been in a slightly different position to many of our peers, where we believe in long-term contracts and offtake arrangements where pricing is decided every month or every quarter, depending upon the particular customer.

What that basically means is that at least offtake is assured. And we don't really have spot sales, if I can put it in, mention it in that manner. But demand in general is buoyed by the fact that stainless-steel has grown, even though it is in low single digits, around 2% to 3%, but stainless-steel output has increased.

And correspondingly, there has been a sort of a constraint in ferrochrome production with South Africa bringing down its output sharply. Producers in India, non-integrated producers in India have also been affected. So basically, we do not see any issue in terms of placing our current capacity as well as the expanded capacity, which is coming online.

And as I said, in the ongoing quarter, we see these realizations holding. And as of now, the expectation is that it will translate through into the first quarter of FY '27 as well because that is where South Africa, in particular, has the Winter Tariffs and all that. And of course, I know that there is a lot of chatter around the special electricity tariffs which have been announced.

I'll broadly expand your question, Aashav, and answer that because that is something which is definitely something that everybody is closely tracking. As you may have read, the tariffs in

South Africa are broadly around USD 0.135 or thereabouts. And what Eskom, which is the utility has announced, is an approval from NERSA, which is the regulator, to bring that down to USD0. 87 for Glencore and Samancor, and which is valid for 1 year.

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Indian Metals & Ferro Alloys Limited
February 06 , 202 6

Page 5 of 21

But that's predicated on a couple of things. One, that as we understand that the tariff of USD0. 87 covers broadly Eskom's variable cost and some degree of legacy costs, but not their full overheads. So that in itself, to my mind, cast some sort of uncertainty about how practicable this is. And secondly, that NERSA has also said that the difference between the tariff to be paid by these 2 customers and what is actually required by Eskom is to be borne by the government. The question here is that how practical is it for only 2 companies to get a special tariff, but again, that's not in

my scope of competence or control. But what we certainly are waiting to see is how sustainable is this tariff.

And secondly, we believe that even if these companies start up production, it should lead to some, when ferrochrome production in South Africa had come down sharply, the ore exports to China moved up, I wouldn't say correspondingly, but certainly as a consequence. So now with ferrochrome, if it were to pick up in South Africa, logically, it should lead to some lowering of chrome ore exports to China and therefore, lower ferrochrome production in China.

At some level, we think it may turn out to be a zero -sum game. But more than anything else, I wanted to make the point that I'm more concerned about what is in our control and the fact that we have a fully integrated business model, and we are efficient, we are competitive, a lot of focus on productivity and efficiency. I would focus on our capabilities rather than get distracted by the noise around what is happening elsewhere.

Aashav Patel: Sure. Got it. Sir, my follow -up is that there is this structural shift which is happening globally in the ferrochrome industry. Now the cost curve for most of the top producing countries is moving significantly upwards. Given your multi -decade experience in the industry, how significant do you see this happening? And how beneficial it is for integrated player like ourselves?

Subhrakant Panda: You're absolutely right that there are cost pressures on non -integrated producers because chrome ore prices are moving up. If you look at UG2 prices in South Africa, they are around USD 300 a tonne. I haven't kept track of domestic prices in India, but they continue to be elevated. So as a result, there are significant cost pressures. And from that point of view, the fact that we have a fully integrated business model is what adds to our resilience and competitiveness.

Now one has to see how this plays out. But one of the reasons ferrochrome prices have moved up is, as I said, there is growth in stainless steel, not tearaway growth, but there is growth in stainless steel, but more importantly, there are cost pressures.

If demand improves further on account of stimulus measures in China, on account of some of the geopolitical issues sort of moving towards resolution, etc, if demand were to pick up a little bit more, I definitely see ferrochrome prices moving up.

And equally, a lot of non -integrated producers in India have cut back production. There have been cutbacks in production other than in South Africa. We do see a sort of a structural sort of gap between demand and supply persisting over the next 1 to 2 years, which should be supportive of prices. Iffifa

Indian Metals & Ferro Alloys Limited
February 06 , 202 6

Page 6 of 21

But then again, I would say this with a caution that this is a general trend that we envisage, but we don't really look at anything beyond the ongoing in the next quarter because experience has taught us not to get ahead of ourselves. But I don't see any curveball coming out from the left field, which significantly alters the market dynamics at this point in time.

Aashav Patel: Got it. And sir, impact of Chinese anti -involution is already visible on ground?

Subhrakant Panda: No, whatever they have, ferrochrome production in China has picked up significantly in line with South Africa cutting back. And, if they are taking some smaller inefficient furnaces out, they are adding capacity both in ferrochrome and the same exercise is happening in stainless steel. But China is a consumer. As you know, they have a significant export duty on ferrochrome. We don't see increase in Chinese ferrochrome production being a threat in any manner to ferrochrome prices globally.

Moderator: The next question comes from the line of Parthiv Jhonsa from Anand Rath Group.
Parthiv Jhonsa: Congratulations on a great set of numbers. Sir, just quickly wanted to

again circle back to the

entire South Africa tariff scenario. Considering if things work out in their favor, do you expect all the smelters from Glencore and Samancor to come on stream?

Or it is only for certain smelters which would be there and a couple of smelters which are actually not operational since some time now, they will not come back on stream? Because if that happens, the supply crunch still persists, if I'm not mistaken. Is the understanding and thinking correct, sir?

Subhrakant Panda: Parthiv, thank you for your kind words on IMFA's numbers for the quarter. As far as South Africa is concerned, again, to reiterate, the tariff announced for 2 companies has come down from ZAR 0.135 to, I mean, ZAR 0.87 from ZAR 0.135 to ZAR 0.87. And as I mentioned, what we read is that it covers Eskom's variable cost and part of some legacy costs.

I think the concerns which have been expressed about how sustainable this is, is on account of the fact that it is for 2 companies, and certainly, it will lead to demands from others is the expectations, whether it is manganese steel, aluminium, etc. And the second that, obviously, covering only variable costs may not be sustainable, and that is where NERSA has very clearly said that the government has to reimburse and the burden shouldn't go on to the common to the average consumer.

And the ferrochrome producers on their side are saying that 87 is not good enough, and it needs to be 62. This is a situation which is in flux. It's not something into which, we are seeing it from outside and reading about it, but I don't have any particular insight. But there is a lot of skepticism, which has been expressed about how feasible is this and how sustainable is it going to be. One. And in terms of revival of ferrochrome production, I understand some of the smaller capacity, etc, has, I believe, permanently shut down.

Iffifa

Indian Metals & Ferro Alloys Limited
February 06, 2026

Page 7 of 21

Now if you look at the larger producers, I think their capacity can be divided into the more efficient ones like Glencore's Lion and the rest which are less efficient. As of now, we don't have any concrete information on, although I believe that Glencore might be restarting its Lion facilities in February or March. But then again, as I said, my expectation is that you can't have ore exports to China at exactly the same levels even as ferrochrome prices pick up because, first of all, there is the availability issue.

And second, if there has been a distinct increase in Chinese ferrochrome production corresponding or consequential to a reduction in South African output. Now if Chinese output doesn't come down and South Africa adds its capacity, then logically, ferrochrome prices will fall. And forget about what it does to us. I mean that in itself is going to defeat the whole purpose of giving special tariffs to South African ferrochrome producers.

You can't look at one part of the equation and say that tariffs have been brought down and therefore, everything is hunky-dory. I think this is a complex equation, and there are multiple factors at play. And you plug one leak somewhere and it will show up somewhere else. That's our take on the situation.

Parthiv Jhonsa: Thank you for such an elaborate answer, especially considering the entire global macro is interlinked to the entire fact. Sir, my second question is pertaining to your EBITDA per tonne. I just wanted to get a sense that EBITDA per tonne has actually surpassed this INR25,000 mark, especially after Q2 of '25. So, after multiple quarters, you have actually surpassed that mark. Just wanted to understand what has changed between Q2 to Q3 that there is a substantial jump in the profitability? And also, how do you plan your Q4? Considering you have given the guidance at for '27 and '28, just wanted to get a sense of re-raising guidance or whatever you can share for

Q4 and also for the next few years?

Subhrakant Panda: Parthiv, the short answer to what has changed between Q2 and Q3 of FY '26 is ferrochrome prices. Realizations have moved up by roughly by about INR6,000 a tonne. That is what translates through into the improved EBITDA margins. In a single word, it is prices.

And as I said, in ongoing Q4, we did see that the INR117,000, INR118,000 come down briefly to about INR106,000 to INR108,000. But again, leading up to the Chinese New Year holidays where there tends to be a little bit of stocking up by Chinese buyers and consequent to over constraints and elevated prices, domestic prices have moved back up to the INR118,000 to INR120,000 a tonne mark.

We do expect the current, what the average pricing that we saw in Q3 to more or less translate

through into Q4, possibly with a slight upward bias. So, we are reasonably confident about similar EBITDA margins in the fourth quarter as well.

Iffifa

Indian Metals & Ferro Alloys Limited

February 06 , 202 6

Page 8 of 21

Parthiv Jhonsa: Perfect. And sir, what the ore raising, I think you have done like 265,000 tonnes plus of ore raising. So similar pace would continue even Q4?

Subhrakant Panda: Q3 and Q4 are the good quarters for ore raising because it is post monsoons, and even from a weather perspective, you're not in the peak summer, etc. Q3, Q4 are the peak ore raising time.

Just a word on the general trajectory.

As you know, in FY '25, our total ore raising was approximately 725,000 tonnes. And as far as FY '26 is concerned, we are looking at 850,000 tonnes, broadly speaking. And as we have said, every year for the next 1 or 2 years is going to be a record because we are scaling up ore raising to cater to increased demand and the excess stock that we have been carrying will start getting now consumed because of the additional capacity.

And the Board at its meeting yesterday also approved the annual budget for FY '27. And that's going to be a milestone year for us because we are targeting 1 million tonnes of ore raising, that is 10 lakh tonnes in FY '27. Just to reiterate here the obvious point that our existing capacity, smelting capacity plus expansion plus acquisition is going to be catered to entirely from captive mines, and we are not going to be buying any ore.

Parthiv Jhonsa: Okay. Perfect. And just a very quick, very generic question on the greenfield facility. How better is the technoeconomic parameters compared to your other existing facilities? If you can just quantify in the percentage terms?

Subhrakant Panda: When you talk about technoeconomic, the fact that, we're putting it up now. Whatever learnings we have from our previous furnaces and whatever shortcomings that we see, we try to address that in the design situation. We have moved to a closed furnace design, which added to the capex a little bit.

But obviously, that enables us to get better norms and roughly about 8, 8.5 megawatts of power generation. But other question, which you and I, in particular, had this conversation during the CNBC panel post the announcement of the acquisition is that Kali nganagar is, from a logistics point of view, very friendly given that we are close to captive mines, close to stainless steel producers who are our consumers and close to Paradip port.

Once we get over the initial stabilization phase and do keep in mind that when the new furnaces come online, we will have an initial period of stabilization, and the heating period means you are consuming energy without getting ferrochrome production in turn.

But leaving that aside, when you're in a steady-state operation, we expect our weighted average EBITDA cost for the expanded output to reduce by about INR1,500 to INR2,000 a tonne on account of logistics costs and all of that. That is something will obviously add to our margins.

Subhrakant Panda: Obviously, the most important variable here is what, w

here ferrochrome prices, how they pan

out. We do expect, as I said, while we are not, we don't do really projections of ferrochrome prices, we can only give a little bit of visibility into the ongoing quarters and the next quarter. Iffifa

Indian Metals & Ferro Alloys Limited

February 06 , 202 6

Page 9 of 21

But the market dynamics are such that there will be some volatility. It's not going to be a steady line or only with an upward bias.

But our key commitment is that we have the wherewithal to be more competitive and more resilient than most. So that is one. In terms of cost structure, I mean, independent of this, I believe we have seen the lowest prices in the recent past in metallurgical coke prices, and that's something which is trending upwards a little bit.

But then again, it will, all of this will put pressure on bringing cost pressures on the entire value chain and should translate through into perhaps better ferrochrome prices because while we are fairly comfortable with our EBITDA margins, that number doesn't apply to, or that position doesn't apply to all producers.

Moderator: The next question comes from the line of Harsh Vasa from SBI Securities.

Harsh Vasa: Congrats, sir, on a robust set of results and to the entire team. Sir, my question was that what would be the capex for FY '26, '27, '28, if you could break up? And the capex would be what

for, which part like the amount, for example, for the mines and for the greenfield and like that, like the total?

Saunak Gupta: On the capex side, in KNR 1, we have almost spent out 60% this year. About 40% will be remaining, which will be around INR300-odd crores and will be spent in the next year. And the other one would be the residual value of the ethanol project, which mostly we'll be spending in this year, and about INR50 odd crores will remain for next year.

For the mines, we have around INR200 crores of capital outlay or spend cash outflow next year.

Approximately next year, we are expecting somewhere around INR600 crores plus general capex that we'll be spending out. In the following year, it is primarily the expansion of the underground projects will be the majority spent.

This is the overall outlay that we have somewhat planned for next 2 years. And it is like INR600 crores next year and another INR400 crores to INR500 crores the year following. So, INR1,000 crores will be spent for the next 2 years.

Harsh Vasa: Okay. Sir, what was the capex which you have already incurred in this year?

Saunak Gupta: We have already incurred overall INR370 odd crores this year.

Harsh Vasa: Okay. And for the next 3 months, any amount, tentative amount?

Saunak Gupta: In next 3 months, we have a plan of approximately INR270 crores to INR280 crores of spend.

Subhrakant Panda: Thank you, Harsh. I'll just take this opportunity to just provide a little bit more insight. Just to remind everyone that as far as our acquisition is concerned, which is at a base price of INR610 crores plus GST plus net working capital, that's going to be funded entirely out of internal accruals, and in as much as our KNR 1 project is concerned, we do have a loan sanction of about, Ifffa

Indian Metals & Ferro Alloys Limited

February 06, 2026

Page 10 of 21

INR470 odd crores. And the drawdown of long-term debt as of now is a little short of INR80 crores.

We have hardly drawn down. We are focused more on internal accruals to meet our capex requirements thus far. And we expect the strength of the balance sheet to continue even after the payout, etc, we will still have a comfortable cash position. And of course, with expanded capacity, we will have, I mean, enhanced working capital available. The focus is still to have a conservative bent of mind in terms of taking on debt.

Moderator: Our next question comes from the line of Kaushal Kedia from Wallfort PMS.

Kaushal Kedia: Sir, I have a generic question

on the entire space. We heard the Vice President of the United

States mentioned critical minerals and they had a conference where they invited their partners.

What do you think Chromium is a critical mineral for the U.S. and they are setting up a price floor for it? I just wanted your thoughts on this. What is happening? And what is this price floor that you look at it?

Subhrakant Panda: As far as critical minerals are concerned, as all of you are obviously aware that China has an overwhelming position in terms of not just reserves that they are able to extract, but also the processing thereof. And that is where I think the rest of the world is scrambling to get to some degree of self-sufficiency. If I look at it from India's perspective, lots of initiatives announced by the central government, which is the PLI scheme for rare earth permanent magnets, which is outlays for recovering critical minerals from tailings.

And as far as the current budget, which was announced a few days ago is concerned, there was a reference to the critical minerals' corridor comprising Odisha, Andhra and a few other states. Clearly, given the importance of critical minerals and rare earth elements, the fact that they're used from everything from household white goods to fighter aircraft and the sort, it's something that all countries are scrambling.

The U.S. has announced this large fund that they are creating to stock up on critical minerals. Secondly, through the other initiatives, they are looking at coordinated action. That's where I think critical minerals stand. And again, I'll take the opportunity to expand the question and respond. It's an area which we have identified as a potential area of interest for us because there is a degree of similarity because it involves mining and processing of minerals. That's something that we are closely evaluating. And when we find the right opportunity, which is value accretive, we will move forward on it.

Kaushal Kedia: Sir, I have a few accounting questions. What is the cash and balance sheet as of today?

Saunak Gupta: The total amount which we are having, including investments in mutual funds and bonds is close to INR1,100 crores in our balance sheet.

Kaushal Kedia: I wanted to understand the payment. Ifffa

Indian Metals & Ferro Alloys Limited

February 06, 2026

Saunak Gupta: Yes, INR610 crores base amount for acquisition plus GST . We expect somewhere around INR700 crores will be the outflow. We'll still have INR 400 crores out of INR 1000 crores , in our balance sheet plus the future cash accruals from the business.

Kaushal Kedia: Just to draw a sense, by the end of March, we'll have about INR400 crores post the Tata payment and about INR300 crores of capex that you mentioned earlier that you will incur this year.

Saunak Gupta: Yes. we have capex , but we also have unutilized whatever our MD said is that we have about INR470 crores of sanctioned term loan limit, which we have utilized only about INR80 crores.

Overall, around INR390 crores we have unutilized, which we will see how much we will utilize .

Obviously, the cash position that we will have after all payments expected to be minimum INR 300 crores .

Kaushal Kedia: Just back on your calculation, if the EBITDA margin continues to be the same for Q4 , taking that into consideration, we should be somewhere around INR300 crores of cash in March, hopefully.

Saunak Gupta: Yes, you are right. It will be INR300-plus crores of cash if the EBITDA continues in the same range. I just wanted to close on what Kaushal said. The position is that whatever we were saying on INR300 crores of capex payment that we'll be doing, we will be still having in our hand INR300-plus crores of cash position accrual after payment of whatever is the acquisition as well as unutilized term loan of INR390-odd crores. Almost INR700 crores will be there in our hand.

We will

just see how we will be actually paying out those cash outlays. We have sufficient funds in hand .

Moderator: We'll move to the next participant that is Madhu Chaturvedi from MAIQ Investment Advisors LLP.

Madhur Chaturvedi: Congratulations on a fantastic set of numbers. You guys have taken a lot of time and answered most of the questions. Just one sort of bookkeeping question from my end. I think after a while, just our ferrochrome production in tonnes was slightly more than our ferrochrome sales. Was wondering is this a sort of strategic thing for are we seeing a bigger order next quarter? Is this maybe an impact of the slight price increase we've seen? I was wondering if there was any reason to it.

Subhrakant Panda: Broadly, I would say, Madhur, that in terms of quarterly production, we look at 65,000, 66,000 tonnes, maybe up a little bit down, there and thereabouts, and similar sales. I think in the recent, in the past 2, 3 quarters, In Q2, there was a lot of pressure from customers for supplies, which is where we ate into inventory a little bit and sold about, if I remember correctly, in Q2, the sales volume was close to 69,000 tonnes, which was a bit of an outlier.

But we have sort of come back to that 65,000, 66,000 tonnes sales and similar sort of production numbers. We expect in terms of production for the ongoing FY '26 we expect to close at about 265,000 tonnes and sales broadly similar numbers. Iflfa

Indian Metals & Ferro Alloys Limited

February 06 , 202 6

The real jump, of course, will come from Q1 FY '27 onwards when additional volumes come into play. But not so much trying to gain the market. Obviously, prices increase when there is demand. So, it's not just a question of trying to encash on higher prices but also making sure that our long -term customers with whom we have relationships, we try to meet their requirements in terms of additional to nages as and when it comes up.

Moderator: The next question comes from the line of Joe Shah from 7 Seas.

Joe Shah: Congratulations. We are going very well on our growth plan as far as KNR 1 and KNR 2 are concerned. I think by June '26, we'll be quite well on this plant. Now second thing, recently, Government of India has announced that coking coal is notified as a critical mineral. And my understanding is that in India, we do not have low phosphorus coking coal available and mostly we have inferior coking coal. So, what is your take on this coking coal?

Subhrakant Panda: You're absolutely right. As far as coking coal is concerned, India doesn't have very large reserves, we have very large reserves of coal, thermal coal, but not large reserves at all of coking coal. And moreover, what is there is a grade that we cannot really use in the ferrochrome industry, which is why, especially given the grade of ferrochrome that we produce, we are entirely dependent upon imported metallurgical coke from Colombia and from other sources. Yes, the declaration of coking coal as a strategic mineral has definite implications for the steel industry. This is a large import win for them and development of coking coal mines domestically will ease some of that pressure. But realistically speaking, no significant impact for the ferrochrome industry.

Joe Shah: Okay. Now one more question about Sukinda Chromite Mine signed up by Tata Steel. Looking at the past happening of Hindustan Copper getting copper mine in Madhya Pradesh, we also get excited that IMFA should also get the Sukinda Chromite Mine, whenever it comes on table. So, what is your idea?

Subhrakant Panda: They've announced that they would surrender. The process is yet to be completed. It's only when it comes up for auction that we can have a strategy. But my answer would remain the same that as with any other opportunity, we will evaluate anything which is interesting, we will certainly evaluate, and we will move ahead if we see it as

being value accretive.

Moderator: The next question comes from the line of Sanket Kapoor from Kapoor Company.

Sanket Kapoor: Firstly, pertaining to our capex and the underground mining part. So, if you could just outline to us what's the roadmap? How much have we spent? And pertaining to this underground mining, what amount of the capex goes towards the equipment? And whether we will be opting for the MDO route for the ore that will be taken out? Or what is the thought process there?

Subhrakant Panda: I'll ask Saunak to share the capex numbers. We also have Sandeep Narade, who is our mining business head on the call. Broadly, the figure for capex for underground mining is roughly

INR1,000 crores. Iffla

Indian Metals & Ferro Alloys Limited

February 06, 2026

Page 13 of 21

Saunak Gupta: On the overall capex budget of INR1,000 crores, we have till now already ordered approximately INR780 crores. At present, cash outlay is around INR120 crores till now. And as I was saying

that in next year, there is higher amount of cash outlay on this, with a mixture of both infrastructure capex payments as well as development costs that we have to incur for building

up the whole underground mine. But I'll also ask Sandeep if he can just add a little more on that.

Sanket Kapoor: There is a point here, INR780 crores of order tendering are on the equipment part. So, are we

importing this equipment? Or are we sourcing them?

Subhrakant Panda: No, INR780 crores is not just equipment. It also includes an element of development because the underground, 2 ventilation shafts, the decline and the main shaft are all being developed.

There is a significant element of equipment in there like winders and all of that, INR 780 crores

is not just equipment.

Sandeep Narade: Mostly, we are operating on the MDO mode. And out of overall capex, about 25% of amount will be spent by us for major equipment like the shaft winders and fans. Rest will be the service contract with the MDOs.

Sanket Kapoor: And sir, are we sourcing this equipment domestically because there are a few players in the country that are developing. In fact, one player only Eimco Elecon that develops, I think, so

underground mining equipment and then the Gainwell Group. So, are we in?

Sandeep Narade: No, all these equipment are not in our scope. They are in the scope of MDOs, and they are developing in India and also getting from outside.

Sanket Kapoor: Okay, sir. And lastly, sir, Pandaji, for the ethanol part of the story, sir, firstly, you have

articulated that it was the land that was available to us, and we were, that was unutilized and the

availability of, I think so the RM was there in abundance that led to the project. But taking into

account the line of interest that we have, what likelihood is going to be the story for ethanol,

because INR250 crores, INR300 crores worth of project will also have management bandwidth

and will have its own vagaries and nuisances going ahead, depending upon the government

policy. Going ahead, how much of this ethanol is going to be a part of IMFA in the foreseeable

future?

Subhrakant Panda: Slight correction. It was not just available land, but also other infrastructure such as railway

sidings and all of that for bulk handling of raw material. That is one. Second, as we scale up our

ferrochrome capacity closer to the mines in, I mean in Choudwar of course, there is no further

scaling up. But in Kalinganagar, at some point in time, that will lead to a deemphasis on

Therubali. Therefore, it is important for us to find alternate users on what we can do there.

Second, minor correction. The capex for the 120 KLD unit is INR150 crores, not INR250 crores,

I believe, adequately conveyed that this is a small diversification because we do need to see what

we can do with, in Therubali. And it is only if we believe that we cracked the code and are able

to, this is more aligned

given that it's a B2B industrial product, it is more aligned with our

philosophy than FMCG, for example, as I've been saying. But it is only, if we believe that we Iffla

Indian Metals & Ferro Alloys Limited

February 06, 2026

have cracked the code, and we can make it something value accretive that we will consider further expansions.

As of now, no further expansion commitments. We will review how this project plays out and then see what we want to take it forward. But I'll just take this opportunity to reiterate that our primary focus remains the core business, which is ferrochrome. And that is where the maximum time, attention and focus will be. So, I would hope that there isn't any anxiety on that front.

Moderator: The next question comes from the line of Manan Vandur from Wallfort PMS.

Manan Vandur: Sir, my one question was that what was the average cost of coke per tonne in Q3? And what is the current price also for this current Q4 quarter?

Subhrakant Panda: Sureshbabu, who heads our Ferro Alloys business unit can provide the details. Broadly, we are currently consuming coke, which is around USD 250 a tonne mark, and we are expecting that to move up a little bit in future procurements.

Sureshbabu Chigurupalli: It is around INR28,000 and USD 5 are expected to rise in the coming quarter.

Manan Vandur: Just a follow-up on this, INR28,000 was average for Q3. As you're saying is this current market price?

Sureshbabu Chigurupalli: Yes, the current.

Manan Vandur: Okay. Current is INR28,000 and you are saying that around USD 5 can increase from here. And what was the average for Q3?

Subhrakant Panda: Manan, we have broadly shared the details. I don't want to go into specific products and specific inputs and exact pricing. Broadly, we have shared the numbers that there had been in line with the pricing pressure or ferrochrome realization pressure going back 2, 3 quarters, coke prices had come down noticeably. And we believe it has hit rock bottom.

And our current stock, what we are consuming is around the USD 250 mark. And Suresh is a little aggressive when he looks at USD 5. I would say that there might be a slight bit more upward bias in terms of costing for metallurgical coke. But it is something that will add to our EBITDA cost a little bit, but not something which will be very significant.

Moderator: The next question comes from the line of Amit Lodha from Sanmati Consultants.

Amit Lodha: Congratulations. Most of my questions have already been answered. I have got only one question, sir, related to shareholders. Actually, in recent times, your stock price has gone to a very good level. And we as an investor when we bought the shares and find it very difficult to get the required quantity of the shares from the market and the price has shot up as there is wide fluctuation in the prices coming up and going down.

Again, INR1,500, then INR1,100. So, there is a market, of course, that is the market for which the management is nothing to do. But I only have one suggestion. Since all the ferro alloy Iffla Indian Metals & Ferro Alloys Limited

February 06, 2026

companies like Bawa Alloys Limited, Godavari Power & Ispat Limited, then Vedanta, then Hindustan Zinc, all are having the lower denominations sir. They all are having INR1 or INR2 denominations.

I would request the management in the overall interest of the shareholder that management should consider this subdivision of the equity in appropriate either INR1 or INR2, enabled by small shareholder, not only small shareholder plus mutual fund holder also, and they can easily get in the shares, and they get out of the shares when they want. And that will reduce the fluctuation in the market. That is only suggestion from my side. Thank you very much.

Subhrakant Panda: Thank you, Amit ji, for your suggestion. We will certainly take that under consideration. I know

this topic has come up about having adequate floating stock to provide liquidity, but there are pros and cons to everything, but this is certainly, we will certainly take your suggestion on board and always have the interest of shareholders paramount when we look at taking any actions.

Moderator: The next question comes from the line of Rita from Kotak Securities.

Rita: Congrats to the management for such an excellent result. I'd like to just ask on the question regarding what was the EBITDA margin for the previous quarter and what is expected in the next quarter?

Subhrakant Panda: EBITDA margins, we have actually issued that in the press release. So previous quarter as in Q2 was, if I remember correctly, around the 18% to 19% number and EBITDA margin in Q3 FY '26 is a little more than 23%.

Rita: And what will be expected for Q4?

Subhrakant Panda: Provided prices hold, which is what we expect it to be, we expect it to be sort of similar.

Rita: And secondly, sir, in terms of what we say for the coke INR28,000 price, so is it that INR28,000 gets fully accommodated or there is a specific set of consumption of coke, which reduces the

coke cost or there is a 1:1 ratio for reduced.

Subhrakant Panda: It's roughly 0.65 tonnes of coke per tonne of ferrochrome.

Rita: And is it the same case for ore as well that we, how much ore we gave that much?

Subhrakant Panda: Roughly 2.5 tonnes of chrome ore per tonne of ferrochrome.

Moderator: The next question comes from the line of Vinit Thakur from Plus91 AMC.

Vinit Thakur: I would just like to know what would be a sustainable EBITDA post the Tata Steel incorporation of the plant? And when could we see the revenue coming from it as well on our, from that plant itself?

Subhrakant Panda: The second question is easier to answer, which is that we expect meaningful contribution to top line and to financial numbers from Q1 FY '27 itself. As I mentioned, we are looking to close the Iffla

Indian Metals & Ferro Alloys Limited

February 06 , 202 6

Page 16 of 21

deal in the ongoing quarter, in fact, possibly in February itself. We might get a little bit of output in March, but we are not really taking that into consideration. If anything comes, that's the bonus. But realistically speaking, from first quarter of FY '27, and as far as sustainable margins are concerned, there are 2 factors. Clearly, there is volatility both in realizations as well as in input costs.

We are, in as much as chrome ore is concerned, we are relatively sheltered in terms of any impact. But when it comes to metallurgical coke, when it comes to thermal coal for power generation, etc, obviously, we are exposed to a degree of volatility. But what will, just to reiterate a point I had made earlier in the call, what will be a significant sustainable advantage of the KNR facilities, KNR 1 and 2 is that logistically, it is far friendlier, similar to or perhaps even better than Choudwar. And therefore, we are expecting between INR1,500 to INR2,000 a tonne at least of reduction in weighted average EBITDA costing.

Vinit Thakur: I want the capex like we have planned for the near term, what would be our total capex plan? And what would be our peak debt as well?

Saunak Gupta: For Kalinganagar project, we have a total capex plan of INR800-odd crores. That we will be spending out by mid next financial year. And for ethanol, we have INR150 crores that already a major chunk will be spent by this year and the residual amount left will be spent next year.

On the mine side, we have said we have an overall capex of INR1,000 crores, but it will be spent out in next 4 to 5 years as we go for the developments. These are the 3 key ones. And in Kalinganagar 2, Tata Steel unit that we'll be acquiring, the asset transfer of the unit, with GST is around INR700 crores. This is the overall spend out, which we are doing.

Subhrakant Panda: And of

course, for the GST, we will get back, we'll get input tax credit.

Vinit Thakur: What would be your peak debt?

Subhrakant Panda: Broadly, at the moment, our, the long-term debt drawdown against the sanctioned limit is just short of INR80 crores. The sanctioned amount is INR470 crores but depending upon how the ongoing and the next quarters go, we may not even draw down the full debt amount. We'll see how that, but theoretically, the maximum it will go up to is INR450 crores, INR470 crores. And from a debt equity point of view, we are not looking at, I mean, our outer limit is 0.5, but we are not expecting to go beyond 0.3 at most.

Moderator: The next question comes from the line of Akshita from SBI Life Insurance.

Akshita: Sir, my question is regarding the market. What is the expected market in quarter 4? How is the prices going to react?

Subhrakant Panda: As I said, early on in Q4, there was a slight dip in prices. But now primarily on account, I would say, of Chinese demand stocking up before the New Year holidays, domestic prices have moved up to INR118,000 to INR120,000 a tonne, and Chinese prices are at about USD 0.96 to USD 0.97. Iffla

Indian Metals & Ferro Alloys Limited

February 06 , 202 6

Page 17 of 21

But in our case, we have long-term commitments and therefore, offtake is not an issue at all. And we'll have to see how exactly the price plays out. But at the moment, we are reasonably confident that price realization will stay around the same levels on an average for the entire quarter will stay at the same levels as Q3. And therefore, we can expect similar EBITDA margins.

Akshita: Okay. Sir, as of now, what is our export and domestic ratio?

Subhrakant Panda: Very heavily skewed towards exports in excess of 90%. Going ahead, in 2 years' time, we are

expecting 60 -40 still slightly in favor of exports, but certainly more sort of more focus on the domestic market to ensure that demand is properly met.

Akshita: Sir, what is our ratio for the LTC and spot mix?

Subhrakant Panda: We have primarily long -term contracts, Akshita. The difference between the 2 categories of long-term contracts is where we have binding offtake contracts for 1 year or 5 years as in the case of POSCO. But what we technically categorize as spot sales is repeat sales to the same customers without any month ly or annual commitment. So, we don't really do spot sales where we find new customers and all of that.

Now with added tonnage, we will certainly look at certain niche geographies and all of that, plus we have also started producing niche ferrochrome with 015 phosphorus maximum and 1.5% silicon maximum, which has a significant premium of about 25% or so. For that, we are selling now, starting to sell to some specific customers in Japan. But other than that, I mean, you could broadly call our entire marketing strategy as long -term oriented.

Akshita: Okay, sir. And can you just tell me what are the major customers, like you m entioned for POSCO 2 to 3 major customers?

Subhrakant Panda: We have a joint venture with POSCO alongside a long -term contract. We sell to customers in Taiwan, in Japan, we do have sales in China. We sell small quantities in Europe, which will probably we will look to perhaps increase a little bit when we expand our capacity.

Moderator: The next question comes from the line of Pritesh from Lucky Investments.

Pritesh: Yes, sir. What is the volume guidance for FY '27, the ferrochrome guidance?

Subhrakant Panda: What we have indicated because we have the acquisition coming online and we have the commissioning of our greenfield unit taking place in starting June. So, from the present levels of about 260,000 tonnes, give or take a little bit, we have indicated that w e expect production volume in FY '27 to be approximately 400,000 tonnes, and we expect the volume in FY '28 to be between 475,000 to 500,000 tonnes. These are, of cour

se, barring any unexpected developments, but I don't foresee anything of that sort. Ifflfa
Indian Metals & Ferro Alloys Limited
February 06 , 202 6

Page 18 of 21

Pritesh: So just to continue here, these capacities, what is the breakeven utilization level of the incremental capacity?

Subhrakant Panda: I don't think we have really counted, I mean, we have really analyzed it in that manner, but we are absolutely running neck and neck in terms of our ability to produce and sell. In terms of volume, given that the total consumption of ferrochrome worldwide is in the range of 16 million, 17 million tonnes, enhanced capacity placing that with, we get a lot of pressure from customers to increase volumes. So that's not a concern at all for us.

Pritesh: My question was what the breakeven levels is usually of these capacities. They start producing after 50% capacity utilization starts running out profits or from that angle, I was asking.

Subhrakant Panda: I understand, but that again depends upon a variety of factors. If you don't have captive ore, then the breakeven levels will be much higher. But as I said, that's not something that we have specifically gone into depth.

Pritesh: And just one confirmation. Based on the setup that you talked about Africa and it's a zero -sum game and considering the capacity, which is shut down, the overall concern does it make you believe that the ferrochrome price will stay higher than what they were in the recent years that we saw. Usually, the chrome price, ferrochrome price oscillated from 85 to 95. And are we in a lower band? At least that directionally can be concluded or even that cannot be concluded.

Subhrakant Panda: I think the way you put it at the end is a better way to look at it, which is that there will be some volatility going ahead. It would be foolish of me to say that it's only going to be in an upward direction here on. There will be. But I think in the near term, what we can see, we are quite confident about the market dynamics.

But if I were to stretch your question, the period that you mentioned in your question from 1 to 2 years, if you look at the last 10 years, clearly, slowly but steadily the band has moved up. And I'd like to mention that last year when we had an analyst and investor interaction, physical interaction in Mumbai, I had made a point that judging by our experience and what we see, I would broadly think that a fair price for ferrochrome is in that INR105,000 to INR110,000 range, and taking into account cost pressures and all of that. But there will be obviously a range below and above that.

Moderator: The next question comes from the line of Aashav Patel from Molecule Ventures PMS.

Aashav Patel: My last question, sir, is that domestic, as you rightly mentioned that most of our production volume is tied up with long -term contracts and specifically more so tilted towards export side.

But recently, we have been observing over the last few months, domestic ferrochrome realizations have been much higher than the global ferrochrome realizations.

Do you see a case for dedicating 1 of the 2 upcoming Kalinganagar facilities, maybe specifically to cater to the domestic spot market and so that as a strategy to capture the spot increases better, domestic spot increase in realizations better? Ifflfa
Indian Metals & Ferro Alloys Limited
February 06 , 202 6

Page 19 of 21

Subhrakant Panda: Aashav, as I very clearly said, we expect to move from 90 -10, that is 90% exports and 10% domestic market at present with enhanced capacity over the next few years for it to be somewhere around 60 -40. So, but that's not only a reaction to domestic prices b ecause there will be prices domestically or internationally will move up and down a little bit. But we believe as the market leader, it is, in many ways, our responsibility to see that we are able to meet domestic demand. That should be o ur

priority, and that is what we intend to do.

Moderator: The next question comes from the line of Aditya Mutha , an Individual Investor .

Aditya Mutha : Almost all my questions have been answered. I just want to know what was our variable power cost for this quarter?

Subhrakant Panda: Aditya, we would not like to get into specific details, but variable power costs moved up a little bit in line with the quality of coal received as well as certain price increases. But nothing very significant. Broadly, I would categorize it as, I mean, it's moved up by about INR0.10 or INR0.15 per unit. Nothing that I would say that has added significantly to our cost structures.

Moderator: The next question comes from the line of Pragyam Laddha from Omni Securities.

Pragyam Laddha: All my questions have been answered. Just one question. Do you see a one -off due to the Tata Kalinganagar plant integration in Q1 and Q2?

Subhrakant Panda: No, I don't see any one -off in that regard. But again, when you start up all the furnaces, there will be an initial heating up period and some power consumption, etc. Some start -up costs will be there, but nothing one -off in terms of integration costs, may be some investments in aligning our ERPs and all that because they are on SAP, we are on Oracle. But nothing major in that regard.

Pragyam Laddha: No major margin pressures, right?

Subhrakant Panda: No margin accretion in fact.

Moderator: The next question comes from the line of Joe Shah from 7 Seas Business Solution.

Joe Shah: Subhrakant, I think our worries would be South African production. I understand that there is a lot of movement to reduce power cost for supply to Glencore and Samancor and go to ZAR0.62. And people are over there, they are saying that South African Minist ry will be really available unlike in India.

My counterpart met him just 2 days ago, and he said there will not be any tariff on the export of chrome ore. They are very clear about it. And they say that such tariff will ultimately go to the miners, which they are not ready to do. And second thing, thi s funding of this cheap power is concerned, they are saying that there are so many benefits involved in pushing up the entire economy of South Africa. They are looking for taking this South African economy out, by focusing on the ferrochrome production. And they are planning to have 3.5 million tonnes to 4 million tonnes of ferrochrome production. Ifflfa

Indian Metals & Ferro Alloys Limited

February 06 , 202 6

Page 20 of 21

And even they were saying that they are looking at India also as their market. Obviously, we can have anti -dumping duty for South Africa to protect our market, but still China and other places could be a bit difficult area. So, I would like to have your vi ews. This is, I think, a real challenge coming to IMFA, the South African production and other things, we are quite safe. But the South African is a big worry for us also. So, will you please give me your views, please?

Subhrakant Panda: As I've said, and I will reiterate that I wouldn't want to focus on issues which are not in our control. I believe that we have the right business model, thanks to our captive mines and power generation, the ability to be resilient and competitive. And that is all that I would focus on. And we have the marketing relationships and the tie -ups to be able to place this. And I believe that you will not simply see an increase in production of ferrochrome in South Africa without a corresponding impact on ore exports.

And not to mention because of scale back production last year, their grid was relatively stable.

As I said, this is a complex equation. It is not a simple thing that rates have been brought down, and ferrochrome production will increase, and therefore, there will be an imbalance, which will

lead to lower prices. I believe it is a far more complex scenario, and there are various trade-offs

s

involved. So, is it something that we are looking at and observing? Absolutely. But we are confident about our ability to be competitive. And I think in the end, that's what matters.

Joe Shah: So, you think that Indian ferrochrome cost of production will be quite competitive as compared to the South African cost of production?

Subhrakant Panda: I would not say Indian ferrochrome production cost, but a fully integrated producer in India.

Moderator: Ladies and gentlemen, the last question comes from the line of Anand Sinha from Coal India.

Anant Sarda : Yes. Just to see that I'm from Chattisgarh Investment Limited. My name is Anant Sarda.

Congratulations on the brilliant set of results. I just have a question that, sir, there is 150,000 tonnes of capacity, furnace capacity in the Tata project and about 50,000 tonnes of furnace capacity was incomplete. So, do you have any kind of, like what is the status of that? And when can that be online?

Subhrakant Panda: You're right. The unit has 4 16.5 M VA furnaces, which are capable of producing 100,000 tonnes, which are good to go. And there is a 33 M VA furnace, which is partially complete, which can produce another 50,000 tonnes. Our estimate is approximately a year's time and roughly INR50 crores of capex to make that operational. So, when we take control of the unit, our first focus will be on maximizing output from the existing operational furnaces while, of course, evaluating and proceeding with completing the fifth furnace and getting that additional tonnage from there.

Anant Sarda : Okay. And sir, like you said that you're going to shift the international to domestic sales from 90-10 to 60 -40 in maybe 2 years' time. But immediately, we can see that the ferrochrome prices in domestic market are quite higher, as pointed by one of the fellow investors. Will the Tata Iffla Indian Metals & Ferro Alloys Limited

February 06 , 202 6

Page 21 of 21

Kalinganagar 2, the Tata acquisition, will that be particularly used for spot market in the next financial year, sir?

Subhrakant Panda: In the next financial year, we will also have our greenfield project commissioned. The point is that we will, first and foremost, give priority to, wherever we have contractual commitments, that is what is our topmost priority. We are not going to divert tonnages because of higher realizations elsewhere because I think it is important to be considered a credible and reliable supplier.

The second point I have made conceptually is that as the largest producer in India, it is incumbent upon us to make sure that the domestic market is supplied to the best of our ability. So, taking that in mind, we are looking at the 90 -10 becoming 60 -40 over the course of the next 2 years. But we will obviously retain the flexibility to sell internationally or domestically depending upon market conditions and demand.

Anant Sarda : Okay, sir. And last question, sir, what is the road map for critical mineral space? Like where do you want to position yourself maybe in the mining or maybe in processing or both, what kind of strategy are you thinking, sir, for the company?

Subhrakant Panda: Anant, it's very early days yet for us to give any concrete guidance on that. We are evaluating opportunities. And as a general practice, I would say that we are open to evaluating all opportunities which come our way. And we will only pull the trigger on investments if we believe it is value accretive, and we have a degree of competence.

But having said that, I mean, we, of course, both from a mining and a processing perspective, have the competence, but where exactly the opportunity lies and how we can maximize shareholder value is what will guide us. And it's too early for us to give any specific comments on that.

Moderator: Thank you. Ladies and gentlemen, that brings us to the end of the question -and-answer session. I would now like to hand the conference

over to Mr. Abhishek Sawant for the closing remarks.

Abhishek Savant: Thank you and thank you to everyone who joined us today and participated in the discussion. We appreciate your questions and continued interest in IMFA. As always, we remain committed to transparent communication and delivering long -term value to our stakeholders.

In closing, on behalf of the Board of Directors and management, we thank you all for your participation in this call. IMFA remains focused on operational excellence and long -term value creation. Should you have any further questions, please feel free to reach out to us. We look forward to engaging with you again in the near future. Thank you again and have a great evening. Stay safe.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Veritas Reputation, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines. Iffla

Call: Jun 2026

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The Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza

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Bandra (E)

Mumbai-400051

Stock Symbol & Series: IMFA, EQ

Sub : Earnings Call Transcripts

Dear Sir/ Madam, 3rd June 2026

The Deputy General Manager

(Corporate Services)

BSE Limited

Floor 25, P.J. Towers

Dalal Street , Fort

Mumbai-400001

Stock Code : 533047

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio call recording of the Company's Investor/ Analyst Call held on 27th May, 2026 on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and year ended 31st March, 2026 is attached herewith.

You are requested to take the same on record.

Thanking you

Yours faithfully

For INDIAN METALS & FERRO ALLOYS LTD

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Compljny Secretary & Compliance Officer

Membership No: F4001

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Page 1 of 16

"Indian Metals & Ferro Alloys Limited

Q4 FY '2 6 Earnings Conference Call "

May 27, 202 6

MANAGEMENT : MR. SUBHRAKANT PANDA – MANAGING DIRECTOR

MR. SAUNAK GUPTA – CHIEF FINANCIAL OFFICER

MR. SURESHBABU CHIGURUPALLI – HEAD OF FERRO

ALLOYS BUSINESS UNIT

MR. BINOY AGARWALLA – HEAD OF POWER BUSINESS

UNIT

MR. SANDEEP NARADE – HEAD, MINING BUSINESS

UNIT

MODERATOR : MS. SAVLI MANGLE – ADFACTORS PR

Indian Metals & Ferro Alloys Limited
May 27, 2026

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to the Indian Metals and Ferro Alloys Limited Q4 FY '26 Earnings Conference Call hosted by Adfactors PR. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Savli Mangle from Adfactors PR.

Thank you, and over to you, ma'am.

Savli Mangle: Thank you Alaric, Good evening, everyone, and thank you for joining us on Indian Metals and Ferro Alloys Limited Earnings Conference Call for the Fourth Quarter and Full Year Ended 31st March 2026. Today, we have with us Mr. Subhrakant Panda, Managing Director; Mr. Saunak Gupta, Chief Financial Officer; Mr. Sureshbabu Chigurupalli, Head of Ferro Alloys Business Unit; Mr. Sandeep Narade, Head of Mining Business Unit; and Mr. Binoy Agarwalla, Head of Power Business Unit.

We will start the call with the opening remarks by our MD, Mr. Subhrakant Panda, on the business operations, key initiatives and the broad outlook, followed by discussion on financial performance by our CFO, Mr. Saunak Gupta, after which we will open the forum for a Q&A session.

Before we get started, I would like to point out that some statements made or discussed on today's call may be forward-looking in nature and must be viewed in conjunction with the risks and uncertainties that we face. A detailed statement of explanation of this risk is included in our earnings presentation, which has been shared with all of you earlier. The company does not undertake to update these forward-looking statements publicly.

I would like to now invite Mr. Subhrakant Panda to make his opening remarks. Thank you, and over to you, sir.

Subhrakant Panda: Thank you, Savli. And at the outset, I would like to extend a warm welcome to all of you who have taken time out from your busy schedules to attend today's investor conference call to discuss IMFA's Q4 and financial year '26 results. As Savli mentioned, I will start out with a few opening remarks, and then we will go into the Q&A section.

I want to, at the outset, point out that we have uploaded an investor presentation to the stock exchanges, which has all the relevant data available therein relating to production sales numbers, etc. So, we will not be going through those in this conference call per se. But of course, any questions relating to it, we will certainly do our best to answer.

At the outset, I would like to say that the fourth quarter of FY '26 has been a very good quarter operationally. We registered production of about a little 68,500 tons. And broadly, I would say it had 2 elements: One, which is as far as the existing facilities at Therubali and Choudwar are concerned, the production numbers were by and large the same. But what is interesting in this output number is that it has some output from our KNR 2 acquisition. As you would know, we closed that deal on February 27.

Indian Metals & Ferro Alloys Limited
May 27, 2026

Page 3 of 16

We switched on the furnaces in March. So, we have about, I think, 2,200 tons odd production included in the quarter. And just as an aside, as far as the ongoing first quarter of FY '27 is concerned, all furnaces are running smoothly, and we are getting approximately 6,000 tons a month output, but more on that later.

Secondly, realizations as compared to the corresponding quarter last year are substantially higher. In fact, in the fourth quarter, broadly about 109,000 tons as compared to roughly INR87,000 a ton. So that is why you see a substantial jump in the PAT from about INR47 crores in the corresponding

quarter to INR103 crores in the current quarter.

Costs are up marginally, primarily on account of royalty on chrome, which has gone up a little bit due to elevated ore prices. And thermal coal prices have inched up a little bit. But by and

large, I would say we have had a tight focus on costs. And in fact, if I were to use this as a segue to talk about the West Asia crisis update, I think broadly, direct impact we have seen is in terms of higher freight costs and domestic logistics costs because of increase in fuel prices. But other than that, in terms of demand, in terms of container availability, shipping space, etc, I think all of that is, by and large under control.

Next, I'd like to give you an update on the various projects as well as the additional hybrid renewable energy that we have signed up. First, on the renewable energy, as you know, we have 70 megawatts signed up with JSW Energy, which is expected to flow in July or so of this year. And we had another agreement for 40 megawatts, which we cancelled on mutual discussions with the developer.

And instead, we have tied up with Enfinity Global for 65 megawatts of hybrid renewable energy, which will come online June of 2027. So, 70 and 65 take the hybrid renewable energy portfolio to 135 megawatts, which will substantially reduce our carbon footprint through abatement of carbon emissions. And of course, we have the benefit of stable prices over the length of these agreements.

Now on to the project updates. As far as the greenfield project, KNR 1 is concerned, it is broadly on track. We are initiating cold trials and pre-commissioning activities from 30th of May onwards, which will continue through June and slight delay of 10 or 15 days in terms of switching on the furnaces, and that is on account of two things, which was temporarily, there was a partial manpower demobilization because of various reasons, people moving out for elections, etc. So that broke the tempo a little bit, but we are now back at full manpower at site since last week. And work is continuing, of course, at full speed.

And second, of course, for the last 2 to 3 weeks, the midday temperatures are intense, 44, 45 degrees, and that is certainly affecting output to an extent. So, I would say a slight delay, but nothing significant. And we will broadly switch on around July 10 to 15 is what we're expecting.

Indian Metals & Ferro Alloys Limited
May 27, 2026

Page 4 of 16

Secondly, as far as the ethanol project is concerned, we had updated earlier that as against the target of March or April of 2026 that we are seeing a delay in it due to the geopolitical developments and delay in fabrication and supply of some equipment because of related factors. So there, I'm happy to report that we are on track. We will be taking up pre-commissioning activities in July, as we have mentioned, and commissioning in Q2 of FY '27. We should be able to start getting output maybe towards the end of August or something of that sort.

I think beyond that, what I would like to mention is that stainless steel demand continues to be good, although growth has been about 2% to 3%, but there has been a sharp to 64.157 million tons in the calendar year 2025, globally speaking. But there has been a decline in ferrochrome output globally by about 9.4% to just short of 16 million tons. And that is one of the reasons, along with elevated cost structures which have led to prices firming up. In the ongoing Q1 FY '27, we are seeing margins and prices and therefore, margins higher than what we saw in Q4. So, I think that will enable us to report good numbers during the ongoing quarter.

But of course, that's something we will discuss later. But generally, we continue to be positive about the industry fundamentals, about demand, about the fact that stainless steel production and demand in India is moving up. And I think we are ideally positioned not just

to cater to our

international customers as we have been with a 90-10 export versus domestic sales.

But moving ahead, we are looking to pivot towards more domestic sales and some of that was evident in Q4 itself. But we are confident about industry fundamentals, about our own resilience and cost structure. And we will, of course, keep an eagle's eye on operational efficiency so that we are able to deliver superior results.

Thank you. Savli, we can move on to the Q&A now.

Moderator: Thank you. The first question comes from the line of Parthiv Jhonsa with Anand Rathi. Please go ahead.

Parthiv Jhonsa: Congratulations, sir, for good set of numbers. Just a couple of questions. The first one is pertaining to the South African tariff, the power tariffs. Now that the government and the local authorities are planning to have the lower tariff for the ferro manufacturers and a couple of mills are expected to start the operation, the smelters are expected to start the operations. So, what's your take on it?

Like would it have because I think over the last 12 months or 14 months, the actual global output of ferrochrome has been lower, as you mentioned, it's shy of about 16 million tons. So, do you expect this volume to come on stream, which will eventually have some competition for us in the Asian market?

Subhrakant Panda: Okay. So Parthiv, as you know, the South African power tariff situation has been publicly discussed for quite a while now. In 2025, South African ferrochrome production fell off drastically on account of their high costs, power costs, high inl and logistics costs, etc.
Indian Metals & Ferro Alloys Limited
May 27, 2026

Page 5 of 16

And while some of it was made up with the increase in Chinese production, where monthly output went from about 650,000 tons a month to, if I recall correctly, about 950,000 tons in December and sort of those levels thereafter. But nevertheless, as I mentioned in my opening remarks, overall, during the year, ferrochrome production was down by a little more than 9%. So as against the standard rate of \$1.36, first \$0.877 was approved. And then Eskom has and the government have agreed to \$0.62. And public consultation took place on 25th May from what we read online. I'm not sure if there will be more consultations or that was the only thing which happened. But what we believe is the following that it is actually an interesting scenario where this special tariff is being offered to only 2 producers in a specific sector.

And Eskom today is making a point that they will not need any additional subsidies because of the difference between \$1.36 and 0.62. So, they don't need any support. They don't need any fiscal support from the government. They will not pass on or burden the retail consumers with this, and it is overall a better scenario than not selling power.

The thing I don't understand, we are all struggling to understand, is that why did this then have to be sort of almost forced on them. But having said that, that's their prerogative, it's their national policy to do what they want to do. What we broadly believe is that from a chrome units perspective, it will, by and large, be sort of neutral in the sense that if ferrochrome production picks up in South Africa as a result of these -- if \$0.62 is finally approved, I believe, first of all, it will come with certain conditions like upside sharing and all sorts of things.

But that apart, if it leads to increase in ferrochrome production in South Africa, then it should lead to reduction in ore supplies to China and therefore, lower ferrochrome production in China, maybe moving back towards that 650,000, 700,000 or 750,000 tons sort of a monthly mark. And net-net, you will not see a glut of ferrochrome.

What I will acknowledge is that if ferrochrome production in South Africa picks up and Chinese ferrochrome production doesn't go down, then you will

certainly see pressure on prices. But I

would argue that it is not something which is going to be unique to IMFA. And in fact, it will put this whole special power tariff arrangement into a tailspin because Glencore has been very vocal in saying that \$0.62 is what they need to sort of "survive." But if ferrochrome prices drop down sharply, then \$0.62 will not be viable. So, this is a confusing scenario. We'll have to see how it plays out.

But we have strong fundamentals. We are comfortable where we stand. And we believe that by and large, even if these tariffs are approved, it will be sort of net-net neutral in terms of chrome units.

Parthiv Jhonsa: Okay. That's actually quite helpful, sir. Just to take that power point forward because now you are about 135 megawatts of hybrid renewable. So, what is the total power requirement which will be met through this particular hybrid renewable? And what is the cost saving on it, if you can share, sir?

Indian Metals & Ferro Alloys Limited
May 27, 2026

Page 6 of 16

Subhrakant Panda: Okay. So, our power portfolio at the moment is we have 200 megawatts of thermal at Choudwar and 4.5 megawatt peak of solar at Therubali. And of course, we have some off-gas generation of about 5 megawatts at Choudwar. But broadly, in as much as our expansion, which is KNR 1 and the strategic acquisition, which is KNR 2 is concerned, we broadly need about 100-odd megawatts of power. We have tied up 135; out of that 70 megawatts should start flowing in about July of this year and 65 megawatts, which we have signed up with the second supplier a few days ago, will be flowing from June of 2027.

And we are also looking to increase our capacity in KNR. As you know, KNR 2 has a partially built 33 MVA furnace capable of producing 50,000 tons. We are working on getting environmental clearances for it. And hopefully, by June of 2027 we will have it up and running. But when we have a little bit more clarity is when we will share some concrete timelines for that.

But broadly, we're looking at June 2027. So, the idea behind hybrid renewable energy is that it

reduces our carbon footprint. Secondly, we will have DISCOM power as a backup because, as you know, the combined utilization factor of renewable energy is not as high as it is with thermal coal.

Now in terms of cost savings, by and large, two things. First of all, renewable energy today is at sort of grid parity or a little bit plus/minus. So, I think the benefit will come out of the fact that this is a rate which is steady for the duration of the entire contract, 25 years for the 70 megawatts and 29 years for the 65 megawatts, unless there are any regulatory changes. So those benefits will accrue with time.

But I would also like to point out that what we are seeing in terms of the fresh coal linkages that we are bidding for, and those benefits will start flowing probably from Q3 of this year that coal sourcing through linkages is also the pricing is going to be about INR400 to INR500 a ton cheaper. So those are some advantages in our existing thermal coal generation that we will see, but from H2 of FY '27.

Parthiv Jhonsa: That's quite interesting. Sir, if I may just ask the last one bookkeeping question. Just wanted to quickly check on your capex and your debt position, which you expect for '27 and '28.

Subhrakant Panda: I will ask Saunak Gupta our CFO, to share those numbers?

Saunak Gupta: Yes. On the capex, as you know, we have already spent INR600-odd crores by April. And the balance amount which we have to spend next year is approximately INR450-odd crores. We have taken INR470 crores of term loan, which we have partly utilized by March. We have unutilized balance of INR170 crores from there which we will use along with the internal accruals. We will be managing out the balance of INR450 crores and whatever we think is required.

Indian Metals & Ferr

o Alloys Limited

May 27, 2026

Page 7 of 16

And we may or may not use the full term loan. But if required, we have INR170 crores of unutilized sanctioned loan. So INR170 plus INR250, roughly INR450 crores should be sufficiently generated by us through our own sanctions we have from banks as well as the profitability that we are getting. So that's the plan. I hope I could answer your question.

Moderator: The next question comes from the line of Anant Sarda with Chhattisgarh Investments.

Anant Sarda: Sir, I want to understand if we have tied the production capacity of Kalinganagar 2 like as a long-term contract? Or are we selling the ferrochrome on spot pricing, sir? And building on that question, sir, what do you think will be the strategy for long-term contract versus spot pricing for Kalinganagar 1 as well?

Subhrakant Panda: Okay. So, Anant, broadly, when we look at our marketing strategy, we look at selling about 70 - odd percent, 70%, 75% against long-term contracts, where essentially whether it is an annual contract or a 5-year contract, tonnages are fixed and pricing is done either every month or every quarter. I mean it's monthly in the case of China, quarterly in the case of POSCO and some Japanese customers, et c. But when we talk about spot sales, it's not as if we are selling to random people for the first time. It is broadly customers -- repeat customers, but where we don't have a contract blocking that tonnage for any particular length of time.

So, there are certain consumers in India as well as overseas where we sell tonnage regularly, maybe even every quarter, but we don't, there is no long-term contract where that tonnage is set aside. But spot sales is not really selling to a random person for the first time. So let me put it in that way.

Secondly, as far as our strategy for Kalinganagar 1 and 2 is concerned, our output is going to go from about 265,000 tons, which is where we are in FY '26 to broadly 400,000 tons in FY '27 and 500,000 tons or so, 475,000 to 500,000 tons in FY '28. Now first and foremost, what we are doing is from a 90-10 in favor of exports, we are looking to be about 60-40 in favor of exports. Our existing long-term customers internationally are interested in additional tonnage, have reached out to us for additional tonnage. So we will be looking to allocate some tonnages there. And we believe domestically, the economy is growing, stainless steel production is growing, per capita consumption is increasing, and there is space in the market for us to make our presence felt.

So, we will be looking at allocating at least about 200,000 tons to the domestic market in times to come. Now having said that, long term versus spot, traditionally, in India, contracts have always been finalized on tonnage-to-tonnage basis, lot-to-lot basis. But we are talking with a few customers here. And generally speaking, I think they are receptive to the idea of allocating tonnages and pricing it on whichever format. But suffice to say that we are very confident about demand. We are very confident about placing these tonnages, and we don't see any issues in that regard.

Anant Sarda: Okay. Sir, regarding the Kalinganagar 2 expansion, there was one 33 MVA furnace, which was partially built. What are time lines for the completion of that furnace, additional 50,000 tons?
Indian Metals & Ferro Alloys Limited
May 27, 2026

Page 8 of 16

Subhrakant Panda: So, in fact, I just mentioned that, but I'll reiterate it. So yes, there is a partially built 33 MVA furnace, which when completed can add another 50,000 tons of output. So because the environment clearances, et c, have to be obtained for that because it has been in that partially built stage for a while. So we are just trying to figure out the time lines. But we would hope to target commissioning around June 2027.

But that is something we need to get a little bit more

clarity about the environmental clearances, etc. So we will give a formal sort of an update on that perhaps when we discuss Q1 results, et c, in a couple of months. But broadly, we are targeting June 2027, but I want to reiterate that a firm update on what time line is will be shared by us in a few months.

Moderator: The next question comes from the line of Harsh Vasa with SBICAP Securities.

Harsh Vasa: Congratulations on the good set of numbers. Sir, my first question was about the capex on FY '27-'28. I know Saunak sir said about that. But the voices are little muffled. Could you just repeat that?

Saunak Gupta: Yes. In FY '27, what we said is that the balance amount of Kalinganagar and Ethanol projects and the underground mines in Sukinda that we are investing. Total amount of INR450 crores planned towards capex. From that, major portion of investment will be through our internal accruals. But we still have unutilized term loan of approximately INR170 crores, which we can use. As the time progresses, we will see the ideal mix to use the term loan and the internal accruals.

Harsh Vasa: Okay. And sir, capex for FY '28?

Saunak Gupta: For FY '28, other than the routine capex, primarily the balance portion of the mines will be there, which will be to an extent of approximately INR700-odd crores. But INR700 crores is not in FY '28. We have not yet calculated the exact amount. So at least a major portion of that will be in FY '28.

Moderator: The next question comes from the line of Aashav Patel with Molecule Ventures PMS.

Aashav Patel: Congratulations to the entire team for a stable set of numbers during challenging macro environment. So sir, my first question is with regard to our hedging policy. So can you explain it at length broadly what is our hedging policy? Because it looks like there is a sharp jump in other expenses for the quarter, which could be pertaining to that. And also the realization improvement is not as much as visible how the rupee depreciated during the quarter. So that would be very helpful.

Subhrakant Panda: So I'll give a brief remarks on this and then Saunak can step in with details. So in fact, as far as the mark-to-market notional loss that we have booked is concerned, that is there in the notes to accounts, you can see that.

Indian Metals & Ferro Alloys Limited
May 27, 2026

Page 9 of 16

And secondly, the point, broadly, what we do is we look to hedge about 25% to 30% of our outstandings at any of our net foreign exchange exposure and primarily try to make balance the downside while also locking in some of the upside. What happens in a scenario when you have had a sudden jump from INR88, INR89 to first INR93 and then now about INR95, INR95, INR96 or so. That is where it has an impact.

Of course, a lot of it is notional, not realized, not actual losses. That is number one. And secondly, actually, the top line does capture the rupee depreciation. I mean, obviously, we can't distinguish it and show it aside separately. But broadly, if you look at it Q4 of last year to Q4 of FY '26, the tonnage gain is about 2,500 tons, which is not significant. But the jump in realization is from INR87,000 a ton to INR109,000 a ton. I mean, in terms of dollar prices, it has not moved up significantly.

I mean it has moved up, not so significantly, and a lot of it has also come in from the rupee depreciation. But Saunak, would you want to explain a little bit more on the hedging policy?

Saunak Gupta: Yes, you have explained most of the things. Based on the probability that rupee may appreciate in future, we have internal policy to keep hedged amount at around 25% of our total exposure. 90% of our total sales is in exports and all in dollars. So that's how we hedge and it is mostly the

forward for next 12 to 18 months. Now what we see in the financial accounts, whatever forex gains are coming from the full exports are a

ctually recorded in the revenue or it's embedded there. So it's not seen separately.

But whatever is actually hedged out, the differential on actual For ex loss or on the mark -to-market is shown separately in the other expenses. So as said earlier, as on 31st December, the USD to INR was INR89.9, which increased to INR94.65 as on 31st March due to the volatile market. Now for the accounting purposes, this difference has to be shown as a provision or what we call as a notional loss in the books, though it may not be the actual loss. Whatever we have booked for next 12 to 18 months, under mark to market accounting, we are showing it as a notional forex loss amount, which you see in the investor deck, I have said about INR28 crores of that is actually the notional amount which has been put in. Actual during this quarter, even though there has been a sharp depreciation of rupee, but the actual loss is only limited to INR3 crores.

Whereas our Forex gain almost for the full year, which is embedded in the revenue is almost INR80 crores plus than what we had budgeted. So that's basically the accounting standard, for which in the face of the P&L, it looks that there is a hit, but the actual gain is embedded in revenue.

Aashav Patel: Sir, moving on my second question is that we were hopeful of reducing our EBITDA cost per ton by INR3,000, INR4,000 once due to operational synergies once the KNR 2 is up and running. Now that we are already on track in terms of operating the KNR 2. So are you able to feel the benefits already in the numbers? Or what's the outlook there?

Indian Metals & Ferro Alloys Limited
May 27, 2026

Page 10 of 16

Subhrakant Panda: Okay. So slight clarification to that, Aashav, which is that when entire KNR complex comprising 1 and 2 is up and running is where we are looking at a weighted average reduction in EBITDA cost by INR3,000 to INR4,000 on account of better logistics. So not just KNR 2, but KNR 1 and 2 taken together. And obviously, KNR 2 operations have stabilized. KNR 1 is yet to start. But the benefits will really start flowing after the furnace operation stabilizes in both areas because two things I want to point out.

First of all, there will be certain start-up costs, which are one-off. Until furnaces stabilized when we are drawing DISCOM power, until and unless you're above 80% or 90% plant load factor, your power cost doesn't become economical, whereas when you're in the heating up mode, we are actually consuming very little power and that is priced fairly expensive. So these little aberrations will be there, not significant, but these sorts of aberrations will be there.

I will share one other example. As part of the KNR 2 acquisition from Tata Steel, we are also from the 1st of June, taking over the GNA RE corridor, which is the transmission corridor for renewable energy, which they had for the KNR 2 site. So that has come to us from 1st June, but the power will start flowing from, let's say, July end or something of that sort. So a couple of months, we will be paying fixed charges, which is not significant INR2 crores, INR2.5 crores or thereabouts, for the corridor without actually utilizing it. But these are -- you cannot perfectly time it to a 24-hour period that renewable energy is available and the corridor is available. So these little aberrations will settle down after a couple of quarters. When I say short term, I mean, let's say, from November, December onwards, we will start seeing the full-fledged benefits of improved logistics costs and proper utilization of things like the GNA RE corridor, which will give us benefits.

Moderator: The next question comes from the line of Joe Shah from Seven Seas.

Joe Shah: Number one, with the URJA Strot, what is the rate we have finalized for the 55 megawatt.

Subhrakant Panda: We are not sharing commercial information on that. But suffice it to say that

it is fairly attractively priced.

Joe Shah: Okay. Another thing now KNR 1 and KNR 2, everything is going well. Congratulations for that. Now KNR1, I understand that there is a further plan to put up furnaces to 200,000 tons additional capacity, which will take us from 500,000 tons to 700,000 tons. Can you throw some light on this, how we are planning?

Subhrakant Panda: No. That is not the case. So just to clarify, as far as KNR 2 is concerned, we have acquired 100,000 tons, partially built furnace when it is completed, we'll add 50,000 tons. So that's 150,000. And as far as KNR 1 is concerned, it is for 100,000 tons.

We have land for a third furnace, but that's a call we will take later. And what you are talking about 220,000 tons clearance for Phase 2 expansion, that was prior to the acquisition. So we

were putting up KNR 1 as a greenfield, and we were looking at a second phase expansion.
Indian Metals & Ferro Alloys Limited
May 27, 2026

Page 11 of 16

But now that we have acquired the Tata Steel unit, that second phase expansion is not something that we are pursuing. But yes, in KNR 2, we will complete the partially built furnace. And in KNR 1, we will evaluate whether we would like to add one more furnace or not and what is the time line for that.

Moderator: The next question comes from the line of Vinit Thakur with Plus91 AMC.

Vinit Thakur: Most of my questions have been answered. So if you could just shed some light on the expansion for mining capacity of chrome.

Subhrakant Panda: So I'll just give a broad overview. Of course, Sandeep Narade, our Mines BU Head, is available on the call if more details are required. So as you know, a few years ago, we were mining about 6 lakh tons per annum from open cast and underground, last year, we crossed 7 lakh tons. FY '26, we crossed 8 lakh tons. And FY '27, the target is for 10 lakh tons.

We will be at the 10 lakh ton mark for a couple of years, and then we will gradually take it up to 12 lakh tons. The eventual plan, which is what we are spending that close to INR1,000 crores for is to sustain output at 12 lakh tons per annum and entirely from underground. So Mahagari as against 6 lakhs, we are already at 536,000 from underground operations. And so that is pretty much maxing out. I mean we'll go up a little bit more.

As far as Sukinda is concerned, we are still in the 3 lakh to 4 lakh tons open cast ore. That will gradually peter off and we will move into underground operations. And that will also be 6 lakhs. So 6 plus 6 is what is giving us 12 lakhs. In these 2, 3 years that we are mining only about 10 lakhs and our requirement is 12 lakhs.

That is where we have quite a substantial ore inventory that will slowly start normalizing from next year onwards because we'll be eating into that inventory. So broadly, I hope I have clarified that. If there are any specific questions, we have the Mines BU head to answer.

Vinit Thakur: And sir, what would be our targeted EBITDA per ton for ferrochrome and what is the current for this year as well .

Subhrakant Panda: So look, I mean, ferrochrome is a volatile sector. We have a great degree of confidence about our costs. The only exception to that being metallurgical coke, which we procure from outside.

And of course, thermal coal prices also move up and down, and that is where once we have more of hybrid renewable energy coming in, that's more of a steady cost, as I said, barring regulatory changes, the rate remains the same. But the question here is in terms of realizations.

And first and foremost, we certainly don't look beyond a couple of quarters , we don't forecast prices, and we don't look at more than a couple of quarters to be a little conservative in this regard.

But we do feel that due to cost pressures, ferrochrome prices in line with other commodities are going to remain elevated. In fact, currently, I would say domestic prices are in the IN

R118,000

to INR120,000 a ton mark, which is a little bit higher than what we have seen in Q4 of FY '26.

Indian Metals & Ferro Alloys Limited

May 27, 2026

Page 12 of 16

And even export realizations are in excess of INR120,000 a ton. And that is a combination of prices having moved up a little bit and of course, the rupee depreciation factor coming into play. So, we are broadly confident about the mid to long -term sort of demand cycle and what that will translate to in terms of elevated ferrochrome prices. There is a lot of talk also if you look at it about the commodity super cycle. But leaving that aside, I think broadly because of underinvestment in newer capacity and creating new capacity, we believe that we will see a sort of a prolonged period of relatively elevated prices. So, a little difficult for us to give targeted EBITDA per ton per se. But Saunak, I don't know if you would like to add anything to this?

Saunak Gupta: No, I think you have already explained the whole matter and specifically in the volatile market, we usually don't give any future projection on the EBITDA. But on the quarter 1 side, we see a similar price realization and definitely, we expect to do well in quarter 1.

Moderator: The next question comes from the line of Pranav Jain with A geless Capital and Finance.

Pranav Jain : Really happy to see KNR 2 already at 70% utilization levels. Just two clarifications from my end. Was it this year that we are targeting a 60 -40 export versus domestic split?

Subhrakant Panda: We are looking at going from 90 -10 to 60 -40 by sometime next year. I mean, first and foremost, the added capacity from KNR 1 also needs to come on board. And that will realistically, as I

said, one furnace we're looking to switch on by about 10th to 15th July and the next furnace around end August, early September, so the first pre-commissioning will start in a few days. Switching on is slightly delayed in the first furnace, but slightly advanced in the second furnace. So I think it overall averages out in terms of our output target for the year. But once that is done we will hit an annualized rate of 5 lakh tons by November, December of this year. And that is when we will broadly start looking at 60-40.

Pranav Jain : Got it, sir. And just second was considering that our Kalinganagar capacities are coming up largely in the first half of the financial year, along with some part of renewable energy also starting. So towards the second half, can we expect that EBITDA cost to go down by a couple of thousand tons going back to 78,000, 79,000 tons that we used to do earlier?

Subhrakant Panda: I mentioned a little while ago that what we were indicating in terms of INR3,000 to INR4,000 a ton savings, that will come when the entire capacity is online. And yes, you are right that by H2, the KNR 1 will be online. And of course, KNR 2 is already operating. But again, as I mentioned, give us a few months for these aberrations in terms of start-up costs and all that to sort of settle down. So, I mean I don't want to overcommit and give explanations and thereafter have to explain.

But when we achieve a steady-state operation is when we will see it. So I think that will be towards the end of the year or to be on the safer side, if I say, from Q4 of FY '27 onwards is when we would truly have steady-state operations across the board.

Moderator: The next question comes from the line of Saket Kapoor with Kapoor & Company.

Indian Metals & Ferro Alloys Limited

May 27, 2026

Page 13 of 16

Saket Kapoor: First, a clarification that it is the unhedged part of our forex contract that has resulted in the profitability going down by INR30 crores, INR34 crores for this quarter. And with this kind of depreciation not continuing for the next, that will not be factored for the next quarter. That is how our earnings have been...

Subhrakant Panda: No. Let me explain.

The hedging that we had done 6 months, 8 months ago, which was all at the realizations, would have been 88, 89, 90, so to say, which at that point in time with a rate of 85, 86, 87 was looking attractive. When you have had the West Asia crisis and suddenly rupee has dipped to 94, 95 levels, that 25% to 30% that we have hedged, that is what is resulting in the mark-to-market losses. That is number one. And sorry, the second point you were making, please remind me about that again?

Saket Kapoor: I am looking that this is not going to repeat in the ensuing quarter since we have been mark-to-market and for the entire hedge and the unhedged portion?

Subhrakant Panda: Well, so you know what, if the rupee appreciates, actually, some of that will result in a mark-to-market gain. But broadly, I think Saunak can confirm what was the rupee closing for Q4? What is that pegged to?

Saunak Gupta: So it was INR93.65. And now it is again at INR95, INR96, but the swing of almost from INR89.9 to INR93.65 that was almost INR3.75. If that much swing does not happen, obviously, we will not be getting that level of hit. But it is a relative matter between quarter-to-quarter.

Subhrakant Panda: But Saket, I want to reiterate 2 things. First and foremost, that this is notional. And if the rupee swings back a little bit to below INR93.65, then we actually record a mark-to-market gain. And again, I reiterate that whatever mark-to-market we are recording is on 25% to 30% of our foreign exchange earnings, whereas 70% is where we are gaining. So overall rupee depreciation is still good for us. That is one. Secondly, if you dive a little deeper into the Q4 results and Q4 versus Q3, so let's look quarter-on-quarter. One is the mark-to-market on foreign exchange hedging. Secondly, there is about INR16 crores, INR17 crores reduction in other income, and that is on account of the investment income we were getting from the large cash balances, which we then drew down and we paid for the acquisition from internal accruals. So cash in the books has gone down from INR900-odd, INR950 crores to about INR400 crores, INR450 crores.

So to that extent, investment income has gone down, but we are deploying that into assets which will give us more returns because investment returns is giving us about 6.5%, 7%, 7.5%, those sorts of returns, right, because we are deploying it fairly conservatively. And secondly, also, I think whatever investments are there, on March 31 itself, the NAV was a little subdued, which is why some MTM is there on that as well. So when markets stabilize, then there will be some MTM gains as well.

Saket Kapoor: Right, sir. You have been very categorical whenever you speak to investors that you have visibility for 2 quarters down the line at best because of the volatile nature of the segment. So sir, how are we visualizing H1 to behave in terms of realizations?

Indian Metals & Ferro Alloys Limited

May 27, 2026

And lastly, at what price have been the revision for our contracted quantity benchmark If you could just give us some color how will H1 shape up as you vision today.

Subhrakant Panda: So one point, Saket, I want to make is that conviction is there beyond 2 quarters. But visibility you never know how things shape up, which is why we don't like to give any sort of forecast beyond a couple of quarters. But first and foremost, I want to re iterate that I have the conviction about elevated commodity prices because of a variety of reasons, cost pressures, underinvestment in creating new capacity, et c. And of course, our own resilience and fully integrated business model, which gives us that comfort.

Now to come to what H1 is looking like. First of all, as I said, Q1 is looking definitely better than Q4 of FY '26. Q1 FY '27 is definitely looking better. Prices have moved up a little bit more, and the higher output comes into play.

A

s against sales of about 65,000, 67,000 tons a quarter that is normal for us. In Q1, we will be looking at about 80,000 tons because of the additional output from KNR 2, which is coming in. And as far as Q2 of the quarter is concerned, which is July to September, in another 15, 20 days, we will start getting a flavor of what the price will be like. We expect it to be around the same as Q1 as of now. That's the expectation.

Moderator: The next question comes from the line of Anant Sarda with Chhattisgarh Investments.

Anant Sarda: Sir, in FY '27, we are saying that according to the presentation that our ferrochrome capacity will be close to 484,000 tons. And also in the same year, We are also going for a hybrid renewable of 135 megawatt. So may I understand how much proportion of this ferrochrome we made from renewable? And how much will be grid and how much will be coal -based? Is there any kind of bifurcation that you have in your mind?

Subhrakant Panda: You mentioned about FY '27 capacity, 484,000 tons. I just want to clear that normally, while we don't give volume guidance, but because we are in a growth phase for FY '27 and FY '28, we have given some indicated volume numbers. And for FY '27, the expected output is about 400,000 tons, which will go up to about 475,000 to 500,000 tons for FY '28. And again, our Power BU head is on the call, Binoy Agarwalla, he can share more details if necessary. But broadly, I would say that next fiscal, FY '28, we broadly would expect about 35% to 40% of our total energy consumption to be from renewable sources.

Moderator: The next question comes from the line of Pragyam Laddha with Omnee Securities.

Pragyam Laddha: Sir, all my questions have been thoroughly answered. Just two more questions. First, would there be -- you said that there might be some one-offs when you are starting these plants. So can you throw a bit more light on it --, Would you be able to quantify it, I mean?

Subhrakant Panda: Pragyam, difficult to quantify at this point in time, but see, these are brand -new furnaces, which will come into play. So the heating period and there will be a heating of about 10 to 12 days, following which you'll be gradually stepping up load. So that is the period where 2 things will happen. First of all, you are consuming electricity without getting any output. That is one.

Indian Metals & Ferro Alloys Limited

May 27, 2026

That we may be able to quantify, although we don't have the numbers with us offhand to mention that to you. But I was also referring to things like when you're drawing from DISCOM power, until and unless you cross 80% and ideally 90% levels, your rates per unit cost is high, and it starts dropping after 60 and goes down quite a bit noticeably after 90.

So it is only when we are running on a full -fledged basis that we will achieve 90% or perhaps even 95% power factor and things like that. So, in the initial heat up phase, you are both consuming power without output for a couple of weeks as well as that per unit rate is a little on the higher side. That was what I meant by one-offs. And the other example I gave is, for example, the GNA RE corridor, which has transferred, but you can never time the availability of the corridor to the flow of power.

So, we would much rather bear the fixed cost for a month or two as opposed to not be able to have the power flow. As it happens, we are getting the GNA RE corridor from Tata Steel from June 1 onwards and 65 megawatts and 70 megawatts will start flowing from, I would say, July end or so.

Moderator: The next question comes from the line of Kaushal Kedia with Wallfort PMS.

Kaushal Kedia: Sir, recently, you made a statement in the business standard saying that you have aspirations to go for other critical minerals. And taking into consideration that we will be generating substantial cash in the next -- going forward after maybe 1 year

r, we'll again have a major portion of our

cash in the balance sheet. So can you just throw some light as to where you want to be or what is the aspiration? I know it's very difficult to say right now. It's a far long shot right now.

It's a far-fetched prospect right now. But what is your thought process like and there are nickel mines available in Odisha, and I believe somewhere in Sukinda. So what is your thought process as to where you want the company to be in the next 5 years?

Subhrakant Panda: So Kaushal, one lighthearted comment to begin with, certainly not far-fetched, but something that we are working on seriously, but I was just making it on a lighter note. And one correction, lithium mines not in Sukinda, not in Odisha to the best of my knowledge as well. But now to get to what is the critical minerals aspirations that we have.

So what is very clear is that in as much as critical minerals or rare earth elements is concerned, that is more up our really adjacent to our skill set of prospecting mining and doing one or more levels of value addition. Clearly, the technology and the scale is very different when it comes to critical minerals as compared to bulk minerals like because here, we are talking lakhs of tons. There, you may be talking tens of thousands of tons, not -- and in some cases, even hundreds of tons, not even thousands of tons. So, the technology may be different. The scale may be different. But broadly, it is adjacent to our skill set with regard to mining and processing of minerals. So that is what we are looking at.

Now secondly, we are looking to participate in some of these critical mineral blocks, which are coming up in Odisha and elsewhere in the country.

Indian Metals & Ferro Alloys Limited

May 27, 2026

Page 16 of 16

In the past year or so, we have bought a document for a few of these blocks to understand the process. We haven't really participated in any. Going ahead, we are looking to do that. Beyond that, all that I can say is that we are working very diligently on creating sort of a plan of action as to what we are targeting.

And I mean, I'm afraid there is not much details that I'll be able to share at this point in time. But hopefully, sooner rather than later, we are certainly looking to participate. And hopefully, sooner rather than later, we will be able to become the preferred bidder for one or more blocks and then throw more light on what our strategy is.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Subhrakant Panda, the MD for their closing remarks.

Subhrakant Panda: Thank you very much. I think it's always interesting and fruitful for us to engage with all of you because we not only get to share our numbers and talk about strategy and talk about what we are doing. But as I think, said without fail in every investor call, I think your questions force us to think deeper and you come up with insights which are useful. So thank you very much for taking time out, and thank you for your interest in IMFA.

What we are committed to is transparently sharing what we are doing, where things are going right, where things might be a little bit off track. But our commitment to transparency, our commitment to focusing on our strengths and operational efficiency to lead to deliver superior performance remains unchanged.

And we do look forward to continuing to interact with you not just in these quarterly results calls, but even at other opportunities, and we will certainly look to answer your questions to the best of our ability. If anything has got left out that you couldn't ask or if you think of it later, please do reach out to us, reach out to the IR agency, reach out to Saunak, and we will certainly do our best to respond to these questions. Thank you once again for your time and your interest.

Moderator: Thank you, sir. Ladies and

and gentlemen, on behalf of Indian Metals and Ferro Alloys Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.